# Adani Ports and Special Economic Zone Ltd. (ADANIPORTS)

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“Adani Ports and SEZ Limited
Q4 FY’23 Earnings Conference Call”
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MODERATOR : M R. AADIL KHAN – NUVAMA WEALTH MANAGEMENT



Moderator: Ladies and Gentlemen, good day and welcome to the Adani Ports & SEZ Q4 and FY ‘23 Earnings Conference Call hosted by Nuvama Wealth Management. As a reminder, all participants' lines will be in a listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during a conference call, please signal an operator by pressing star and zero on your touchtone phone. I now hand the conference over to Mr. Aadil Khan from Nuvama Wealth Management. Thank you and over to you, sir.
Aadil Khan: Thanks, Vikram. Good evening all and welcome to the Q4 and FY ‘23 ended earnings conference con call of Adani Ports & SEZ. We would thank the management for offering us the opportunity to host the con call. I would also take this opportunity to introduce the senior management team present on the call. So, toda y we have with us Mr . Karan Adani, CEO and whole-time director, Mr. Subrata Tripathi, CEO of the ports business, Mr. Vikram Jaisinghani, MD and CEO of Adani Logistics, Mr. D. Muthukumaran, CFO of Adani Ports and Mr. Charanjit Singh, Head of Investor Relations and ESG. We would have initial remarks by the management team, post which we will open it up for Q&A. Wi th this, I hand over the call to Mr. Charanjit Singh. Over to you, sir.
Charanjit Singh: Dear all, firstly, thank you very much for taking out that time to join ou r FY ‘23 earnings call. My sincere apologies for the inconvenience caused due to the change in call timing and further delays. Firstly, it was some delays to our Board meeting and thereafter, we have faced technical issues in uploading the results on the NSE website.
Finally, it has been uploaded on the BSE website and therefore, we are now live. Before I hand over the call to Mr. Karan Adani for his opening remarks, just a housekeeping point. For any queries relating to the group, you can reach out to me separately after the call and I will put you in touch with the right person. On the call, we will focus on Adani Ports and SEZ performance.
Over to you, Mr. Adani.
Karan Adani: Thank you. Good evening everyone and welcome to the FY ‘23 conference call to discuss the operational and financial performance of Adan i Ports and SEZ Limited. I am pleased to announce the strongest ever full year performance in the history of APSEZ with various new

milestones recorded during the year.
Starting with the financials, APSEZ has outperformed against the revenue and EBITDA guidance provided at the beginning of the year with operating revenue of INR20,852 crores and EBITDA of INR12,833 crores, which is a year-on-year growth of around 22%. Due to sweating of assets, the EBITDA margin of logistics busine ss increased by around 150 basis points to 28%, which is higher than most of th e listed peers in India. The profit after tax for the year increased by 9% year-on-year to INR5,393 crores. This is even after factoring a write-off of around INR1,273 crores on account of sale of Myanmar asset.
Moving to operational highlights, starting with port business, we achieved a cargo throughput of 339 million metric tons, which is a good 9% year-on-year growth. The previous benchmark of achieving 300 million metric tons of cargo in 354 days was surpassed during the year as the feat was achieved in just 329 days. APSEZ also achieved its highest ever container volume of


8.8 million TEUs with Mundra alone recording 6.6 million TEUs, which is a 10% higher than its closest competition. We now have two ports Mundra and Krishnapatnam amongst the top 10 ports of India based on cargo volume handled.
Several initiatives taken during the year that have helped boost cargo volumes include commissioning of a container terminal at Ganga varam, commissioning of liquid storage tanks at Kattupalli, mechanizat

ion of berth number six at Krishnapatnam and acquisition of Haifa port.
Besides, we have added new cargo types at some of our ports. For example, Krishnapatnam port successfully added soya bean, sulphur and sugar, while Dhamra port managed its first rice export to Bangladesh and added wheat and CR coils to its cargo portfolio.
Moving to operational performance of logistics business, our overall volumes managed saw a robust growth. The container rakes handled during the year achieved a new milestone of crossing half a million TEUs, which is a good 24% year-on-year jump. The bulk cargo transported was 14.35 million metric tons, implying a 63% year-on-year jump, while the terminal volumes increased by 19% year-on-year to around 3,59,000 TEUs.
With addition of 18 rakes in FY ‘23, total train count increased to 93 at the year end, which includes 43 container trains and 40 bulk trains. We have given orders for another 14 bulk trains and 24 container trains that are likely to arrive in the current financial year. During the year, 3 MMLPs were commissioned including the acquisition of ICD-Tumb, taking the total count of MMLPs to 9.
In the current financial year, we are targetin g to commission three mo re multimodal logistics parks. Our total agri-silo capacity during the ye ar increased to 1.1 million metric tons, with commissioning of new facilities at four locations. We will surpass our guided ambition of 2.5 million metric tons silo capacity by FY ’26, with the recent contracts won at 70 locations.
Now let me share a brief on the investment made during the year. During FY ‘23, APSEZ made total investment of around INR27,000 crores, which includes around INR18,000 crores spent on six acquisitions and around INR9,000 crores for organic capex. These investments were predominantly financed through internal accruals and the cash and cash equivalents held with the company.
The six acquisitions made are one Haifa Port Company, which is th e operator of Israel's largest port, Indian Oil Tanking, one of India's largest third-party liquid tank storage players, Ocean Sparkles, India's leading third-party marine service provider, ICD-Tumb, one of India's largest ICD with a capacity of half a million TEUs, Gangavaram Port, the third largest non-major port in India and the recently acquired Karaikal Port , a deep-sea all-weather port, in the state of Pondicherry.
Despite a record investment of around INR27,000 crores during the year, the gross debt to fixed asset ratio of APSEZ improved co nsiderably with ratio declinin g from 80% in FY ‘19 to around 60% at the end of FY ‘23. Our net debt to EBITDA ratio is almost flat at 3.1x and well within our guided range of 3x to 3.5x.


During the year, we have won five bids. The two wins for the port businesses are birth 2 mechanization at Haldia Port and Greenfield Port development at Tajpur in West Bengal. The three wins for the logistics business are the 70 silos, agri silos spread across 8 states with a cumulative capacity of 2.8 million metric tons, the Loni ICD in NCR and Valvada ICD near Gujarat-Maharashtra border. The investment made along with the five bids win during the year

will enable APSEZ to achieve its targeted volu me, cargo volume of 500 million metric tons in 2025 and speed up the transition of company's business model to a transport utility.
An update on Myanmar asset, pursuant to our 4, May announcement on Myanmar asset sale, APSEZ has received the sa le consideration of $30 million fro m the buyer. In April ‘23, APSEZ announced the launch of the bond buyback program. The first tranche of the buyback of $130 million note due in June ‘24 is already completed. More such buybacks are likely to come in coming quarters.
For FY,23, the APSEZ board has recommended a dividend of INR5 per share in line with our capital allocation policy. This implies a payout of around INR1,080 crores. O

n the ESG front in 2022, APSEZ was ranked first in the transport and logistic sector, across all emerging markets by Moody's. The S&P ranked APSEZ amongst the top 10 out of 300 plus companies in the transport and transport infrastructure globally and Sustainalytics classified us, as a low ESG risk company.
Finally, coming to the guidance of our FY ‘24, we expect cargo volume in the range of 370 to 390 million metric tons, revenue within the range of INR24,000 crores to INR25,000 crores and EBITDA in the range of INR14,500 crores to INR15,000 crores. Net debt to EBITDA ratio is expected to decline to around 2.5x by March ‘24. This is factoring a capex of INR4,000 crores to INR4,500 crores and scheduled loan repayments and bond prepayments. We can now open the forum for Q&A.
Moderator: Thank you very much, sir. Take our first que stion from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Good evening, sir. And congratulations on a very good year, especially on the acquisitions. My first question is on the cargo volume growth guidance. Are you baking in Karaikal volumes in this? And the related question is that have you taken any tariff hikes in Mundra and of course other ports, in this fiscal?
Management: Yes, so yes, this volume guidance does bake in Karaikal port and the Karaikal port volume expected is between 8 million and 12 million tons . And tariff hike, yes, we have taken into account. We have taken into account on a per ton basis a hike of around 3% to 4%.
Mohit Kumar: And have you taken the tariff hike, sir?
Management: Yes, we have. As you know that, generally we do all our negotiations in the quarter one. So a lot of those hikes have been, some of them have already been implemented and some are under negotiation. But we are very confident that by June, we would have most of those tariff hikes in place.


Mohit Kumar: Understood, sir. My second question is on the color of the capex, which you have penciled, around 40 billion to 45 billion. Can you just detail out this capex, where do you want this capex, where this cape x will go into?
Management: So roughly INR3,000 crores will go towards ports and between INR1,000 cr ores to INR1,500 crores will go towards logistics business. And within the ports, most of it is going in commissioning the capacity expansions that we had undertaken last year.
Mohit Kumar: Understood, sir. Thank you and all the best, sir. Thank you.
Moderator: Thank you. We take the next question from the line of Abhiram Iyer from Deutsche Bank. Please go ahead.
Abhiram Iyer: Hi. So this is regarding the qualified opinion that's mentioned in the auditor's note. It mentions that, basically there's an EPC contract being done with a fellow subsidiary of a group company, which the group has represented that the contractor is not a related party. Maybe know, who the contractor is and is this a sort of going against the principle, which was expressed last time around that any party, even with multiple levels, going back up to the promoter group would essentially be considered as a related party and disclosed as such?
Management: Yes, hi. See, as far as the details are concerned, we have given a response in the annexure one to the qualified opinion as required by the stock exchange and LODR. And there, we have given full details with respect to the fact that, we've been dealing with this contractor for now about a decade. And they've been actually commissioning all our projects, sort of in time, on cost. And, we have a relationship, which is ongoing and they 've been delivering both. So this is just an ongoing thing. And pending investigation of SEBI and Supreme Court, auditors have decided to qualify this and, we will have final outcome, on ce the investigation is ov er. And this is not a related party, which we have also confirmed. And this is just an auditor' s opini

on in the context of ongoing investigation.
Abhiram Iyer: So could you give us details on the name of the counterparty given that, they are, as you mentioned, you have a significant relationship with them, so they have an impact on the group, right?
Management: Yes. The name of the contractor is Howe.
Abhiram Iyer: Sorry, Covait?

Management: Howe.
Abhiram Iyer: Howe, okay. Got it. And the second question that I had was on the current buyback that, was done. Given the fact that, so is your net debt to EBITDA target of 2.5 by the end of March 2024 still on track, given that, you're doing multiple foreign investments and recently Mr. Adani also mentioned that certain investments will be made in Vietnam as the new sources. Is that more farther down in the future or more immediate, which potentially might elevate back the leverage from the 2.5 target to more back to 3.5, which is a longer target for the group?


Management: We actually continue to have 2.5 as the target. There is no change in that. And when we gave the target for 2.5, if you remember, we have said that we will have both scheduled and unscheduled repayments to be done on the debt. And what we have announced recently in terms of the buyback, is broadly within the same bucket of what we already captured in the calculation of 2.5.
And as far as the Vietnam is concerned, it's actually, it's a work in progress. And as things stand now, we don't anticipate anything coming in this financial year.
Abhiram Iyer: Understood. Thank you. I'll get back in the queue.
Moderator: Thank you. We take the next question from the lineup. Abhishek Nigam from B&K Securities. Please go ahead.
Abhishek Nigam: Yes. Hi. Thanks for the opportunity. So a couple of bookkeeping questions. One, if you could address, why are other expenses and employee expenses higher on a Q2 basis? So that's my first question.
Management: Yes. So, you know, we have acquired this asset, Haifa, in. [inaudible 0:18:19] So basically, the expenditure increase on employee front is fundamentally attributable to the Haifa, where the business model, we have shared at the time of acquisition, we are by and large in line with, sort of what we have announced already. And this is consequent to us, consummating the deal in the first quarter. Q4.
Abhishek Nigam: Okay. And other expenses will be similar, mainly Haifa impact…?
Management: Yes, that's it.
Abhishek Nigam: Fair enough. So this is kind of the run rate, which we should assume will be the normalized run rate going forward, more or less?
Management: In the near term, yes.
Abhishek Nigam: Fair enough. Second, if you can just talk about, demand trends on port volumes, especially on the container side, how do you see FY ‘24 evolving in terms of, volumes on a Y-o-Y basis? The overwhelming sentiment right now is that volumes are sort of picking up, but nobody sees a very strong recovery. So do you agree with that?
Management: So we do expect country GDP to grow at around 6.5%. And we do expect the pan-India trade volume to be growing at around 7%, 7% to 7.5%. And that's, and generally, we, and that's why we are looking at between 10% to 12% growth in our volumes.
Abhishek Nigam: Fair enough. That's helpful. Next question from me, if you can just talk about, the Dhamra terminal, what is happening there and in case, it is possible to give us some guidance in terms of, EBITDA contribution or at least in terms of utilization, where do you see it ramping up, say over the next three quarters?
Management: Are you talking about Dhamra LNG?


Abhishek Nigam: Yes, Dhamra LNG terminal, yes?
Management: Dhamra LNG terminal, it's, as we've commissioned the terminal in month of April. As you know, it is a 5 million tons terminal and we have a take-off pay contract of 4.5 million tons, 3 million tons with Ind

ian Oil Corporation and 1.5 milli on tons with, with GAIL. The line has been commissioned by GAIL and we don't see any bottleneck over there. It's a 50-50 joint venture with Total Group, as you know, this terminal. So we do expect volume to be this year around 2.5 million metric tons based on th e take-off pay contract that we have and based on the bookings that have been done. And we expect the 2.5 million tons to be ramped up next year to full 4.5 million tons.
Abhishek Nigam: Perfect. Thank you so much.
Moderator: Thank you. We take the next question from the line of Shabad Thadani from Arkkan Capital. Please go ahead.
Shabad Thadani: Yes, my question has been answered. Thank you.
Moderator: Thank you. We take the next question from the line of Asmeeta Sidhu from MetLife Investment

Management. Please go ahead.
Asmeeta Sidhu: Hi, good evening everyone. Thank you for taking my question. I just have a very quick one. You have mentioned in the last result call that Ad ani Port is looking to reduce the remaining share pledges that are taken on by the company to zero in 2024. So can you just share with us a rough timeline on how that reduction has been going and when do we expect to see before reduction is going to end, March or it is earlier? Thank you.
Management: So if you look to the disclosures, what we have made as of 31, March, the shared pledges down from 17% to 4%. So in line with the guidance provided and the commitment to reduce the pledge, it is already done, largely taken care of. And we will be moving towards zero in a year or so time.
Asmeeta Sidhu: Okay, that is really good. Thank you very much. I will go back in the queue.
Moderator: Thank you. We take the next question from the line of Achal Lohade from JM Financial. Please go ahead.
Achal Lohade: Yes, good evening. Thank you for the opportunity. I wanted to check about the volume guidance in terms of A, key ports, which are going to drive this growth, and B, in terms of the commodities, we have seen the coal has been a significant growth actually in FY '23. So how do you see specifically for coal given the way things are playing out?
Management: So in terms of, I will answer your second question first. So we do expect coal growth to continue. However, we do see more growth coming from domestic coal movement through coastal route, more happening from that. And so we expect around 14% to 15% growth in the domestic coal volume. Imported coal volume, we do expect growth of around 7% to 8%. And on the non-thermal coal, so cooking coal, we expect a growth of again between 15% to 18% compared to



last year. I am talking as a pan-India. And over there, we will obviously look at capturing as much share as possible. From our portfolio, we expect major growth coming from Krishnapatnam, from Damra and Gangavaram and as well as Mundra.
Achal Lohade: Right. Now the second question I had, with respec t to the Greenfield port , you talked about in West Bengal, is there anything planned? It seems, you have not made in any number with respect to that port in FY 24. But how do we see this evolving? In terms of the presence on the east and the west coast, are we already there or are there any more organic or Greenfield as well as acquisition targets possible?
Management: So on Tajpur port, we have just signed an LOI. We are waiting, we are in discussions with the West Bengal government to sign a concession agreement. Post the signing of concession agreement, the environment clearance and that pr ocess will start. So a realistic timeline for Tajpur port to have any real construction to begin is 24 months before any capex on ground is pushed.
In terms of other locations, we keep evaluating opportunity. There are a lot of opportunities which will come up in '27- '28, when lot of th e terminals will be coming for an expiry. So we will look at, we keep evaluating the opport

unity both on the east coast as well as west coast of the country.
Achal Lohade: Understood. This is very helpful. I wi ll fall back in the queue. Thank you.
Moderator: Thank you. We take the next question from the line of Vikram Suryavanshi from PhillipCapital. Please go ahead.
Vikram Suryavanshi: Yes. Good evening, sir. Just on this logistic side of the business where we have 43 container trains and planning to add 24, which is almost like a 50% growth, while we are seeing slowdown in economy and export. So with such kind of addition, how is the outlook and where are we really looking at the market share gain or will it be used for domestic op eration also? So if you can give some clarity on that opportunity, it would be helpful.
Management: So Vikram, the growth that, we are looking at is predominantly as you see, we have opened up new MMLPs. So to serve those markets, so we have Nagpur, we have Mumbai, we have Vapi, Loni as well as Tumb, where we will be expandin g. So all of these places we would be looking to move cargo from road to rail. That's the predominant focus. And it's not just about taking market share from the competing ICD.
Predominantly, if you see the 43 trains that, we have deployed, our capacity utilization is at 95%-96%. And in order to continue the growth, we do expect the addition of capacity of the trains will help us in continuing with the growth for the container. So we believe that 25 trains over the course of next 12 months will help us to continue with the growth journey of at least 20%-22% growth on the container side. Vikram, do you want to add anything here?
Management: It's also important to note that the delivery of these trains are going to come in a phased manner. It's not that 24 trains are coming immediately in this month or the next month. Every passing month, we will have delivery of one train each an d this 24 will come in by the end of the year.

And then at the end of the year, we have to position ourselves for the next year's growth as well, where we will add more terminals. And these current new terminals w ill even gain further volumes. So it's a two-year horizon that, we have taken into account and we are well prepared to meet the growth not only this year but the coming year also.

Vikram Suryavanshi: Got it. So support this in dome stic growth, how is the container availability? Are we importing from China because the kind of cont ainers required for this domes tic operation will also be quite huge?

Management: So at this point of time, our container availability is sufficie nt. We had alread y built container inventory by a mix of some China imports but we also developed a local supplier. But going forward now that the suppliers are developed and Indian suppliers are capable of manufacturing containers, all the future growth or future pr ocurement of containers will come from Indian suppliers.

Vikram Suryavanshi: Got it. And last question on th e Haifa port, basically apart from the port volume, we were also looking at real estate revenue from that basically business. So how is the development happening on that side?

Management: See the real estate is actually going to be the medium term to long term plan. It was not going to come this year or the next year. So we have embarked on the journey of unlocking the value from real estate. We have started getting people on board, having initial plans, so it's going on track. But nothing was ever expected in the medium term.

Management: If you look into the presentation, the disclosures we have made at the time of acquisition of Haifa port, there it is clearly highlighted that, for any sort of real estate revenue to come through, it will easily take two years, three years. So the development will first need to happen and then only, we can start realizing the va lue of it. The current set of de velopment, which is there, is very sma

ll and there is a huge potential. So if you go through the details, you will really understand that it is primarily from the fourth year or fifth year, when the revenue or when the realizations start to creep in at a material side.

Vikram Suryavanshi: Got it, gentlemen. Thank you very much.

Moderator: Thank you. We take the next question from the line of Himanshu Porwal from Seaport Global. Please go ahead.

Himanshu Porwal: Hi, good afternoon and thank you for giving me the opportunity. A couple of questions. If you can just quickly share your current liquidity, including any bank facilities. And secondly, any fundraising plans in the year ahead, predominantly on the debt or equity side? We have had several reports about a running group of companies looking for some private placement. So if you can just throw some light on that? Thank you.

Management: Sure. See, as far as the liquidity is concerned, the total cash in the balan ce sheet as of 31, March is INR9,800 crores. And as far as fundraising plan is concerned, no, we have no sort of requirement. And we have told you in the beginning of the year that, we are in the journey of



deleveraging for this year. So that's what our current focus is. So ther e is no fresh fundraise anticipated in this year.

Himanshu Porwal: And anything on the bank facilities side? So I assu me INR9,800 crores is the cash on balance sheet, but anything on the credit facilities?

Management: No. At this point in time, we don't need any, you know, fresh loan for the purpose of meeting our plan that, we have laid out.

Himanshu Porwal: All right. So with these liquidity balances, you are comfortable along with your existing cash flow from operations to meet all your capex as well as future debt requirements, right?

Management: That's right.

Himanshu Porwal: Thank you.

Moderator: Thank you. We'll take the next question from the line of Abhishek Nigam from B&K Securities. Please go ahead.

Abhishek Nigam: Yes. Hi. Thank you so much for the opportunity again. So SEZ income, regular guidance has been about INR800 crores to INR900 crores in revenue every year. I understand maybe this year, it's kind of chunky and it was closer to about INR400 crores. So for next year, will you still guide INR800 crores to INR900 crores in revenue or is there a revision guidance?

Management: No, sir, our guidance, what guidance that we have given on revenue that takes into account only INR500 crores from SEZ. We don't expect more income coming this year.

Abhishek Nigam: Okay, fair enough. And the second question is this on Concor. So the previous call that we did, there was some level of concern that, maybe because of the evolving situation, maybe you would want to wait and maybe Concor is not really a priority. Now, in cas e that divestment goes through now, are you still in terested like you were before the enti re event, which unfo lded in the last three months?

Management: So we will evaluate, but as Muthu said, our focus is deleveraging. So we would look at priorities to bring the net debt EBITDA at 2.4, 2.5. And if we can even achieving that 2.5 guidance, if we can still manage to some how do Concor, we will do it. We will evaluate.

Abhishek Nigam: Fair enough. Thank you so much.

Moderator: Thank you. We'll take the next question from the line of Abhiram Iyer from Deutsche Bank. Please go ahead.

Abhiram Iyer: Hi, so just a quick more technical question here. But could you provide a breakup of the cash balances about INR100 billion, which is mentioned in the presentation? Because if I look through the balance sheet and, tally up the cash and bank balances on the current asset side and on the non-current asset side, these come up to around INR60 billion, INR62 billion, INR63 billion. I understand there are a few investments, but most of these seem to be investments held. So are these also classified as liq

uid investme nts held by the equity method? Are these also



looked at as an equity, as a liquid equivalent? And if so, could you please highlight, what this is about, given the high number?

Management: Yes. I'll explain, actually. See, in the balance sheet, actually, the cash balance and bank balance is sitting in different places. The first one is the bank deposit maturing over 12 months, 1553. And the next one we have is investments, which is 4029. And the next one, we have is 932, which is cash and cash equivalents. And the last one we have is bank balances other than the above, which is 3317. And all these, when there is a need, are liquid able overnight when we need.

Abhiram Iyer: Got it. And the second question is pertaining to asse ts for sale. This is still sort of maintained at around, INR194 crores, 19 billion. Given the fact that, Myanmar was already considered sold, and that's why you took the loss on valuation, what assets are these? Or is this still Myanmar because it wasn't transferred over until Q1?

Management: That is correct. That's the answer. It's only Myanmar.

Abhiram Iyer: Okay, so you took the write-down, but you didn't do the transfer. That's why, there's a difference?

Management: That’s [inaudible 0:36:45] event occurring after the balance sheet date. So we have to provide for full impact on 31, March. However, the actual entry will happen in the first quarter.

Abhiram Iyer: Understood. Thank you.

Moderator: Thank you. We take the next question from the line of Asmeeta Sidhu from MetLife Investment Management. Please go ahead.

Asmeeta Sidhu : Hi, thank you very much for getting me on agai n. I just have a follow- up for [BINCO 0:37:16], so the Adani container terminal. Could you just give us a brief update on how the utilization at the container has been, and if po ssible, what the export-import and the time shipment split has been for the container terminal over the last 12 months?

Management: So the capacity of Adani International Container Terminal is roughly 3 million TUs. We are running at 80% capacity utilization over there. And roughly, time shipment volume over there is 20% of the volume, and balance is EXIM. And in EXIM, it is quite balanced in terms of import and export.

Asmeeta Sidhu : All right. Thank you very much. I'll come back in queue.

Moderator: Thank you. We take the next question from the line of Nikhil from Alliance Bernstein. Please go ahead.

Nikhil: Hi, thank you for the opportunity. Just wanted to check if there is any update on Vizhinjam and the Sri Lanka terminal?

Management: Sure. On Vizhinjam, we expect the first vessel to berth in October of this year. That's when we expect the first equipment to come. We expect the first phase I, that is 400 meters, to be



commissioned by March of 2024. And the balance by May of 2024. So we expect the full commissioning of Vizhinjam port by May of 2024.

In terms of Colombo, we have completed the reclamation of the terminal, and the construction, the jetty construction has just commenced. We expect Colombo terminal to be commissioned by December of 2024, which is again phase I of almost one kilometer.

Nikhil: Good to hear the progress. The second question I had was on Mundra container handling capacity. As you mentioned, it's 80% of the utilization. Expansion plans on that front, if you could share some color on that Mundra container handling expansion?
Management: Yes, I just want to clarify, the earlier question was related to one of the terminals. It was not as overall Mundra port. So Mundra port capacity utilization on cont ainer is 70%. And we are in midst of expanding one of our terminals, which is terminal two. And right now, it is half a million TU capacity, where we are taking up to 1.2 million. And that's basically just addition of the addition of equipme

nt that we are doing over there. And we expect this should be able to take us at least in terms of growth for the next two years.
Nikhil: One last question, if I may. So on the Mundra concession beyond 2031, has there been any updates from the Gujarat government or is status quo as last time?
Management: No, it is status quo as same as last time.
Nikhil: Thank you so much.
Moderator: Thank you. We take the next question from the line of Bharani Vijay Kumar from Avendus Spark. Please go ahead.
Bharani Kumar: Yes, good evening. Can you highlight the potential in terms of volumes and say in profitability or revenue from Karaikal port in FY 24?
Management: Yes, so as I said, Karaikal we expect between 8 million and 12 million is what we are looking at in terms of volume. It is predominantly a bulk port right now, where it is predominantly coastal coal as well as the cooking coal and fertilizer, which is coming in. Roughly, the EBITDA over there is close to INR300 crores is what the po rt makes as an EBITDA, INR300 crores between INR300 crores to INR350 crores.
Bharani Kumar: So this effort would be consolidated from the beginning of FY ‘24 itself?
Management: Yes, that is right.
Bharani Kumar: Okay, that is it from my side. Thank you.
Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question-and-answer session. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.


Charanjit Singh: Thanks again for taking out the time for this ca ll. I know that there wasn’t sufficient time for you all to look at the presentation and the results. So feel free to reach out to me for any queries that you may have. We are available all times. So as late in the night, whenever you want to call, feel free and we will answer all your questions.
Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Nuvama Wealth Management, that concludes this conference call. Thank you for joining with us. We will now disconnect the lines.

# Call: Aug 2023

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CIN: L63090GJ1998PLC034182

Ref No: APSEZL/SECT/2023-24/53
August 14, 2023
BSE Limited
Floor 25, P J Towers, Dalal Street, Mumbai – 400 001 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai – 400 051
Scrip Code: 532921 Scrip Code: ADANIPORTS

Sub: Transcript of Earnings Call pertaini ng to the Unaudited Financial Results of the Company.
Dear Sir/Madam, In continuation to our intimation dated August 8, 2023, please find below web link of transcript of the Earnings Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended 30th June, 2023 held on August 8, 2023. Web link to access above transcript is as under:
https://www.adaniports.com/-/media/Project/Ports/Investor/Transcripts/Q1-FY24-Earnings-call-transcript.pdf

The said transcript is also attached.

Kindly take the same on your records. Thanking you,

Yours faithfully, For Adani Ports and Special Economic Zone Limited Kamlesh Bhagia
Company Secretary
Encl.: As above


"Adani Ports and Special Economic Zone Limited
Q1 FY2024 Earnings Conference Call"

August 08, 2023

ANALYST : MR. MOHIT KUMAR – ICICI SECURITIES

MANAGEMENT : MR. KARAN ADANI - CEO AND WHOLE -TIME DIRECTOR - ADANI PORTS AND SPECIAL ECONOMIC ZONE LIMITED
MR. SUBRATA TRIPATHY - CEO - PORTS BUSINESS - ADANI PORTS AND SPECIAL ECONOMIC ZONE LIMITED
MR. SUSHANT KUMAR MISHRA - CEO - ADANI LOGISTICS
MR. D MUTHUKUMARAN – CFO - ADANI PORTS AND SPECIAL ECONOMIC ZONE LIMITED
MR. CHARANJIT SINGH - HEAD OF INVESTOR RELATIONS - ADANI PORTS AND SPECIAL ECONOMIC ZONE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Adani Ports & SEZ Limited Q1 FY2023 Earnings Conference Call hosted by ICICI Securities. As a reminder, all partici pant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you and over to you, sir.
Mohit Kumar : Thank you Aman. I welcome you all to the Q1 FY2024 Earnings Con Call of Adani P ort & SEZ. Today we have with us Mr. Karan Adani, CEO and Whole -Time Director, Mr. Subrata Tripathy, CEO of Ports Business; Mr. Sushant Kumar Mishra, CEO, Adani Logistics; Mr. D Muthukumaran, CFO of Adani ports, and Mr. Charanjit Singh, Head of Investor Re lations and ESG. We will start with a brief opening remarks by the management team post which will open the open it up for Q&A. Without much delay, I would hand over the call to Mr. Charanjit Singh. Over to you Sir.
Charanjit Singh : Thank you Mohit and goo d evening, everyone and warm welcome and thanks for taking out the time to join our call. Our template for the call will be like the previous calls. We will start with the remarks from the CEO and then we will directly go into Q&A. Please keep in mind that for any group related questions or any other company, you can reach out to me directly after this call and on the call the focus will be entirely on APSEZ. So, without taking much time, I will request Mr. Karan Adani to provide the highlights for Q1 FY202 4. Over to you Karan.
Karan Adani : Thank you Charanjit. Good evening, everybody and welcome to the Q1 FY2024 conference call to discuss the operational and financial performance of APSEZ. I am pleased to announce that APSEZ has delivered its strongest ever quarterly operating performance in Q1 of FY2024 with record quarterly cargo volumes, revenue and EBITDA and PAT despite our operational being adversely impacted for around six days due to cyclone Biparjoy at three of our ports in Gujarat that represents o ver 50% of APSEZ's cargo handling capacity. Starting with financials, APSEZ delivered a record quarterly operating revenue of Rs.6248 Crores implying 24% year on year growth. EBITDA including forex impact was at Rs.3765 Crores implying 80% year on year gro wth, on like -to-like basis. EBITDA excluding forex impact was at Rs.3754 Crores implying 14% year on year growth on like -to-like basis. The ports EBITDA margin for the quarter is 72%, reflecting 150 basis points year on year increase. The EBITDA margin of logistics business also observed a 150 basis points increase to jump to 28%. This is higher than the listed peers in India. The profit after tax for the quarter increased by 80% year on year to Rs.2119 Crores.



Moving to operational highlights, starting wi th our ports business we achieved a record cargo throughput of 101.4 million metric tonnes, reflecting a 12% year on year growth. Within India, our cargo volumes grew by 8%, which is around three times the countries cargo growth rate for the quarter. The r obust growth has resulted in APSEZ market share increasing by 200 basis points to 26% during the quarter. Mundra continues to be the largest container handling port of India with 1.72 million TUs managed during the quarter. This is 12% higher than its closest competitor. Three of our ports, Krishnapatnam, Dhamra, and Tuna recorded their highest ever quarterly volumes during this quarter. Our newly acquired assets, Haifa port and Karaikal port have ramped up well with monthly cargo v

olumes now touching 1 mil lion metric tonne mark at both these ports. Our flagship port Mundra, cognizant of the growing container cargo demand is adding capacity in advance. A new berth T3 with a capacity of 0.8 million TUs is set to be commissioned in Q3 of the current financial year to augment container rail handling capacity, five new lines are being added that will increase the cargo handling capacity by over 30%. During the current financial year, we are also targeting the commissioning of India's largest transshipment port at Vizhinjam. Moving to operational performance of logistics business, our overall rail volumes recorded a healthy growth of 18% year on year to 131,420 TUs. The bulk cargo transported also increased by a strong 40% year on year to 4.35 million metric tonnes . To enable our logistics business growth, we are adding more trains. During the quarter, two trains were added, taking the total count of train to 95. This includes 43 container trains and 42 bulk trains. Orders are already placed for another 13 bulk trai ns and 24 container trains. Alongside, we continue to increase the count of multimodal logistics path. By the end of the current financial year, we are targeting for MMLP count of 12 with the commissioning of ICD in Virochannager , Loni, and Valvada. Finall y, the guidance of FY2024 with cargo volume of 100 plus million metric tonne in Q1

we are confident of meeting our cargo volume and financial guidance for FY2024 provided
in May at the time of full year results. We can now open the forum for Q&A.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore : Good evening. Thanks for the opportunity. It is good to see a strong quarterly performance by Adani Ports. My first question is in FY2022 end your warehousing capacity was 0.8
million square feet and so far till Q1 FY2024 you are at about 1.6 million square feet how
will the ramp up to 60 million square feet is phased out and what w ill be the associated capex?
Karan Adani : So, we have roughly as of right now 5 million square feet under construction. We would be looking to add roughly 10 million square feet every year in order to reach that target.
Sumit Kishore : And what will be the associated capex production?

Karan Adani : So, this year's capex guidance already takes into account the 5 million square feet and for the remaining we would look at roughly Rs.1800 to 2000 per square feet as a ballpark figure to
compute the capex.
Sumit Ki shore : My second question is also in logistics. Could you help disaggregate the logistics rail volumes of 131,420 into exim and domestic and basically what has been the here on volume growth?
Is the exim imbalance situation expected to improve for rail con tainer business in the balance
fiscal?
Karan Adani : Roughly 90% of our volume is exim, 10% is domestic and we mainly run Mundra and Patli and Kila Raipur as the circuits and we have a very balanced route right now. We do not see
any imbalance as an issue. In essence, we have actually seen more efficiencies coming in
with the double stack counts increasing and especially with the DFC getting commissioned,
we have seen the efficiency factors improving significantly.
Sumit Kishore : Okay so the volume growth of high teens or 20% that we see is showing up in your exim volume growth mainly that would be right to conclude.
Karan Adani : Yes, that is right.
Sumit Kishore : You are clearly gaining market share in your Mundra to North India route as of now because your competitors do not seem to be showing similar growth in exim is that right to conclude?
Karan Adani : That is right to conclude.
Sumit Kishore : Thank you and wis h you all the best.
Moderator : Thank you.

The next question is from the line of Abhiram Iyer from Deutsche Bank. Please
go ahead.
Abhiram Iyer : Hi, thanks for taking my question and congrats on a fantastic set of results. My question is basically a bit ope rational, but can you provide what the debt and cash numbers were at the
end of the quarter?
Muthukumaran : The total gross debt is 48,800 Crores and cash is 9 ,800 Crores so total net debt is around 39,000 Crores.
Abhiram Iyer : 40,800 and 9800, right?
Karan Adani : Sorry the gross debt is 48,800 Crores and cash is 9,800 Crores . So yes, Net debt is around 39,000 Crores.

Abhiram Iyer : Understood and this gross debt is inclusive of the short -term debt as well. So effectively we see the sequential drop, small tow n?
Muthukumaran : Absolutely next to nothing short term debt, but it includes that.
Abhiram Iyer : Got it. Thanks. I will get back in the queue.
Moderator : Thank you. The next question is from the line of Achal Lohade from JM Financial. Please go ahead.
Achal Lohade : Yes, good evening. Thank you for the opportunity. The first question I had was we have touched 100 million tonnes plus in this quarter and I see that we are still maintaining 370 to
390 guidance can you help us understand, are you expe cting any decline from here on or we
have been bit more extra conservatory out here, any particular cargo or port where you see
pressure on the volumes?
Karan Adani : So far, we have not seen any pressures in the volume. You would have seen the July number also reflects the similar sort of growth that we are continuing so we do not foresee any
slowdown as of right now.
Achal Lohade : So, in that case Karan how do we explain 370 -390? If I simply analyze 100 million it crosses actually 400 million mark for FY20 24.
Karan Adani : Achal we cannot be changing the guidance on a quarterly basis, right? Some plus some

minuses can happen, right. So, we continue to grow. So, we are optimistic at the right point in time we might like to change the guidance, but not at this point in time.
Achal Lohade : Understood. Second question I had if you look at Krishnapatnam the margins have improved fairly significantly so can you help us understand the measures which are driving this margin improvement and the sustainability of this? Is there any one off in any of the other ports as well where the particular cargo or particular receipt is helping boosting the margins?
Charanjit Singh : No, there is no one off in any of the port items at any places. It is a clear reflection of the volum es which you see. So, the port has recorded the highest ever quarterly volumes and that is the reason for improved margins.
Achal Lohade : Understood. If I may ask, the impact of this cyclone, you said six days kind of impacted our capacity so is there any way to estimate what is the impact in terms of revenue loss or the margins?
Karan Adani : We lost 2 million tonnes of handling volume because of the cyclone.

Achal Lohade : And would that be covered in this quarter or that has gone for good?
Karan Adani : Sorry covered meaning.
Achal Lohade : I mean effectively that gets pushed in the following days and the quarter so will this be covered or compensated in the second quarter volume?
Karan Adani : I mean directionally yes, but accurate number prediction will be difficult, but directionally yes because some volume of cargo that actually did not show up may show up in the next quarters.
Achal Lohade : Got it. Thank you. I will fall back in the queue. Thank you.
Moderator : Thank you. The next question is from the li ne of Parag Jain from HSBC Hong Kong. Please go ahead.
Parag Jain : Thank you. Hi Karan. I have two questions. First can you talk a bit about how has been

boarding of Haifa been to your portfolio and after initial feeding issue what sort of margin shall we model as we exit from this financial year on a steady state basis? And secondly, with Vizhinjam commencing by the end of this year. Any timeline for the Colombo p ort and both of those ports combining to port combining together will you be looking to diverse say at a terminal level to any of your anchor customers or how would be the strategy to gain a sizable transshipment volume from the get go?
Karan Adani : On the Colombo, we expect phase one of Colombo to be commissioned by December of 2024. As you know we already have partners over there. We have John Keells and Sri Lankan Port Authority has partner, so we are not looking at divestment of any equity over there. W e do expect that there is enough volume over there in order to fill up the terminal. In terms of Vizhinjam we have our first lot of cranes coming in October of this year and we expect commissioning to be done by March of 2024. We expect phase one to be com missioned. Even over there as of right now we are not looking to diverse any equity we have enough interest from shipping lines to make to this as a hub and we are looking at being more on cost competitive in that region that is how we are looking at it.
In terms of Haifa the on boarding has been good. We are still going through some of the integration. We have appointed a new CEO over there and we have also changed the board. We are right now in the midst of negotiation with the unions to reduce some of t he manpower over there to go through the VRS scheme as you know that 80% of the cost or their operating cost is manpower cost and that is reflecting in the EBITDA margin. We are confident that we will be able to settle with the union by December of this ye ar. Once done, we will see good

growth; I mean improvement in the margins from there onwards. In terms of volume, we are very happy with the volume growth. We are clocking 1 million tonne per month in Haifa, and we have gained some of the cargo which the p ort had lost when they were doing the divestment. So, we are very confident that by end of this financial year we would be clocking anything between 12 to 14 million tonnes of cargo in Haifa.
Parag Jain : And your suggested margin probably will be or is the re any numbers in mind?
Karan Adani : It is hard to give you exactly what will be the margins because it will all depend on what we are able to negotiate with the unions. I think we will be able to give you an accurate number in December in terms of what wi ll be ongoing margins over there.
Parag Jain : Thank you and have a wonderful day.
Moderator : The next question is from the line of Shabad Thadani from Arkkan Capital. Please go ahead.
Shabad Thadani : Hi congrats on a very strong set of numbers. I guess this question is from a fixed income perspective. The company had announced a tender for Adani Ports I think back in April and

the messaging then was that they would continue to do so every three months I guess leading up to the maturity next July so is that still part of the plans because I guess we have gone through July 2023 without any incremental announcements.
Karan Adani : As you know that our plan which we have communicated to all the investor is that by March of 2024, we want to have our net d ebt EBITDA around 2.5 X as part of it we would look at strategically when to come out and do the repayments of the June bonds as well. So that is still on cards. I think the timing of it we will keep it open in terms of to look at it opportunistically when would be the right time to do it.
Shabad Thadani : Understood. Okay great thank you very much.
Moderator : Thank you. The next question is from the line of Asmeeta Sidhu from MetLife Investment Management. Please go ahead.
Asmeeta Sidhu :

Hi thank you manage ment and congrats on your results. I just have a quick question actually regarding your SEZ goals, so I noticed on slide 34 that your current renewable energy share is at 14% versus your 2025 target of 100%. Could we just get an idea how the ramp up will go from 40% to 100% in the next 18 months. Thank you.
Karan Adani: We are currently in implementation of 250 megawatts of renewable energy, which we expect to be commissioned by April 2024. The 250 megawatts we would be reaching roughly 90% of the renewable share.

Asmeeta Sidhu : That is great. Thank you very much and have a good evening.
Moderator : Thank you. The next question is from the line of Atul Tiwari from Citigroup. Please go ahead.
Atul Tiwari : Sir basically for the container logistics on the exim s ide you what would be your current market share?
Karan Adani: Current market share from a port perspective or overall exim volume.
Atul Tiwari : In terms of the overall exim volume, the number of containers that you have handled on your rail versus the tota l industry.
Karan Adani: To be honest Atul we do not track on the Pan India basis because that most of our circuits that we run are Mundra to North India as of right now and from Tuna to JNPT or Tuna to Hazira . I can tell you that from Mundra perspective A LS market share from all these rail volume moving out of Mundra is roughly at around 13 to 14% but for Pan India basis let me come back to you and the team can give you offline that number.
Atul Tiwari : And obviously you mentioned that 24 trains you have o rdered on the container side. So, it looks like that you continue to expect pretty strong growth on that side of the business over next two to three years. I mean what kind of volume growth should we pencil in?
Karan Adani: We would look at similar growth that what we have been achieving in the last three years. If you have seen in the last three years, we have been consistently growing at anything between 20 to 25% so we are very confident of achieving those, continuing with that sort of target as you know that we have commissioned the ICD in Nagpur. So that will be a completely new area for us where we will be gaining market share. We would be starting I mean by March of next year we would be starting our ICD in Ahmedabad so that will be again a new market share that we will be taking. What we have planned is the rates coming in with the assets that we are adding and getting commissioned and with that we are very confident that 20 to 25% growth in rail volume will continue.
Atul Tiwari : Great. Thanks a lot.
Moderator : Thank you. The next question is from the line of Vishal from Silverdale. Please go ahead.
Vishal : Thanks, and good evening, Karan. Just one question I think on the cash level, what I heard was that the cash at the end of the quarter was about 9 000 Crores but if I look at the covenant calculation on the last page of your financial statements, the cash mentioned is about 3700 Crores so could you be able to reconcile what is the difference in those two numbers that is

one and second, how much of th is cash is restricted versus unrestricted and how much of the cash is at the Haifa port that could be useful? Thank you.
Muthukumaran : See the difference between the 9800 Crores that we told you versus what you see in the annexure is consolidated versus st andalone. The one in the annexure is standalone which is the requirement under the LODR to actually separately file the governance against the NCDs as outstanding so that is it and all the cash is actually NCD .
Moderator : We move to the next question that is from the line of Abhiram Iyer from Deutsche Bank. Please go ahead.
Abhiram Iyer : Hi thanks for the follow

up opportunity. My question is a bit medium term as there has been any talks conducted with the Gujarat Maritime both on extending Mundra ports concession, there are few news reports last year, but been no updates beyond that or is it too early to sort of think about that at the moment from the company's perspective?

Karan Adani: As we have been mentioning we are touch with Gujarat government to come out with a policy, it is not just Mundra port but all the private parts which are o perated in the state of Gujarat. The government is formulating a policy. We are hopeful that we should be able to hear something soon, but as of right now there is no new update to give on that.

Abhiram Iyer : Got it and does the company has any expectation s on when this might be this year, next year with the elections coming up obviously that might take a backseat, but any expectations from the company?

Karan Adani: As long as we get clarity that is more than important.

Abhiram Iyer : Fair enough thank you.

Moderator : Thank you. The next question is from the line of Pulkit from Goldman Sachs. Please go ahead.

Pulkit : Thank you for taking my questions. I have two questions. First is as part of your annual report in the three pillars of growth, you talk about b uilding port interest outside of India and this is through acquisitions. Could you highlight what are the key things that we look for when we are looking at these ports outside India given that we already have two assets under either construction or operat ions for us so that is my question one.

Karan Adani: I think what we look for outside India obviously first is efficacy, returns have to be same as India if not more. Second, we look at what kind of partners we are getting. If we are getting a good partner , then only we would be entering as you have seen in the last two investments, we have local partners over there. The third we would obviously look at what is the size of





the market share that we can get by investing in that region and unless it is not a s ignificant market share that would not be of interest. If you can see in Haifa itself 50% of countries volume moves through Haifa port so that is a significant presence that we can have and obviously the last one is how it can benefit by having a position from our existing, how can it value add into our existing portfolio this is more of a longer term, longer strategic direction, not short term or a medium term.

Pulkit : It will be only an operation port, or we could look at doing Greenfield ports also outside India.

Karan Adani: It will be operational ports, even it is Greenfield it would be more like a terminal like what we are doing in Colombo which is more in a controlled environment. We would not be doing a full -fledged Greenfield outside India.

Pulkit: Second question is while Charanjit did highlight that you do not want to be coming in the first quarter and changing your guidance, but is it also because of the fact that we are seeing these export ban for food products from India as well as some of the global shipping lines have issued profit warnings or volume warning, is that something that is also factored in, which is why despite doing such great volumes in the first four months, you are holding back on increasing your guidance?

Karan Adani: We a re bullish on India. We are bullish on the trade. As you know that we are multi commodity so as part of our de -risking, we do not rely only on container or only on coal and that is the strength of the company that if we are seeing a slowdown in one part we are able to ramp up quickly on the other part of the cargo segment and also with geographical diversification we are also de -risking from just one particular pockets of the country. So, I think it is nothing to do with that we are cautious, but I think as Charanji

t said that it would be not prudent to change right now and maybe in October we would be able to give a better guidance if we have to change.

Pulkit : Got it thank you for those answers.

Moderator : Thank you. The next question is from the line of N ikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar : Thank you for the opportunity and congrats on a good set of numbers. Sir I just one question. Sir the realizations for Q1 are down on Y -o-Y and Q -o-Q basis is it purely because of th e mix and have we taken the price hikes for the year?

Muthukumaran : You are right, actually it is about couple of percentage reduction, but it is by and large because of the mix but the important number to note is actually the port EBITDA which actually is at





72% and also in absolute terms the EBITDA has grown as well so you are absolutely right, it is mix.

Nikhil Abhyankar : Okay and Sir have we taken the price hikes for FY2024?

Muthukumaran : Yes, we have taken.
Karan Adani: We will see the full effect of p rice hike from July onwards.
Nikhil Abhyankar : Because if you can quantify the price hike or blended.
Karan Adani: As you know that we keep guiding, it is around 2.5% of our total per tonne revenue.
Nikhil Abhyankar : Okay Sir. Thank you. That is all from m e.
Moderator : Thank you. The next question is from the line of Nikhil Nigania from Alliance Bernstein. Please go ahead.
Nikhil Nigania : Hi thank you for taking my question. I just have one question. So good to see strong set of numbers in the first quarter on volumes, but just on a longer guidance on 500 million tonnes in FY2025, now that most of the inorganic growth seems behind Krishnapatnam, Gangavaram, Karaikal, Haifa. Apart from Vizhinjam what else is maybe under evaluation or something in mind to help us get close to that kind of the 500 million tonne next fiscal.
Karan Adani: No 500 million tonne is predominantly from our existing assets and obviously it also takes into account Colombo as well as Vizhinjam coming online fully which itself would add roughly if I am not wrong 25 to 30 million tonnes of volume additionally, but this is predominantly from our existing portfolio and existing assets and also what is more important is that we would still hit our revenue and EBITDA targets even if we are a lit tle bit short of the 500 in case if we do, but we will still achieve the guidance of revenue and EBITDA.
Nikhil Nigania : Got it thank you. Just one follow up to that so on the inorganic front, is the company finding it a bit challenging now to use that lev er given there are not too many opportunities left in India per se?
Karan Adani: As you know that between FY2028 and lot of FY2030 lot of concessions will come up for renewal so that will give us another opportunity of growth and yes but otherwise we would look at expanding our existing portfolio and we would look at increasing our portfolio as a transport utility over there.
Karan Adani: Understood. That is very helpful. Thank you.

Moderator : The next question is from the line of Achal Lohade from JM Financial. Please go ahead.
Achal Lohade : Thank you for the follow up. Just wanted to clarify with respect to your capex guidance is there anything new which is building in this capex, or it is the same capital allocation what you had talked about in terms of ports earlier in the overall capex number of 4500 Crores?
Karan Adani: Right now, there is no change in our capex guidance. We are still well within our guided range of 4500 to 5000 there is no change on that.
Achal Lohade : Got it and any update on the Dighi port where we are, what is the plan here from next three to five years effective?
Karan Adani: So, as you know that w

e are working on the railway line to connect. We have got the approval from the Maharashtra government and the land acquisition is u nder way right now. A lot of work to be done in terms of rejuvenating the existing jetties and the backup area, so we are working on that. The road connectivity which was also an issue we have used this year to finish that. We got four lane road connectivi ty all the way to the port, and we are confident that we will be able to create an alternate to JNPT at Dighi.
Achal Lohade : Is there any capex guidance you can provide in this case for next three to four years at Dighi port.
Karan Adani: It will be hard t o give you a port -by-port guidance. I think what we give as an overall guidance that includes all of these things.
Achal Lohade : Understood and just one clarification with respect to, in the PPT you have talked about the Marina flotilla is that the harbour business, because the number in terms of the increase in the equipments is substantially increase so any reason for that.
Karan Adani: So that is tug business that is the Ocean Sparkle business and the harbor business that is right. That predominant incr ease is because of Ocean Sparkle acquisition which we did last year.
Achal Lohade : Got it. Thank you. That is all from my end. Thank you.
Moderator : The next question is from the line of Yunyun Bai from Barings. Please go ahead.
Yunyun Bai : I have two quick questions. One is about your secured debt. I think if I remember correctly, you have about 20% of the secured debt and you said you are going to repay them over time in financial year 2024 can you give us an update on this?

Muthukumaran : Can you repe at the question? I did not quite catch the question. You are asking for secured debt?
Yunyun Bai : Yes.

Muthukumaran : No not our bonds are secured. We are all unsecured. The only secured debt we have is actually the domestic bonds, which is actually debentu res, which is also winning, which is today at 6000 Crores round number, approximate number.
Yunyun Bai : 6000 Crores.
Muthukumaran : 6000 Crores at the end of the year.
Yunyun Bai : Okay thank you and also how about share pledge. I think the share price is st ill about 4,5%. What is the level now?
Muthukumaran : This share pledge actually is secondary collateral for operating assets. There are no loans outstanding and all these share pledges, you are asking about promoter level share pledge right.
Yunyun Bai : I am asking about the promoter share pledge.
Muthukumaran : Yes, that is actually a secondary and there are no loan outstanding at the promoter level as we speak.
Yunyun Bai : Okay thanks for the update.
Moderator : Thank you. The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia : Thank you for the opportunity and congratulations for a very strong set of results. My question relates to CONCOR. The question was with every year of deferment of privatization and y ou kind of gearing your own business does the attractiveness of CONCOR for you come down over time?
Karan Adani : Directionally, yes, but we will keep evaluating it.
Aditya Mongia : What I am suggesting is that in case in FY2025 the privatization were to happen do we believe that given our own kind of criteria of where we want to have leverage, what kind of capex we will be having, we would be able to give it a decent shot.

Karan Adan i: Yes, we would find a way to do it.
Karan Adani: If you the asset is interesting, we will find a financing situation, but a broad leverage level of the long term is what we have given you the guidance.
Aditya Mongia : Understood and just a second question , anything specific that you would want to share abo

ut
let us say recent news on Tanzania and Adani ports acquiring assets over there?
Company Speaker: So, Tanzania we are currently doing operating and maintenance, so anything else we will actually update you?
Karan Adani : Right now, there is nothing else to update. Right now, we are just doing O&M. At an appropriate time, we would if there is anything else.
Aditya Mongia : And just lastly, let us say a billion tonnes by 2030 is a more longer -term target tha t you have spoken about. Have you become the largest port operator over time? How much you envisage would be the share of overseas within that?
Karan Adani : Roughly not more than 10 to 15%.
Aditya Mongia : Understood and very clear. Thank you those where my questions.
Moderator : Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference back to the management for their closing remarks. Thank you and over to you.
Charanjit Singh : So, thank you very much for joinin g the call. Looking forward to have you again back on the call in the month of October when we will give our half yearly results thank you and good day.
Moderator : Thank you very much. Ladies and gentlemen, on behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: Nov 2023



"Adani Ports and SEZ Limited
Q2 FY'24 Conference Call "
November 09 , 202 3

MANAGEMENT : MR. KARAN ADANI – CHIEF EXECUTIVE OFFICER AND
WHOLE -TIME DIRECTOR – ADANI PORTS AND SEZ
LIMITED
MR. SUBRATA TRIPATHY – CHIEF EXECUTIVE
OFFICER OF PORTS BUSINESS – ADANI PORTS AND SEZ
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MR. SUSHANT KUMAR MISHRA – CHIEF EXECUTIVE
OFFICER – ADANI LOGISTICS
MR. D. MUTHUKUMARAN – CHIEF FINANCIAL
OFFICER – ADANI PORTS AND SEZ LIMITED
MR. CHARANJIT SINGH – HEAD OF INVESTOR
RELATIONS AND ESG – ADANI PORTS AND SEZ
LIMITED

MODER ATOR : MR. RAJARSHI MAITRA -- INCRED EQUITIES



Moderator: Ladies and gentlemen, good day, and welcome to Adani Ports Q2 FY '24 Earnings Conference Call hosted by InCred Equities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rajarshi Maitra from InCred Equities. Thank you, and over to you, sir.
Rajarshi Maitra: Thank you, Yusuf. I welcome you all to the Q2 and first half of FY '24 Earnings Conference Call of Adani Ports and SEZ Limited. Today, we have with us Mr. Karan Adani, CEO and Whole Time Director; Mr. Subrat a Tripathy, CEO of the Ports business; Mr. Sushant Kumar Mishra, CEO, Adani Logistics; and Mr. D. Muthukumaran, CFO of Adani Ports; and Mr. Charanjit Singh, Head of Investor Relations and ESG.
Without any delay, I would hand over the call to Mr. Charanjit Singh. Over to you, sir.
Charanjit Singh: So thank you, Rajarshi. Good evening, everyone, and thanks for taking out the time for this call. Without any delay, I'll request Mr. Karan Adani to share his opening remarks. And thereafter, we will open the line for Q&A.
So over to you, Karan bhai.
Karan Adani: Thank you, CJ. Good evening, everyone, and welcome to half year FY '24 conference call to discuss the operational and financial performance of APSEZ. APSEZ delivered its strongest ever half yearly result with record cargo volumes, revenue and EBITDA. The m omentum has continued in October month as well with APSEZ recording its lifetime high monthly volume of 37 million metric tonnes.
Starting with financials. Operating revenue for half year ended September '23 was at INR 12,894 crores, which is a good 26% year-on-year growth. EBITDA after factoring the forex impact is INR7,429 crores, which is a good 49% year-on- year growth. Given our focus on improving operational efficiency, port EBITDA margins in H1 expanded by 220 basis points year-on-year to reach 72%, while EBITDA margins of our logistics business stood at 29% best a mongst the domestic peer group.
As you may recall that at the beginning of FY '24, APSEZ announced its intention to repay INR5,000 crores of loans. Thereafter, we launched our bond buyback program, The first tranche

of $130 million bond buyback was completed in month of May. And the second tranche of $195 million buyback was concluded in the month of October. As a result, our net debt as of 30th September declined to INR 38,696 crores versus net debt of INR 39,989 crores on March 31, '23.
Consequently, our net debt -to-EBITDA ratio has improved to 2.8x from 3.1x as on March '23.


I would also like to share an update on our port in Sri Lanka. The port has now received a funding commitment of $553 million from U.S. International Development Finance Corporation.
Moving to operational highlights, starting with ports business. APSEZ recorded a healthy 14% year-on-year increase in cargo handling volume at 203 million metric tonnes. The growth was reported across all 3 major cargo categories, with dry bulk registering a 10% year -on-year growth; liquids, 21% year-on-year; and container, 18% year-on-year. Eight of our ports recorded their highest ever half yearly volume during H1.
Mundra, our flagship port, recorded 3.6 million TEUs, which is 15% higher than its closest competition. In October, Mundra achieved another milestone by recording 16 million metric tonnes of cargo volume, which is the highest ever monthly cargo volume hand led by any port in India. Our Haifa Port in Israel did around 6.3 million metric tonne of cargo in H1 and has handled around 1.1

million metric tonne of cargo in the month of October.
Moving to operational performance of Logistics business. During the period under review, we commissioned the Loni ICD, taking the total count of MMLPs to 10. We have added warehouses at Indore and Mumbai, thereby taking the total warehousing capacity to 2. 4 million square feet.
We have also added 11 rakes to our existing fleet, thereby taking the total count of rakes to 104 as of September end.
While we added assets to our logistics portfolio, we also improved the utilization of existing assets. As a result, our rail volumes increased by 25% year -on-year to 2,79,177 TEUs, while our GPWIS volumes that is the bulk volumes increased by 42% year- on-year to 8.92 million metric tonnes.
Finally, on FY '24 guidance. With a record cargo volume of 240 million metric tonne during the initial 7 months of FY '24, APSEZ is well positioned to achieve its full year revenue, EBITDA guidance on the higher end. We can now open the forum for Q&A.
Moderator: The first question is from the line of Abhiram Iyer from Deutsche Bank.
Abhiram Iyer : Congrats on a good set of numbers. So my first question was to do with the Colombo port as well as the West Bengal greenfield project. What's the time line for these? How are you sort of putting in capex for these going forward in FY '24 -- sorry, FY '25 and FY '26?
And the second question was primarily on the guidance. Again, I believe you may have addressed this last time around, but any particular reason why the guidance still remains the same despite sort of outperformance at the half yearly mark? Are we expecting a slowdown into the second half? Or this is more of the company being prudent and cautious in their outlook?
Karan Adani: So on the Colombo port, we expect commissioning and operationalizing of Phase 1 by December of 2024. Now we have already given our -- the capex is already included in our capex guidance.
So it does not -- there's no top-up on that. As you know, in Colombo port, we have a JV partner as well, where we have 51%, 49% are other 2 partners, SLPA and John Keells. So they bring in their respective equity into that project as well.


On West Bengal Tajpur port, we are still waiting for a letter of award, LOA. We have received the letter of intent. We are waiting for LOA to come. Once we get, it will be 18 to 24 months before we start any construction over there since we have to go through the EC, environment clearance, as well as groundwork over there. On guidance, as I said, we have given the guidance at the start of the year. We maintained that we would be looking at the higher end of our guidance in terms of what we will achieve.
Abhiram Iyer : And just a follow -up on the first part. You mentioned that -- again, this is a JV with your equity partner who will be putting in equity as well. So broadly from the company's perspective, given the funding of around $550 million available, and I believe the total cost you mentioned would have -- was $750 million. So roughly $100 million outflow from the company's perspective, right, which is already included in the capex ?
Karan Adani: That's right.
Moderator: Next question is from the line of Imtiaz Shefuddin from Barclays.
Imtiaz Shefuddin: Congrats on the excellent performance in the first half. I have a couple of questions. The first one, would you be able to provide an update on your Haifa operations post the closure of your

second quarter numbers? And any impact from the ongoing tensions in the Middle East? Or any changes to your guidance?
Karan Adani: Sure. So as you know that the conflict is on the southern part of Israel, and Haifa Port is on the northern part of the country. Right now, we have not seen any slowdown in traffic. Incidentally
we have done -- as I said, in month of October, we have done 1.1 million metric tonne, which is wh

at we have been doing in the last 6 months as well, so roughly 1 million tonne per month.
We are seeing actually an increase in traffic in Haifa because the second largest port, Ashdod port, has been closed for commercial operations since the conflict. So we are seeing a lot of
diversion of traffic happening into Haifa Port. And we will continue to see similar strong volumes in the coming months as well. We have prepared our -- our teams are prepared well on the ground in order to handle the extra volume. So whether it's a backup area as well as the extra storage, whatever is needed. So on that front, we are on target.
Imtiaz Shefuddin: Great. Secondly, my second question is on the Myanmar project. You revised down the sales price from $260 million to $30 million in May and took a $155 million impairment loss. Can you just provide some color on this transaction and why the big revision?
D. Muthukumaran: This is Muthukumaran. The reason why actually we sold the asset at that point in time is because we have been pursuing an opportunity to either commission the project or actually sell it as soon as possible. So we haven't been able to complete the project. So we had to sell the project on an as is where is basis. And as we have mentioned in the press release at the time of transaction, we have to identify a party who will buy it with all that inventory to complete the transaction and construction and as well as actually wait for the business environment to turn normal in Myanmar.


So considering these two, wherein there we had to actually do a transaction at a price that we have done. And we had actually signed term sheet under transaction with the party prior to we actually selling at this time. And we actually couldn't complete th e earlier transaction because we couldn't complete the CPs, which is around construction of the project as well as approval from the concerned government to sell.
Imtiaz Shefuddin: Understood. Okay. If I can just throw in a quick third question on your capex . In the first half, I believe the total was something like INR38 billion. That's more than half of your INR 45 billion guidance for full year FY '24. Any revision in your full year guidance then?
D. Muthukumaran: See, it relates to the very first question that came up on the call, this INR 3,800 crores is the gross, which includes the capital expenditure for Sri Lanka. Our INR4,500 crores was only the equity contribution. That is one part. And as far as the second part is concerned, our capex is configured such that we will end the year with what we promised as a primary target of leverage at around 2.5x, and we will also have a cash balance of INR 8,000 crores. So those numbers have been changed, so we continue to shoot for that.
Moderator: Next question is from the line of Asmeeta Sidhu from MetLife Investment Management.
Asmeeta Sidhu: I just have a follow -up question on the earlier mentioned funding price to DFC. So could I just have any clarification how this funding will be provided to the Colombo JV? Will it be sort of a direct cash infusion? Or will there be sort of other funding sources that will be given to the JV that the company may know of at this time?
Karan Adani: So this is a project funding, direct cash into the JV and it's a 20-year loan that we are getting.
Asmeeta Sidhu: All right. And then just a final question for me. Just with regards to the new tax regime that I believe was mentioned taken up for one of the subsidiaries. Could you share with us a little bit more on what this tax regime is and why the subsidiary has dec ided to change the regime to this one?
D. Muthukumaran: Actually, this is basically the choice that we have of continuing with 35% tax in that company versus moving to 25%, which is a lower tax. Now in case if we move to 25%, the cost for that move would be the existing MAT cr

edit that we have already paid in t he past, it is no longer be available in future.
So we have to continuously do the math and find out the breakeven point. And considering that the company is doing far more than what we have estimated in the past, we have reached a point where it is better to move to a lower regime of 25% in future, although we will lose the INR 455 crores net MAT credit that we have paid in the past.
So it's just a pure math based on forecast of the company and the company is actually doing far better. And therefore, it's making commercial sense for us to move to a lower tax. And the other point of note is actually this INR 455 crores is going to have 0 impact on cash and it's a noncash item. It's an accounting write -off of past MAT that has been paid. So this INR 455 crores is an

accounting net impact. And we will continue to enjoy 25% for lifetime lower tax going forward. So actually, the cash will be more.



Moderator: Next question is from the line of Priyankar Biswas from BNP Paribas.

Priyankar Biswas: So my first question is regarding Adani Ports' international strategy. So what I see is like based on media articles as well that probably a port in Vietnam is also being considered. And then earlier, I think there was some agreement signed with Abu Dhabi ports as well, and then we already have Haifa. So what exactly is the international strategy that APSEZ is following? That's the first question.

And second, given that post the G20, IMEC has also been announced. So would that change Haifa's potential than what you had said probably during the acquisition of Haifa itself. So any upside potential from that? So those are my questions.

Karan Adani: Yes, sure. Thank you. So on international strategy, as we've always been telling that we are looking for high- growth countries, where we would be looking at brownfield expansion or taking over an existing asset through government privatization. And also, s econd is we are looking at -- all these international forays will be through partnerships -- and through local partnerships. So I think those -- that stand continues.

As you can see, based on these criterias -- and also keeping this in mind, we are always looking for countries where we can make India as a centerpiece of sort of a hub and create better trade lanes -- overall trade lanes, so that strategy continues. We ke ep evaluating opportunities as and when it comes. As of right now, we don't have anything further to add. As I said that we keep looking at countries, high-growth countries like Vietnam, Bangladesh, Eastern Africa as well as certain parts of Middle East. So we keep looking at that and to see if we can create -- if there is an opportunity over there.

In terms of your second question IMEC, it's definitely a very strategic move. It will not only help Haifa, but I think it will also help Indian ports because, in essence, it sort of cuts across Suez Canal. And if done correctly, it will help reduce the tra nsit time as well as the cost of cargo from moving through this thing. I think it's a long drawn project, which is multi -country, where there are a lot of multi -country coordination that needs to happen. But yes, as and when it does get happen it will be a game changer.

Priyankar Biswas: Sir, just harping on that, so when you had done the Haifa acquisition sometime back. So I don't think your numbers were building anything of this sort, right, like a potential...

Karan Adani: No, we were not building any of this in Haifa, no.

Priyankar Biswas: Okay. And, Karan, just one more question. So nowadays in India, we're seeing a lot of coastal movement on coal. And especially, it seems that one of your recently listed peers is also focusing on that. So given that the competition is increasing on those a spects, especially on the Eastern ports, can you just throw some light on the competitive dynamics that is at play right now, especially East on the coal.

Karan Adani: Yes. So I'll request Subrat a to answer that.



Subrata Tripathy: So as you correctly said, so what is popularly called the RSR route, the rail cum sea cum rail route, in which you would be aware that we have made inroads into procuring tangent coal volumes from the MCL, which is Mahanadi Coalfields present at IB Valley coalfield as well as Talcher coalfield, And as I see the uptick of volumes that we have had in the 7 months, we've had an additional volume at Gangavaram of about close to 2.5 million metric tonnes.

At Krishnapatnam, which is a receiving port for the powerhouses, which are situated alongside the port, we've seen an upside of about 1.5 million metric tonnes. And at Dhamra to the extent of about 0.5 million metric tonnes. So we are -- and also, we are seei ng that in coal, on the RSR route, as a part of the government's intent of the interministerial group to see that coal from Eastern India goes by the all -sea and rail route to Western powerhouses and Southern powerhouses, we've also been able to provide co al to Kudgi power plant of NTPC through our port, our terminal in Mormugao.

So as we speak, all these ports on the Eastern side, namely Gangavaram and Dhamra and at the receiving in Krishnapatnam and at Mormugao terminal are coming into this play as well. As far as the competitive edge is concerned, so there are ports on which we compete, it's namely Paradip port. While Paradip port volumes are steady, they are also into the play as far as Talcher to Dhamra is concerned and IB Valley to Gangavaram where the larger volumes come to

Gangavaram port. Thank you.
Priyankar Biswas: And just one more question. Can you just give me what is the -- currently on a broad-based portfolio basis, what would be your broad import to export mix?
Subrata Tripathy: Of the ports at large?
Priyankar Biswas: Yes. So of the ports at large, specifically containers, let's say.
Karan Adani: You're asking what is the import/export of container?
Priyankar Biswas: Yes, yes, yes.
Karan Adani: Just one second. So it is 60-40, 60% export, 40% -- sorry, 60% import, 40% export.
Moderator: Next question is from the line of Nikhil from Alliance Bernstein.
Nikhil: My first question is on the Haifa Port. I wanted to understand, what is the primary currency of the revenue of the tariffs at the Haifa Port? Is it in the local currency, which has been volatile? Or is it in U.S. dollars largely?
Karan Adani: It is local currency. NIS.
Nikhil: Understood. So no hedging would -- have been done on that front. Am I correct to assume that?
D. Muthukumaran: We have hedged all exposures that we have at APSEZ level in the near term, which is up to 3 years. So those are hedged. But the long -term revenue is actually, as we said, is in NIS, which is a local currency.


Karan Adani: Also the reason for it is because NIS versus dollar is very stable. If you look to the last 10 years of exchange rate, you will find that has been closer to 3.5% consistently. So there is no specific depreciation or appreciation, what we have seen.
Nikhil: Understood. Got it. And the second question I had was then on the Vizhinjam port. Good to see progress on the port, but it would be helpful if we could get clarity on when does scalable commercial operations start at that port?
Karan Adani: So we expect all the equipments to be at port by March of 2024. As you know, it's a semi - automated terminal. It will take us 3 to 4 months to get all the cranes and equipment commissioned. So we would look at basically second half of FY '25 to commission -- to start full-fledged operation.
Nikhil: Got it. Understood. The third question I had were a bit on the quarter. So the quarter volu

mes, I could see the port revenue was up lower than the volume growth in the port business. Despite that currency being -- dollar being the same this quarter, nearly the same to last quarter, so was it a cargo mix difference? Or what was the reason for that?
Karan Adani: Mainly it is a cargo mix difference.
Nikhil: Understood. Got it. Then my last question was one balance sheet item, which is other financial assets which were up almost INR 2,000 crores, if I'm not wrong, from March to September. If -- what exactly is that -- if that could be clarified that would be helpful?
D. Muthukumaran: So it's a combination of short -term investments that we make as well as actually advances that we have paid against future capex and acquisitions.
Moderator: Next question is from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: My first question is on the Slide #41 where you're talking about the joint ventures' profitability. My question is if I look at Q2 FY '24 PAT contribution of JV, which has improved materially.
It has account for AICTPL INR 151 crores, ACMTPL is INR 59 crores and IAVL JV is INR 59 crores. But when I look at your P&L, the joint venture associate income is nearly INR45 crores in this quarter. Am I missing something?
D. Muthukumaran: I'll answer. I think page number, I'm not sure whether you're talking about 41 page. Are you talking about 36, but...
Mohit Kumar: 35, yes.
D. Muthukumaran: The answer is simple. Yes, the answer is simple. Actually, there is another company which is Dhamra LNG that has not been consolidated in this quarter. And being sort of in a ramp-up stage, there is a loss coming from Dhamra. And when it catches up, when the ramp -up is sort of complete, you will see that consolidated number going up.
Mohit Kumar: Because of Dhamra LNG, understood, sir. My second question is how much rakes -- on the logistics side how much rakes you are looking to add in FY '24 and FY '25?


Karan Adani: Just one second. End of this financial year, we would be at 128 from 100...
D. Muthukumaran: So addition is 40.
Karan Adani: Addition is 40 -- no.

Mohit Kumar: 110 as of now -- 104 now.
D. Muthukumaran: He is talking about full year.
Karan Adani: Okay. Yes. So 40 for the full year as well.
Mohit Kumar: Okay, 40 additional, right?
Karan Adani: No, no. Not 40 additional. Sorry, just give me one second. So right now, we are 104 as of half year. By end of this financial year, we would be at 128.
Mohit Kumar: 128. And so for FY '25 can you share the number?
Karan Adani: Sorry?
Mohit Kumar: For the FY '25, if you have any number you can share?
Karan Adani: Right now, it's only another 3 to 4 rakes, which will be coming in.
Mohit Kumar: Understood, sir. My last question is have you heard anything from the government on the renewal or cancellation? Do we think this policy will get decided in the fiscal year, this fiscal year? Or do you think it is postponed for FY '25?
Karan Adani: We are hopeful that we would be able to finish it by end of this financial year.
Moderator: Next question is from the line of Aditya Mongia from Kotak Securities.
Aditya Mongia: The first question that I had was on the recent addition of the Loni ICD. I wanted to check whether this falls under the hinterland of CONCOR's Dadri ICD, which have recently gotten double -stack on the DFC. Wanted to check if -- what's the strategy of kind of aggregating volumes given the supremacy of Dadri [inaudible]?
Sushant Mishra: This is Sushant Mishra. Partly the Dadri CONCOR, a part of the catchment also will come to this ICD Loni. And part of Haryana, the Sonipat region also will come in to this. So we -- there is a natural hinterland to Loni, which was being served earlier. So now that we are recommencing the operations, we'll have a natural advantage in that. And we have a marketing

strategy to buy a first and last mile connectivity to enhance that.
Aditya Mongia: Are there any minimum volumes that you have to do in the first year of operations?
Sushant Mishra: Yes. We have agreed with CWC to do some minimum volumes. So where -- as you know, to restart an operation, there are issues like BL point with the shipping lines, we are all working with that. But we will catch up on the volumes.



Aditya Mongia: Understood. The second question that I had was more of a confusion. In the cash flow statement, I do see some inflows coming in because of probably reduction in security deposits. And I was assuming that whatever has been the support given for future capex is actually coming down. However, an explanation to the increase in other financial assets, it was said that the advances have been given for future capex . So could you clarify, on a 6-monthly basis, has money come in or more money gone out ? And what's the current outstanding?
Karan Adani: Yes. So let me just clarify. The addition of advance is on the acquisition front, it is not on capex . It is not an increase. On the advances of capex , that has come down drastically.
D. Muthukumaran: Actually, these acquisitions are already completed as we speak. So we will actually include it in the -- when you see the next year -- next quarter's number, all these would have actually gone off from advances.
Aditya Mongia: Understood. Could you give us probably an update, maybe you would have said this earlier, what is the guidance for the full year capex for this year at -- on a consolidated basis?
D. Muthukumaran: So like you said, instead of the specific number, what we are targeting is to end the year with a leverage of around 2.5x that we guided as well as the cash balance of INR 8,000 crores. So these 2 remains unchanged as a target.
Aditya Mongia: Understood. And again, just an observation and probably simplify for all of us, there have not been any meaningful inflows or outflows in the cash flow statement in form of ICDs. Should one assume this to be the trend going forward as well?
D. Muthukumaran: Sorry, in the form of ICDs, should we assume, therefore?
Aditya Mongia: That there will be no meaningful money in the form of ICDs going in and out as part of the cash flow statement, the way this has happened in the first half this year.
D. Muthukumaran: That's correct. The answer is yes. There are no ICD either deployment or realization because, actually, there is a 0 balance as of today. So there is going to be no realization in the future, and we don't plan to deploy anything in ICD. And there was no de ployment in the last 6 months either.
Moderator: Next question is from the line of Bharani Vijayakumar from Spark Capital.
Bharanidhar V.: My question is on your outlook for, say, calendar year '24 on key cargo categories. How do you expect them to perform, especially in the light of general perception that container volumes are likely to be subdued given challenges in the global trade and probably even slowdown in India? And also the fact that sequentially this quarter, compared to last quarter, the volumes have been almost flat. So that's my first question.

Karan Adani: So I think if you see our October volumes, we are having even month-on-month growth. Right now, we are not seeing a slowdown. Right now we are not seeing much of a slowdown into our cargo and we expect to continue to do a similar run rate of -- the average run rate that we have been doing so far in the last 7 months.



Subrata Tripathy: We did 6.7 in October last year in terms of TEUs. And this year, we are doing about 8 lakh TEUs. So you can see there's an uptick at the container business. And you'll see that our market share in containers has significantly grown up. While there is a g

en eral the perception that you're having, but we aren't seeing any kind of downstream over there. All the -- both at Mundra and the Southern ports, we are seeing an uptick and as well as new services added at Hazira, which is also doing an all-time high.

Bharanidhar V.: Okay. But wouldn't the growth from last year to this year mostly be due to low base? Because last year, we saw a degrowth in -- I don't know, October, but second quarter, at least, there was a degrowth, if I'm not wrong.

Subrata Tripathy: No such signs are visible at the moment. Even this month, we've seen the volumes and the nominations are quite healthy. So we are seeing that it will continue to rally. And we've also guided in the past that new services are being added at Kattupalli and n ew services at Hazira as well. So we continue to be quite robust on the growth itself.

Charanjit Singh: So Bharanidhar, last year, because of the economic situation, right, it's April, May time when the slowdown started. And the slowdown almost peaked up around July, August sort of time frame. So as a result, H2 was relatively lower from an overall volume and cargo perspective and container perspective primarily.

But this year, if you look at our record, consistently month-on-month, our performance versus India average and also on a Y -o-Y basis, you see a significant jump, talking of October, what -- as we mentioned, the numbers reflect a 20% jump. And a similar sort of trend, what we have observed also in the last 6 months sort of time frame.

Bharanidhar V.: Okay. Fair enough, sir. My second question is on the recent news article regarding the U.S. government funding port in Sri Lanka, where they will be giving capital. So anything that you could highlight regarding this? Will it be part of capex going forward?

D. Muthukumaran: Yes. Basically, it's project funding by DFC, okay? And we have gone through the full study by them. And we have made ourselves eligible. So I guess that demonstrates that we are ready to absorb all kinds of funding, which comes with the highest level of sc rutiny and KYC. And basically, it is a $550 million total facility out of the total $750 million project financing. And that $550 million will come into the company as project finance and it will be repayable over 20 years.

Sushant Mishra: So the cash outlook from our side is primarily the 50% of the equity share.

Bharanidhar V.: Okay. So is this the same Colombo project? Or is it a new terminal?

D. Muthukumaran: No the same.

Moderator: Next question is from the line of Alok Deora from Motilal Oswal.

Alok Deora: Congratulations on good numbers. Sir, I just had a couple of questions. One is what's the outlook on volume growth for FY '25? Because like this year, we are still maintaining the guidance of



around 390 million to 400 million tonnes. So what number we could be expecting for next year based on the current ports which we are having?

Karan Adani: So I think I will not do justice by giving you guidance for next year. But I can only assure you that our guidance of 500 million tonnes by 2025, we are on track of achieving that part of the guidance.

Charanjit Singh: You need to look at our financial performance, right? So there were 3 numbers which were given: the volume, the revenue and EBITDA for FY '25. So you need to look at all the 3 numbers and see where do we stand, particularly the revenue and EBITDA because c argo is our input in terms of deriving those numbers. And what we have seen in the past, because the guidance was given 4, 5 years back when the 5 -year plan was prepared. So you could see that we are on track in terms of achieving what we have mentioned, if you look at the numbers details.

Alok Deora: Got it, got it. And also on the logistics business, how we are seeing that shaping up at the ground level? And whether we have been -- we have alread

y seen the integration with the ports business,
which we were -- which you had mentioned around some time b ack that we are looking to be it integrated with the ports business and become a one -stop solution for the clients. So that has already played out in a big way or it's kind of still a long way to go with that?

Sushant Mishra: No, we are very much on that journey. You -- as you know, the number of rakes that we're adding almost 35 rakes that we'll be adding to our stable this year. And also the terminals. We are already 10 terminals. And this is a function of the rolling stock a s well as terminals and integrated solution to the custom ers.

So we have internal synergy within our port container team and our Adani Logistics. And as well as the warehousing, all these together we are providing integrated services to customers and that is very much on the cards. This is on the container space.

And with GPWIS, we are also derisking the -- our major customers from the major ports so that, that is providing a lot of stability to their volumes in terms of evacuation of imported cargo and also, to some extent, bringing export cargo to the ports.

Moderator: Next question is from the line of Sharon Chen from Bloomberg Intelligence.

Sharon Chen: Congrats on a good set of results. Just a couple of quick questions. The first one is just to confirm the loan that you got from DFC that's presumably nonrecourse to Adani ports? And the second question is just on your medium -term financial policy. So I know you target 2.5x net debt to EBITDA by next March. But thereafter, will that still remain the target, especially considering, I think, you've demonstrated good access to funding, and clearly, there's a lot of opportunities
out there?

Karan Adani: So on the first question, yes, it is nonrecourse. The loan is nonrecourse to APSEZ. Sorry, can you repeat your second question?

Sharon Chen: So I just want to clarify your medium -term financial policy, whether you're planning to stick with the 2.5x net debt to EBITDA going forward?



Karan Adani: Yes. So I think looking at our cash flow, our growth right now, we are comfortable at 2.5. We will -- and we would stick to it. I think we would be looking at opportunities available if there is, on growth perspective, we, have to take a little bit of bump for a quarter or 2, we will be happy to take that. But on a medium term, on a long-term basis, 2.5 is what we are looking at right now.

Moderator: Next follow -up question is from the line of Aditya Mongia from Kotak Securities.

Aditya Mongia: I only had one more question and is linked to the opportunity to add more assets to the Adani portfolio. Now we can see in this year Haifa and Karaikal are boosting overall growth rate
meaningfully. Could we expect the next few years to also have an inorga nic component of, let's say, 4% to 5% of growth? Or do you think it will be more organic in nature?

D. Muthukumaran: See, even in the current year, actually, our organic growth is quite substantial. Volume, it is 8%. And revenue, it is close to 12%. And inorganic growth, of course, we will keep an eye and if there is an opportunity, we will be at it. Our own expansion pl ans for many of the ports are also coming up. So brownfield expansions also contribute. So our growth will have all 3 components.

Aditya Mongia: Understood. Sir, also wanted to kind of understand, at least one of your peers is suggesting meaningful opportunities from port privatization. Do you envisage that to play out, and thus, there's been an inorganic component to growth which is sizable? Or you still think that the other 2 components which we got, something that will be driving your growth prospects much more?

Karan Adani: So I would say from government privatization if you look at our -- I mean if you look at our past record, we are not very bullish on --

from a return perspective. That said, if we -- if there are 1 or 2 strategic locations where we are missing, whether on container or on liquid, if we get a posit ion, we would be looking at it.

But our predominant focus would be expanding our footprint -- and I mean, our footprint of our existing ports and diversifying that the cargo base in our existing ports because we have an ample space and opportunity to grow over there. And the good part is the incremental growth is --
incremental capacity that we will be adding will be 30% or 40% of the cost of a greenfield capex .

So predominantly for us, our growth will come from expanding our existing facility and diversifying our existing facility.

Aditya Mongia: And maybe again, a related question. See, Maharashtra is one geography that you have recently entered through Dighi Port. Has been your experience so far has it been encouraging? And do you think that you can gain a meaningful market share in Dighi over ti me? Or do you believe
you may need to add more asset, maybe a greenfield one to become more relevant in Maharashtra? That will be the final question on my side.

Karan Adani: Yes. No. So Dighi is a long-term project. We are -- our strategic intent does not change. We do believe that it can be a good -- it will be a good gateway -- alternate gateway to JNPT. And we will -- we are building the port out. We are building the railwa y line out over there. We are building an industrial park right behind the port as well as improving the road connectivity.


And we are -- and we have also started our liquid operations over there. So once I think -- it will take time to stabilize. In our view, it will take -- it is -- though it is a brownfield project, it is as good as a greenfield project. So it will take 4 to 5 years for Dighi to come up to a little bit of scale. I think -- but on a longer term, when we look at 10, 15, 20 years down the line, we do believe -- we strongly believe that Dighi will be a great alternative to JNPT.
Moderator: As there are no further questions from the participants, I'd now like to hand the conference over to the management for the closing comments.
Charanjit Singh: Thank you, everyone, for taking out the time and wishing you all a very happy Diwali. Looking forward to another full interaction in the month of January with our Q3 numbers. Thank you, and good day.
Moderator: Thank you. On behalf of InCred Equities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

## Call: Feb 2024



"Adani Ports and SEZ Limited
Q3 FY'24 Earnings Conference Call "
February 01, 202 4

MANAGEMENT : MR. KARAN ADANI – MANAGING DIRECTOR – ADANI PORTS AND SEZ LIMITED
MR. ASHWANI GUPTA – CHIEF EXECUTIVE OFFICER - ADANI PORTS AND SEZ LIMITED
MR. SUBRATA TRIPATH Y – CHIEF EXECUTIVE OFFICER , PORTS BUSINESS – ADANI PORTS AND SEZ LIMITED
MR. SUSHANT MISHRA – CHIEF EXECUTIVE OFFICER – ADANI LOGISTICS
MR. D. MUTHUKUMARAN – CHIEF FINANCIAL OFFICER – ADANI PORTS AND SEZ LIMITED
MR. CHARANJIT SINGH – HEAD OF INVESTOR RELATIONS AND ESG – ADANI PORTS AND SEZ LIMITED

MODE RATOR : MR. ALOK DEORA - MOTILAL OSWAL FINANCIAL SERVICES



Moderator: Ladies and gentlemen, good day, and welcome to the Adani Ports and SEZ Q3 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference , please signal an operator by pressing star then zero on your touchtone phone . Please note that this call is being recorded.
I now hand the conference over to Mr. Alok Deora from Motilal Oswal Financial Services.
Thank you, and over to you, sir.
Alok Deora: Thank you, and very good evening to everyone. So I welcome you all to the Q3 and 9 -month ended FY '24 Earnings Conference Call of Adani Ports and SEZ Limited.
So today, we have with us Mr. Karan Adani, Managing Director, Adani Ports and SEZ; Mr. Ashwani Gupta , CEO, Adani Ports and SEZ; Mr. Subrat a Tripathy , CEO, Ports Business, Adani Ports and SEZ; Mr. Sushant Mishra , CEO of Adani Logistics; Mr. D. Muthukumaran: , CFO, Adani Ports and SEZ; Mr. Charanjit Singh, Head of Investor Relations and ESG, Adani Ports and SEZ.
Without any delay, I would now like to hand over the call to Mr. Karan Adani for his opening remarks. Thank you, and over to you, sir.
Karan Adani: Thank you. Good evening, everyone, and welcome to the conference call for the quarter and 9 months ended 31st December 2023, to discuss the operational and financial performance of APSEZ.
APSEZ delivered its strongest ever quarterly and 9 months performance with record volume -- cargo volumes, revenue and EBITDA. Starting with the financial performance of the quarter, operating revenue for the quarter was at INR6,920 crores, which is a robust 45% year -on-year growth. EBITDA after excluding the forex impact is INR4,186 crores, which is a good 39% year-on-year growth. Constant focus on improving operating efficiency yielded results as the domestic port EBITDA margins improved by around 170 ba sis points to 71%. Profit after tax increased by 65% year -on-year to INR2,208 crores.
Now moving to the operational highlights for the quarter. We recorded a strong 44% year -on-year increase in cargo handling volume at around 109 million metric tons. The growth was reported across all 3 major cargo categories, with dry bulk registering a 65% year -on-year growth, container 27% year -on-year and liquids which includes gas, 16% year -on-year.
During the initial 9 months of the financial year, we have achieved various operational and business milestones, which include, the first one, APSEZ handling 300 million metric tons of

cargo in a record time of 266 days, breaking its previous record of 329 days in FY '23.
Mundra Port recorded highest ever monthly cargo volumes by any Indian port of 16 million metric tons in October of 2023. Our CT3 terminal at Mundra Port handled more than 300,000 TEUs in November '23, the highest ever monthly volume handle at any container terminal in the country. And number 4, extending, we extended our partnership with MSC with a JV fo r Ennore Container Terminal.



Moving to operational performance of Logistics business. Adani Logistics Limited recorded its highest ever volume across segments with rail volume of around 158,000 TEUs, up 17% year -on-year, while GPWIS volumes were at 5.29 million metric tons, up 53% year -on-year.
During the current financial year, we commissioned the Loni and Valvada ICD, taking the total count of MMLPs to 11. We have added warehouses at Indore and Mumbai. Thereby taking the total warehousing capacity to 2.4 million square feet. We have also added 23 rakes to our existing fleet, thereby taking the total count of trains to 116 as of December end. Order has been placed for another 15 rakes.
This strong operational performance has translat

ed into robust cash flows for the company. As
a result, our net debt -to-EBITDA ratio as of 31st December 2023, stood at 2.5x versus 2.8x at the beginning of the quarter.
Recently, the S&P Global Ratings have also revised the credit outlook of APSEZ to stable from negative earlier. Moving forward, we are confident of overachieving our full year volume, revenue and EBITDA guidance provided at the start of the year. We have a lready revised our FY '24 cargo volume guidance to over 400 million metric tons versus our earlier guided range of 370 million to 390 million metric tons.
With this, we can now open the forum for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session.
Charanjit S ingh : Moderator ?
Moderator: Yes, sir.
Charanjit S ingh : Some people are facing an issue with respect to logging in. Can you ask somebody to check it out?
Moderator: Yes, definitely, sir. We have the first question from the line of Bharani Vijayakumar from Avendus Spark.
Bharani Vijayakumar: Congratulations on a very good 9 -month performance. Can you highlight...
Karan Adani : Sorry. Can you speak up? We can't hear you. Sir, can you speak up?
Bharani Vijayakumar: Yes. Is this better now?
Karan Adani : This is little better.
Bharani Vijayakumar: Okay. Okay. I just wanted some color on what are the key drivers driving the phenomenal cargo growth in volume terms, say, if you can touch upon drivers for coal, containers, gas and liquid and probably also give an outlook on how do you think this will pr ogress in the next one year?
Karan Adani: Sure. So I think, firstly overall driver is the economy. I think we are seeing strong demand across the board. Also, the second is the strong capex cycle that we are seeing. Because of that, a lot of



-- we are seeing increase in power consumption. We are seeing increase in steel production and
-- as well as manufacturing coming in.
So I think overall, what we are seeing is the overall growth in the economy. And because of that, a lot of these factors are playing out. I think from a coal perspective, we are seeing both the steel production as well as the power generation is much highe r than what it was in Q2. And we do see that this trend to continue.
For container, again, it is predominantly the manufacturing base, which is increasing and the exports of manufacturing -- manufactured goods are going up. So these are the main reasons. I think we believe that on a medium -term basis, so next year, we expect the country to grow at anything between 6.5% to 7% GDP growth. And I thin k more importantly, the growth will be more driven by manufacturing and infrastructure. So because of that, we will see a higher growth rate in the overall volumes.
Bharani Vijayakumar: Sure. Okay. That's helpful. My second question is on the Haifa Port. Could you give us some sense on volumes for, of course, volumes are given, but realization and the EBITDA, PAT for this particular port in the 9 -month period?
D. Muthukumaran: So you asked for actually volume. We'll start with volume on Haifa Port. This is Muthukumaran.

In the quarter, we had a volume of around 3 million, which is a marginal increase compared to
what we had in the corresponding period of the previous year. And i n terms of EBITDA, again,
you've seen a corresponding increase based on the volume.
Bharani Vijayakumar: Can we have the absolute number in terms of revenue, EBITDA and PAT for this quarter?
D. Muthukumaran: Okay. I'll come back to you during the call.
Charanjit Singh : We're currently not reporting it. We're reporting on consolidated basis for our international
operations. But at the time of full year results, we could give more color around it.
Moderator: The next question is from the line of Parash Jain from HSBC.
Parash Jain : My question is more around the fact that A

dani Port has already achieved its fiscal year and
debt-to-EBITDA target of 2.5. And given your strong cash generation north of INR15,000 crores
EBITDA. Can you give us a picture of how should we think about your capital structure, growth
opportunity, both within India, outside India, logistics and ports? And then or -- you are actually
ready to drive net debt -to-EBITDA to even lower level in a scenario of not finding any suitable
target.
Karan Adani : Parash, you will have to be a bit louder.
Parash Jain : Dialling from home. Is it any better?
Karan Adani : Yes, okay. Ask questions, one by one.
Parash Jain : Yes. So what I was asking is the fact that the group has already achieved its full year
deleveraging cost of 2.5x net debt to EBITDA. Over the next 12 months, given the strong


EBITDA that we are likely to generate, how should we think about capex organic, inorganic
within India, outside India, or we -- you will be comfortable driving this net to EBITDA to even
lower level?
Karan Adani: I think we would continue to be around 2.5x, net debt to EBITDA. I think from a capital
allocation, from a growth perspective, as you know, we would keep looking at overall volume
to continue to grow the way we have grown this year. And predominantly, we a re very
comfortable in terms of our capacity addition that we have done this year to take us -- to carry
on with the growth of -- for the next year as well.
Inorganic, it is very hard to give answer to. But I think on a larger picture, broader view, you
should consider 2.5x as the milestone that we would look at as main target.
Moderator: The next question is from the line of Asmita Sidhhu from MetLife Investment.
Asmita Sidhhu: I just have a question regarding the whole disruption that's going on in the Red Sea. Have you
seen any significant impact to the cargo coming in and out of Haifa? Or have they sort of still
been normal BAU?
Karan Adani: Yes. So from Haifa perspective, we have not seen a major impact in terms of our volume. Our
volumes have remained steady and marginally increased at Haifa. And so far, we don't see any
disruption happening because of that.
Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni: My question is for Mr. Ashwani Gupta . Sir, you come from a different industry and a country
which is obviously known for precision and making things even more perfect. I wanted to just
understand what are going to be your key target for the port company over the next few years.
If you could give a sense of how should we look at areas of efficiency, et cetera, that you will be
focusing on?
Ashwani Gupta: Thank you. That's a great question. When -- I spent 31 years in automotive industry, the things
which are in common with automotive industry and the port industry, both are very captive -
intensive industries where you need to maximize the return on investme nts, which means the
capital allocation is the key success factor in this industry.
In addition, the product life cycle is also very important. Now what has happened in auto industry
in the last 5 years, that supply chain has become the core function of the automotive industry,
which means the need for last mile supply chain, end -to-end s upply chain using the technology
platform will drive this industry in future for the most effective and efficient operations. So that's
what I take it, not only from Japan, but the whole industry.
I mean, during the COVID, we went through semiconductor prices, then we went through Suez
Canal crisis, then we went through many other crisis. All have taught us that supply chain
efficiency and effectiveness drives the business operations whatsoever is the industry, auto or
non-auto. That's what is my takeaway.

Pulkit Patni: Sure, sir. My

second question, either for Karan or for Subrat. It's good that you've disclosed the volumes on coastal coal shipping. Can you give a sense of how big this opportunity could be, what are our plans in domestic coastal transportation? That woul d be the second question.
Subrat Tripathy: Well, thank you. You have actually asked a very, very contemporary matter. We have been guiding you that coastal coal is an opportunity in line with what government has been saying about Atmanirbhar and the rise in the coal India's volumes and also private mining coming into India. So we see that our ports on the eastern side, especially when we look at our port in northern most at Dhamra, it's proximity to Talcher and that we have been seeing a volume upsurge at Dhamra consistently, which hitherto was not a feature. And thereafter -- so from Talcher into Dhamra port and into the southern ports of both Krishnapatnam, Karaikal, which is both in our portfolio.
Similarly, we are seeing an alignment between the MCL, subsidiary of Coal India from the coal fields of -- into Gangavaram, where we are best placed and we've been able to get this cargo, again, going towards the southern powerhouses, namely into Tamil Nadu powerhouses. This is at a volume o f more than 3.5 million, which hitherto did not exist. Again, we are seeing an upsurge. These are the 2 ports where we will be getting coastal exports out and the port that will receive the coastal imports in, in South India would primarily be Krishnapatnam and Karaikal.
We've also seen for the first time after a long revival, a movement of coastal coal coming on from the eastern -- especially from the Odisha belt going into coastal shipping and into the RSR route into our Goa terminal as well some little volumes consolida ting into our Dahej terminal going forward into North Indian powerhouses. So this is certainly a very large upsurge, and we see that consolidating in the future with our appropriate presence both in the proximity of the coastal fields in Eastern India and receiving in Southern India and Western India terminals.
Pulkit Patni: Any numbers, what this number could look like in 2, 3 years?
Subrat Tripathy: Well, at the moment, before we began this year, we are already consolidating 9 months and close to about 2.8 million metric tons and when I look at Q3, it's the first time that we've actually come out, we've seen a consistency about more than about 8 million every year if I look at a quarter basis. In the years to come, next year, we are looking at the volumes of about close to 5 m illion to begin with as far as coa stal exports is concerned.
And whereas coastal imports are concerned, they'll be in the range of more about I should say, beyond about 8 million tons at Krishnapatnam and Karaikal together. And Goa is a terminal which has a capacity to handle only 5 million metric tons. So it will be about close to 1 million over there.
Dahej is a rally that we are looking at resettlement. So I would say coastal exports will be in the range upwards of about 5 million to 6 million next year. Receipts will be in the range of about - - because we receive also from Parad ip port, at Krishnapatnam and Karaikal, will be in the upward region of about 8 million to 10 million tons.
Moderator: Thank you. The next question is from the line of Nikhil N agania from Bernstein. Please go ahead.


Nikhil Nigania : My first question is the developments around Red Sea. How do they impact your volume? Have you seen any imp act on port volumes in January due to that ?
Karan Adani: Roughly 10% of our total volume travels through Red Sea. So as of now, we have not seen any major drop and we keep an eye on it. But so far in January, we've not seen any major drop.
Nikhil Nigania: Understood. Thank you. The second question I had was around the Tajpur port in West Bengal. Any developm

ents or updates on that front?
Subrat Tripathy: We continue to hold the position that we received the LO I and we are expecting the West Bengal government to award the LOA, letter of award to us. And consequent to that, we will begin redevelopment of the port. We continue with the stand that we had guided last time.
Nikhil Nigania: Got it. That's helpful. One more question, on the capex guidance, if you could share -- good to see the numbers up for volume and revenue. If you could share the guidance for capex for this year as well?
Charanjit S ingh : For the current year, in the 9 months, we have done close to INR5,500 crores of capex. For the full year, you can go on a pro -rata basis largely. For the next year, we will guide at the time of our full year results.
Nikhil Nigania: Understood. Thank you so much. Those are my questions.
Moderator: Thank you. The next question is from the line of Achal Lohade from JM Financial. Please go ahead.
Achal Lohade: Two questions. One is on the coal. I see that, obviously, this quarter is also positively driven by

the coal volumes. Does this coal volume come at a lower margin, same margin, better margins than the India port margins?

Karan Adani: Sorry, I didn't understand your question.

Achal Lohade: So what I'm saying is that there is a fair amount of delta which is playing out with respect to the coal mix, right? What I wanted to check, the handling of the coal cargo, is it margin dilutive, margin accretive or it's a similar margin?

Karan Adani: It's similar margins. Coal roughly gives us anywhere between 68% to 72% depending on port...

Achal Lohade: Even for the coastal...

Karan Adani: Yes, yes, yes. I'm giving you a blended. So including the coastal, it is giving us a -- port to port, it gives us anywhere between 68% to 72%.

Achal Lohade: Great. The second question I had was with respect to the rail logistics. We've been showing our fantastic growth on this -- the container train operation business. Can you help us understand what is the market share, as of now we have or for third quarter, we have and how do you see it evolving over the next, let's say, 2 or 3 years? What are the plans here in terms of -- apart from



the existing MMLPs? What else in terms of the container mix or what we could see in the logistics segment?

Karan Adani: I'll request Sushant sir to answer on the market share and then I'll answer the other part.

Sushant Mishra: Our present market share is 12% in the E XIM business and which is the major part. And for the long term, Karan Adani will answer it.

Karan Adani: On the long term, as you know, there are 3 parts to our logistics business that is container logistics, agri -logistics, silo business. And the fourth is the bulk logistics, which is GPWIS. As mentioned earlier, and if you have seen our 5 -year guidance, our target is we want to take up our rake count from roughly which is today at 1 15, we want to take it up to 300 by FY'28. And predominantly, it will be driven by GPWIS followed by container business.

Our target is from a container point of view, we want to add 2 more MMLPs, one more in North India and one in Mumbai region that we will be looking to commission in the coming 3 to 4 years' time. Apart from that, on the bulk volume, as you remember, we st arted this business because to give surety of supply chain to large customers, from our ports into their plants. And we are very confident that this business will continue to grow in the same fashion as what we have been growing for the coming 5 to 6 years ' time. So that's how we look at the logistics business right now.

Achal Lohade: Understood. I think this is very helpful. I'll come back for follow -up questions. Thank you.

Moderator: Thank you. The next question is from the line of Atul Tiwari from Citigroup. Please go ahead.

Atul Tiwari: Congrats

on a very strong set of results. Just a question on your capital return policy. Now that things have substantially improved, both in terms of the profitability of the company and the underlying cash flows, and you have achieved your targeted lever age. So would you kind of look to return back some capital through buybacks, etcetera, to the shareholders? Any thoughts along that line over next...

Karan Adani: As you know, we have in our capital policy, we have dividend of 22%, 25% of our PAT. So we will look to stick to that policy, sir. We will figure out what is tax efficient, whether it is buyback or dividend, that we will see. But otherwise, it is predomina ntly what we have given in our policy.

Atul Tiwari: Okay, thanks.

Moderator: Thank you. The next question is from the line of Priyankar Biswas from BNP Paribas. Please go ahead.

Priyankar Biswas: So I would harp back on the logistics part of the business. So like -- would it be possible to share what is the, let's say, the EBITDA of the containers and the -- sorry, the AALL business out of the entire EBITDA that you are reporting for logistics? And what is the outlook for this specific segment, if you can give some numbers?



Charanjit Singh : So Priyankar, as you know, that we have been reporting consolidated numbers only for individual business segment wise. So we'll continue that stand for the time being. And probably next year, we will analyse whether it is useful for us to give the subsegme nt numbers. But at this point in time, no change in our position with respect to the reporting standards.

Priyankar Biswas: Sir, if you can give the direction for AALL . So where we are and where we should be seeing, let's say, in a 2 -, 3-year horizon, if you can throw some color on that?

Charanjit Singh : So if you look into our overall logistics EBITDA numbers, margins in FY 2017 -18 were around 17%-18%, and today, we are at 29%. So there has been a good 11% increase, which is also contributed by AALL segment , given that we have commissioned 1.1 million metric ton of silo capacity.
Looking forward, by FY'26, based on the bids that we have currently won, the silo capacity should be at 4 million metric tons. So with the increase in the weight of agri silo business, the margin should ideally improve from the current levels. Our overall expectation is more towards, you can say closer to 50% when the whole logistics business segment has stabilized.
Priyankar Biswas: So does this include a potential ramping up of the commercial warehousing business also? Does that include that as well?
Management: It includes all the different segments. And of course, warehousing, agri silo and bulk trains are very important components in terms of driving that margin.
Priyankar Biswas: And if I can squeeze one more question in. So our port in Mundra is already connected to the Western DFC so has there been any noticeable shift from road to rail? And is this a reason why we are getting some advantage vis -a-vis other ports in terms of market share? If you can comment something on that?
Subrat Tripathy: You would recollect, we had clarified, and I wish to once again get the statistics right. Mundra's distance to the NCR region has an advantage of about 100 kilo meters above Pipavav and close to about 330 kilo meters over JNPT. And also the fact that Mundr a has got the continuous DFC advantage of the dedicated freight corridor on which we can also run the double -stack trains, so we're actually seeing an upsurge.
So in the double -stack ratio, which was earlier at about close to 54%, we are now seeing an upsurge on the double stack to beyond 63% in double stack. The -- so the rail coefficient is at a level of about 33%, 34% at Mundra per se. But the double -stack ra tio, which has significantly grown up from the level of 54% last year to about 63%, and that's o

nly accruing out of the continuous DFC which has since been connected, both on the main line as well as the subsidiary feeder route through the JV company in wh ich we have participated.
So this gives us an advantage of double stacking as well as the relative distance advantage over the main competitors of Pipavav and JNPT. And it's also the fact that between Mundra and Patli and through the ALL rakes that we are able to operate, so we make a very clinching evidence of being -- getting the rail share and the percentage of advantage accruing to us.


Priyankar Biswas: Okay. That's very clear. And if I just add on this aspect, so I'm also aware that probably DP World is probably trying to develop a large container terminal at Kandla and there may be expansions on Salaya port as well SR. So is there enough cargo in the hi nterland to accommodate such increases? If you can comment on that.
Karan Adani: Yes. So I think if you see overall, if the country has to reach -- as to double the economy by 2030, end of the day, that means you are doubling your overall trade and if you see on the West Coast, the kind of capacity addition that is possible from existi ng port, that will not take us to where the country wants to reach. Eventually in our view, there is enough space for everybody to continue to grow.
Priyankar Biswas: Thank you so much. That's very clear.
Moderator: Thank you. The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia: I had 2 questions from my side. The first question was on the overall logistics business that while we've seen a lot of capex being spent, it's not reflecting the same amount in EBITDA, the value of the company. The ROIC of 6% today for that portfolio, by what time can you see that coming up to par with the ROIC of the company?
Karan Adani: So I think on logistics, we should expect in next 3 years, the ROIC should come closer to what the company level is because we are in the growth stage, we are in the build state. So a lot of assets are being built and then the ramping up will take 2 to 3 y ears. So I think 3 years' time is what we should -- you should expect.
Aditya Mongia: Understood. And let's say, post reaching that stage, would logistics still continue to command a fairly large part of our capex? How should we kind of think about it?
Karan Adani: I think it's difficult to answer that right now, to be honest. I can only give you a three year view.
Aditya Mongia: Understood. The second question that I had was more -- so investors do kind of think through a risk that JNPT poses to Mundra post the commissioning of the western DC. This is something that the company believes isn't as significant or what is the view of the company on the resurgence of JNPT, if any, after the DFC comes up?
Karan Adani: So to be honest, our view is JNPT capacity addition is actually behind their demand. So we don't see impact of it on Mundra. Rather, we think that with this addition, it will help -- I mean this

additional capacity is needed because right now, JNPT is runn ing at a much higher utilization. They are running at a utilization, which is not sustainable. So in our view, it will just help in taking the growth of Maharashtra and sought Gujarat and we don't believe that DFC will actually end up -- DFC c ommissioning will actually end up hampering the volumes of Mundra. So we don't see any risk posing out of it.

Aditya Mongia: Understood. Those are my questions and thanks, Karan, for your response. Thank you.



Moderator: Thank you. We have the next question from the line of Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora: So my question is more on the logistics business. So we have seen phenomenal growth, which is much higher than what the indus

try has grown. In fact, in this year, most of the industry is struggling and still we have kind of delivered a pretty solid growth. So how do we see this growth moving ahead because this is one business where we see a lot of these unorganized players also being present in this segment. So how are we looking at the growth? Has the shift happened or it's still 3, 4 years awa y where we actually continue to grow at pretty decent growth rates?

Karan Adani: No, I think for us, logistics business minimum next 5 years, we continue to grow at the current pace or if not current pace, even higher than the current pace. That is our target. There is a lot of opportunity, both on container bulk, agribusiness. So we c ontinue to -- we are very bullish on it, and we believe that the current growth rate is the bare minimum that we will be doing. Actually, we'll be doing even more than what we have been doing so far.

Alok Deora: Sure. And also when we kind of started this business, and we were looking to provide it as an integrated solution to customers, so just any ballpark proportion as to how much of the customers are taking our blended service versus customers who are only taking the port services. So is it like customers are kind of taking it as a combined solution so that our logistics business is also doing well and port business and which was doing well?

Karan Adani: Yes. So if you see our GPWIS business, which is roughly 5 million tons per quarter that is a fully integrated solution. So that is linked with the ports and then last -mile delivery all the way to their plants. And that will continue to be a fully integrated solution as we keep growing. On the container side, roughly 20% of o ur volume is a fully integrated solution. Rest, 80% depends on the port and depends on the other intermediaries who operate.

Alok Deora: Sure. But just last question from my side. Also you briefly touched upon the Red Sea, not much impact actually coming through. So if the issue kind of sustains for one more quarter, do we see any impact because we believe the freight rates have actually go ne up after this issue has come up and it's taking longer time for ships to kind of complete the journey? So any color on that, please?

Karan Adani: Yes. So more than the freight rate, it is the supply chain disruption. We do -- if this does continue, we do foresee shortages of containers, which will happen and shipping lines missing their schedule and more disruption on the overall supply chain. We do believe that if this continues for a longer term, it will have a marginal impact on the overall volumes, especially for India.

Alok Deora: How much could be the impact for us? If any number you could indicate, how much volumes could be impacted in the worst -case scenario?

Karan Adani: As I said, 10% of our total container volume moves through this route. So not necessarily full 10% will get impacted, but part of it can be impacted.

Alok Deora: Got it. That's all from my side. Thank you, sir.



Moderator: Thank you.

Charanjit Singh : Operator, if -- in case there are no further questions, then we can end the call.

Moderator: Sir, we do not have any participants in the queue at the moment.

Charanjit Singh : So okay, then we'll end the call. So ladies and gentlemen, thank you very much for taking out the time and joining the call. We will be connecting again at the time of our full year results. Have a nice evening, everyone. Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

"Adani Ports and SEZ Limited
Q4 FY'24 Earnings Conference Call"
May 02, 202 4

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MANAGEMENT : MR. ASHWANI GUPTA - WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER - ADANI PORTS AND SEZ
LIMITED
MR. PRANAV CHOUDHARY - CHIEF EXECUTIVE
OFFICER , PORTS BUSINESS
MR. SUBRATA TRIPATHY – FORMER CHIEF
EXECUTIVE OFFICER OF PORTS BUSINESS – ADANI
PORTS AND SEZ LIMITED
MR. SUSHANT KUMAR MISHRA – CHIEF EXECUTIVE
OFFICER – ADANI LOGISTICS
MR. D. MUTHUKUMARAN – CHIEF FINANCIAL
OFFICER – ADANI PORTS AND SEZ LIMITED
MR. CHARANJIT SINGH – HEAD OF INVESTOR
RELATIONS AND ESG – ADANI PORTS AND SEZ
LIMITED

MODER ATOR : MR. PRIYANKAR BISWAS – BNP PARIBAS SECURITIES



Moderator: Ladies and gentlemen, good day and welcome to the Adani Ports and S EZ Q4 FY24 Earnings Conference call hosted by BNP Paribas Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Priyankar Biswas from BNP Paribas Securities. Thank you and over to you, sir.
Priyankar Biswas: Thanks Rayo and thanks to the management of Adani Ports for giving us the opportunity to host this Results Con call. So we have the management team represented here by Mr. Ashw ani Gupta, Whole -Time Director and CEO of Adani Ports and SEZ , Mr. Subrat a Tripath y, the former CEO of Ports Business, Mr. Pranav Choudha ry, CEO of the Ports Business, Mr. Sushant Kumar Mishra, CEO of Adani Logistics, Mr. D. Muthukumaran, CFO of Adani Ports, and Mr. Charanjit Singh, Head of Investor Relations and ESG at Adani Ports. So without any further delay, let me hand over the floor to the management for their opening remarks, post which we will have the Q&A session. So Charanjit, over to you.
Charanjit Singh: Thank you, Priyankar. Good evening, everyone, and a very warm welcome on behalf of Adani Ports and S EZ. With regards to this engagement, from our side, there are a couple of changes versus the last call.
Firstly, it is our new CEO, Mr. Ashwani Gupta, who will be leading this engagement for Adani Ports while he was present on the last call along with Mr. Karan Adani. Secondly, we also have our new Ports CEO, Mr. Pranav Choudhary, joining this call for the first time. Before taking over the responsibility of CEO Ports, Pranav was the Head of Container Marketing and has been with the company for close to seven years.
Mr. Subrata Tripathy, who has been the Ports CEO for the last three years, has taken a larger responsibility at the group level. APS EZ team wishes him all the best. With this, now I hand over the line to Mr. Ashwani Gupta for his opening remarks. Over to you, Ashwani ji.
Ashwani Gupta: Thank you, Charanjit . Good evening, everyone, and welcome to the conference call for the quarter and twelve months ended on March 31, 2024, to discuss the operational and the financial performance of APS EZ.
I will first discuss the financial performance of the company, followed by the operational and business highlights of the year. Starting with the financial performance during the year.

Operating revenue for the year is IN R26,711 crores, which is a good 28% year-on- year growth,
ahead of cargo volume growth of 24% year-on-year. EBITDA, after excluding the forex impact,
is INR15,864 crores, which is a healthy 24% year-on-year growth.
Domestic ports EBITDA margin expanded by around 150 basis points to 71% during the year.
Profit after tax increased by 50% year-on-year to INR8,104 crores, despite a write -off of IN R455
crores during the second quarter, resulting from the switch to the new tax regime in one of the subsidiaries, Krishna patnam
Port. Now moving to the operational highlights of the year, APS EZ



recorded a strong 24% year-on- year increase in cargo handling volume at 420 million metric
tons. The growth was reported across all three major cargo categories, with dry bulk registering
a 29% year -on-year growth, container 20% year- on-year, and liquids a nd gas increased by 15%
year-on-year.
During the year, we have achieved various operational and business milestones, particularly
during the year APSEZ handled 27% of total cargo and 44% of the container cargo of India.
APSEZ domestic cargo volume grew by 21%, which is around

three times the growth rate of all
India cargo growth. Ten of our ports from the India portfolio recorded their lifetime high cargo volumes for the year.
Our flagship port, Mundra, handled 180 million metric tons of cargo during the year, which is
16% jump year- on-year. The port handled 7.4 million TEUs during the year, which is 15%
higher than its nearest competitor. Our container terminal, CT3 in Mundra, handled 3.1 million
TEUs, which is the highest ever annual container cargo volume done by any terminal in India.
APSEZ completed acquisition of Gopal pur Port and Karaikal Port, thereby increasing the total
count of our India portfolio to 15. We also entered into a joint venture with MSC for the Ennore
container terminal. Our Colombo terminal receive d a financing commitment of USD 553 million
from the US , DFC. The port is scheduled for commissioning before end of current financial year.
Moving to operational performance of logistics business, Adani Logistics Limited recorded its highest ever volumes across the segment with rail volumes of around 0.6 million TEUs, up 19%
year-on-year, while GPWIS volumes were at 20.1 million metric tons, up 40% year-on-year.
During FY24, we commissioned three logistic parks, taking the total amount of MMLPs to 12
from 9 at the start of the year.
We added warehouses in Indore and Mumbai, thereby taking the total warehousing capacity to
2.4 million square feet. We have also added 34 racks to our existing fleet, thereby taking the
total count of trains to 127 as of March 24 end. Delivery of another four racks is in pipeline.
More importantly, we have launched our trucking business segment to provide last -mile
connectivity to customers from ports, ICDs, and customer premises. During the year, we
operated 900 trucks, and currently we are building this business on an asset -light model
approach. Some color on our third-party marine service businesses.
With contract wins in Sri Lanka, Mexico, and Oman, the total count of tugs in our ownership now stands at 111. We are also pre -qualified for contracts with Saudi Aramco, and in Oman,
Kuwait, and Qatar. This strong operational performance has translated int o robust cash flow for
the company.
As a result, our net debt to EBITDA ratio as on 31
st March 24 stood at 2.3x versus 3.1 at the
beginning of the year, despite a capex of over 7,400 crores. For FY24, the APSEZ board has
recommended a dividend of IN R6 per share in line with our capital allocation policy. This
implies a payout of around IN R1,300 crores. During the year, CARE ratings assigned AAA the
highest possible credit in India to APSEZ, making the company the first private corporate
infrastructure developer to be rated AAA, while S&P and ICRA revised the credit outlook of
APSEZ to stable from negative earlier.



Moving forward with regards to FY25, we expect our cargo volumes to increase to 460-480
million metric tons, resulting in a revenue of IN R29,000 crores -INR 31,000 crores. EBITDA is
expected to be in the range of IN R17,000 crores -INR 18,000 crores. Net debt to EBITDA is
expected to remain between 2.2x to 2.5x, while capex is expected to range between INR 10,500
crores to INR11,500 crores.
We can now open the forum for the Q&A.
Moderator: Thank you very much. The first question is from Mohit Kumar from ICICI Securities. Please go
ahead.

Mohit Kumar: So the first question is, have we taken tariff hike across all your ports in the beginning of the year? And if yes, can you please quantify the average hike?
Ashwani Gupta: Mohit, you're not audible. Can you finally repeat the question and be a bit louder?
Mohit Kumar: Yes, sorry. So, but.
Moderator: Mohit, if you are using a handset, we request you to use the handset. We can't hear you. We seem to have lost the line for Mohit. We'll move to the next question. The next question is from the

line of Alok Deora from Motilal Oswal. Please go ahead. Mr. Alok Deva, you may go ahead with the question. Hello. Hello.
Alok Deora: Yes. Thanks for the opportunity. So, just had a couple of questions. So, first is on the volume guidance. I just wanted to understand this, are we facing any issues related to Red Sea, any slippage of volumes, which we are seeing, because last time you had mentioned about 10% of the volumes are through that route . So, any update you can provide on that, please?
Ashwani Gupta: Thank you. Thank you for your question. Absolutely, we are not facing any challenge, which should impact our growth. And whatsoever, risk we have, we are covering it with additional opportunities. And especially if you can see the trend of the growth, whic h we are seeing in the cargo volume, the results from the April are itself demonstrating that in April, we showed 12% growth with respect to the last year month. So, obviously, starting the year, we are keeping a range between 460 million me tric tons to 480 million metric tons. And moving forward, we are minimizing the risk and maximizing the opportunity. And we are very confident of delivering growth trend.
Alok Deora: Sure. And also, the capex, which you have guided for FY '25, if you could just elaborate some of the key areas that you are looking for this capex, spending this capex?
Ashwani Gupta: Yes, no, I think last year, we did INR7400 crores of capex. And as on one side, we are delivering the operational excellence by utilizing the assets, but on the other side, we are investing for the future. And for next year, we decided to have an increase, we have given the range.
So, but if I take the higher part of the range, which is 11,500, we are going to invest roughly 7300 in the ports. In the marine services, as we said, 111 tugs we have, and we are going to allocate roughly INR400 crores in the marine services. Logistics business, which consists of the


agro silos, but also, as I said, that one of the most important strategy we have for FY '25 is about the last mile connectivity.
And last mile connectivity is all about warehousing, it's all about the trucking. And as we have started the trucking, and the logistics parks, we are allocating roughly 2300 for the logistics.
Having said that, we are on our track for the decarbonization. And we are investing in the energy, approximately INR1500 crores.
So, clearly, on one side, improving the operational excellence, on other side, investing for the future. And finally, working for the decarbonization, all put together, we are allocating capex of
11,500, which is much higher than 7400, which we considered last year. Having said that, because of our financial discipline, with the maximum utilization of our assets, our net debt to EBITDA ratio, we are keeping still between 2.2 to 2.5. That's the overall capex allocation strategy which we have for FY '25.
Alok Deora: Sure. Thanks for the elaborate answer. So, just one last question from my side. So, in the logistics business, we have seen, especially in the fourth quarter, the growth has been pretty muted. And even the margins have come off quite materially, if you look at Y -o-Y, or even if we compare it with the four-year performance. So, what's happening on the logistics side? Is it more of a one - quarter thing? Or how do we see this ahead in logistics, or in terms of revenue also? And where would the margi ns settle now?
Ashwani Gupta: So, the trucking business is a business which should not be considered standalone because it connects the dot. It connects the dot with the end customer, end user, which means using the truck, more and more consignment will come to our ICDs. And once more and more consignment comes to our ICDs, definitely they come to our port.
So, there are two ways of increasing the cargo volume. One is getting from first mile to

the last
mile. But another way, which is also very important, and considering the way India is growing on Ex-Im, to also connect the last mile to the first mile. That's why the trucking standalone business is sufficient enough to bring additional businesses to our ICDs and the ports. So, that's the strategy behind the last mile connectivity.
Alok Deora: Sure.
Charanjit Singh: And if you also look into the overall numbers for the full year, you'll see that the revenue growth is in line with the cargo growth for the logistic business. So, it's only in Q4, there is a bit of an impact, which is primarily because some of

the agri si los contracts, which have completed 10
years, their billing is reduced, which is as per the contracts. Otherwise, if you look at the full
year numbers, both from a revenue perspective, and also, if you look into the nine -year number
from t he margin perspective, the numbers have been relatively strong and aligned to the volume
growth.
Alok Deora: Got it, sir. So, next year, we could be looking at 15% sort of a growth year or could be higher?
Charanjit Singh: So, it is baked in our overall guidance.


Alok Deora: Got it.
Charanjit Singh: Because we don't give segment -wise guidance.
Ashwani Gupta: So, as I said, the trucking business is to connect the dot, the last dot. So, that's why it's
consolidated in the overall increase of volume, revenue, and EBITDA.
Alok Deora: Got it. That's all from my side. And thank you. And congratulations again on very good numbers. All the best.
Ashwani Gupta: Thank you for the compliment.
Moderator: Thank you. The next question is from the line of Atul Tiwari from Citigroup. Please go ahead.
Atul Tiwari: Yes, sir. Thanks a lot for the opportunity. And congratulations on a good set of numbers. My
question is on the trucking business again. So, these 900 trucks, you have bought on your balance
sheet or you are just like hiring them and running?
Ashwani Gupta: Yes, these 900. So, basically, the strategy for the trucking business is asset -light. When I say
asset -light, which means where we have a confirmed mid- to long -term contract for the last mile.
And we see that based on the TAT, which is truck turnaround ti me, we can maximize the usage
and minimize the depreciation. We are going for our own assets. Where we believe that there is
a flexibility and the last mile is case -by-case, we are going for aggregator model.
So, because we have started, at present, I would say we are setting up the processes. We are
setting up the end -to-end digital platform, which should connect from our port to our yards, to
our trains, and to our ICTs, and finally to the truck, and finally to the customer. So, this is what
we are preparing. As and when we move forward, the way this business will evolve, we will see
what would be the best mix in the asset -light model, and what will be the mix which we will
own, and what will be the mix which will work on the aggregator model. As of today, these 900
trucks we bought because there is a mid- to long -term commitment from the customer for the
last mile delivery.
Atul Tiwari: Okay, sir. And my second question is on the renewable energy investment of INR1,500 crores .
So, what kind of investment Adani Port will be doing? Like, is it setting up its own solar park
or what kind of exact investment is that?
D. Muthukumaran: Hi, this is Muthukumar. We have said that we will do 1000 megawatts. It is a combination of
solar and wind. And in order to actually leverage the group's capability, we will put it up in an
existing solar park in Khavda. So, that's the progress that is already happening. So, we have
started putting it, and we should see that come through during the course of the year and next
year.
Atul Tiwari: Okay. And then from there, it can probably scale up?
D. Muthukumaran: We are talking about 10

00 megawatts. So, we are actually good for a while to come now. So, we don't necessarily need to scale up. But we will keep an open eye. And, if there is a good
opportunity, we'll react at that point in time.


Atul Tiwari: 1000 megawatts should cost about like [0:21:21 INR40, INR50 billion], right? So, basically, the
investment will happen over a number of years, like [INR15 billion] in the first and then.
D. Muthukumaran: Correct. We have invested already some. Okay. And we will invest some more, we will actually
have about 250 megawatts coming through in the quarter one. And, the rest over a period of time. So, it's being done in parts. You're right.
Atul Tiwari: Okay. And the power generated will be used by Adani port for its captive purpose or is it for
sale?
D. Muthukumaran: So, it is for captive. And if there is extra, we will sell it.
Atul Tiwari: Okay, thanks.
Moderator: Thank you. The next question is from the line of Yunyun Bai from Barings. Please go ahead.
Yunyun Bai: Thank you for the opportunity. I just want to ask what's your plan for the July '24 bond? And
also any plan to come to the dollar bond market in the near term? And if I have another question,
I also want to know what's your thought on the international M&A next year? Because
previously, I think you were talking about grow overseas, but I think in the latest capacity, it's

all about expanding the existing port. I wonder what's your thought on the acquisition side?
Thank you.
D. Muthukumaran: Yes, sure. Thanks a lot. As far as your question on our July bonds are concerned, we already have cash in the balance sheet of the company, as you would notice. So, we will actually pay it off on the due date. And it is already there in the balance sheet t oday. And we keep generating cash as well as we go forward. So, we have no intention to come to the bond market in the near term. And as far as the question on international M&A is concerned, yes, go ahead.
Ashwani Gupta: Thank you, Ashwani here. So, thank you for that question. So, as you correctly said, we are maximizing the cargo coverage in India. And of course, we have Israel Haifa, which is growing. We have Sri Lanka one, which should be ready for taking up the cargoes. And moving forw ard, now we are studying and under discussion of further expansion in the international ports. And as and when we will be finalizing it, we will be very happy to share with you in the near future.
Yunyun Bai: Okay, thank you.
Moderator: Thank you. The next question is from Asmeeta Sidhu from MetLife Investment Management. Please go ahead.
Asmeeta Sidhu: Hello, management. Thank you very much for taking my question. I just have a quick question regarding the current audit opinion. I noticed it is still qualified at this point. Could you share if there is anything the auditors are looking for or sort of wa iting for before we can see the reversion in the opinion? Thank you.
D. Muthukumaran: Sure, thank you. See, as far as the qualification is concerned, it just is continuing with what you have seen in the past. And a definitive conclusion has happened when Supreme Court on 3rd of January dismissed all the plea other than what SEBI is currentl y investigating.


And they have suggested that SEBI should bring this to closure on an expedited manner. Because there is no time period defined as an outer limit, and it is only three months or thereabouts since this has come, the qualification is continuing. It is only a matter of time before the qualification should get dropped. And we are, from our point of view and from our side, working sort of towards closure of these outstanding SEBI investigations. And we look forward to seeing this drop off in times to come.
Moderator: Thank you. The next question is from the line of Bharani Vijay

akumar from Avendus Spark. Please go ahead.
Bharani Vijayakumar: Good evening, gentlemen. My question is on the volume guidance for 25. So, the lower and the upper end of the guidance indicate that we are considering about 10% to 14% year-on-year growth. So, and looking at the sequential growth of, say, container, coal, so it is in single digits. In fact, in coal year -on-year, sorry, the sequential growth is flat. So, can you highlight what is your view on, say, container and coal vol ume growth in FY '25? Definitely, I think there is some moderation in assumptions you have made. So, which you think is going to grow at the least, according to you?
D. Muthukumaran: Yes, I think it is important to highlight the background with which we are entering the coming year. This year, we have actually achieved a 23, I mean, 24% growth when the market has actually grown, 7-odd percent. So, and if you see our growth this year, we have grown across. We have grown in the areas that you mentioned, which is coal, cargo, container, and we have also grown in other areas, you know, liquid, new LPG that has come, new LNG that has come. And as far as FY '25 is concerned, we expect, you know, a reasonably well -distributed growth across coal and sort of container cargo. There is no spike from any particular commodities other than the new facilities coming in. LNG will ramp up a little bit that is there in Damra, but otherwise, there is no unique characteristic of this growth that we have seen.
Ashwani Gupta: Now, I think to add on what is very important that we are focusing on two by two, which means how to have a balanced mix of the commodities, and number two is how to have the balanced mix of our ports. So, if you please see our results of FY '24, you will see that all the three main cargoes have grown a double digit. Then when it comes to the ports, we can see now a good trend between the west coast and the east coast and the south.
And this is how we are moving forward, that how we maximize all of our this 7,800 coastal line of ports by the ports connectivity, so that we connect to the last dot of the India growth. And that's why our focus is, in addition to the ports, how we maximi ze the ports connectivity with railways, warehouses, and the trucking. Especially on the container, definitely because we are starting the T3 in Mundra, and definitely that is also bringing the additional growth in the container segment. So, that's why the commodity mix and the port mix, both are very important to capture the maximum growth.
Bharani Vijayakumar: So, to summarize, you are expecting balanced growth in both containers and coal, which is a tune of 10% to 15%?
Charanjit Singh: Yes.

Bharani Vijayakumar: Okay. So, coming to the next question on...
Charanjit Singh: Before you jump to the next question, because your question is being driven by the single digit growth at the All India Cargo, right?
Bharani Vijayakumar: Also, our single digit growth in... So, when you compare last quarter to this quarter?
Charanjit Singh: No. I think what you need to look at is more as a Y -o-Y basis. And if you look from a Y -o-Y basis, that's what Muthu and Ashwani ji both referred to, that we have seen a double digit growth. Rather, even if you remove Haifa out of the picture, right, our cargo volume growth is 21%. And in that, if you look at what the bulk has been, dry bulk, it is 27%. If you look to liquid and gas, it is 15%. If you look to containers, that is 16%.
So, for us, while the India cargo growth was 7 percent, we were at 21 percent within the domestic market. So, three times that. And that's what I'm saying is just with addition of one single port, which is Karaikal at the start of the year. Even if you rem ove Karaikal out of the picture, one of the -- you can say more like an apple to apple comparison of what we had, the assets, what

we
had in FY '23 and the assets in FY '24, the same port, our growth was 18%.
And therein, if you look to the three cargo types broadly, then the dry was, dry bulk was 20%, liquid was 15% and container was 16%. So, all three segments have grown and we have grown much faster on an organic basis in comparison to the average of India market, which has also been the case in the past year when there was no acquisition.
Bharani Vijayakumar: So, I appreciate that, Charanjit. So, of course, I will take this offline. My major part of the question was answered. So, the second part of the question was on this under construction port projects that we have. We have told that INR7,300 crores is what we would spend on capex for ports . But does this mean all our port under construction capacities would be over or get commissioned this year or what would be there happening in the subsequent years? Meaning, I just want to know what ar e all the under construction projects and what will be the capex till it gets completed until it's commissioned over the next one or two, three years?
D. Muthukumaran: Yes, sure. See, there are new two projects which are being worked on, both Colombo and Vizhinjam. Both are going full stream and we have given broad guidance of when they will actually start. As far as expansions in the existing ports are concerned, the major expansion actually will happen in big ports that we have, which is Mundra, Damra, Hazira -Dahej combination, and on the east coast, little bit on Gangavaram and Krishnapatnam. So, frankly, once again, growth is happening across. And to your question specifically on greenfield projects, by the time we exit next year, both the ports should come in commercial operation and what will be left with in terms of capex is only the post -completion payments…that we need to do. So, everything else w ill be paid in this year.
Bharani Vijayakumar: Okay. Last question, have we stated for [Gopalpur 33:18 operation] is it in the cash flow statement in the 2024 balance sheet?
D. Muthukumaran: No, it's not been paid yet. We are waiting for approval from the government of Orissa. So, we expect that Q1, we should actually close this transaction. And the cash balance that we have,


again, is sufficient to pay for this as well as for the earlier point that I made, which is July bond, which is maturing. So, we have cash in the balance sheet to pay from our cash balance.
Bharani Vijayakumar: Okay. And I see about INR3,100 crores of cash that has gone towards acquisition of subsidiaries in 2024. What is that for?
D. Muthukumaran: So, it's basically land acquisitions and advance for acquisitions that we have actually paid. So, it's all for logistic business.
Bharani Vijayakumar: Okay. Thank you so much for answering my questions. All the best, gentlemen.
D. Muthukumaran: Thank you.
Moderator: Thank you. The next question is from the line of Ankita Shah from Elara Capital. Please go ahead.
Ankita Shah: Hi, thanks for the opportunity and congratulations on a good set of numbers. Sir, I wanted to understand on the SEZ income why is it that it is structurally coming down? And what is the view on that going forward?
Ashwani Gupta: Sorry, we didn't get you. Can you please repeat?
Ankita Shah: Sure. Definitely. I wanted to get your thoughts on SEZ income, sir, earlier. It used to be a big number, then it has structurally come down.
Ashwani Gupta: You talked about SEZ income?
Ankita Shah: Yes.

Ashwani Gupta: Okay.
Ankita Shah: So, what is your thought on it? Why is that structurally coming down and where it will go going forward?
D. Muthukumaran: Yes. Sure. Okay. See, there are two parts of income from SEZ. One is what we get on an annuity basis, whenever we actually give the SEZ piece of the land to a unit. That we are actually forecasting and it is there in the numbers that you se

e.
Then, we also get, whenever we do either advance payments on lease, or actually when we sell the land on SEZ, we actually monetize rather. So, we have assumed that next year there is going to be no big monetization. Fundamentally, because there is a captive demand and the total actual units coming up in the current year from already committed lease are pretty large.
So, therefore, we are not working on monetizing any more land. But that said, it will be appropriate for me to highlight that as far as the land bank on SEZ is concerned, across ports, the three main ones that is actually presented in the investor deck, w e have been sort of increasing our land bank.


And Mundra have pretty large sort of unutilized SEZ that is being sort of put in the market, as well as the other ports, Krishnapatnam and Kattapalli. So, and we also are working on Dhamra . So, we are working across. So, our land bank is increasing. So, therefore, you know, our long term sort of plan for this is going as per what we've explained in the past.
Ankita Shah: Got it. Also, sir, are we trying to be a bit conservative on the growth rate that we are assuming for the next year in terms of cargo volume growth?
Ashwani Gupta: So, I think I would say that I will not call it conservative. I will not call it optimistic. I will call it neutral, which means we have already started April and we have finished April with more than 12% growth. So, definitely, we are keeping a guidance t o start with. And definitely, as we move forward, we minimize the risk, maximize the opportunities, as we can already start seeing the opportunities in our ports, whether it is Dhamra or it is Krishnapatnam or it is Mundra. We already starte d seeing the opportunities, but also we have some small risks.
So, as we move forward, as we are very much confident to keep the growth trajectory very balanced between west, east and south and very balanced between the three commodities.
Ankita Shah: Got it. Okay, sir. Thank you and I wish you all the very best.
Ashwani Gupta: Thank you.
Moderator: Thank you. The next question is from the line of Rajarshi maitra from InCred Capital. Please go ahead.
Rajashri Maitra: Hello. Yes. Thanks for the opportunity. Hello.
Charanjit Singh: Yes.
Rajshri Maitra: So, when you are giving the guidance for next year, how much are you factoring in from Gopalpur and any other acquisitions or new projects, completions, which will contribute to your volumes in the next year that you factor in?
Ashwani Gupta: Yes. So, in the guidance, so we target to get all the approvals in the quarter one. So, roughly, we have taken an estimate for the nine months, which is between nine, around 9 million metric tons. Of course, this is an estimate based on what we know today about the Gopalpur, but once we will start managing it fully, definitely we will see the further opportunities on it.
Management: He also asked about the new Greenfield projects. Okay.
Ashwani Gupta: So, today, at present, we do not have any new Greenfield projects, which are coming up, as our CFO has expressed before. For us, after starting the T3, then Vizhinjam and then the WCT, these are the projects which we are completing. Having said that, we are always open for any kind of opportunity, as I said before, especially internationally, to capture any opportunity to bring the further growth in our portfolio.
Rajshri Maitra: Thank you, sir. Thank you for that answer. That helps a lot. Thank you. Thank you.


Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead..
Pulkit Patni: Sir, thank you. A couple of questions. Part of it, you did answer Gopalpur what assumptions you have taken. Are you also taking any numbers from Sri Lanka for next year in your gu

idance?
D. Muthukumaran: Not material actually. We are expecting both Vizhinjam and Sri Lanka to come on stream this year, but it

will be a very small contribution to the volume.
Pulkit Patni: Got it. So, my second question is more longer term. I mean, we are pretty much - as I look through a presentation on the Indian map you have, there is not a place where you can put in one more dot to now acquire in India. So, I am just thinking about how should we look at the next three, four years in terms of our growth strategy, what all international geographies are of interest for us from a trade perspective, etc.
So, if you just talk about how the next three, four years for us are going to look like or if my question is not right, is it true that bulk of our focus is going to be in ramping up the logistics business and inline logistics rather than grow our portfoli o overseas?
Ashwani Gupta: So, no, thank you. That is a great question. I would say any opportunity which comes up, definitely we will assess it and we will go for it. Now, the point is, if we see what we have done is always delivered twice or thrice then the India growth.
So, if I say that India is going to grow around 6% to 6.5% in the cargo, definitely with the operational excellence we have, with the customer base we have, with the confidence of our stakeholders whether the shipping lines or whomsoever and our strategic positioning of the port on the India coastal line definitely anything between twice and thrice is very credible looking at what we have delivered and we are delivering which means if India cargo is growing between 6% to 6.5%, for us to grow between 12% to 14% will not be a surprise because we are strategically positioned to cover that trade. That's the first part of it.
The second part of it, now, where the additional growth will come from? The additional growth will come from definitely, as we talk, the game changer
Vizhinjam which is going to be a
transhipment terminal. That is something which is an untouched potential in India and definitely it will start with the transhipment, but I am pretty sure that it will turn into a very high potential EXIM cargo in the near future and with all the infrastructure ecosystem which w ill be developed around that port whether it is railways or logistics parks or the highways definitely that untouched potential will come.
As the second thing which I would like to say is all the investments which we are doing on the port connectivity in collaboration either with the central government or with the state government will help us in having more access to the cargos. So, as I sai d, trucking is a very small thing.
We talk about the railways like the Dhamra which we believe is the potential for the future. We are doubling our railway line. We are getting more investments over there. So which means 12%


to 15% is not a surprise if India is growing between 6% to 6.5%. So, that is where we see in the coming 3 years to 5 years the growth in India.
Having said that, our next or our continued efforts are to go international, but to go international is not the objective, but to go international profitably which can sustain the cargo traffic is the objective. And that's why the strategic positioning of Haifa in Israel, the strategic positioning of WCT in Sri Lanka are the examples that we are choosing our bet for the international expansion purely driven by the business opportunity.
And next, what we are studying is exactly the same cargo traffic whether it is Middle East, whether it is Southeast Asia, whether it is Africa or it could be Mediterranean And that's where we will move forward so that we go for strategic acquisition slash partnerships for these four.
So, that's what is our 3 to 5 years strategic roadmap to grow sustainably every year. Sure, sir.
Pulkit Patni: Sure, sir. Good luck for those end

eavours .
Thank you.
Moderator: Thank you. The next question is from the line of Ruixing Lin from Goldman Sachs Asset Management. Please go ahead.
Ruixing Lin: Thank you, Management. And congratulations on the results. So, just maybe going back to your topics on renewable energy funds. So, we would like to understand how you are thinking about doing the renewable energy itself given that your sister company, Ada ni Renewable, is kind of one of the largest players in this field.
So, what makes companies to make this decision and decide to do this two-career work yourself instead of sort of procuring or buying green energies from them? And my second question is, can you share what's the source of solar panels? Sorry, your second question wasn't clear.
D. Muthukumaran: Sorry, your second question wasn't clear. Can you just repeat the second question? Source of solar panels. Okay. So, source of solar panels, we are actually going to import from China. To your question on first, why we are doing, I think it's the most responsible way as a corporate to own the renewable asset from ESG perspective than necessarily to actually have just a contract for supply. Because basically our supply will come from the place where actually generation is sort of most effici ent. So, it will become too distant for us to actually do a contract or source it.

So, we want to own the asset and from ESG perspective.
Ashwani Gupta: So, I mean, this is very precise. You know, there are two things. One is we want to go for decarbonization. That's what APSZ is looking for. Definitely one of the most important contributor is energy and that's why we want to go for renewable energy. The s econd point is because Adani Green, what we need?
We need a cost competitiveness for the energy. So, going decarbonization is important, but going for a cost competitive decarbonization is more important. And because they are going for an economy of scale to generate the renewable energy, that's why they are competitive.


And that's where it's a win-win situation for us, that our decarbonization objective is fulfilled by getting a cost competitiveness for our force. And that's why we are investing in the renewable energy.
Ruixing Lin: Understood. Very good. Thank you very much. Thank you so much.
Moderator: Thank you. The next question is from Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia: Congratulations on the strong results and thank you for the opportunity. Yes. And the first question that I had was more to do with the margins in Mandra that have expanded quite meaningfully from 62%, 63% to about 65%.
I wanted to get a sense that whether margins in that area can further expand to, let's say, 68%, 69% levels that you've seen at the assets that you own and maybe higher given recent price spikes taken by your competitors. And obviously, projects like Kandla that have a large capital cost associated with them.
Charanjit Singh: So, Aditya, while your question was not fully audible, but correct me in case I don't answer it properly, you will have to repeat the question. So, I think you are talking about the expansion of margins at Mundra. So, see, there are two things. One is with the growth in the volumes, which we have seen at Mundra. So, that brings an economies of scale and that helps in improving the margin. That's point number one.
Point number two, that given our container terminal, higher the volume at CT 2, the container terminal, which is fully owned by APSEZ and is not under the joint venture mechanism, the entire revenue share and the profits accrue to APSEZ. So, as the volumes increase on that terminal, the profitability of APSEZ will, or particularly M undra port, will continue to improve.
I hope that answers your question.
In case it was a bit different, then please repeat the question again.
Aditya Mongia:

Yes. So, just to kind of clarify more on the question, while your response is very useful, are the scope of taking validation increases in Mundra more and more from KROG? That was one of the most important questions.
D. Muthukumaran: See, yes, you're asking whether there is scope to realize more, correct?
Aditya Mongia: Increase the pricing over that, yes.
D. Muthukumaran: Price. So, it will increase. The trend is that it will increase. You know, we expect the past trend to just continue.
Aditya Mongia: Okay. Understood. The second question that I had was more on, while not going into the breakup of the capex, it's kind of consuming two-thirds of your EBITDA for next year. This year, this ratio is broadly half and probably pre -COVID, these numbers were ki nd of less than half of your EBITDA. In this kind of scenario, kind of sustaining, do you envisage kind of returns improving only with the lag? Or do you think there is scope of improving, let's say, return ratios for your portfolio and probably in specific logistics?


D. Muthukumaran: No. So, we don't expect any lag in this. For example, you know, INR1,500 crores that you see for renewables is actually going to start generating cash on day one. Okay. That's 15%, which in itself actually explains two -thirds versus half difference that you spoke about. And then our investment in ports continue to be in the similar kind of assets that we have done expansions.
The two big greenfields is coming actually to a closure next year, which is Birmingham and WCT. So, we don't expect any lag to happen from returns perspective.
Charanjit Singh: And if you also see the data points in the presentation deck, right, on the return on capital employed, and if you see the last three years of data, then you see that the return on capital employed is improving. Because as the asset base increases, because in the last two years, we have made a good amount of, for last three years, you can say, post -COVID, we have made a good amount of investments, right, and considerable, sizable investments compared to the asset base what we were having

pr ior to the COVID. So, there was, and given that the majority of that
was acquisition, right, so the revenue generation and the returns started coming from the day
one.
And more importantly, these were acquired at the right price. So, that is the reason why you are
seeing an improvement in the return on capital employed as we have made efforts to monetize
this asset, particularly turn around some of the assets in terms of increasing the revenue and the
margin. So, I think what Muthu said is that we will continue to see an improvement in the return
on capital employed, particularly given that two large leased projects are coming for completion
in this current financial yea r.
Aditya Mongia: Understood. And just to kind of clarify, since you put capex and set up a renewable power plant,
which is for capital use, your portability margin should start kind of improving from later year
too. Is that the right way of thinking through?
Ashwani Gupta: Yes. Yes. The answer is yes, to be very precise.
Aditya Mongia: Understood. And just lastly, on the logistics piece, I heard this comment coming from your side that the
investment in subsidiary line items, INR2,000 crores or INR3,000 crores is focused on
logistics. Could you give us some sense of where this money has b een spent, whether it's in land,
equipment, and which line of work, whether it is ICD or something else, for us to kind of better
appreciate? It's a large number. That's what I'm trying to get a better sense.
D. Muthukumaran: Yes. So, it's a combination of all. But this year, what you're seeing, a large part of it is land. I
think we've explained some time ago that basically the way to look at our balance is threefold.
One is actually the port asset. One is the land bank that w e are c

reating. And third is the logistics.
So, land bank clearly is actually a big opportunity that we are working on. And we have mentioned that we are looking at
creating multi -modal LPs across industrial belts of India.
So, therefore, we are actually building land banks. So, the large part of what you see in the
investment in subsidiaries that you're talking about this year has gone to land. But we have also
invested in railway rakes. We have actually bought – you would have seen that our rakes have
gone up to 127. And we have built three MMLPs this year. And we have also actually increased
our warehouse to 2.4 million. So, investments have gone in these assets as well.


Aditya Mongia: Understood. Sure. Those are my questions. All the very best. Thank you.
D. Muthukumaran: Thank you.
Moderator: Thank you. Next question is from Ketan Jain from Avendus Spark. Please go ahead.
Ketan Jain: Good evening, sir. I just have one question. With healthy free cash flow generation, what kind
of dividend policy, payout policy are you looking at? Are you going to increase it from, say,
15% to 20% just currently in the next two to three years?
D. Muthukumaran: Yes. By and large, that's what it is.
Ketan Jain: Hello. Sorry. I couldn't hear you.
D. Muthukumaran: Hello?
Ketan Jain: Oh, yes. Yes, sir.
D. Muthukumaran: Yes. Sorry. We're just saying that we are actually talking about being in the – we have increased
the dividend this year, you might have noticed. We've been giving INR5 per share. We have now increased it to INR6 per
share. So, you know, it will keep incre asing as we see a secular
underlying growth in the cash that we generate.
Ketan Jain: Okay.
D. Muthukumaran: Thank you.
Moderator: Thank you. The next question is from the line of Nikhil from Bernstein. Please go ahead.
Nikhil: Hi. Thank you for taking my question. My first question is on volume growth guidance. So, FY25 – FY24, good to see
good support come from bulk cargo growth, especially coal. But now
it seems – I mean, from a growth perspective, with coal India ramping up production, captive
coal mines coming up, do you expect container to bear the brunt of the entire growth or majority
of the growth coming into FY25? Or is growth in bulk also built in?
Charanjit Singh: Nikhil, if you look to the numbers in a bit of more detail for our FY24 numbers, then you can
see – and I mentioned this earlier also – on a like -to-like basis, apple -to-apple comparison, our
cargo volume growth rate, excluding Haifa and Karaikal, was 18%. And in that 18%, dry bulk
was 20%, liquid gas 15%, and container was 16%. So, the growth in coal which you are talking
of, we have been seeing this for the last two years.
The thing is the demand remains – the change is happening between EXIM and COASTAL .
With respect to – if you are talking of the container, rather the container volumes were subdued
given the global economic issues, namely Europe and US. We are seeing a recovery in the container demand also now,
though we have done much better than the India average, but we are also seeing a recovery.

And that's the reason why, if you look to the growth of Mundra and the volumes which Mundra had delivered on the container side, we are doing one of the best in the history of this company and the history of the Mundra. So, with regards to – I think we are seeing an overall growth from all the three segments, and which Ashwani ji also earlier referred to, that's what our objective is and that's what we have been seeing also.
Nikhil: Right, understood. My second question is from a forward view. I mean, since the government is looking to play more of a landlord model in major ports, do you see any opportunities coming up for terminals or similar such opportunities within India on that s ide?
Ashwani

Gupta: Yes, I think as I said before, we are always open for the opportunity if it is driven either by the business need or by the business potential.
Nikhil: Sorry, but any other discussion right now or is that still nothing to comment on?
Ashwani Gupta: We always keep opportunities on the table. So, obviously, discussions are going on, but when it will be realized, definitely we will be sharing with you.
Nikhil: Perfect, understood. Thank you. Those are my questions. Thank you.
Moderator: Thank you. That was the last question. I now hand the conference over to Mr. Priyankar Biswas.
Priyankar Biswas: I would want to thank the management for giving us this opportunity to host the call. I think some of the investors, they wanted to ask this question and their lines got disconnected. So, if the management can oblige, that would be great.
So, one of the questions there was, for the new investments that you are making like the new capex, what is the sort of hurdle ROC that you are expecting? And also, just like you give targets for your logistic segment for FY29, so is there some aspiration al volume target for FY29 for the ports business? So, those are the questions.
D. Muthukumaran: See, two points. First one, as far as the hurdle rate is concerned, we look for equity return of 15%. And we work with 60-40 debt equity ratio. And our long-term cost of debt is 7 -7.5%. So, the rest is math. And as far as your question on long-term volume guidance, we have already said that actually the next milestone for us is a billion ton. So, the company is working on that.
Priyankar Biswas: Okay, sir. That is great to hear. So, I will hand it back over to you for any closing comments that you may have.
Charanjit Singh: We would like to thank everyone for taking out the time to join this call. And we look forward to our next call, which will be towards the end of July, early August, once with the Q1 numbers, while we continue to report the monthly volumes on an ongoing ba sis. So, thanks, everyone. And looking forward to seeing you or basically listening to you in the next call. Thanks. Bye.
Moderator: Thank you very much. On behalf of BNP Paribas Securities, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

# Call: Aug 2024



"Adani Ports and SEZ Limited
Q1 FY'2 5 Conference Call "
August 01, 202 4

MANAGEMENT : MR. ASHWANI GUPTA – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER – ADANI PORTS AND SEZ
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MR. PRANAV CHOUDHARY – CHIEF EXECUTIVE
OFFICER , PORTS BUSINESS – ADANI PORTS AND SEZ
LIMITED
MR. DIVIJ TANEJA – CHIEF EXECUTIVE OFFICER ,
ADANI LOGISTICS
MR. D. MUTHUKUMARAN – CHIEF FINANCIAL
OFFICER – ADANI PORTS AND SEZ LIMITED
MR. RAHUL AGARWAL – HEAD OF INVESTOR
RELATIONS AND ESG – ADANI PORTS AND SEZ
LIMITED

MODE RATOR : MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL



Moderator: Ladies and gentlemen, good day and welcome to Adani Ports and S EZ Limited Q1 FY '25 Earnings Conference Call hosted by PhillipCapital India Private Limited. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of th is call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call please signal an operator by pressing sta r then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikram Suryavanshi from PhillipCapital. Thank you, and over to you, sir.

Vikram Suryavanshi: Thank you, [ Dell]. Good afternoon, and a very warm welcome to everyone. On behalf of PhillipCapital, I'm pleased to welcome you all on the Earnings Call of Adani Ports and SEZ Limited for First Quarter of Financial Year 2025. We are happy to have the management with us here today for question and answers session with the investment community. Management is represented by Mr. Ashwani Gupta, Whole -Time Direc tor and CEO, Adani Ports and SEZ; Mr. Pranav Choudhary, CEO, Ports Business, Adani Ports and SEZ; Mr. Divij Taneja, CEO, Adani Logistics; Mr. D. Muthukumaran, CFO, Adani Ports and SEZ; Mr. Rahul Agarwal, Head of Investor Relations and ESG Adani Ports and SEZ. We will begin with the opening remarks from the management, followed by interac tive question -and-answer session.

With this, I hand over call to Mr. D. Muthukumaran. Over to you, sir.

D. Muthukumaran: Thank you. Thank you very much. Good afternoon to all of you. Thank you very much for your time. I am Muthukumaran. I just wanted to take a moment to bring on board and introduce Rahul Agarwal. He has taken over Investor Relations and ESG from Charanjit . He will moderate this call, and he'll be a point contact for Investor Relations.

Over to Rahul.

Rahul Agarwal: Thank you, Muthu. Good afternoon, everyone, and a very warm welcome to our earnings call for Q1. We will commence with Ashwani's opening remarks. Over to you, Ashwani.

Ashwani Gupta: Good evening, and welcome to APSEZ earnings conference call for the quarter ended 30th June 2024. FY '25 began on a s tellar note on both the growth and the financial fronts. On the growth front, we handled 109 million metric ton cargo in the first quarter, which is up 8% year -on-year,

excluding the impact which we had because of non-operational days in Gangavaram. We won 2 concession agreements to operate terminals in Tanzania and Deendayal Port.
In addition, we won an O&M contract for a container facility at Syama Prasad Mookerjee Port, Kolkata. Also, we welcome the first mothership at our Vizhinjam port and our marine services business deployed a tug each in Mexico and Sri Lank a. We feel immensely proud to announce that 4 of our ports got featured in World Bank's Container Port Performance Index 2023.


Now moving to the Logistics business. Our Logistics business reported rail cargo at 0.16 million TEUs and GPWIS volume at 5.56 million metric tons. We added 4 rakes and expanded our warehousing capacity to 2.9 million square feet. Agri silo capacity was at 1.2 million metric tons and is expected to increase to 4 million metric tons on completion of the projects underway.
On the financial front, Q1 FY '25 has been our strongest quarter till date with highest -ever revenue, EBITDA and PAT. Our operating revenue for the quarter stood at INR7,560 crores, representing a 21% year -on-year increase.

Our EBITDA, excluding forex impact for the quarter
stood at INR4,848 crores, up 29% year -on-year. Domestic ports EBITDA inched higher by 32 basis points to 72%. Profit after tax stood at INR3,107 crores, up by 47% year -on-year. CARE and ICRA upgraded APSEZ's credit rating to AAA, while S&P upgraded its outlook to positive from stable, driven by improving scale and diversification.
We also draw your attention to the fact that based on in -depth legal and accounting review undertaken by the Adani Group and considering all other relevant factors , the auditors have dropped the qualification, and it is now an EOM, emphasis of m atter. During the quarter, we won several awards, mostly notably, APSEZ clinching the prestigious title of best portfolio for the year containerise d in the private sector and AICTPL being honored as the best container terminal of the year at the India Maritime Awards. Overall, a very strong start to the year. Thank you.
We now open the forum for Q&A.
Moderator: Thank you. The first question is from the line of Parash Jain from HSBC. Please go ahead.
Parash Jain: I have 2, I believe. So first, on APSEZ portfolio development. We have seen that we have port development revenue about INR627 crores. Could you give us what are the future potential pipeline in the remainder of the year and the following year for us to understand better on how to think about this line item? And my second question, more pertinent is, more on -- if you can just give us a quick recap of all your recent investments, particularly in the capex attributed to Tanzania, the progress that has be en made with respect to Colombo and what is your near -term expectation from within them? Thank you .
D. Muthukumaran: So your first question was on core development with INR600 crores revenue. It is actually where we have done the stake sale in order to finally [mark ], MSC through the intermediate holding company. Basically, in the past, when we were operating the port, all the sort of expenditure and losses were debited to the P&L account as required by the accounting standard. And therefore, the carrying cost of this in our books has significantly come down on account of the past losses during the ramp -up period. And now when we have sold it, while we have sold only 49% we have to -- as per the accounting standard, compare the process with the book value. So the difference is actually put in there as 600 crore for development costs. To your following question on this aspect of what is the pipeline, actually, we have been mentioning that we are on the lookout for all strategic opportunities. We developed both inherently on our own strength to run it by our sales . Every now and then we get an opportunity to [ inaudible 0:08:53 ] incoming interest. And we will actually sort of react and we'll do the deal based on the rest of individual transactions.


To your next question on investment in Tanzania and Colombo. Tanzania, we have announced a deal a while ago, and we have been waiting to get the concession agreement. We signed the concession agreement and all the CPs are over. And therefore, we concluded the deal in the last quarter. I mean almost towards the end of the quarter, late June. We have been operating that terminal for the past 1.5 years. It is actually a business as usual for us. So we expect that to continue.
And in the long term, we are sort of -- we are planning to actually both enhance the volume as well as actually sort of modernize the port in terms of sort of mechanization. All these at this point in time, as far as our business plan will be self -funded b y the cargo generated by Tanzania

there isn't any increment to capex that is required to achieve our long -term business plan. Colombo is still under construction at an advanced stage, and it should actually -- we are estimating that

it should start sometime late this financial year FY '25.

Ashwani Gupta: And yes. And I think -- Ashwani here. So I think to answer your last question about upcoming investments. Basically, we categorize our investments, A, it’s been our operational efficiency in the current assets . B, in capex, in our capacity expansion in the existing assets; and three, the new projects. So we keep on investing in a balanced way in all these three categories, keeping the financial discipline, which we have again demonstrated in this quarter with 2.1x net debt to EBITDA. Now in the capacity expansion because in 2030, our ambition is to reach 1 billion metric tons, we are investing on -- in our ports in West Coast, which is Mundra, Hazira and so on.

In our East Coast, which are really pulling our growth in Dhamra, in Gangavaram, in Krishnapatnam and of course, in South the Ennore and Kattupalli. So basically, almost all the main ports are having the investment for the capacity expansion. And the third category, which is about the new projects, we just finished the receive of the first vessel in Vizhinjam after having an investment of more than INR8,000 crores. And in the second phase, we will be investing INR20,000 crores to increase -- to develop the second phase of Vizhinjam. So that's how we are managing our capex, and that's how we want to reach 1 billion metric ton by 2030.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: Sir, can you highlight in this year, fiscal '25, what should we assume for Vizhinjam as volume? And also for any other upcoming port, what should be the volume expectation based on when you are starting those ports? That's question number one.

Ashwani Gupta: Yes. So I think with the quarter 1 results, where we have Gangavaram challenge. We didn't operate for 36 days in Gangavaram, so that definitely will come -- is coming now and 3 quarters. Also Gopalpur, which will be also coming in. So with the quarter 1 pe rformance and looking at the global trade and Indian trade and Indian -- in the Indian trade, the quarter 1, India grew by 4.3%, and we grew by 8.8%. So as you know, we always keep on saying that we want -- we grow 2x more than the India gro wth. And if I include Gangavaram and Gopalpur, we should be roughly around 2.5x to 2.6x, which means the next three quarters, we look in a very positive way. which means we are on track to deliver our guidance, which we issued at the time of start of the financial year.



Pulkit Patni: Okay, sir. So basically, Vizhinjam and Gopalpur are the new port that will contribute this year in...

Ashwani Gupta: Yes, Gopalpur, yes. Vizhinjam, we already received the mother vessel . Since then, we have received a couple of more. As you would have seen that the nameplate capacity for Vizhinjam port is 1 million, but because it's automated, we can go up to 1.5 million. This port will be fully operational starting October. So this year , we will not see the full capacity utilization. But yes, in FY '26, we are expecting the full utilization of the Vizhinjam port for Phase 1, which is the 1 million nameplate capacity. But this year, we will see Gopalpur portfolio in the rest of the year and Vizhinjam after October.

Pulkit Patni: Sure. That's helpful, sir. Sir, my second question is on the logistics business. What we've seen is that our margins fluctuate quite a bit. I mean they are on the higher side, but between 25%, 28%, they keep fluctuating. This quarter, if I remember correct ly, it's about 25%. What drives this variation in margins for us in the Logistics business?

D. Muthukumaran: Pulkit , actually, you summarized it very well when you said that it fluctuates during the year and actually what is important is to see the full year. So that covers half the point that we want to mention. Having said that, in this partic

ular quarter, there are two sort of factors. The first one is the same thing that we explained in the last quarter call, which is -- which will continue for 1 or 2 more quarters, actually. The FCI , some contracts have come up for repricing as per the original contract itself after the 10 years. There is a step -down pricing after 10 years and the step down pricing has actually come into certain things.

So it is part of the original contract, and it is part of the original business model. So it doesn't change anything except the number in terms of returns, it is already factored in. And there is a second factor, which is busy season surcharge, which we ha ve been able to pass on, and you will find the full -- I mean the full effect of that is not in this quarter. And you will find that the next quarter, actually, this issue is sorted and you will find that next year, we'll have a margin which is higher than what we have today.

Moderator: The next question is from the line of Mr. A chal Lohade from Nama Institutional Equities.

Achal Lohade: Sir, if you could comment on the capex, how do we look at the capex for the current year in which ports and to what extent and in which category?
Ashwani Gupta: Yes. So yes, I will just give from the business perspective. As I said before, all the 3 categories we are investing. We are investing heavily on the digitalization because that's where the operational efficiency is brought in. We are starting the world class software Navis in most of our container ports. We are also going to start a port communication system, which is also a totally in -house developed.
And we are also revamping our costs because as I explained in last call, we are getting into the technology platform, which will give end -to-end solution with full integrated logistics, which means from vessel to the b erths to the yard, the railways to warehouse, to ICD terminals and to the trucks because we also got into the last mile to get to the customer. So we are investing on technology platform. So that brings operational efficiency.


And the second is the capacity expansion, as you would have seen that we have grown significantly on the West Coast mainly driven by the container increase. And in the East Coast, we have grown significantly, excluding Gangavaram, there also, we are driven mainly by -- mainly by the dry cargo. And in the South, we have grown in container and in the dry cargo. And of course, in the liquid, our -- in Hazira and so on has also grown.
So if you look at our business portfolio today, all the three main commodities, which is container liquid and dry, all three have grown. The maximum growth, which we saw was in container where we really increased our market share by more than 2.5% and that mainly come on the West and in the South. But when it comes to dry, there also we increased our market share, but it is mainly driven by East. Hence, to answer to your question, we are investing in all these ports and the berth related to container dry and liquid .
Achal Lohade: Understood. Sir, I just wanted to check, if you look at the volume growth for coal for the quarter, it seems to be reasonably weak. So when we talk about the volume for the full year, how do we look at coal as a segment? Are we looking at a substantial gro wth? Or it will be all driven by container for this year?
Ashwani Gupta: See, I would take it at a much more bigger picture. The bigger picture is about the India growth story, which is driven by infrastructure and energy and Atmanirbhar make in India. So if I look at Atmanirbhar, which is industrialization, this is about conta inerized cargo. If I look at energy, this is mainly the coal. And if I look at the infrastructure , it's all about steel and so on.
So all the three focus of India is helping us growing the India trade and our strategic positioning of t

he ports and warehouses and logistics is helping us in growing the trade by 2x. So that's why the business mix for us is so important that if in one of the port, one of the commodity goes up and down, it does not change the whole business portfolio dynamics for APSEZ. That's the first question.
The second question about the coal even if it is not growing, but it is also not flattening. There is a growth, for example, quarter 1, all India import NC coal was roughly 56 and we did 26 out of it, which means we increased our market share by 1%. In terms of [coastal 0:21:35 ], which is also on the increase, we kept the market share. And most important, the coking coal also we kept our market share. And I think the coking coal all India has grown by 5% to 6%.
So I would say the growth for us is coming from containers, liquid and so on, whereas coal, I would say is the normal growth and in the normal growth, we have a normal market share. So that's why it's not a risk, and it's not a great opportunity for us, wh ich can change our business dynamics in next quarter.
D. Muthukumaran: The only other aspect I wanted to add is actually you mentioned at the beginning of your question that this quarter 1 is a muted growth. But actually, I just wanted to draw your attention to the actual volume, which is 8% growth as well as the pro forma volume of 13% growth, which is actually more than the annual volume growth that we have sort of indicated to you. So we are on track. Gangavaram is fully restored. Gopalpur will get added soon as soon as the closing


happens, and Vizhinjam will get onboarded. So our volume growth still is on track, if you factor all these things.
Pulkit Patni : That's very helpful, sir. If I may ask just a clarification on the stake sale, you said that there were losses and with the stake sale, it's basically valuing at the fair value. I was just curious, if you look at the stand -alone revenue, the income recogni zed is INR95 crores while in consolidates

close to INR600 -odd crores. So could you please clarify, is this to do with the equity sales or it is to do with the infra income recognition?
D. Muthukumaran: No, no. It has actually to do with equity stake and number one. And number two, the loss that I talked about is not the loss on the transaction of the sale. It is actually during ramp -up period, we have had past losses, particularly high depreciation and i nterest in the particular unit, which is, again, as you know, part of the model that we do when we do investment -- actually, you have got on to the right part. The stand -alone sales INR95 crores, which is a transaction gain and the INR600 crores in the consolidated difference between INR695 crores as the past losses.
According to the accounting standard, the carrying value of these investments will keep going down in the consolidated books because of the losses. So therefore, it had gone d own. So when we actually sold it, it is now at INR600 crores profit.
Moderator: The next question is from the line of Asmeeta Sidhu from MetLife Investment Management.
Asmeeta Sidhu : I do have two questions. So I'll start with the first one. This is regarding a couple of new s articles regarding the land recovery situation with the Gujarat state government. Could we just have a quick rundown on some of the history and where we currently are and what the next steps are from the company's point of view?
D. Muthukumaran : Sorry, what was the second question? One was around land recovery. What was the second?
Asmeeta Sidhu : No. That's the first question. I'll take the second one after this one.
D. Muthukumaran : Okay. You're talking about the land recovery issue in Gujarat Mundra Port, correct?
Asmeeta Sidhu : Yes, that's right.
D. Muthukumaran : Okay. So we have contested . It is actually a frivolous case the way we look at it. So we have contested th

at and Supreme Court has actually taken action. So to that extent, we'll follow the due process of law to sort of complete this. Otherwise in substance, there is really nothing more than what we already said to the court of law.
Asmeeta Sidhu : All right. And the second question I have was just a quick clarification on the earlier mentioned statement about auditor 's qualification . So correct me if I'm wrong, was it dropped due to the in - depth audit and legal review conducted by the group?
D. Muthukumaran : Yes. So what we have done was actually, we have undertaken an independent review by a lawyer and an accounting firm. And then we had submitted those reports to the auditors and auditors reviewed those reports of that independent review and also taking into account the full context along with this review report. So on that basis, the qualification has been dropped and it has now


become an EOM to actually sort of reflect, you know, the significance of the matter. It is no longer a qualification and only an EOM.
Moderator: The next question is from the line of Nidhi Shah from ICICI Securities.
Nidhi Shah : The first one would be is when do you think Gopalpur would be in full effect? Would we see that in this quarter or would it be the next one?
D. Muthukumaran: This quarter.
Ashwani Gupta: We are waiting for the final mile and we will see that in the coming quarter.
Nidhi Shah : All right. So as to my understanding, the full effect of the revenues would then come from the next quarter onwards, right? That is...
Ashwani Gupta: Yes, full effect from next quarter, yes.
Nidhi Shah : Okay. And just I know that there have been questions on capex already. But my question would be in terms of -- so for the full year, if you could quantify what would be the capex that you would do in terms of on maintenance? Second is increasing capacity at ports that we've already for dominance that we already have in our portfolio. And third is if we are looking for any inorganic growth. So do you have any, say, quantified numbers on these 3 aspects?
D. Muthukumaran: So let me first talk about organic growth. We have guided at the beginning of the year a range of INR10,000 to INR11,000 -- sorry, INR1,500 crores, INR11,500 crores. And we gave a breakup of how the INR11,500 crores will look like. So the port in that is INR7,300 crores.
Marine that is INR400 crores, Logistics is INR2,300 crores, and the renewables decarbonization is INR1,500 crores.
In the first year, while we don't publish this number, we are on track. The exact numbers, we don't -- the requirement is roughly INR2,000 -odd crores is what we have spent in the capex in the first quarter. So we are well on track for the guidance. And in terms of proportion, it's pretty much the same what we have -- so the best guide on numbers for capex for the year continues to be the page that we have put out in the beginning of the year.
Ashwani Gupta: And on the inorganic growth, we keep our financial discipline, which we said we want to be below 2.5. And we finished the quarter with 2.1, so which means we always have this room of 0.4 to keep for any opportunity which comes up, which should bring us in organic growth, either it is in India or it is outside India.

Nidhi Shah: Last -- just the one last question that I see that you have -- you have given the guidance for FY'29 you want to significantly increase your one is a rail track and the number of trains that the company is operating. As of now has there been any orders tha t have alre ady been given for these items a nd which are the companies that you are generally looking at to trust your business with?
D. Muthukumaran: To adjust the ?


Nidhi Shah: To trust your b usiness with which are the companies that you are probably looking at. So for th
e
rail track and probably the trains that you want what are the companies that you're l ooking at to procure these from ?
D. Muthukumaran: [inaudible 31:00] you know that we have already won project which will take a 4 million from the current 1.2 million. This entire 66 project actually 70 projects are under implementation as we speak. T hese are being sort of in house projects and all construction everything is happeni ng in-house and in terms of the questions on railways. So rail track and trains both actually we have [inaudible 31:34] and as of today compared to last quarter there is no significant order book increase. We expect that o utlook to come coming quarters, b ut right now there is no sig nificant order book increase in the railway tracks.
Nidhi Shah: All right. Thank you so much.
Moderator: Thank you. Th e next question is from the line of Imtiaz from Barclays. Please go ahead.
Imtiaz : Thank you and c ongratulations on a good set of first quarter numbers. I have a couple of questions. The first o ne is with regards to your 24 – the USD24 maturity bonds. They matured last week on the 24th of July. Could you provide some color in terms of how you funded that 325 million maturity a nd also if you have any plans to access the U.S. dollar debt capital markets again this calendar year?
D. Muthukumaran: So we had cash balance in the beginning of the year. We had stated earlier that actually we will use the current cash balance to repay the balance of 325 million which is what we did last week. So that's how we funded the repayment of last week and we have completed successfully and we have put out a notice that we have completed the redemption. So that is on 325. On the question around whether we are going to access right now there are no plans for us to actually access the markets. And of course the situation is always dynamic, b ut right now, there is no plan.
Imtiaz : Okay. Second question is with regards to your Vietnam project. Reports I have mentioned a USD 2 billion investment. Could you give some color in clarity on these investments and timeline?
Ashwani Gupta: So as we talked about our international strategy. So after reaching in the great penetration of market share in India and also the geographical coverage across 7,500 kilometers of coastline. Definitely, we want to expand globally and to expand we decided to revitalize the trade route between Southeast Asia, India, Middle E ast, East Africa, North Africa a nd in line with that strategy, we have Tanzania, we have Haifa, we have Sri Lanka.
So in line with our strategy, we are exploring the opportunities in Southeast Asia which includes Vietnam. And Vietnam we have not decided anything yet. Of course, as I said before, we are exploring all the opportunities and once we decide definitely w e shared with you at that time, but at present it is in the study stage.


Imtiaz : Great. Just if I can just squeeze in one more question. You mentioned speaking. You mentioned Haifa a nd speaking of Haifa the increased tensions in the Middle East, any color in terms of how Haifa Port operations are going?
Ashwani Gupta: So I think on the operations side our teams are highly engaged and we are running the port 24 by 7 in terms of availability of the facility. And our teams are there to take care of it. Now the challenge which Haifa Port is having is not because of Haifa Port or not because of the situation in Israel, but it is because of the geopolitical sanctions, so me of the countries has stopped the cargo to Israel.
So, for example, in Haifa, we saw the drop of roughly 42% in the dry bulk and 22% in containers. But on the other side because of the situation the car imports in site Israel is increasing significantly. So we capture that market. And our business with the car cargo has grown up by 42%. So the point is there's a sh

ift in the business mix and we are capturing all the mix. That's
the first message.
The second message is Haifa Port is safely working with all our teams exposed. And what we
see today a drop in the cargo is the consequence of the geopolitical situation. So we have to keep
this on the watch and try to mitigate the risk in terms of business whenever it comes . That's what
we can say today, b ut we are continuing with a great enthusiasm because this is a very strategic
location for us as a part of our international strategy.
Imtiaz: Great. Thank you.
Moderator: Thank you. The next question is from the line of Priyankar Biswas from BNP Paribas. Please go
ahead.
Priyankar Biswas: Congratulations sir for a very strong volume delivery. So first of all, my question is regarding
Mundra. So even on a very large base you have delivered a very strong volumes, especially in
containers. Now g iven that there is so much Red Sea related disruptions, so what I wanted to ask
is how much sustainable is volume at Mundra is especially containers. And in y our guidance
that you gave of 460 to 480. So what sort of container volumes are you foreseeing at Mundra?
Ashwani Gupta : So I will hand over to Mr. Pranav Choudhary. But before we are keeping our guidance, we are
very confident about our guidance because as you saw quarter 1 we did 109 without Gopalpur
and without 36 non-operational days of Gannavaram . So we are keeping that and as we said
before our main growth in this quarter came by container which is roughly 17.4% growth,
whereas our liquid grew by 12%. And Mundra especially brought -- brought significant growth.
So maybe Pranav if you could kindly share your views on con tainer business in Mundra?
Pranav Choudhary: Yes. Good afternoon. Am I audible?
Ashwani Gupta: Yes, very well.
Pranav Choudhary: So this continued performance has been very good at [inaudible 38:57] Y-o-Y I think we grew
about 23% in Mundra with the overall portfolio growth at about 19% out of a terminal. So from
a container perspective I think we always grow more than the economy. That's what has been


the run rate for us and the impact of the Red Sea largely has been on the freight and the cost, the
freight cost and the time cost. The movement of containers from a time perspective have
increased, the freights have increased which has now generally it is expected between the buyer
and the seller of the freight or goods.
From a port perspective I think the Indian economy is performing robustly which is shown in
the incre mental container numbers. Even JNPT actually has grown about 12% or 12.5% within
period due to correspondin g period. So the impact of Red Sea is there in the sense of incremental
difference or flagship of volumes, but generally it's a function of the way economy is performing.
Priyankar Biswas: So what sort of full year volumes you expect at Mundra container. So can you be a 9 million
TEU stake this year itself?
Ashwani Gupta: I think it is too early for us to give a target for Mundra. But for sure, with the pace which we are
going, definitely, that could be the consequence. But as you know that we don't give the target
volume. But container growth in Mundra is giving us a significant advanta ge to hit our guidance,
even if, as I said in quarter 1, we made 36 non -operation days of Gangavaram.
Priyankar Biswas: Sir, just one question from my side, one more. So this is regarding Gopalpur since this is a new
asset. So like can you give what is there in your start plan for this asset? Like you have broadly
given what can be the FY '25 contribution? So what are you expecting it to ramp up to, let's say,
FY '29 or FY '30, so as per your strategy plan?
D. Muthukumaran: See, as far as Gopalpur, the main focus for the first 2, 3 years will be for us to actually change
the configuration of the asset, make it far more m

echanical, far more upgrade rate. And that way,
we expect the deficiency will deepen reasonably quickly. In terms of the volume growth. If you
take, I mean, 5 -year or else 7 -year horizon, there is obviously scope to increase the volume there.
And that is a very mineral -rich belt. And therefore, actually, volume will grow in tandem with
the market. But immediate plan for us, which is very clearly visible is to actually work on the
asset configuration and cost extra ction -- efficiency, extraction and cost reduction.
Priyankar Biswas: So we should observe the EBITDA margin expansion possibly in the next couple of years on
this asset. So...
Ashwani Gupta: Yes. driving as we do. We bring our ports to the -- to our benchmark EBITDA from -- after we
take over. So for sure, we are -- we are targeting to be at the benchmark level of the EBITDA
very soon. So already, the port was having 38% to 42% of EBITDA. And now we are expecting
to finish with 54%. And as you know, we are working hard to bring it to a normal level, which
is between 65% to 70%. So that's what we do with every port, and that's what we are doing with
Gopalpur.
Moderator: Thank you. The next question is from the line of Aditya Mongia from Kotak Securities. Please
go ahead.

Aditya Mongia: The first question that I had from my side was more on port EBITDA margins, which have grown to about 72%. And I believe if Gangavaram issues had not cropped up, the margins could


have been as high as 73%. Wanted to get a sense of what is driving these margins up? Because from our checks , we understand that realization has not meaningfully gone up in the quarter.
D. Muthukumaran: Sorry, repeat the last part of the question?
Ashwani Gupta: It has reached 72% because realization has not gone up at that rate. So what is the reason of that?
D. Muthukumaran: Yes. It's basically like you mentioned, it's cost has gone up by 0.6% compared to the last quarter and the last year's average. So it is actually the creep in the -- in the sort of efficiency because we are handling …Yes. Okay. So it's basically the increase in the sort of efficiency because we have had a throughput. Container volume has gone up, which has also added to the profitability. So basically, it's around cost and price sort of factors.
Aditya Mongia: Understood. Also, I wanted to kind of extrapolate this question that. What we see though is that you have a very, very large capacity land bank, if you can call it that way, on the port side, wherein the company doesn't have to invest meaningfully from a g reenfield perspective and can still grow maybe 4x, 5x the current capacity. Coupled with your focus on digitalization, do you think this port EBITDA margin over the medium term can potentially reach 75%, 76%. Is that a possibility to come th rough from a 3 -year out perspective?
Ashwani Gupta: Thank you very much. Our endeavor is to improve every day, and the figures are the consequence. So I think we are focusing on improving our operation efficiency. And quarter - by-quarter, we will be updating you with the results.
Aditya Mongia: Understood. The next question I had was on the Logistics business now. Our reading of the annual report suggests that a lot of capex is happening in that zone for the company. And a meaningful part of that actually is going inside buying land parcels. I wa nted to see or engage from your sense, how should we be taking through these kind of investments eventually leading to EBITDA. Will they be retained as land for some period of time? or there is a process on how to kind of go about it?
Ashwani Gupta: Yes. Thank you. I think your observation is correct. As we said, we want to be the largest integrated logistics solution company. On the port side, we have already got strategic locations across 7,500 km coastline . On the Logistics, we have 12 MMLPs, we have --

we have
warehousing. And at the end, what we want is to offer the full package to the customer for the last mile delivery, which includes the warehousing and so on.
So we are moving ahead in preparation for the future, which includes expansion in our warehousing terminals and so on, so that we are able to efficiently and effectively cater -- cater to the last mile. Having said that, you can always compare our logistic s business with our Marine business, where we started it as an incubator and today, we are close to 70% of market share. So which means all the investments which we are doing on the lands may not be giving us the return in EBITDA in the same quarter. But for sure, these are mid - to long -term investments, which we are doing for the strategic growth for our Logistics business as a part of integrated Logistics solution.


Aditya Mongia: Understood. The last question that I had was we've seen this trend that you're kind of growing 2x the market and even more at certain times, at least what we could see that your incremental market share is again 2x of addressing market share. And this has been happening for the past few quarters now, prett y broad -based. Could you give us a sense of what is actually clicking for you? Is it that the competition isn't improving as much as we're imposing improvement at a fast pace? Is it that we are not taking pricing because of the kind that competition is taking? Some more color would be use ful for a first point we should be extrapolating these kind of trends incrementally or not?
Ashwani Gupta: Yes. I mean the point is expose geographical coverage is our advantage, right? The -- we operate both not as a terminal. We operate port as an ecosystem. That is our advantage. And the third is this ecosystem is being connected to the customer using multi -model. And then last but not really, we are efficient and competitive.
Aditya Mongia: So I get that. Hopefully, this trend would sustain incrementally as well. All the very best to you. Those are my questions.
Moderator: Thank you. The next question is from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain: Sir, my question is on your FY '30 plan, where you said that you aim to reach at 1,000 million tons volumes. So if I do the back calculation and use the utilization at 65%, the capacity comes to at around 1,400 million to 1,500 million tons. Is that assump tion right? Is that where you want to go?
Ashwani Gupta: I think to do -- to do the 1 million -- sorry, the 1 billion, of course, it includes international. And definitely, this includes the capacity -- operational efficiency improvement, capacity expansion and the new projects. Yes.
Ketan Jain: So I we -- we can expect a capacity of around 1,200 million to 1,400 million tons by FY '30?
Ashwani Gupta: It's very difficult to say today because as you know, that capacity expansion and operational efficiency and the new projects are very fine line. So very difficult to anticipate 7 years before. But yes, port by port, we already have the EC approvals, as yo u know, whether it is Mundra or in other ports. And in line with the business growth, we will be investing in the respective ports as per master plan.
Ketan Jain: My last question is on the recent LOI for Deendayal Port income. If you could throw some color on the capex and the commercial terms of it?
Ashwani Gupta: I'll give it to Muthu now.
D. Muthukumaran: Yes. So we are expecting a total investment of about close to INR600 crores in that port.
Ketan Jain: Okay. And the capacity...
D. Muthukumaran: Yes, it's a long -term lease, and we're expecting about 1 million to 1.2 million capacity.


Moderator: The next question is from the line of Jayesh Shah from OHM Portfolio Equi Research. Please go ahead

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Jayesh Shah: My question is, how do we look at Vadhavan Port, which is coming up as probably one of the biggest port in India next to JNPT . Is that potentially a threat to Mundra? Or do you work along with Vadhavan Port because it is supposed to be public private partnership?
Ashwani Gupta: Anything which comes up is bringing the complementary growth to the country. And we should not look at today's India's trade, which is roughly 1,500 million metric tons. If India is growing at 6% to 7% every year with the focus on industrialization, infras tructure and energy, these sectors will grow higher than the GDP, which means India trade will reach, I don't know, more than -- 2,500 million metric tons. So we should l ook at that. That's number one.
Number two, because of the industrialization, the exports will also grow. So which means anyhow, the capacities will be needed. As you know, that 95% of the trade is done by the Maritime. So we should clearly link with the growth of India, especially on th ese 3 sectors with the Maritime growth, which means we will need capacities. And at first, we have to see as India, whether we n eed capacity the answer is yes.
Now in that capacity, who will play which role and definitely, especially in maritime sector, the collaboration between the government and the private players like us have proven that these are very efficient and effective. So we welcome the government ini tiative on Vadhavan Port. I think it is a great opportunity for India to put it on a capacity expansion map. Now we are always open for any opportunity because this is our core strength. And definitely, we will study the opportunity for the potential coll aboration.
Moderator: Mr. Shah, does that answer your question?
Jayesh Shah: Yes. This is a follow -up question. Is there a public time line as to when this vote is supposed to have this private partnership offers going around?
Ashwani Gupta: No, I don't think so there's a public private timeline.
Jayesh Shah: Thank you. An d next questions …
Moderator: Sorry to interrupt Mr. Shah, your line is coming a bit crackled. Could you come a bit closer to the handset?
Jayesh Shah: Yes, I am. Is it clear now?
Moderator: Now, it's clear.
Jayesh Shah: Yes. My second question is on the international operations, which is INR825 crores and INR87 crores of EBITDA. So is 10%, 11% EBITDA normalized EBITDA, what would be a normalized EBITDA when you see normalized volumes at this international ports.
D. Muthukumaran: Yes. So we expect that actually the 10% will be there for a couple of quarters, and we are on the path to improvement. So therefore, it will go up, but yes, that will be the sort of good baseline.


Jayesh Shah: So say, by a public target of FY '30 that you said 1 million tons, where would international

operations be in terms of tonnage and broadly what margin range then?
D. Muthukumaran: Approximately 15% to 20% can be the international. And see, I think margin is one aspect. Whenever we sort of invest in any port, we are very clear that actually we need to get our return on capital employed, which is 16% in rupee terms. Of course, we look adjusted for dollars. And as far as EBITDA percent is concerned for us, actually, that is a little bit of a math because it is possible that we could have a lower -- and it will be that we will have a lower EBITDA percentage for internati onal operation, but our return threshold will be met.
Moderator: The next question is from the line of Shreyans from Barclays. Please go ahead.
Shreyans : I have 2 questions. So after the payment on the $ 24 bond, which was last week, what is your cash presence?
D. Muthukumaran: What is our current?
Shreyans : Cash balance after payment of the $2.24 bond?
D. Muthukumaran: We are INR9,000 -odd crores cash balance today.
Shreyans : Okay. And after S&P

on positive outlook, what about the rating agencies who didn't pitch, have you been having any conversations with them? Or how do they look at your credit?
D. Muthukumaran: See, there are 2 buckets, right, international and domestic. And as was mentioned in the opening remarks by Ashwani, the domestic is already upgraded to AAA as far as international is concerned, only S&P had negative outlook. So they have put us into a pos itive outlook. So therefore, others actually, we are not expecting any rating action at this point in time. Obviously, we need to remain engaged and continuous structure with them to keep updating them.
Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of our question -and-answer session. I would now like to hand the conference over to Mr. Vikram Suryavanshi for closing comments.
Vikram Suryavanshi: We thank the management of Adani Ports and SEZ Limited for giving us an opportunity to post the call and taking time out for induction with the stakeholders. Thank you all for being on the call.
Moderator: Thank you. On behalf of PhillipCapital India Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

# Call: Aug 2024



“Adani Ports and SEZ Limited
Q1 FY’2 5 Conference Call ”
August 01, 202 4

MANAGEMENT : MR. ASHWANI GUPTA – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER – ADANI PORTS AND SEZ
LIMITED
MR. PRANAV CHOUDHARY – CHIEF EXECUTIVE
OFFICER , PORTS BUSINESS – ADANI PORTS AND SEZ
LIMITED
MR. DIVIJ TANEJA – CHIEF EXECUTIVE OFFICER ,
ADANI LOGISTICS
MR. D. MUTHUKUMARAN – CHIEF FINANCIAL
OFFICER – ADANI PORTS AND SEZ LIMITED
MR. RAHUL AGARWAL – HEAD OF INVESTOR
RELATIONS AND ESG – ADANI PORTS AND SEZ
LIMITED

MODE RATOR : MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL



Moderator: Ladies and gentlemen, good day and welcome to Adani Ports and S EZ Limited Q1 FY '25 Earnings Conference Call hosted by PhillipCapital India Private Limited. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of th is call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call please signal an operator by pressing sta r then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vikram Suryavanshi from PhillipCapital. Thank you, and over to you, sir.
Vikram Suryavanshi: Thank you, [ Dell]. Good afternoon, and a very warm welcome to everyone. On behalf of PhillipCapital, I'm pleased to welcome you all on the Earnings Call of Adani Ports and SEZ Limited for First Quarter of Financial Year 2025. We are happy to have the management with us here today for question and answers session with the investment community. Management is represented by Mr. Ashwani Gupta, Whole -Time Direc tor and CEO, Adani Ports and SEZ; Mr. Pranav Choudhary, CEO, Ports Business, Adani Ports and SEZ; Mr. Divij Taneja, CEO, Adani Logistics; Mr. D. Muthukumaran, CFO, Adani Ports and SEZ; Mr. Rahul Agarwal, Head of Investor Relations and ESG Adani Ports and SEZ. We will begin with the opening remarks from the management, followed by interac tive question -and-answer session.
With this, I hand over call to Mr. D. Muthukumaran. Over to you, sir.
D. Muthukumaran: Thank you. Thank you very much. Good afternoon to all of you. Thank you very much for your time. I am Muthukumaran. I just wanted to take a moment to bring on board and introduce Rahul Agarwal. He has taken over Investor Relations and ESG from Charanjit . He will moderate this call, and he'll be a point contact for Investor Relations.
Over to Rahul.
Rahul Agarwal: Thank you, Muthu. Good afternoon, everyone, and a very warm welcome to our earnings call for Q1. We will commence with Ashwani's opening remarks. Over to you, Ashwani.
Ashwani Gupta: Good evening, and welcome to APSEZ earnings conference call for the quarter ended 30th June 2024. FY '25 began on a s tellar note on both the growth and the financial fronts. On the growth front, we handled 109 million metric ton cargo in the first quarter, which is up 8% year -on-year,

excluding the impact which we had because of non-operational days in Gangavaram. We won 2 concession agreements to operate terminals in Tanzania and Deendayal Port.

In addition, we won an O&M contract for a container facility at Syama Prasad Mookerjee Port, Kolkata. Also, we welcome the first mothership at our Vizhinjam port and our marine services business deployed a tug each in Mexico and Sri Lank a. We feel immensely proud to announce that 4 of our ports got featured in World Bank's Container Port Performance Index 2023.



Now moving to the Logistics business. Our Logistics business reported rail cargo at 0.16 million TEUs and GPWIS volume at 5.56 million metric tons. We added 4 rakes and expanded our warehousing capacity to 2.9 million square feet. Agri silo capacity was at 1.2 million metric tons and is expected to increase to 4 million metric tons on completion of the projects underway.

On the financial front, Q1 FY '25 has been our strongest quarter till date with highest -ever revenue, EBITDA and PAT. Our operating revenue for the quarter stood at INR7,560 crores, representing a 21% year -on-year increase.

Our EBITDA, excluding forex impact for the quarter stood at INR4,848 crores, up 29% year -on-year. Domestic ports EBITDA inched higher by 32 basis points to 72%. Profit after tax stood at INR3,107 crores, up by 47% year -on-year. CARE and ICRA upgraded APSEZ's credit rating to AAA, while S&P upgraded its outlook to positive from stable, driven by improving scale and diversification.

We also draw your attention to the fact that based on in -depth legal and accounting review undertaken by the Adani Group and considering all other relevant factors , the auditors have dropped the qualification, and it is now an EOM, emphasis of m atter. During the quarter, we won several awards, mostly notably, APSEZ clinching the prestigious title of best portfolio for the year containerise d in the private sector and AICTPL being honored as the best container terminal of the year at the India Maritime Awards. Overall, a very strong start to the year. Thank you.

We now open the forum for Q&A.

Moderator: Thank you. The first question is from the line of Parash Jain from HSBC. Please go ahead.

Parash Jain: I have 2, I believe. So first, on APSEZ portfolio development. We have seen that we have port development revenue about INR627 crores. Could you give us what are the future potential pipeline in the remainder of the year and the following year for us to understand better on how to think about this line item? And my second question, more pertinent is, more on -- if you can just give us a quick recap of all your recent investments, particularly in the capex attributed to Tanzania, the progress that has be en made with respect to Colombo and what is your near -term expectation from within them? Thank you .

D. Muthukumaran: So your first question was on core development with INR600 crores revenue. It is actually where we have done the stake sale in order to finally [mark ], MSC through the intermediate holding company. Basically, in the past, when we were operating the port, all the sort of expenditure and losses were debited to the P&L account as required by the accounting standard. And therefore, the carrying cost of this in our books has significantly come down on account of the past losses during the ramp -up period. And now when we have sold it, while we have sold only 49% we have to -- as per the accounting standard, compare the process with the book value. So the difference is actually put in there as 600 crore for development costs. To your following question on this aspect of what is the pipeline, actually, we have been mentioning that we are on the lookout for all strategic opportunities. We developed both inherently on our own strength to run it by our sales . Every now and then we get an opportunity to [ inaudible 0:08:53 ] incoming interest. And we will actually sort of react and we'll do the deal based on the rest of individual transactions.



To your next question on investment in Tanzania and Colombo. Tanzania, we have announced a deal a while ago, and we have been waiting to get the concession agreement. We signed the concession agreement and all the CPs are over. And therefore, we concluded the deal in the last quarter. I mean almost towards the end of the quarter, late June. We have been operating that terminal for the past 1.5 years. It is actually a business as usual for us. So we expect that to continue.

And in the long term, we are sort of -- we are planning to actually both enhance the volume as well as actually sort of modernize the port in terms of sort of mechanization. All these at this point in time, as far as our business plan will be self -funded b y the cargo generated by Tanzania there isn't any increment to capex that is required to achieve our long -term business plan. Colombo is still under construction at an advanced stage, and it should actually -- we are estimating that

it should start sometime late this financial year FY '25.

Ashwani Gupta: And yes. And I think -- Ashwani here. So I think to answer your last question about upcoming investments. Basically, we categorize our investments, A, it’s been our operational efficiency in the current assets . B, in capex, in our capacity expansion in the existing assets; and three, the new projects. So we keep on investing in a balanced way in all these three categories, keeping the financial discipline, which we have again demonstrated in this quarter with 2.1x net debt to EBITDA. Now in the capacity expansion because in 2030, our ambition is to reach 1 billion metric tons, we are investing on -- in our ports in West Coast, which is Mundra, Hazira and so on.

In our East Coast, which are really pulling our growth in Dhamra, in Gangavaram, in Krishnapatnam and of course, in South the Ennore and Kattupalli. So basically, almost all the main ports are having the investment for the capacity expansion. And the third category, which is about the new projects, we just finished the receive of the first vessel in Vizhinjam after having an investment of more than INR8,000 crores. And in the second phase, we will be investing INR20,000 crores to increase -- to develop the second phase of Vizhinjam. So that's how we are managing our capex, and that's how we want to reach 1 billion metric ton by 2030.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: Sir, can you highlight in this year, fiscal '25, what should we assume for Vizhinjam as volume? And also for any other upcoming port, what should be the volume expectation based on when you are starting those ports? That's question number one.

Ashwani Gupta: Yes. So I think with the quarter 1 results, where we have Gangavaram challenge. We didn't operate for 36 days in Gangavaram, so that definitely will come -- is coming now and 3 quarters. Also Gopalpur, which will be also coming in. So with the quarter 1 pe rformance and looking at the global trade and Indian trade and Indian -- in the Indian trade, the quarter 1, India grew by 4.3%, and we grew by 8.8%. So as you know, we always keep on saying that we want -- we grow 2x more than the India gro wth. And if I include Gangavaram and Gopalpur, we should be roughly around 2.5x to 2.6x, which means the next three quarters, we look in a very positive way. which means we are on track to deliver our guidance, which we issued at the time of start of the financial year.



Pulkit Patni: Okay, sir. So basically, Vizhinjam and Gopalpur are the new port that will contribute this year in...

Ashwani Gupta: Yes, Gopalpur, yes. Vizhinjam, we already received the mother vessel . Since then, we have received a couple of more. As you would have seen that the nameplate capacity for Vizhinjam port is 1 million, but because it's automated, we can go up to 1.5 million. This port will be fully operational starting October. So this year , we will not see the full capacity utilization. But yes, in FY '26, we are expecting the full utilization of the Vizhinjam port for Phase 1, which is the 1 million nameplate capacity. But this year, we will see Gopalpur portfolio in the rest of the year and Vizhinjam after October.

Pulkit Patni: Sure. That's helpful, sir. Sir, my second question is on the logistics business. What we've seen is that our margins fluctuate quite a bit. I mean they are on the higher side, but between 25%, 28%, they keep fluctuating. This quarter, if I remember correct ly, it's about 25%. What drives this variation in margins for us in the Logistics business?

D. Muthukumaran: Pulkit , actually, you summarized it very well when you said that it fluctuates during the year and actually what is important is to see the full year. So that covers half the point that we want to mention. Having said that, in this partic

ular quarter, there are two sort of factors. The first one is the same thing that we explained in the last quarter call, which is -- which will continue for 1 or 2 more quarters, actually. The FCI , some contracts have come up for repricing as per the original contract itself after the 10 years. There is a step -down pricing after 10 years and the step down pricing has actually come into certain things.

So it is part of the original contract, and it is part of the original business model. So it doesn't change anything except the number in terms of returns, it is already factored in. And there is a second factor, which is busy season surcharge, which we ha ve been able to pass on, and you will find the full -- I mean the full effect of that is not in this quarter. And you will find that the next quarter, actually, this issue is sorted and you will find that next year, we'll have a margin which is higher than what we have today.

Moderator: The next question is from the line of Mr. A chal Lohade from Nama Institutional Equities.

Achal Lohade: Sir, if you could comment on the capex, how do we look at the capex for the current year in which ports and to what extent and in which category?
Ashwani Gupta: Yes. So yes, I will just give from the business perspective. As I said before, all the 3 categories we are investing. We are investing heavily on the digitalization because that's where the operational efficiency is brought in. We are starting the world class software Navis in most of our container ports. We are also going to start a port communication system, which is also a totally in -house developed.
And we are also revamping our costs because as I explained in last call, we are getting into the technology platform, which will give end -to-end solution with full integrated logistics, which means from vessel to the b erths to the yard, the railways to warehouse, to ICD terminals and to the trucks because we also got into the last mile to get to the customer. So we are investing on technology platform. So that brings operational efficiency.


And the second is the capacity expansion, as you would have seen that we have grown significantly on the West Coast mainly driven by the container increase. And in the East Coast, we have grown significantly, excluding Gangavaram, there also, we are driven mainly by -- mainly by the dry cargo. And in the South, we have grown in container and in the dry cargo. And of course, in the liquid, our -- in Hazira and so on has also grown.
So if you look at our business portfolio today, all the three main commodities, which is container liquid and dry, all three have grown. The maximum growth, which we saw was in container where we really increased our market share by more than 2.5% and that mainly come on the West and in the South. But when it comes to dry, there also we increased our market share, but it is mainly driven by East. Hence, to answer to your question, we are investing in all these ports and the berth related to container dry and liquid .
Achal Lohade: Understood. Sir, I just wanted to check, if you look at the volume growth for coal for the quarter, it seems to be reasonably weak. So when we talk about the volume for the full year, how do we look at coal as a segment? Are we looking at a substantial gro wth? Or it will be all driven by container for this year?
Ashwani Gupta: See, I would take it at a much more bigger picture. The bigger picture is about the India growth story, which is driven by infrastructure and energy and Atmanirbhar make in India. So if I look at Atmanirbhar, which is industrialization, this is about conta inerized cargo. If I look at energy, this is mainly the coal. And if I look at the infrastructure , it's all about steel and so on.
So all the three focus of India is helping us growing the India trade and our strategic positioning of t

he ports and warehouses and logistics is helping us in growing the trade by 2x. So that's why the business mix for us is so important that if in one of the port, one of the commodity goes up and down, it does not change the whole business portfolio dynamics for APSEZ. That's the first question.
The second question about the coal even if it is not growing, but it is also not flattening. There is a growth, for example, quarter 1, all India import NC coal was roughly 56 and we did 26 out of it, which means we increased our market share by 1%. In terms of [coastal 0:21:35 ], which is also on the increase, we kept the market share. And most important, the coking coal also we kept our market share. And I think the coking coal all India has grown by 5% to 6%.
So I would say the growth for us is coming from containers, liquid and so on, whereas coal, I would say is the normal growth and in the normal growth, we have a normal market share. So that's why it's not a risk, and it's not a great opportunity for us, wh ich can change our business dynamics in next quarter.
D. Muthukumaran: The only other aspect I wanted to add is actually you mentioned at the beginning of your question that this quarter 1 is a muted growth. But actually, I just wanted to draw your attention to the actual volume, which is 8% growth as well as the pro forma volume of 13% growth, which is actually more than the annual volume growth that we have sort of indicated to you. So we are on track. Gangavaram is fully restored. Gopalpur will get added soon as soon as the closing


happens, and Vizhinjam will get onboarded. So our volume growth still is on track, if you factor all these things.
Pulkit Patni : That's very helpful, sir. If I may ask just a clarification on the stake sale, you said that there were losses and with the stake sale, it's basically valuing at the fair value. I was just curious, if you look at the stand -alone revenue, the income recogni zed is INR95 crores while in consolidates

close to INR600 -odd crores. So could you please clarify, is this to do with the equity sales or it is to do with the infra income recognition?

D. Muthukumaran: No, no. It has actually to do with equity stake and number one. And number two, the loss that I talked about is not the loss on the transaction of the sale. It is actually during ramp -up period, we have had past losses, particularly high depreciation and i nterest in the particular unit, which is, again, as you know, part of the model that we do when we do investment -- actually, you have got on to the right part. The stand -alone sales INR95 crores, which is a transaction gain and the INR600 crores in the consolidated difference between INR695 crores as the past losses. According to the accounting standard, the carrying value of these investments will keep going down in the consolidated books because of the losses. So therefore, it had gone d own. So when we actually sold it, it is now at INR600 crores profit.

Moderator: The next question is from the line of Asmeeta Sidhu from MetLife Investment Management.

Asmeeta Sidhu : I do have two questions. So I'll start with the first one. This is regarding a couple of new s articles regarding the land recovery situation with the Gujarat state government. Could we just have a quick rundown on some of the history and where we currently are and what the next steps are from the company's point of view?

D. Muthukumaran : Sorry, what was the second question? One was around land recovery. What was the second?

Asmeeta Sidhu : No. That's the first question. I'll take the second one after this one.

D. Muthukumaran : Okay. You're talking about the land recovery issue in Gujarat Mundra Port, correct?

Asmeeta Sidhu : Yes, that's right.

D. Muthukumaran : Okay. So we have contested . It is actually a frivolous case the way we look at it. So we have contested th

at and Supreme Court has actually taken action. So to that extent, we'll follow the due process of law to sort of complete this. Otherwise in substance, there is really nothing more than what we already said to the court of law.

Asmeeta Sidhu : All right. And the second question I have was just a quick clarification on the earlier mentioned statement about auditor 's qualification . So correct me if I'm wrong, was it dropped due to the in - depth audit and legal review conducted by the group?

D. Muthukumaran : Yes. So what we have done was actually, we have undertaken an independent review by a lawyer and an accounting firm. And then we had submitted those reports to the auditors and auditors reviewed those reports of that independent review and also taking into account the full context along with this review report. So on that basis, the qualification has been dropped and it has now



become an EOM to actually sort of reflect, you know, the significance of the matter. It is no longer a qualification and only an EOM.

Moderator: The next question is from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah : The first one would be is when do you think Gopalpur would be in full effect? Would we see that in this quarter or would it be the next one?

D. Muthukumaran: This quarter.

Ashwani Gupta: We are waiting for the final mile and we will see that in the coming quarter.

Nidhi Shah : All right. So as to my understanding, the full effect of the revenues would then come from the next quarter onwards, right? That is...

Ashwani Gupta: Yes, full effect from next quarter, yes.

Nidhi Shah : Okay. And just I know that there have been questions on capex already. But my question would be in terms of -- so for the full year, if you could quantify what would be the capex that you would do in terms of on maintenance? Second is increasing capacity at ports that we've already for dominance that we already have in our portfolio. And third is if we are looking for any inorganic growth. So do you have any, say, quantified numbers on these 3 aspects?

D. Muthukumaran: So let me first talk about organic growth. We have guided at the beginning of the year a range of INR10,000 to INR11,000 -- sorry, INR1,500 crores, INR11,500 crores. And we gave a breakup of how the INR11,500 crores will look like. So the port in that is INR7,300 crores. Marine that is INR400 crores, Logistics is INR2,300 crores, and the renewables decarbonization is INR1,500 crores.

In the first year, while we don't publish this number, we are on track. The exact numbers, we don't -- the requirement is roughly INR2,000 -odd crores is what we have spent in the capex in the first quarter. So we are well on track for the guidance. And in terms of proportion, it's pretty much the same what we have -- so the best guide on numbers for capex for the year continues to be the page that we have put out in the beginning of the year.

Ashwani Gupta: And on the inorganic growth, we keep our financial discipline, which we said we want to be below 2.5. And we finished the quarter with 2.1, so which means we always have this room of 0.4 to keep for any opportunity which comes up, which should bring us in organic growth, either it is in India or it is outside India.

Nidhi Shah: Last -- just the one last question that I see that you have -- you have given the guidance for FY'29 you want to significantly increase your one is a rail track and the number of trains that the company is operating. As of now has there been any orders tha t have alre ady been given for these items a nd which are the companies that you are generally looking at to trust your business with?
D. Muthukumaran: To adjust the ?


Nidhi Shah: To trust your b usiness with which are the companies that you are probably looking at. So for th

e
rail track and probably the trains that you want what are the companies that you're l ooking at to procure these from ?
D. Muthukumaran: [inaudible 31:00] you know that we have already won project which will take a 4 million from the current 1.2 million. This entire 66 project actually 70 projects are under implementation as we speak. T hese are being sort of in house projects and all construction everything is happeni ng in-house and in terms of the questions on railways. So rail track and trains both actually we have [inaudible 31:34] and as of today compared to last quarter there is no significant order book increase. We expect that o utlook to come coming quarters, b ut right now there is no sig nificant order book increase in the railway tracks.
Nidhi Shah: All right. Thank you so much.
Moderator: Thank you. Th e next question is from the line of Imtiaz from Barclays. Please go ahead.
Imtiaz : Thank you and c ongratulations on a good set of first quarter numbers. I have a couple of questions. The first o ne is with regards to your 24 – the USD24 maturity bonds. They matured last week on the 24th of July. Could you provide some color in terms of how you funded that 325 million maturity a nd also if you have any plans to access the U.S. dollar debt capital markets again this calendar year?
D. Muthukumaran: So we had cash balance in the beginning of the year. We had stated earlier that actually we will use the current cash balance to repay the balance of 325 million which is what we did last week. So that's how we funded the repayment of last week and we have completed successfully and we have put out a notice that we have completed the redemption. So that is on 325. On the question around whether we are going to access right now there are no plans for us to actually access the markets. And of course the situation is always dynamic, b ut right now, there is no plan.
Imtiaz : Okay. Second question is with regards to your Vietnam project. Reports I have mentioned a USD 2 billion investment. Could you give some color in clarity on these investments and timeline?
Ashwani Gupta: So as we talked about our international strategy. So after reaching in the great penetration of market share in India and also the geographical coverage across 7,500 kilometers of coastline. Definitely, we want to expand globally and to expand we decided to revitalize the trade route between Southeast Asia, India, Middle E ast, East Africa, North Africa a nd in line with that strategy, we have Tanzania, we have Haifa, we have Sri Lanka.
So in line with our strategy, we are exploring the opportunities in Southeast Asia which includes Vietnam. And Vietnam we have not decided anything yet. Of course, as I said before, we are exploring all the opportunities and once we decide definitely w e shared with you at that time, but at present it is in the study stage.


Imtiaz : Great. Just if I can just squeeze in one more question. You mentioned speaking. You mentioned Haifa a nd speaking of Haifa the increased tensions in the Middle East, any color in terms of how Haifa Port operations are going?
Ashwani Gupta: So I think on the operations side our teams are highly engaged and we are running the port 24 by 7 in terms of availability of the facility. And our teams are there to take care of it. Now the challenge which Haifa Port is having is not because of Haifa Port or not because of the situation in Israel, but it is because of the geopolitical sanctions, so me of the countries has stopped the cargo to Israel.
So, for example, in Haifa, we saw the drop of roughly 42% in the dry bulk and 22% in containers. But on the other side because of the situation the car imports in site Israel is increasing significantly. So we capture that market. And our business with the car cargo has grown up by 42%. So the point is there's a sh

ift in the business mix and we are capturing all the mix. That's
the first message.
The second message is Haifa Port is safely working with all our teams exposed. And what we see today a drop in the cargo is the consequence of the geopolitical situation. So we have to keep this on the watch and try to mitigate the risk in terms of business whenever it comes . That's what we can say today, b ut we are continuing with a great enthusiasm because this is a very strategic location for us as a part of our international strategy.
Imtiaz: Great. Thank you.
Moderator: Thank you. The next question is from the line of Priyankar Biswas from BNP Paribas. Please go ahead.
Priyankar Biswas: Congratulations sir for a very strong volume delivery. So first of all, my question is regarding Mundra. So even on a very large base you have delivered a very strong volumes, especially in containers. Now g iven that there is so much Red Sea related disruptions, so what I wanted to ask is how much sustainable is volume at Mundra is especially containers. And in y our guidance that you gave of 460 to 480. So what sort of container volumes are you foreseeing at Mundra?
Ashwani Gupta : So I will hand over to Mr. Pranav Choudhary. But before we are keeping our guidance, we are very confident about our guidance because as you saw quarter 1 we did 109 without Gopalpur and without 36 non-operational days of Gannavaram . So we are keeping that and as we said before our main growth in this quarter came by container which is roughly 17.4% growth, whereas our liquid grew by 12%. And Mundra especially brought -- brought significant growth. So maybe Pranav if you could kindly share your views on con tainer business in Mundra?
Pranav Choudhary: Yes. Good afternoon. Am I audible?
Ashwani Gupta: Yes, very well.
Pranav Choudhary: So this continued performance has been very good at [inaudible 38:57] Y-o-Y I think we grew about 23% in Mundra with the overall portfolio growth at about 19% out of a terminal. So from a container perspective I think we always grow more than the economy. That's what has been



the run rate for us and the impact of the Red Sea largely has been on the freight and the cost, the freight cost and the time cost. The movement of containers from a time perspective have increased, the freights have increased which has now generally it is expected between the buyer and the seller of the freight or goods.
From a port perspective I think the Indian economy is performing robustly which is shown in the incre mental container numbers. Even JNPT actually has grown about 12% or 12.5% within period due to correspondin g period. So the impact of Red Sea is there in the sense of incremental difference or flagship of volumes, but generally it's a function of the way economy is performing.
Priyankar Biswas: So what sort of full year volumes you expect at Mundra container. So can you be a 9 million TEU stake this year itself?
Ashwani Gupta: I think it is too early for us to give a target for Mundra. But for sure, with the pace which we are going, definitely, that could be the consequence. But as you know that we don't give the target volume. But container growth in Mundra is giving us a significant advanta ge to hit our guidance, even if, as I said in quarter 1, we made 36 non -operation days of Gangavaram.
Priyankar Biswas: Sir, just one question from my side, one more. So this is regarding Gopalpur since this is a new asset. So like can you give what is there in your start plan for this asset? Like you have broadly given what can be the FY '25 contribution? So what are you expecting it to ramp up to, let's say, FY '29 or FY '30, so as per your strategy plan?
D. Muthukumaran: See, as far as Gopalpur, the main focus for the first 2, 3 years will be for us to actually change the configuration of the asset, make it far more m

echanical, far more upgrade rate. And that way,
we expect the deficiency will deepen reasonably quickly. In terms of the volume growth. If you take, I mean, 5 -year or else 7 -year horizon, there is obviously scope to increase the volume there. And that is a very mineral -rich belt. And therefore, actually, volume will grow in tandem with the market. But immediate plan for us, which is very clearly visible is to actually work on the asset configuration and cost extra ction -- efficiency, extraction and cost reduction.
Priyankar Biswas: So we should observe the EBITDA margin expansion possibly in the next couple of years on this asset. So...
Ashwani Gupta: Yes. driving as we do. We bring our ports to the -- to our benchmark EBITDA from -- after we take over. So for sure, we are -- we are targeting to be at the benchmark level of the EBITDA very soon. So already, the port was having 38% to 42% of EBITDA. And now we are expecting to finish with 54%. And as you know, we are working hard to bring it to a normal level, which is between 65% to 70%. So that's what we do with every port, and that's what we are doing with Gopalpur.
Moderator: Thank you. The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: The first question that I had from my side was more on port EBITDA margins, which have grown to about 72%. And I believe if Gangavaram issues had not cropped up, the margins could


have been as high as 73%. Wanted to get a sense of what is driving these margins up? Because from our checks , we understand that realization has not meaningfully gone up in the quarter.
D. Muthukumaran: Sorry, repeat the last part of the question?
Ashwani Gupta: It has reached 72% because realization has not gone up at that rate. So what is the reason of that?
D. Muthukumaran: Yes. It's basically like you mentioned, it's cost has gone up by 0.6% compared to the last quarter and the last year's average. So it is actually the creep in the -- in the sort of efficiency because we are handling …Yes. Okay. So it's basically the increase in the sort of efficiency because we have had a throughput. Container volume has gone up, which has also added to the profitability. So basically, it's around cost and price sort of factors.
Aditya Mongia: Understood. Also, I wanted to kind of extrapolate this question that. What we see though is that you have a very, very large capacity land bank, if you can call it that way, on the port side, wherein the company doesn't have to invest meaningfully from a g reenfield perspective and can still grow maybe 4x, 5x the current capacity. Coupled with your focus on digitalization, do you think this port EBITDA margin over the medium term can potentially reach 75%, 76%. Is that a possibility to come th rough from a 3 -year out perspective?
Ashwani Gupta: Thank you very much. Our endeavor is to improve every day, and the figures are the consequence. So I think we are focusing on improving our operation efficiency. And quarter - by-quarter, we will be updating you with the results.
Aditya Mongia: Understood. The next question I had was on the Logistics business now. Our reading of the annual report suggests that a lot of capex is happening in that zone for the company. And a meaningful part of that actually is going inside buying land parcels. I wa nted to see or engage from your sense, how should we be taking through these kind of investments eventually leading to EBITDA. Will they be retained as land for some period of time? or there is a process on how to kind of go about it?
Ashwani Gupta: Yes. Thank you. I think your observation is correct. As we said, we want to be the largest integrated logistics solution company. On the port side, we have already got strategic locations across 7,500 km coastline . On the Logistics, we have 12 MMLPs, we have --

we have
warehousing. And at the end, what we want is to offer the full package to the customer for the last mile delivery, which includes the warehousing and so on.
So we are moving ahead in preparation for the future, which includes expansion in our warehousing terminals and so on, so that we are able to efficiently and effectively cater -- cater to the last mile. Having said that, you can always compare our logistic s business with our Marine business, where we started it as an incubator and today, we are close to 70% of market share. So which means all the investments which we are doing on the lands may not be giving us the return in EBITDA in the same quarter. But for sure, these are mid - to long -term investments, which we are doing for the strategic growth for our Logistics business as a part of integrated Logistics solution.


Aditya Mongia: Understood. The last question that I had was we've seen this trend that you're kind of growing 2x the market and even more at certain times, at least what we could see that your incremental market share is again 2x of addressing market share. And this has been happening for the past few quarters now, prett y broad -based. Could you give us a sense of what is actually clicking for you? Is it that the competition isn't improving as much as we're imposing improvement at a fast pace? Is it that we are not taking pricing because of the kind that competition is taking? Some more color would be use ful for a first point we should be extrapolating these kind of trends incrementally or not?
Ashwani Gupta: Yes. I mean the point is expose geographical coverage is our advantage, right? The -- we operate both not as a terminal. We operate port as an ecosystem. That is our advantage. And the third is this ecosystem is being connected to the customer using multi -model. And then last but not really, we are efficient and competitive.
Aditya Mongia: So I get that. Hopefully, this trend would sustain incrementally as well. All the very best to you. Those are my questions.
Moderator: Thank you. The next question is from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain: Sir, my question is on your FY '30 plan, where you said that you aim to reach at 1,000 million tons volumes. So if I do the back calculation and use the utilization at 65%, the capacity comes to at around 1,400 million to 1,500 million tons. Is that assump tion right? Is that where you want to go?
Ashwani Gupta: I think to do -- to do the 1 million -- sorry, the 1 billion, of course, it includes international. And definitely, this includes the capacity -- operational efficiency improvement, capacity expansion and the new projects. Yes.
Ketan Jain: So I we -- we can expect a capacity of around 1,200 million to 1,400 million tons by FY '30?
Ashwani Gupta: It's very difficult to say today because as you know, that capacity expansion and operational efficiency and the new projects are very fine line. So very difficult to anticipate 7 years before. But yes, port by port, we already have the EC approvals, as yo u know, whether it is Mundra or in other ports. And in line with the business growth, we will be investing in the respective ports as per master plan.
Ketan Jain: My last question is on the recent LOI for Deendayal Port income. If you could throw some color on the capex and the commercial terms of it?
Ashwani Gupta: I'll give it to Muthu now.
D. Muthukumaran: Yes. So we are expecting a total investment of about close to INR600 crores in that port.
Ketan Jain: Okay. And the capacity...
D. Muthukumaran: Yes, it's a long -term lease, and we're expecting about 1 million to 1.2 million capacity.


Moderator: The next question is from the line of Jayesh Shah from OHM Portfolio Equi Research. Please go ahead

.
Jayesh Shah: My question is, how do we look at Vadhavan Port, which is coming up as probably one of the biggest port in India next to JNPT . Is that potentially a threat to Mundra? Or do you work along with Vadhavan Port because it is supposed to be public private partnership?
Ashwani Gupta: Anything which comes up is bringing the complementary growth to the country. And we should not look at today's India's trade, which is roughly 1,500 million metric tons. If India is growing at 6% to 7% every year with the focus on industrialization, infras tructure and energy, these sectors will grow higher than the GDP, which means India trade will reach, I don't know, more than -- 2,500 million metric tons. So we should l ook at that. That's number one.
Number two, because of the industrialization, the exports will also grow. So which means anyhow, the capacities will be needed. As you know, that 95% of the trade is done by the Maritime. So we should clearly link with the growth of India, especially on th ese 3 sectors with the Maritime growth, which means we will need capacities. And at first, we have to see as India, whether we n eed capacity the answer is yes.
Now in that capacity, who will play which role and definitely, especially in maritime sector, the collaboration between the government and the private players like us have proven that these are very efficient and effective. So we welcome the government ini tiative on Vadhavan Port. I think it is a great opportunity for India to put it on a capacity expansion map. Now we are always open for any opportunity because this is our core strength. And definitely, we will study the opportunity for the potential coll aboration.
Moderator: Mr. Shah, does that answer your question?
Jayesh Shah: Yes. This is a follow -up question. Is there a public time line as to when this vote is supposed to have this private partnership offers going around?
Ashwani Gupta: No, I don't think so there's a public private timeline.
Jayesh Shah: Thank you. An d next questions …
Moderator: Sorry to interrupt Mr. Shah, your line is coming a bit crackled. Could you come a bit closer to the handset?
Jayesh Shah: Yes, I am. Is it clear now?
Moderator: Now, it's clear.
Jayesh Shah: Yes. My second question is on the international operations, which is INR825 crores and INR87 crores of EBITDA. So is 10%, 11% EBITDA normalized EBITDA, what would be a normalized EBITDA when you see normalized volumes at this international ports.
D. Muthukumaran: Yes. So we expect that actually the 10% will be there for a couple of quarters, and we are on the path to improvement. So therefore, it will go up, but yes, that will be the sort of good baseline.


Jayesh Shah: So say, by a public target of FY '30 that you said 1 million tons, where would international

operations be in terms of tonnage and broadly what margin range then?
D. Muthukumaran: Approximately 15% to 20% can be the international. And see, I think margin is one aspect. Whenever we sort of invest in any port, we are very clear that actually we need to get our return on capital employed, which is 16% in rupee terms. Of course, we look adjusted for dollars. And as far as EBITDA percent is concerned for us, actually, that is a little bit of a math because it is possible that we could have a lower -- and it will be that we will have a lower EBITDA percentage for internati onal operation, but our return threshold will be met.
Moderator: The next question is from the line of Shreyans from Barclays. Please go ahead.
Shreyans : I have 2 questions. So after the payment on the $ 24 bond, which was last week, what is your cash presence?
D. Muthukumaran: What is our current?
Shreyans : Cash balance after payment of the $2.24 bond?
D. Muthukumaran: We are INR9,000 -odd crores cash balance today.
Shreyans : Okay. And after S&P

on positive outlook, what about the rating agencies who didn't pitch, have you been having any conversations with them? Or how do they look at your credit?
D. Muthukumaran: See, there are 2 buckets, right, international and domestic. And as was mentioned in the opening remarks by Ashwani, the domestic is already upgraded to AAA as far as international is concerned, only S&P had negative outlook. So they have put us into a pos itive outlook. So therefore, others actually, we are not expecting any rating action at this point in time. Obviously, we need to remain engaged and continuous structure with them to keep updating them.
Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of our question -and-answer session. I would now like to hand the conference over to Mr. Vikram Suryavanshi for closing comments.
Vikram Suryavanshi: We thank the management of Adani Ports and SEZ Limited for giving us an opportunity to post the call and taking time out for induction with the stakeholders. Thank you all for being on the call.
Moderator: Thank you. On behalf of PhillipCapital India Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

# Call: Oct 2024



"Adani Ports and SEZ Limited Q2 and H1 FY25
Earnings Conference Call"

October 29, 2024

MANAGEMENT : MR. ASHWANI GUPTA – WHOLE -TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER – ADANI PORTS AND SEZ LIMITED
MR. PRANAV CHOUDHARY – CHIEF EXECUTIVE OFFICER , PORTS BUSINESS – ADANI PORTS AND SEZ LIMITED
MR. DIVIJ TANEJA – CHIEF EXECUTIVE OFFICER , ADANI LOGISTICS
MR. D. MUTHUKUMARAN – CHIEF FINANCIAL OFFICER – ADANI PORTS AND SEZ LIMITED
MR. RAHUL AGARWAL – HEAD OF INVESTOR RELATIONS AND ESG – ADANI PORTS AND SEZ LIMITED
MODERATOR : MR. ACHAL LOHADE – NUVAMA INSTITUTIONAL EQUITIES



Moderator : Ladies and gentlemen , good day and welcome to the Adani Ports and SEZ 's 2Q FY '25 Earnings Conference Call hosted by Nuvama Institutional Equities .

The Management is represented by Mr. Ashwani Gupta, Whole -Time Director and CEO, Adani Ports and SEZ; Mr. Pranav Choudhary, CEO, Ports Business, Adani Ports and SEZ; Mr. Divij Taneja, CEO, Adani Logistics; Mr. D. Muthukumaran, CFO, Adani Ports and SEZ; Mr. Rahul Agarwal, Head of Investor Relations and ESG , Adani Ports and SEZ.

As a reminder , all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call , please signal an operator by pressing "*" then "0" on your touchtone phone.

I now hand the conference over to Mr. Achal Lohade from Nuvama Institutional Equities. Thank you, and over to you , Mr. Lohade.

Achal Lohade: Thank you. Good evening , everyone , and a very warm welcome to everyone. On behalf of Nuvama Institutional Equities, I am pleased to welcome you all to 2Q FY '25 Earnings Call of Adani Ports and SEZ.

We will begin with the "Opening Remarks " from the Management , followed by interactive Q&A session.

With this, I hand over the call to Mr. Rahul Agarwal. Thank you. Over to you , Rahul.

Rahul Agarwal: Thank you, A chal. Hello , everyone , and a very warm welcome to AP SEZ's Second Quarter Earnings Call . We will commence this call with Ashwani's opening remarks.

Ashwani Gupta: Good evening , everyone , and welcome to APSEZ's H1 FY '25 Earnings Conference Call . During the period, we continued to strengthen our value proposition as an integrated transport utility company with unmatched waterfront to last mile connectivity solutions. Our cargo volume increased by 9% year -on-year to 220 million metric tons despite disruption in Gangavaram and loss in volume in Mundra and Tuna due to inclement weather.

We diversified our marine fleet to add a family of 26 offshore support vessels with acquisition of 80% stake in Astro Offshore . Our logistics assets witnessed all round growth in rakes, MMLPs, warehousing, trucks, and agri-silos.

We have recently closed the acquisition of Gopalpur Port along with the planned commissioning

of the Vizhinjam Port in quarter 3. We are on track to deliver our full year cargo guidance.
During quarter 2 FY '2 5, our revenue, EBITDA, and PA T grew by 6% , 13%, and 37% respectively. Our H1 FY '25 revenue, EBITDA and PAT was up by 13%, 21% and 42%





respectively. Our net debt to EBITDA stood at 2x. Based on the momentum we see in the business during the first half of the year, we are well -positioned to hit the upper end of our FY '25 EBITDA guidance.
CRISIL assigned AAA rating to our bank facilities and NCDs. India Ratings also upgraded its credit rating to AAA, and we became the first private infrastructure operator in India to be rated AAA by four domestic rating agencies.
We thank you, and we now open the forum for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from Parash Jain from HSBC. Please go ahead.
Parash Jain: I have two questions. If you can bring all of us to this speed with respect to developments in Sri Lanka, Vizhinjam , your recent acquisitions and also any incremental colors that we can share with high support, then we must appreciate it.
Ashwani Gupta: Thank you, Parash . So, Ashwani here. So, I think the second half, so let me talk about something which is very much limited to the second half , and then I can talk about years to come.
• In the second half, we finalized our acquisition transaction in Gopalpur . So, definitely we are seeing a tremendous opportunity in Gopalpur . Very soon we will be disclosing the volume which we did in October, which are encouraging, which means we are getting a good cargo in Gopalpur after we took over, so which means Gopalpur becomes another feather in our cap and that too capitalizing on the opport unity of natural resources in our East Coast. So , that's the first thing.
• The second thing is Vizhinjam . Vizhinjam is doing better than what we planned , and we see many shipping lines making calls to our Vizhinjam. And while we are ramping up, while we are learning with our automated terminal, we are improving our efficiency and ready to take more and more vessels as and when they come in.
• And number three, as we said that the full operations of the full-length berth is also on the track. So , which means Vizhinjam is better than the plan in terms of realization of the opportunity , and also we have already kicked off the second phase or the final phase where we are going to spend 20,000 crores as we announced on the next expansion of the Vizhinjam . So, which means for us, the first phase is done and now we are switching our gear to the final phase , which is the full development of Vizhinjam .
Then I would like to take to Sri Lanka. So, we welcomed the vessel having the cranes . Cranes are being installed while I am speaking , and Sri Lanka is also very much on track to start the operations next year in quarter 4, and we already started seeing a lot of leads from our customers to start talking about how they want to use our Colombo terminal. So, that's number three.





• Number four, we acquired Astro and we completed the transaction last week. So , which means Astro is another feather in our cap, especially on the marine business . And in Astro also, while we are acquiring, we acquired, we were also acquiring more offshore vessels and we see the new contracts which are coming up on the offshores.
• Number five, surprisingly Haifa is working 24 by 7, very busy port at this moment. I had the opportunity to visit Haifa three weeks before to say thank you to the team who are working under tough circumstances. I personally visited Haifa port , and I was surprised to see the overflowing cargo of the cars. Obviously, the business mix has changed, and more and more car cargos are arriving because of the South Israeli Port not allowed to have the automotive cargos, especially the cars which come from East, especially Japan and Korea and China. So , these all car cargos are resulting in getting into our Haifa port. So , which means all the four ports are doing extremely well .
• And then number 5, Tanzania, as we are speaking, Tanzania is also getting into a ramp up phase and Tanzania is also doing good.
So, that's all, I think, all the five ports which are either acquired as brownfield or started as greenfield, the status as o n today.
Moderator: Our next question comes from Asmeeta Sidhu from MetLife Investment Management . Please go ahead.

Asmeeta Sidhu: Thank you, Management , for the call today. I just have a question regarding the recent labor strikes we have seen in the U .S. regarding the ports. Was there any implications that were seen from the ports under Adani or would there have been any implications for the s trikes to go on longer than the three days?
Ashwani Gupta: To answer your question very precisely, no, it does not have any impact on us.
Moderator: Thank you. The next question comes from Mr. Achal Lohade from Nu vama. Please go ahead, sir.
Achal Lohade: Just a couple of questions from my end. First, with respect to Gangavaram Port, in the past quarter, the run rate was between 8 to 10 million tons, while we have seen first quarter was impacted, second quarter we have seen the number at around 6 to 8 MMT . So, h ow do you see this in coming quarters? Do we see absolute normalizati

on or it's going to take some more time?
And also , if you could comment on the margin profile going forward.
Ashwani Gupta: So, talking about the overall business, of course, there is always a tendency to look quarter -to-quarter. But you know, maritime is a business, which is of course quarter -to-quarter, but also it is to be seen on annual and two years ' and three years ' basis. I think quarter -to-quarter , we may have opportunities, we may have challenges. In the first half, we saw a challenge with the Gangavaram. We saw Tuna . We saw Mundra . Just last week we are out from the cyclone Dana ,

especially in Dhamra . So, these kind of things keep on coming, keep on going , and we have to be just resilient and agile to take care of these challenges.
Having said that, as I said before, the second half is doing, first of all , from the cargo view point, with all these agro commodities, with all these fertilizer commodities which are coming now in the second half, in addition to container cargo, in addition many other cargos and Gopalpur, Vizhinjam, all these coming in addition, definitely we see a good traction in the second half of this year.
So, now when we look at little bit mid -to-long term, this half year also, we grew almost double than what India grew, right? So, which means in the future, we target to do that. How we can do that? If we all believe in the India growth story, which we do believe in, is more focusing on infrastructure, which is primarily cement and steel. We take care of that.
Number two, industrialization, which is container . We do roughly one out of two containers in India.
Number three, energy, whether it is renewable energy or thermal energy, whether it is coal or it is solar panels or windmills, we do it.
And last but not the least, food and fertilizer . We do it.
So, as Adani Ports and Logistics , these four key pillars of India growth story are 100% linked to us, because of which we are confident that with our 15 strategic assets in India and 4 strategic assets overseas, we are going to capitalize these opportunities.
So, what I would say, quarter -to-quarter , first half to second half, in short term, definitely we see the growth. But more than that, in mid -to-long term, we are gearing up to capitalize all these opportunities.
And on the margins, Muthu, would you like to say something?
D. Muthukumaran: See again, I think you asked, I guess, two pa rts questions. The first one is around Gangavaram and the second part is around the company as a whole. You would have seen that company as a whole, this year port margin is 72.5%, which actually is apparent of what we have been achieving and more than what we have done in quarter 1 as well.
So, as far as Gangavaram is concerned, Gangavaram is also fast recovering. In terms of volume, as you quoted the numbers correctly, we are only 22% down compared to the previous year in quarter 2 and in quarter 3 and quarter 4, we will make up specifically in Gangavanam and company as a whole, as we have been trying to highlight, we are running ahead of the destination.

Achal Lohade: And since we are on the quarter numbers, in terms of realization particularly for the couple of ports , Dahej and Hazira , we have seen that their realizations are actually down almost in te ens on a Y-o-Y basis . Is there any particular reason in terms of cargo or anything which you could highlight?
D. Muthukumaran: So, considering the number that you are quoting, I may have to check and come back to you separately, because I don't see that actually in my sheet and in whatever we have disclosed. Do you have a page number reference that you can give as to where you are reading this?
Achal Lohade: So, basically , revenue and dividing

by the volume to arrive at the realization , and if I could quote
the realization , the realization for Hazira is about 699, Dah ej is 620.
D. Muthukumaran: Maybe we can...
Achal Lohade: We will take it offline, no problem.
D. Muthukumaran: Yeah, we can do it offline, but it's actually gone up, right?
Achal Lohade: I will come back to you . Let me take it offline. And this last question if I can with respect to the volume.
D. Muthukumaran: Sorry, just to close out on that, based on publicly published number that we have given out to you also, if you do the division, it should show that actually in both places we have gone up by at least, I mean in double digits, not gone down, but we can take it offline.
Achal Lohade: Sure, my bad, actually it is pertaining to Ganga varam where the realization is lower, but I will take it offline. The real volume is up about 4% for the quarter. So, how do you see? You have said the overall logistics has done extremely well for the quarter as well, but particularly on the real volume, continual real volumes, if you could throw some light as to how we have processed the peers and the outlook ?
Divij Taneja: Divij this side. So, what we have started doing new is we have aggressively started moving from road to rail, and this is reflected in the numbers that we are seeing. This is specifically coming in from the Mundra belt . We have taken a lot of cargo that was traditionally moving by road , and we have put them onto our domestic boxes and pushed them across.
Ashwani Gupta: And I am very glad that you have recognized it because in every quarterly call , people have many questions on logistics. And in every quarterly call , we have been saying that our next focus is logistics , to start with group logistics because we have so many group transportation from cement to energy to everything.
So, just to give you figures because you talked about the competition , in the first half , the number one logistics player , who is our main competitor , grew 6% , whereas our rail volumes increased

11%. And as Mr. Divij has explained with our new strategy , our competitor , domestic volume increased by 15% year-on-year, whereas ALL Adani Logistics ' volume increased by 47% year-on-year. So, which means the strategy which we explained about last mile connectivity , which is connecting rail, road, ICDs with the ports have started working and we will see the traction in the coming months because of evolution and execution of our strategy.
Rahul Agarwal : And Gaurav , just to close out on your previous query , in this particular quarter , our revenue per MMT was 535 and corresponding quarter last year it was 550. So, we have seen an increase in our overall realization on a Y -o-Y basis.
Moderator: Thank you. The next question comes from Priyankar Biswas from BNP Paribas. Please go ahead.
Priyankar Biswas: So, sir, my first question is since Tanzania has been integrated it seems, can you give us an idea of, let's say , the quarterly volume revenue and profitability of this asset ? That's the first one.
So, for Tanzania , I am asking for what was the volumes, the revenues and the profitability for this asset in this quarter ?
Ashwani Gupta: We actually give only the volume .
D. Muthukumaran: And the volume for this quarter is actually 3 million tons roughly, I mean , approximately.
Priyankar Biswas: So you do not provide the revenues and profitability for this asset, if I understand it right?
D. Muthukumaran: Not right now, Priyankar.
Priyankar Biswas: The other question is since this just came up in the previous question, you highlighted that the Dhamra Port may have some impact of , let's say , Cyclone Dana because of the landfall that it made close to Dhamra. So, what can be the kind of impact or how much time would it take for us

to come back to a relatively normal level of operations, if I may ask?
Ashwani Gupta : So, the impact was for four -and-a-half hours , and there was no physical damage , and there was no human impact. So, four-and-a-half hours already we have recovered. So, absolutely the port is running in great condition now.
Priyankar Biswas: And one more question that I have as this pertains to Ganga varam, what do we understand is that the RINL steel plant that supports some of our volumes over there, that is facing a significant working capital crisis , because of which it's almost kind of non -functional. So, any idea when these volumes can come back , or what is the stage of negotiations active there, so that our volumes can ramp up?
Ashwani Gupta: See, as you know , this has been the historical situation as far as the particular plant is concerned. This is not the first time they are actually facing the working capital crunch. But they actually come out pretty quickly as well, usually in a matter of months or two. So, we expect that actually

we will, I mean they will and often times they also get the support sort of from the government

and other people concerned, banking etc. So, they come back pretty quickly. So, we expect that this time also they are nearly there , and they should come back from there.
Rahul Agar wal: And Priyankar, just to put things into context, the proportion of cargo from RINL related to the overall cargo in Ganga varam is just about 10% . So, it's not a very material contribution.
Priyankar Biswas: Can you repeat that? You said 10% of the …
Rahul Agarwal : Yeah, of the Ganga varam volume.
Priyankar Biswas: And sir, if I can just squeeze one more in. So, I understand that we have been developing LNG -related assets as well. So, how are we in terms of utilization of these assets, let's say , in comparison with the prime competitor in the country?
Ashwani Gupta: Sorry, in comparison to, what is the last part of the question?
Priyank ar Biswas : Competitor.
Priyankar Biswas: The main competitor in the country?
Ashwani Gupta: The LNG terminal you are asking.
Priyankar Biswas: LNG, yes.
Ashwani Gupta : So, see, LNG, the production ramp up is happening or rather the utilization ramp up is happening as planned. You are talking about Dhamra. And in any case, what we have there is actually a take or pay contract.
Moderator: The next question comes from Alok Deora from Motilal Oswal . Please go ahead.
Alok Deora: Sir, just wanted to understand this volume guidance we have maintained for the full year. So, based on the kind of subdued volumes in some of the months in the first half , so it's a pretty tall ask for the second half. So, how confident we are on this volume guidance ? Just some color on that.
Ashwani Gupta: Yeah, I think as I said before, containers we are very much confident. The agro and fertilizers are coming back with the opening up of things . So, we are very confident. In addition to that , we have Gopalpur and Tanzania and so on , which are in addition. So, that's why we re -emphasize today our guidance with the volume between 460 to 480. We are very much confident of achieving that.
Alok Deora: And sir, this logistics business , we have done pretty well on the growth side. But the margins have kind of still been lower than what we were doing last year. So, just wanted some

understanding on that , because as we scale up , margins we would expect it to slightly be better or equal to what we were doing previously. So, how are we seeing the margins here or it's more of a support play to the ports business and so margins really don't really matter much in that sense ?
D. Mut hukumaran : So, we explained in the previous quarter as to why the margins have been going down , and we had also mentioned at that point in time we could see that in quarter 2, the margins should actually show you the increasing trend. So, this quarter we are talking about a margin of 2 7% as opposed to 25%. I think you are comparing with the Q2 of the previous year and this particular hit on margin on couple of items to name out one , busy season surcharge started in Q3 and Q4 of the last year.
So, therefore , actually , in short , the margins are coming back , and we expect the margin to stabilize to the levels that we actually have seen in the past in the coming quarters . In short , we have been able to pass on the cost increases to the customer . We have done it over a period of time. We haven't done it on day one, but as of today , all the cost increases have actually been passed on . So, you will see that the margins come back to the same level as previous year.
Moderator: The next question comes from Ketan Jain from Avendus Spark. Please go ahead.
Ketan Jain: Sir, my first question is on the growth in volumes. What were the key drivers for our volumes for this quarter, especially containers and at Mundra and D hamra?
Ashwani Gupta: So, the main growth pillar in this quarter was containers. The ports in the first half, Mundra grew by 17.6%, Karaikal grew by 6.5%, Ennore grew by 36.3%, Kattupalli grew . So, you can see the container handling ports grew much and then most important D hamra , because of the natural minerals and the coal , grew by 18.6%. So, it's a very well balanced between West Coast, South Coast and the East Coast driven by containers and the dry cargo. And we do believe that this is going to continue because Gopalpur has already started contributing significantly from October.
Ketan Jain: Also for the coal volumes , is it because more of an inland shipment ? Is it because of that?
Ashwani Gupta: I think , most important is , if you look at all India growth, coking volume has been flat in the first half, whereas the imported thermal coal has grown by 4.8% , but coastal coal has only grown by 2%, which is very marginal. So, it looks to be this kind of story , but at the end , this is what is the all India cargo. In all this cargo , we have captured the market share . So, we have grown our market share in this , and that's where we are pitching.
The only commodity which has de -grown at all India level is the iron ore which has gone down 10.2% a ll India level and the fertilizer which has gone down by 24.1%. So, that is something

which is all India cargo which has gone down. Iron ore , because of the international pricing , as we all know , and fertilizer , which are very much linked to the government opening of the tenders.



For the fertilizers , now we see the opening of the tenders . So, the cargo has already started coming in , in the month of October.

In iron ore , Krishnapatnam has got a challenge because of the logistics cost , but now D hamra and Gopalpur is capturing the iron core because of the competitive logistics cost. So, that is why even if all India volume is down on iron ore and the fertilizer , we are going to pick up in the second half of this year.

Ketan Jain: My last question is on capacity expansion. What can we expect in next 3 to 5 years expansion in the current domestic ports , like where are you looking to expand ? Where is higher demand relatively?

Ashwani Gupta: So, as you can see in our presentation, we have a very good balance between business commodity mix and the business asset mix , which means across the 7 ,500 kilometer of coastline , we have the ports , as you know , but because we handle container dry and liquid , all the commodities , so we can easily absorb the risk , and we can maximize the opportunity. This is what we have been doing.

So, having said that, we are inc

reasing our capacity almost everywhere. So Mundra, Hazira, then Kattupalli , then Dhamra . Now Gopa lpur we have just acquired , so we are not. We are just refurnishing some of the equipments. Krishnapatnam , Gangavaram, I think everywhere, somewhere we are doing something because we know that we have to prepare ourselves with the growth , which will be 2x than the India growth.

So, as we speak, we are investing in the capacity , and as we have explained in our financial discipline , that we have enough cash being generated from the operations to fund our mid -to-long term capacity. And this capacity, number one, is to sustain the current assets. Number two, to invest in the technology , which is the digital platform we have developed end-to-end. And number three, in the greenfield projects in the future. So, to answer your question, we keep on investing in increasing our capacity. Hope it answers your question.

Ketan Jain: Sir, is it possible to quantify any expansions , like any plans you have, any quantification in terms of capacity in million terms?

D. Muthukumaran : See, I think there are multiple ways in which we can answer this question. First is, one detail that we give every year at the beginning of the year is broadly the CAPEX plan that we have by port, which is there in the investor de ck, where we are talking about in this particular year, we are talking about in Mundra, equipment for T3 to expand the capacity, the South Port Rail Head, which is SPRH , material handling system for a new customer.

In Gangavaram, we are doing yard mechanization, and we are actually importing new GSUs there . In Dhamra we are doing railway doubling and birth construction . So, we are giving details of the specific CAPEX plan by port in the investor presentation.



In terms of the birth capacity itself, we see , I can tell you now, in stead of a year -by-year, a block of let's say 5 years where we see actually birth will sort of expand in capacity across almost all our ports.

So, it's only a question of which one comes when , but on our overall basis , we will be investing across all our major ports . And if you want to give an order in the next round of expansion , we are talking about potentially a container terminal in Mundra, we are talking about a multipurpose terminal in D hamra . And as you know , our VLCC terminal in Mundra is sort of getting commissioned soon . Our Vizhinjam Port is getting commissioned soon . Sri Lanka will be getting commissioned . So, yeah, these are the upcoming commissioning and ongoing expansions.

Moderator: The next question comes from Aditya Mongia from Kotak Securities . Please go ahead.

Aditya Mongia: The first question that I had was more on the logistics part, specifically varying logistics. I wanted to get a sense of across all MM LPs, where are we getting a lot more market share, leading market shares in this business? And what is driving that market share's kind of improvement? Is it pricing? Is it service levels? What is it?

D. Muthukumaran: Hi, Aditya. So , the market share that we are getting into is not from any other MMLP. This is primarily a conversion from road into rail. As you are aware with the DFC coming in, the ability to double stack is increasing. So, comparable to the road, as the distance gets larger, we are able to double stack and eat into those markets.

Aditya Mongia: So, the second question that I had was this observation that there is a line item in the cash flow statement talking about payment rates or observation of subsidi aries. And this is about 850 crores, this first half was I think 2004 number last year. Last year it was suggested this is more into acquisition of land parcels. I want to get a sense of if there are similar kind of sources this year, or where is the money being invested inside?

D. Mu thukumaran : I think you are talking about the number which is 835 crores in the cash flow statement. As we have mentioned there, it is for two purposes. One is acquisition of Tanzania and the other is acquisition of various land parcels. I may have to zoom out a little bit to explain this context.
You may recall when we actually talked about the logistics strategy, we said that actually ahead of the market in anticipation of our new facilities coming in, we are acquiring land across length and breadth of the country, where we have mapped out MMLP and ICDs are coming up and warehouses are coming up.
This follows the detailed study in our strategy as to where there is a market , and clearly, the existing industrial clusters is what we have assumed. We have not assumed any new industrial clusters in the geography coming up. So, our expansion plans in MMLPs and warehouse and ICDs are in and around the existing industrial clusters.

You might r emember that actually we have been commissioning MML Ps in the recent past, Nagpur, Virochannagar , we are working on various other across the country . So, we are buying land across, and the land will get bought usually anywhere between 2 to 3 quarters of giving land advance.
Aditya Mongia: And I would assume that these capital new subsidi aries that have been added in this quarter are also linked to this kind of endeavor . Is that fair assessment?
Ashwani Gupta: Sorry, we could not hear the speaker . Could you repeat please?
Aditya Mongia: No, sir, I think let's move on to the next question, I hope I am audible to you. This Tanzania , 3 million tons, is this part of the volume numbers for this quarter for you? And B, what will be the Gopal pur contribution as well as the Vizhinjam and Colombo contributions of second half as per you?
Ashwani Gupta: So, yes, 3 million is part of the 220 that you actually see for the half year, and as far as the Gopal pur is concerned, at the time of acquisition , we have actually told you what the broad numbers of the past is . We will actually see that the numbers of Gopalpur will be along the lines that we presented during the acquisition, so which is anywhere between 800,000 to 1 million tons per month .
D. Muthukumaran: And the Vizhinjam run rate should be around 50 to 60,000 TEUs a month.
Moderator: Thank you. The line for the current participant has been dropped from the queue . So, we will move on to the next question. The next question comes from Nidhi Shah from ICICI Securities . Please go ahead. As there is no response from the line of the current participant, we will move on to the next question. The next question comes from Bharani Vijayakumar from Avendus Spark . Please go ahead.
Bharani Vijayakumar: So, you mentioned about higher rail volumes for logistic business this quarter . So, can you highlight the rail coefficient in major container ports like Mundra and say Hazira and others in this particular first half compared to the same period first half last year?
Divij Taneja : 32. So, roughly at Mundra, 32% as of this year. This includes both the import and the export volumes. Import is slightly higher at about 46%, but it averages out to 32%.
Bharani Vijayakumar: So, how much would it have been last year , sir, same time?
Divij Tane ja: It would be roughly around 31% last year.
Bharani Vijayakumar: So, like that, can you say in which other ports that rail coefficient has increased?

Ashwani Gupta: We expect rail coefficient to increase in D hamra, where we are actually putting in a double line. And the rest of the ports actually, as you know, are rail evacuation at this point in time is not directly owned by us. So, these are the two which is important.
Bharani Vijayakumar: My second question is

on this particular quarter's performance on volume. So, we had seen strong volume growth in coal and in ports like Mundra, Krishnapatnam , Dhamra. And this is in light of the overall economy seeing some slow down, like even power generation was lower. There has been some slow down in other parts of the economy. So, in that light, it is definitely a very good performance. I heard you mention that we have done well because we have also taken market share or market share has increased, but can you spend some more time on specifically what is driving this good volume growth in Mundra, in coal, in D hamra, in Krishnapatnam ?

Ashwani Gupta: No, I think I try to answer your question that the India growth is being driven by infrastructure, energy, industrialization and industrialization that too medium -to-high end, capital intensive industrialization and the food and fertilizers. There could be a shift in the trend of each of the commodity, but at the end, because we are into all these four pillars, we are capitalizing all the four pillars.

So, even if the iron ore volume, all India level went down, fertilizer didn't come up, but on the other side, the agri volumes, especially pulses and sugar, they grow by 32% , all India volume, right? When we look at iron and steel, all India grew by 6%. When we look at cement, it grew by 3.9%. When we look at POL products, they have grown by 3.9%. LPG, LNG grew by 15.5%. And the container volumes grown by 12.3%, out of which we grew much more and that's where it is. So transshipment volume in India grew by 63.4%, and now with Vizhinjam, we will get there also.

So what I am trying to tell you here is that we are getting more market share because of our asset and because of our competitiveness from each of the commodity , which is growing either marginal or exponential , and that is a result of that we grew our market share from 26.4% to 27.3% in the H1 FY '25 which is comprising of all the commodities , but also which is comprising of all the ports , all the major ports in West , East and South Coast .

Bharani Vijayakumar: So, if I may squeeze in one last question , our ports ' EBITDA margins have grown from 71.5 to 72.3. I think maybe 80 bps increase . Like anything specific driving this because is this driven by realization increase?

Ashwani Gupta: So, basically , in our ports , what is most important is operational efficiency , but also what is also important is the commodity mix. So, more and more we are growing in containers , definitely we have overall EBITDA margin which is better because containers gives us a good return. So, that is the combination of operational efficiency , but also that we are doing more container mix in our portfolio.



Moderator: Thank you. The next question comes from Sumit Kishore from Axis Capital . Please go ahead.

Sumit Kishore: My first question is that if I look at the domestic port EBITDA per ton versus international port EBITDA per ton , domestic port EBITDA per ton is significantly higher. So, could you just explain what the dynamics are here? I understand it is not like all right , but given the EBITDA margins for even Tanzania included now have not materially changed the profile , what are your thoughts going forward ? Would this be the new normal?

D. Mu thukumaran : Actually , it's a very good question because India is a homogeneous market and all the investment that we make outside India , the market is a bit heterogeneous. It's not exactly sort of comparable , and what is important instead of just giving the metric of EBITDA per ton, what is important is actually what is our value creation journey and are we tracking the value creation journey. So , we would urge that actually you look at that and EBITDA per ton is not comparable.

Sumit Kishore: So, could you give us a metric on ROC E

if you compare international ?

D. M uthukumar an: ROC E we have 15% return on equity in Indian rupee term as the threshold.

Sumit Kishore: So, international , although it's early days yet for Ha zira and Tanzania , but they are above this threshold.

Ashwani Gupta: Yeah, Tanzania is above the threshold. It's a mature market and mature port , and in times to come , we may embark on an expansion journey. So , at that time you need to actually wait for fruition of the CAPEX , but at Sri Lanka also you will be able to see it in the next couple of years. We are on that journey. So , yeah, you have to actually see it at the right point in time as we ramp up and complete the ramping up , you will be able to see the return.

Sumit Kishore: My second question is on the SEZ in port development business. We have seen revenue of only 170 million of rupees for the quarter. I mean , my question is with so much SEZ development over the years , why isn't a recurring income from lease rentals above a certain threshold on a quarterly basis? So , just more from my understanding , why isn't there a recurring lease income?

Ashwani Gupta: You know , we have actually spoken about this in the past. What we want to highlight here is that actually it is not a quarter -by-quarter comparable number. What is important is the fact that we have a land bank in the ports that we have actually talked about in the presentation. We have it in multiple ports , and we will over a long period of time unlock value from here , and it will not be uniform quarter -on-quarter. You will see that in some quarters it spikes up , and in other quarters it remains subdued.

Sumit Kishore: No, sir, I completely appreciate that. So , are the contracts not structured with some periodic payment on a rental basis as well? Because that used to happen in the past. So , is there some change in how contracts are structured?

Ashwani Gupta: Oh, it's a good question. Actually, I could have answered it earlier itself. Point taken . Actually, what you see in this quarter, there is no one -off income. So , all these in this quarter is coming from the fixed contract. So , if there are no new contracts, this money will keep flowing for the next many years to come.
Moderator: The next question comes from Jinesh Kothari from Elara Capital. Please go ahead.
Jinesh Kothari: I have had one question regarding our logistic rail volume. So , you mentioned in your commentary that there is a shift happening from road to rail, but if I see for the particular quarter, the volume numbers are a mere growth of 4%. So , was there any particular commodity that affected this growth in our rail T EU volumes or was it something cyclical in nature? So , just wanted some insight on that part.
Ashwani Gupta: Yeah. So , the main commodity that we have gone after is an agri -based commodity. So , this is primarily a domestic place. So , while you look at the number as say 4%, the circuits are being established as we speak, and the number is bound to increase after that. But to answer your question specifically, it's conversion of road cargo specifically on agri and both , on inbound and outbound.
Jinesh Kothari: And I just wanted to get a sense on the CAPEX part. So , out of the total guidance that we have highlighted for the year so how much CAPEX had we incurred in the first half and the balance that we are aiming in the second half?
Ashwani Gupta: So, the amount of CAPEX that we have spent in the first half is close to 4,400 crores and the guidance stands. So , we are anticipating that we will spend the rest of it in the next two quarters.
Jinesh Kothari: And just to squeeze in the last question, the volume, you highlighted some of the avenues that you are aiming that will compensate the volume growth and future guidance. So, just a ballpar

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number, if you can provide like Vizhinjam , Gopalpur and the Tanzania in the second half, how likely or how is the quantum of volume that we are aiming from those three, four ports that we are looking to add in the second half?
Ashwani Gupta: See, we told you that actually the sources of volume increase in the second half will happen from both the buckets. Number one, the new ports that we have added in the portfolio, either M&A or CAPEX in Greenfield . And the second bucket being a ramp up of volume in existing po rts. As to your question on the first bucket, Gopalpur, we told you 800,000 to a million is what we anticipate in monthly volume. And Vizhinjam , actually, Rahul mentioned, let's say 50,000 TEUs, which is approximately 7,50,000 tons per month of volume. And Tanzania, we told you 3 million for this quarter. So , it's a reasonably representative number.
So, that is actually the volume increase from the three new additions that we see. And Colombo will most likely be commissioned towards the end of the year. So , we will probably not have much to be contributed from Colombo in this. And the balance that we expect volume ramp up



is across ports, but fundamentally led by Mundra, Gangavaram and D hamra maintaining its course and little bit pick up in Krishnapatnam . So, these are the four ports that we expect volume drivers to come from.
Moderator: Thank you. The next follow up question comes from Nidhi Shah from ICICI Securities. Please go ahead.
Nidhi Shah: So, firstly, I wanted to ask on the A BPO. So , this quarter, you are seeing that the that the revenues are much, much lower. Is this primarily because this was planned by the company or is this something that that just happened this quarter?
Ashwani Gupta: Sorry, which one?
D. Muthukumaran: Which business you are asking ?
Nidhi Shah: ABPO . ABPO business. We are seeing that the revenues are much lower compared to last quarter. What is the reason for that? Is that a planned move?
Ashwani Gupta: Sorry, that particular word is not clear.
Nidhi Shah: ABPO.
Ashwani Gupta: What exactly are you referring, ma'am?
Nidhi Shah: I am referring to the ABPO business. Basically, it's called out in your slide separately.
D. Muthukumaran: Could you give us the slide number , ma'am ?
Nidhi Shah: Yes, one second. In the meantime, if I could just ask you another question while I look for it. So, as we know that the Vadhavan Port is coming up in Maharashtra as well as the Murbe Port , do we see that these ports will bring some competition in terms of containers for Hazira and Dighi Port ? And also, I understand that Mundra is much further away, but they all share the same hinterland. So, do we expect some kind of competition once these ports come up?
D. Muthukumaran: So, competition is always good, but you know that all India capacity is been increasing. So, by 2047, India is looking for 10 billion tons of capacity. So, anyhow, when Vadhavan will come in, it will give us more opportunity to capture more market share. That's what we are looking in

Vadhavan . And Vadhavan is also an opportunity for us, not a risk for us.
Nidhi Shah: Just to come back to the first question, in the , apologies, ins tead of ABPU, I meant to say SEZ and port development .
Ashwani Gupta: Port development, that's the same thing that we spoke about, which is SEZ income, which actually we spoke in the last question. So, we have two types of income coming from there. One





is annuity type of income, which is lease rental. We told you that this year or this quarter, we only have annuity. So, therefore, this is the minimum income that we will get. And every time we complete a development of a port and do a transaction, you will have one off port developme

nt.
Moderator: The next question comes from Luke Chua from Pictet Asset Management. Please go ahead.
Luke Chua: Happy Diwali , and thank you for the last question for myself. Just one thing. In the presentation and the release, there was something that I wanted to look at was your net debt to EBITDA. It was number 2 in one of the presentations. But in the release statement, it was, on the TTM, it was 2, right? And you got it 2.2, 2.5x forward looking. And if I take your excellent EBITDA and call it 18,000 crores and above, and your CAPEX , as you said earlier, of 11,000 crores and above, you would draw a lot of free cash. So, if that is correct, then are you not going to use the money to deleve rage further? Or the cash would become just dividends going up further?
D. Muthukumaran: Yes, actually, the September net debt leverage number is 2. And we anticipate at the end of the year, this number will be in the broader region that we have guided, which is 2.2 to 2.5. Fundamentally , because two events that have already happened as we report, but post September in the month of October is the acquisition completion of Gopalpur and acquisition completion of Astro. And as you might have observed in this conversation a few moments ago, our CAPEX for the next half is going to b e more in the region of 6,500 crores. So, given a higher utilization in H2, we estimate the EBITDA range to be in 2.2 to 2.5.
Luke Chua: No, I understood, but it seems then that if your cash flow conversion is as high as I think the most previous year, you should draw out a lot of cash. Or did I miss something here? Because your CAPEX is going to be 11 ,000 to 12,000 crores, correct?
D. Muthukumaran: Yes. No, so in case if our cash conversion is more, we have just said that actually, our long -term target for debt is 2.5 leverage. So, we will take appropriate actions, not based on one quarter, but it has to be probably seen consistently over a few quarters before we can take action in terms of equity adjustment, dividend or buyback, et cetera.
Luke Chua: So, I think it's more of a medium -term target there.
Ashwani Gupta: That's correct. It cannot be based on one single quarter number. It will have to be sustained over a period of time , and then we would actually watch it and then obviously calibrate to 2.5 long-term targets based on the expansion plans and acquisition plans that we come up with.
Thanks for the participation. It is particularly appreciated in light of the fact that the festival season has already started. Happy Dhanteras to all of you. Happy Diwali to all of you. We hope actually you have a good festival. Please do reach out to us, particularly Rahul Agarwal. He is the contact manager. We will be very happy to answer any questions that we have not answered





now. And we have seen that there are some questions coming up on the board, so please do feel free. We will be happy to answer them. Thank you very much.
Moderator: Thank you. As there are no further questions from the participants. I now hand the conference over to Mr. Ach al Lohade for closing comments.
Achal Lohade: We thank the management of Adani Ports and SEZ for giving us the opportunity to host the call . Thank you all for being on the call. Thank you so much. Have a good evening.
Moderator: Thank you. On behalf of Nu vama Institutional Equities , that concludes this conference. Thank you for joining us. You may now disconnect your lines .

# Call: Feb 2025

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Earnings Call for Q3FY25
Adani Ports & Special Economic Zone Limited

- Moderator - PL Capital Limited :

- Ladies and gentlemen, good day and welcome to the Adani Ports & Special Economic Zone Limited, Q3 FY25 Conference Call hosted by PL Capital. As a reminder, all participant lines will be in the ‘listen only’ mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal the operator by pressing * and then zero on your touch screen phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Tushar Chaudhari from PL Capital. Thank you and over to you Sir.

- Mr. Tushar Chaudhari – Equity Research Analyst, PL Capital Limited :

- Thank you Dorwin. Good evening and a very warm welcome to everyone. On behalf of PL Capital, I am pleased to welcome you all on the earnings call of Adani Ports & SEZ for Q3 FY25. We are happy to have the management with us here today for the next 1 hour. Management is represented by Mr. Ashwani Gupta, Whole Time Director and CEO, Adani Ports, Mr. D. Muthukumaran, CFO, Adani Ports, Mr. Pranav Choudhary, CEO, Ports Business, Mr. Divij Taneja, CEO, Adani Logistics and Mr. Rahul Agarwal, Head of IR and ESG. We will begin with the opening remarks from the management followed by an interactive Q&A Session. With this, I hand over the call to Mr. Rahul Agarwal. Over to you Sir.

- Mr. Rahul Agarwal - Head ESG & IR , Adani Ports & Special Economic Zone Limited:

- Thank you Tushar. Hello everyone and a warm welcome to the earnings call for the 3rd quarter FY25. We are about to begin the call. I will request Ashwani for his opening remarks followed by the Q&A session.

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited:

- Thank you. Good evening and welcome to APSEZ 9 months FY25 earnings conference call. APSEZ delivered all-round growth during the first 9 months of FY25. Revenue was up by 14%, EBITDA increased by 19 % and PAT grew by 32 % year on year. EBITDA margin increased to 62 % from 60 % last year. We continue d to maintain excellent financial discipline. Our net debt to EBITDA was at 2.1 versus 2.3 in FY24. The momentum in our business is being driven by strong execution across 3 key areas - market share gains coupled with volume price, price mix increase, traction in logistics verticals and 2 operational efficiency along with technology led gains. Driven by this momentum, we are upgrading our FY25 guidance to Rs.18,80 0 to 18,900 crores from the previous guidance of Rs.17,000 to 18,000 crores. We have closed significant business initiatives including Astro Offshore, Gopalpur, Tanzania, Ennore divestment and ensure smooth commissioning of our Vizhinjam Port . We continue to be on track to commission our Colombo Port. We also launched a new Trucking Management Solution. This platform acts as a trans formation marketplace and fulfillment solution as well to streamline trucking supply chain for our customers. With that, we now open the forum for Q&A.

Q&A Session begins:

- Moderator - PL Capital Limited:

- Thank you very much. We will now b egin the question -and-answer session. Anyone who wishes to ask a question may press * and 1 on their touch phone telephone. If you wish to withdraw yourself from the question queue, you may press * & 2. Participants are requested to please use handsets while asking a question. Ladies and gentlemen, we will wait for a moment whi le the question queue assembles. We have the 1st question from the line of Alok Deora from Motilal Oswal. Please go ahead.

- Mr. Alok Deora - Motilal Oswal Financial Services Ltd:

- Hi, good evening and congratulations on the decent set of numbers. So, the first question was actually on the EBIT DA upgrade or guidance. We

have enhanced the guidance now for FY25. So just wanted to understand the rationale there. Are we also looking to do higher volumes than what we were estimating because the EBIT DA number has been kind of revised upwards?

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited:

- Well, thank you and great to hear you. Ashwani here. You know, we have been positioning APSEZ as not only a port volume company but a truly integrated transport solution company and that's why you know, when it comes to the cargo volume, though we saw a mi xed reaction in the different commodities, in terms of the overall trade of the country but when we looked at our performance vis a vis the total trade, we have gained the market share and the biggest thing which we have done is of course the container business where we have grown 14.9 % with respect to last year. So , all I would say the plus and minuses, minus is coming from the all India trade down especially the import export was highly compensated and converted into the growth factors using container, steel and other commodities. So that's why, if there is a plus and minus of volumes in the cargo, it doesn't anymore impact a bit on our financia ls because our businesses, especially marine and now the newly acquired Astro and the other businesses are contri buting to the financials. So that's why, we see APSEZ as a whole, a truly integrated transport solutions 3 company which of course is dependent on the cargo volume but getting away with the sensitivity only linked to cargo volumes.

- Mr. Alok Deora - Motilal Oswal Financial Services Ltd:

- Thanks for that explanation. Also, just one more question on that – so now our competitor in the private sector space has announced a big Capex in the logistics business which is to the tune of almost 9 -10 thousand crores in the next 5 years. So , they are also talking about big numbers in the logistics side. So just wanted to understand from the industry perspective and not really any comment on the competitor maybe. But from the industry perspective size, is there really any that kind of big appe tite for t he logistic business to scale that kind of opportunity for……because we are also having big plans and now even other players are kicking in. So would there be any challenge for us to kind of scale up in the next 5 years?

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited :

- Thank you. I think in the next 5 years, what we want to do, we want to on one side increase the market share as our ports because we already have 15, am pretty sure, if something adds, it will not be substantial. Now what we want to do is use the port's network to increase the market share of our inland logistics and this is where, we are going to focus on capex, on the logistic business and capex in logistic business is about ICD's….you know, we have just started delivering . We will be starting other ICDs also in the near future and then in addition to the ICDs, we are investing in warehousing and most important, we started the trucking business. We started the trucking business which is going on well and we want to expand it. So comparing with our competit or, who is no.1 today and we are no.2, we have the strength of having a port network and the trucking and the warehousing in addition to the ICDs and that is where, we want to focus on and spend the capex significantly on the logistics.

- Mr. Alok Deora - Motilal Oswal Financial Services Ltd:

- Sir, just last question from my side. Since we are already in January now and towards the end of this financial year, any cargo volume guidance for FY26?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Ya, hi! So I will answer that question but i do want to rephrase by referring back to the 1st question you asked. What's the si

gnificance of cargo and vis a vis the EBITDA of the company? I am sure you will notice that actually we have upped our EBITDA and you know, cargo for this year as we actually stand, we are sticking to our guidance. If ther e is any marginal plus or minus, it will be very marginal. But our EBITDA which is where we wanted to bring the focus back to because you know, the last several ye ars, the company 4 has delivered what it has embarked on, which is delivering the transport utility. So, you know, cargo doesn’t fully represent the profitability and the profit margin which we actually get. So therefore, you know, we are trying to re -orient to the EBITDA number. And within logistics, from our point of view, logistics is one word that actual ly encompasses multiple businesses. If you compare us with the competition and starting this quarter, we are trying to give a little more granular information on logistic s itself. We have started giving subsegment on logistics. We will see that on page number 45, we have given information on the truck management system which again Ashwani spoke about in the beginning. It’s actually a very important milestone in the logistic business of the company and that has been done in this quarter. So , volume is important, but I would actually appeal to you to look at more comprehensive analysis where we actually start looking at EBITDA.

- Mr. Alok Deora - Motilal Oswal Financial Services Ltd:

- Sure, my last question was on the volume guidance for FY26, if any at this point?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- So, volume guidance for 26, as you know, we normally give when we actually give the results for the full year, which will be sometime in May.

- Mr. Alok Deora - Motilal Oswal Financial Services Ltd:

- Sure, sure! That’s all from my side. Thank you and all the best Sir.

- Management - Adani Ports & Special Economic Zone Limited :

- Thank you.

- Moderator - PL Capital Limited:

- Thank you. ladies and gentlemen, in order that the management is able to address questions from all participants in the queue, we request you to please restrict yourself to 2 questions per participant. You may rejoin the queue for follow -up questions. We have the next question from the line of Ankita Shah from Elara Capital. Please go ahead.

- Ms. Ankita Shah – Elara Capital:

- Ya, hi, thank you. Sir, how are you expecting the volumes to rank up in the 4th quarter?

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited :

5

- How are we ….sorry? Ankita, you are not very clear.

- Ms. Ankita Shah – Elara Capital:

- To achieve the guided range of the volume numbers that you have mentioned, there is an expectation of a pick -up in the 4th quarter in cargo volumes. So , what can drive this growth in volumes in the 4th quarter?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- So, 2 buckets Ankita. First one is actually, you know, the trial volumes of Colombo, the full volumes of Vizhinjam and the full volume of sort of Tanzania, Gopalpur. Although Tanzania and Gopalpur have been there with us in the last quarter, we expect some volume pick -ups. So , these are, let’s put them in the bucket of new and upcoming ports and we also expect that actually, you know sort of volume pick -up in currently operating stabilized ports as well. So , you know, Mundra for example or Hazira, so we exp ect a pickup of volumes in some of these ports as well.

- Ms. Ankita Shah – Elara Capital:

- Also you are expecting coal volumes to pick -up?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- No, there isn't anything in particular that we wanted to talk about coal volume to be here for pick -up. We are not banking on coal to be self -increasing in volume.

- Ms. Ankita Shah –

Elara Capital:

- Ok. My 2nd question is on the realization growth in the port's business. So , volume has grown by 3.5 % but there is a 8 % growth in the revenue. So where has this growth come from, realization growth has picked in which port?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Our realization across ports has gone up, which is contributed by some foreign exchange increase as well as price increase that we have taken. So to that extent actually, we have seen price increase and realization increase in all ports.

6 - Ms. Ankita Shah – Elara Capital:

- Ok and last one Sir, you have spoken about the growth trajectory, long term growth trajectory in ports and logistics business. If you can also highlight your thought on the international business. How that will span out over the next 2 -3 years? That will b e helpful. Thank you.

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited :

- Thank you Ankita and thank you for asking that question. We discussed that when we had the investor meet in Vizhinjam. We are sticking to those ambitions and for the port volume that we talked about, the domestic, we continue to grow like this and we should land in 2029/30 around 1bn, that's our ambition, out of which 820 to 850 should come from domestic which is a normal growth, which we have. But the most important is the 2nd part, which is 140 to 150 comes from international, which speaks for our mix whi ch at that time should be 85 /15, which is today, roughly 95 or 94 and 6. So which are the ports which will bring a significant contribution as you would have seen that Haifa is doing good for us on the growth path. 50 % of Israel's trade goes through the Haifa Port. So now as we see Israel growing, definitely our port is growing and will grow. 2nd Tanzania, with the traffic which we are capturing and with the plan that we have to expand another Tanzania Port to ease our catchment area around Tanzania, includ ing 5 countries that w ill contribute to the growth and last but the most important, which is Sri Lanka. After the great success of Vizhinjam, we see a lot of opportunities once we start Colombo. Colombo is on track. We plan to start in April and definitely that will also bring the things up. With these 3 ports mainly and 1 or 2 coming up which we are of course studying, definitely we see to have an ambition of 85 /15 by 2029/2030.

- Moderator - PL Capital Limited:

- Ankita, do you have any further questions?

- Ms. Ankita Shah – Elara Capital:

- Thank you, thank you.

- Moderator - PL Capital Limited:

- Thank you. So the next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

- Mr. Achal Lohade - Nuvama Institutional Equities :

7 - Ya, good evening Sir. Thank you for the opportunity. Sir, just an extension. You said that 1 or 2 coming up, is it in relation to domestic or international? Because you were talking about international. Were you talking about 1 or 2 incremental internation al port?

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited :

- See, we are always on the lookout for that. I think we are studying international because in domestic we have nothing left today but if something comes up, we will definitely fight for it and as you know, Vadhavan is the one where we will fight to get it. I am not sure if it will be coming before 2028 but as I said, we are always on hunt for great opportunities which will increase our topline and will also increase our bottom -line. To start with, of course , international but I am pretty sure that domestic n ew ports will also come up after 3-4-5 years in the mid-to-long -term plan.

- Mr. Achal Lohade - Nuvama Institutional Equities :

- Understood! The 2nd question I had is with respect to the logis

tic business. If you could
give some mor e sense how do you see it evolving over the next 4 -5 years? What kind of contribution? Which particular sub -segment within that will drive? More elaboration on that will be very helpful Sir.

- Mr. Divij Taneja - CEO, Adani Logistics :

- Ya, good evening! Divij this side. So as far as looking at APSEZ as an integrated transport place, we are in the process of redesigning our circuit. So that there is true integration. So we have a lot of tech coming into play. That tech will manage indents both on rail and on the trucking side, and if you look at the trucking numbers, there is almost a 92 % growth year on year and almost a 152 % growth on a quarter on quarter basis, if I look at last year and this year. Now as we strategically align and we pu t tech into the mix, the idea is to get into not just assets, in terms of physical asset but also virtual assets. There will be some value p rops, some fulfillment also coming in. So apart from the traditional capex that we are going for, there will be a lot of tech and a lot of end to end customer play making us into a truly ITUP thought process.

- Mr. Achal Lohade - Nuvama Institutional Equities :

- Right! Any quantification with respect to what kind of revenue contribution we can look at?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

8 - Ya. While talking to you, I am trying to actually go to the page which is there in the presentation. There are 2 sets of information which will be useful to you to answer this question. The first one is actually, if you look at page no. 9, we have given what was various asset profile and sub -segments or in logistic business, which is actually sort of MMLPs , warehouse, trucks etc….and we have also given, what is actually the size - expected in FY25 and finally, the growth in five years for now. So you can see that actually our investment in ra kes are substan tial. In M MLPs, we are expecting to scale up from 12 to 20 and in warehousing, we are expecting from 3mn to 20mn, trucks we are expecting from 936 currently to 5000 and in railway tracks, we have guided that we will do up to 2000kms. So we have given actually sub -segment wise details of what is the growth that we are anticipating.

- Mr. Achal Lohade - Nuvama Institutional Equities :

- Understood and just one clarification if I may ask in your 3Q numbers – is it one -off income or expenses which needs to be called out Sir across the entities?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- No, nothing much. All of them are operating.

- Mr. Achal Lohade - Nuvama Institutional Equities :

- Understood. I will call back later.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Sorry, once again.

- Mr. Achal Lohade - Nuvama Institutional Equities :

- Are you talking about income or expenditure?

- Mr. Achal Lohade - Nuvama Institutional Equities :

- Both sides actually, ya.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Expenditure we have called out, exactly there is an expenditure but income, there is none.

- Mr. Achal Lohade - Nuvama Institutional Equities :

9 - Got it. Thank you. I will come back in the queue for a follow -up. Thank you Sir.

- Moderator - PL Capital Limited:

- Thank you. The next question is from the line of Priyank ar Biswas from BNP Paribas. Please go ahead.

- Mr. Priyankar Biswas – BNP Paribas:

- Thanks for the opportunity Sir. My first question is regarding the EBITDA. So I understand that, in the 9 months you have already done something like 140bn and if we let's say take the Q3 and itself what you are doing, so you should broadly be able to achieve 188 -189 billion. So if this momentum is to continue, so what sort of EBITDA should we be able to achieve in FY26? Should 220 bi

llion be a fair ask?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Priyank ar, unfortunately we have to wait till we tell you the quarter 4 number because that's when we give you specific guidance for the next year. It would be little too early for me to actually comment on FY26 right now. But one thing I can tell you without getti ng into any numbers, we expect year on year growth to be in the region of 20 % +/- broadly without getting into details.

- Mr. Priyankar Biswas – BNP Paribas:

- Yes Sir, that's very helpful on that front . The other question is Sir, what we are seeing is that the margins especially at Ganga varam and Krishnapatnam this time is unusually low. Can you just tell out, what are the issues we are facing at these two particular ports?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- See, Ganga varam actually, both of them by and large is because of the c oal volume but within that, Ganga varam is also because actually we are still ramping back and we expect that to come back to normalcy in a quarter or 2. So this is a passing cloud.

- Mr. Priyankar Biswas – BNP Paribas:

- And should we see a similar thing happening in Krishnapatnam as well?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Ya, ya, Krishnapatnam as well.

10 - Mr. Priyankar Biswas – BNP Paribas:

- Sir, in the Gopalpur I see that you did roughly around 1.3 million tonnes of volumes for the quarter and if I look at the revenues, the realization seems pretty high, something like 96%. Is there some additional income over there and how do we look at it in the subsequent quarters?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Ya, ya, I mean what you are seeing is somewhat representative. Not somewhat, it is representative. So you will find it actually coming in same levels.

- Mr. Priyankar Biswas – BNP Paribas:

- Ok Sir, last question from my side. Mundra Port is already for quite some time now connected to that WD FC. So ideally they should have led to more growth in logistic business, so as to speak. But what we are seeing is that, the run rate has been broadly at around 48,000 TEUs or something like that and it's not really increasing. So why are the WDFC benefits not really showing up in this logistics space?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Have you understood the question or seek clarification? Would you mind just asking that again in a slightly different way. I am not sure, we have got the question.

- Mr. Priyankar Biswas – BNP Paribas:

- Sir, what I was saying was, so Mundra Port has been connected to the western D FC for some time now, I mean quite some time, for a few quarters. So ideally that should have led to significant growth in our container volumes handled by your logistics business. But it seems that, for the past couple of quarters, its seems to have stagnated. So what exactly is happening here?

- Mr. Divij Taneja - CEO, Adani Logistics :

- Alright! So I will give you some clarity here. The connection to the Western DFC opens up infra for me but it doesn't open up mindset as yet. Cargo, which has to move quickly still moves by truck because additionally unless a full load is there, the train doesn't move. So we are seeing changing patterns in the buyers. We are getting them more acquainted with the rail and you will see a change in the p attern because we are also redesigning the circuit to that effect. So we many not necessarily run a full ra ke load in future, so we can complete and leverage the infra but you will see an increase in volumes in the upcoming quarters.

11

- Mr. Priyankar Biswas – BNP Paribas:

- Okay , Sir, that's all from my side.

- Mr. Divij Taneja - CEO, Adani Logistics :

- Thank you.

- Moderator

- PL Capital Limited:

- Thank you. The next question is from the line of S umit Kishore from Access Capital , please go ahead .

- Mr. Sumit Kishore - Axis Capital :

- Hi, good evening. Thanks for the opportunity. Two questions. It was good to see the EBITDA margins for international have improved quite significantly on a year -on-year basis. Absolute EBITDA for International is more than Logistic, actually, for the quarter. What has been driving this - is Tanzania, the main reason ? And is this a sticky margin profile that we should be looking at or even better than this ?

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited :

- Yeah, so as we have always demonstrated that we took roughly 1 -2 years to bring back any port we acquire or we build to the best -in-class performance . We have demonstrated that in every port we did in India, so same thing, the same DNA we have applied it for Tanzania and Haifa . And Tanzania for sure but Haifa like even if the country is going through tough challenges but our teams over there are able to improve the operational efficiency in addition to the revenue catchment. So , yes, your observation is correct they are really incorporating the DNA which we have in that . So, yeah, you can see . Remember , in the previous calls we were always talking about it.

- Mr. Sumit Kishore - Axis Capital :

- 18% EBITDA margin , is this close to normal levels or can this go to 25%, 30% ? So, what is the roadmap for International EBITDA margins?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

12 - Yeah. S o, yes, it will go towards 30% mark as far as the international operations are concerned and it will ramp up , And actually Haifa , Tanzania, all of them will get to that level individually.

- Mr. Sumit Kishore - Axis Capital :

- And this will be over the next couple of years or longer?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Oh! Yeah -yeah, couple of years, within a couple of years .

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited :

- And once again I am pretty sure , before you ask the next question , we have to see that in dollar terms, otherwise if we start comparing with the Indian ports then it is not apple to apple.

- Mr. Sumit Kishore - Axis Capital :

- Sure. Meaning i f there is some element of he lp that optically number s are showing because of the rupee depreciation ?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited :

- No-no, the actual realization, billing realization .

- Mr. Sumit Kishore - Axis Capital :

- Actual realization , obviously . Yeah , so it is much higher in international , so the EBITDA margins are lower as compared to the Indian ports ?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- No-no, see, I mean, probably we have to get into slightly more detail here. International business is a combination of many things . Haifa , and as of now Colombo is not even there in the current quarters number, Tanzania, Astro, Australia, so everything . So, you wouldn't be able to actually get realization per TEU of our international business from the information that is already published in the IR deck. But what we can tell you , again without actually getting into details that we don't disclose but directionally we can tell you that Colombo rea lization and equivalent realization, let's say Vizhinjam or anywhere else, is in the same ballpark. So , one is not significantly higher or lower than the other.
13
- Mr. Sumit Kishore - Axis Capital :

- Yeah, Colombo , Vizhinjam makes sense. My second question is on your CapEx over the 9 -

months , if you could spell out that figure maybe separately across ports and logi

stics given
that you're doing CapEx. And the second part of this is , if you could comment on …

- Management - Adani Ports & Special Economic Zone Limited:

- Sorry to interrupt you , Sumit , but you were not clear just now.

- Mr. Sumit Kishore - Axis Capital :

- Sorry, I was asking for the 9 -month capex number for ports and logistics . And maybe for logistics giv ing a breakup for trucking and other logistics , if you could spell out what has been the total capital employed in trucking and the other logistics businesses so far and what sort of ROCE are we looking at in these two segments ? Thanks.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- See, the total capital expenditure of the company for 9 -months is ■7500 crores . This obviously excludes M&A but this is company as a whole . At the moment , in trucking business we are not investing in capex because basically it is a service model. It's extremely important for us to reiterate here that what has been launched in this quarter is what we spoke about in the beginning of the year , which is actually the Tr uck Management Solution. Tr uck Management Solution is a digitized platform for both marketplace and fulfillment of services . It is not capital intensive. It is actually getting into sort of more of the services to be rendered for the customer , to have more con trol over the cargo , to actually become a transport utility or in the direction of being a transport utility as we have laid out. So , capex is not so relevant for tr uck management business for this quarter.

- Mr. Sumit Kishore - Axis Capital :

- Okay.

- Mr. Divij Taneja - CEO, Adani Logistics :

- Sumit, does it answer your question?

- Mr. Sumit Kishore - Access Capital :
- Yeah , I mean for the other logistics businesses put together what is your total capital employed as of …?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- So, it's roughly about 20% i n sort of non-ports investment , 80% is ports of th is 7500.

- Mr. Sumit Kishore - Axis Capital :

- Okay, s ure. I'll take more questions offline. Thank you.

- Management - Adani Ports & Special Economic Zone Limited:

- Thank you.

- Moderator - PL Capital Limited:

- Thank you. The next question is from the line of Shiva ng from Barclays , please go ahead .

- Mr. Shivang - Barclays :

- Hi, thank you for the opportunity. I just wanted to know if you could provide Gross Debt and cash balance .

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Okay. I mean, I can tell you the number. J ust give me one second , if you don't mind. Sorry, can you go to the next question while I pull up , if you have one more question?

- Mr. Shivang - Barclays :

- Yeah, if you can tell Gross Debt breakup for short term and long term , that'll be really helpful.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Sorry , didn't hear that. Could you repeat that , please?

- Mr. Shivang - Barclays :

- Yeah , for the Gross Debt if you could provide further breakup - short term and long -term .

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

15 - Okay. So, first, let me tell you Gross Debt as of December ’2024 is ■45,650 crores and it was ■44,060 crores as of September ’2024, the last quarter end. Net Debt is ■38,000 crores, round number, as of December and as of September it is ■35,200 crores .

- Mr. Shivang - Barclays :

- Thank you , noted. If you could help me get the short term and long term , that if you have the figures.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- See, frankly , we have about ■2,000 crores of short term debt , everything else is long term. 2300 let's say.

- Mr. Shivang -

Barclays :

- Got it , thank you . That's all from my side and all the best. Thank you.

- Management - Adani Ports & Special Economic Zone Limited:

- Thank you.

- Moderator - PL Capital Limited:

- Thank you. The next question is from the line of Aditya Mongia from Kotak Securities , please go ahead .

- Mr. Aditya Mongia - Kotak Securities :

- Yeah , thank you for the opportunity and on fairly good set of results . So, congratulations on the same. The first question that I had was more on this thesis that you can add to the growth that ports can provide you with in your overall revenues and EBITDA, is there some way of thinking through how much can this be growth boost ? Let's say , in this quarter I think logistics would have given you a 2% boost to overall revenues , can we think through a 5% number happening at some point of time?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Yes-yes, logistics actually is the first step get to 5% contribution and then the next step eventually 10% contribution to the company.

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited :
16 - Whenever we look at any new thing we started , of course , there are always challenges but challenges exist because there are opportunities . When we look at logistics business today in India, 13 %-14% of the GDP is the logistics cost which is as compared to 8 %-9% in around the world. So , which means there's a huge inefficiency in the pipeline which creates the low margins for anyone, right . Now the point is , there are only two things which are important to make margins , especially trucking business as we have also this

time incorporated that strategy as Truck Management Solut ion (TMS) in our investor deck. One is a technology platform which we have already developed and the second is the utilization of the truck using the train ed controllable drivers . So, with that, if a fragmented truck business is running one trip a day , with this platform we can do 3 trips a day and definitely the margin becomes triple.

- So, our view of logistics business is to first attack all the inefficiencies which exist in the system and get the margins from there. Similarly , we started our Marine business which is highly profitable today , similarly we started each and every port which is highly profitable today . And with that DNA in our culture , definitely logistics will go up to 10% contribution.

- Mr. Aditya Mongia - Kotak Securities :

- Understood. Yeah, s o that's heartening to know and we'll keep on kind of questioning you about that because I think this is important . But just to move on other questions , could you give us a sense of these three assets - Tanzania, Gopalpur, and Vizhinjam ? How much would have been the aggregate contribution in the third quarter ? And what is the run rate that you're seeing on a monthly basis right now? I'm just trying to get a sense of the boost that can come in as you see a full quarter effect coming in the fourth quarter.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- On the EBITDA, right ? Is that correct?

- Mr. Aditya Mongia - Kotak Securities :

- Volumes more than anything else. So, let's say Tanzania , what was the number in the third quarter? And if you could give us a month ly run rate?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- If you ask me, the exact number is there but the round number is 1 million each. 1 million in Tanzania and a little less than 1 million in Gopalpur. 0.8, 0.9 in Gopalpur .

- Mr. Aditya Mongia - Kotak Securities :

17 - Is this the monthly run rate that you are talking about right now? Just clarify.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Yeah -yeah, in

January onwards we're expecting that we will have this run rate.

- Mr. Aditya Mongia - Kotak Securities :

- Understood , that clarifies . The third aspect is that at an overall level, obviously , our domestic volume growth has been 1% and if I take away these add -ons it's probably a small decline. Is it more to do with the high base that was created in the last quarter for the country as a whole or do you see some kind of worrying signs and the slow down kind of continuing at a country level on trade?

- Mr. Pranav Choudhary - CEO, Ports Business, Adani Ports & Special Economic Zone Limited:

- Hi, thank you. No . So, I think , from a container perspective, the volumes are rampant, and rampantly for us we've taken on additional Market Share. All India level , we've seen about 11% growth in the container volume but we've been able to garner about 15% growth in our portfolio Ports. On the dry bulk case , I think in spite of reduction in the coal import volumes where domestically Coal India has been producing more railways revenue and more rakes, we've been able to st eady state the Market Share. So, about 4% drop on major ports side on the volume side. On YTD basis between the two years, same for us, about 4% drop for us . But we've been able to compensate that more in terms of our incremental market share in the container . And the same story we would expec t to continue running in the next few years well.

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited :

- Yeah. No, I think very important to know that as we have been repeating that with the port mix we have West, South and East coast and the product mix we have from containers to dry to liquid we are able to absorb the risk in the trade but on the other side we are able to maximize the opportunities which we have in the trade. So , that's why at country level one or two commodities may be a risk but at our level we just nullify that risk with other opportunities in the product mix.

- Mr. Aditya Mongia - Kotak Securities :

- Sure . Maybe just a last question from my side and then I'll get back in the queue. T he uptick in EBITDA that you have shared as a guidance number for this year, does it have 18 any l umpy components that you may end up booking in the fourth quarter? Just trying to kind of double check on that, so that will be my final question.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- No-no, as one of the participants in the call said , current run rate actually will take us there , so there isn't actually any l umpy or abnormal …

- Mr. Aditya Mongia - Kotak Securities :

- Yeah, seasonality is against in the fourth quarter , that was the genesis of the question.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Sorry?

- Mr. Aditya Mongia - Kotak Securities :

- Seasonality typically is against you in third quarter , fourth quarter. So, that.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Yeah -yeah, that is true. That is being considered when actually giving this guidance. So , whatever we can see now , clearly we can achieve the new guidance that we have given without any one -off.

- Mr. Aditya Mongia - Kotak Securities :

- Perfect . Thank you for the response . Sir, those were my questions.

- Moderator - PL Capital Limited:

- Thank you. The next question is from the line of Bharani from Avendus Spark , please go ahead .

- Mr. Bharani - Avendus Spark :

- Yeah. C an you give the port wise split off the third quarter ’s volume, that 6 million ton ?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- See, Page number 53 onward.

19 - Mr. Rahul Agarwal – Head ESG & IR, APSEZ

- Bharani ji, annexure in the presentation ha

s the port wise split for both 9 -months and Q3.

- Mr. Bharani - Avendus Spark :

- Okay , I'll go through that . And the 9 -month international volume of around 13.6 million tons , would this be largely only containers?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Sorry, can you repeat the question?

- Mr. Bharani - Avendus Spark :

- The international volume for 9 months , which is 13.6 million tons , will it be largely only containers ?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Yeah -yeah, Tanzania and Haifa.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Yeah -yeah. I n Haifa there is a little bit of non -container business . It was about 30 %, 40%. But, yeah. B y and large , Tanzania is more or less a container and Haifa there is both container and non-container.

- Mr. Bharani - Avendus Spark :

- Okay. And given the strong performance , both international and domestic , on containers front, in fact, if I were to see 9 -month delta between last year's 300 odd million tons to this year 330 million tons, the delta is all largely containers. So , does this good performance on containers is expected to continue even on the domestic side given kind of the economic slowdown that we are seeing ? And if so , what are the reasons for our ports doing better than the market, especially on containers ?

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited:

- Yeah, before we get into the container , I think , you may be seeing the economi c slowdown but for me that was just a correction in the month of November and October and November was for sure low but from December we already saw the trade picking up 20 and there could be , I would say , nothing to do with economic slowdown or economic impact . For example, the imported coal has gone down but on the other side it is replaced by coastal coal. On the other side when we look at steel, it has gone up significantly. The liquid has gone up, not significantly but has gone up. Fertilizers, which we started with, no tender, no policy have opened up and especially recently the agriculture products, especially rice and now we see sugar , opening up. So, which means we don't believe that there is econo mic slowdown. We see the trade growing and in that growing trade we are maximizing the container growth because of our strength . And I request Pranav, he will explain you the strategy how he's growing the container business in this economy .

- Mr. Pranav Choudhary - CEO, Ports Business, Adani Ports & Special Economic Zone Limited:

- So, we just mentioned , in this year we've actually taken up the market share from 44% to 45%. So , All-India volumes grew by 11% but we've been able to maintain our portfolio growth at 15% . And so far as any downturn in the economy or slowdown is to be concerned, I think Ashw ani ji mentioned , it was momentary. We have got a healthy mix of import and export , about 51% and 49% of import and export mix. So , we ride the cycle either way given the portfolio present that is across in the country - South India, Mun dra feeding the entire Northern India corridor and Hazira and Mundra feeding Northwest corridor. So , there's a healthy mix of the portfolio. There is a manufacturin g growth happening in the Central India, North India and South India to be very robust. So , I think , we're rightly built to cater to this , to take the incremental market share on the growth . We continue to invest into the capex to ramp up our capacity and drive this wave. So, the growth will continue to come to us next year as well.

- Mr. Bharani - Avendus Spark :

- Okay -okay. (Audio cracked) business we have seen a different …

- Management - Adani Ports & Special Economic Zone Limited:

- Bharani, you are not clearly audible.

- Mr. Bharani - Avendus Spark :

- Yeah , just wanted to check why there is a difference …

- Management - Adani Ports & Special Economic Zone Limited:

- No, we've lost your audio again, Bharani.

- Management - Adani Ports & Special Economic Zone Limited:
21
- Sorry, we didn't hear you correctly.

- Mr. Bharani - Avendus Spark :

- There's a drop in margins , could you explain the reason?

- Management - Adani Ports & Special Economic Zone Limited:

- The drop in which margins?

- Management - Adani Ports & Special Economic Zone Limited:

- Which margins, Bharani.

- Mr. Bharani - Avendus Spark :

- Logistics.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- See, logistics , actually if you go to Page number 45 and while talking to you I'm going to flip. Yeah, s o the total business has come down from 28% to 23% . Probably , that is what you're referring to . You know , we have been trying to actually sort of explain that logistics itself comprises of multiple sub segments . Starting this quarter we will actually give more details and more break ups. So , if you see, tr ucking is expected to be in and around 10% margin, which is what actually we have shown there , and we will add more line of business in quarters to come . So, we will give more details of that as well as we go forward.

- Generally , the traditional logistics business that we used to have, if you remove the newly launched business, we are in and around the same margin.

- Mr. Bharani - Avendus Spark :

- Okay , sure. Thank you so much.

- Moderator - PL Capital Limited:

- Thank you. Ladies and gentlemen, if you wish to ask questions, you may please press star and 1. We have the next question from the line of Vikram Vila s Suryavan shi from PhillipCapital (India) Pvt Limited, please go ahead .

22 - Mr. Vikram Vilas Suryavanshi - PhillipCapital (India) Pvt Limited :

- Yeah . Good evening, Sir. Sir, Haifa also continue to do around like 1 million tons per month kind of selling now ?

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Yes.

- Mr. Vikram Vilas Suryavanshi - PhillipCapital (India) Pvt Limited :

- Okay. And in terms of Gangavaram Port, how is the possibility to ramp up the container volume there?

- Mr. Pranav Choudhary - CEO, Ports Business, Adani Ports & Special Economic Zone Limited:
-
- Gangavaram, we have a container terminal but the volumes are very m iniscule, so it's not a needle mover for us there.

- Mr. Vikram Vilas Suryavanshi - PhillipCapital (India) Pvt Limited :

- Okay. Are they like a transshipment volume or how basically you want to …? O r it will be …?

- Mr. Pranav Choudhary - CEO, Ports Business, Adani Ports & Special Economic Zone Limited:

- It's a mix of both OD and transshipment.

- Mr. Vikram Vilas Suryavanshi - PhillipCapital (India) Pvt Limited :

- Okay. And last ly, Sir, on Trucking Management Solution , that platform what we are talking is only for hiring our own cargo requirement or is it like an independent platform as a revenue model where independently cargo owner and truckers can bid for it or exclusively for our requirement only ?

- Mr. Divij Taneja - CEO, Adani Logistics :

- Alright . So, it is both marketplace and fulfillment. So , that is the fundamental DNA of it. In what phases we will open it up to what marketplace will be in the next couple of quarters but it is actually going to be a platform where the market can interact , the difference being that we will be responsible for the fulfillment . So, it's not just a purely aggregator model , it is an aggregator plus fulfillment model.



- Mr. Vikram Vilas Suryavanshi - PhillipCapital (India) Pvt Limited :

- Understood , understood. So, it can become a revenue model r

ather than just a back end to our logistic operation?

- Mr. Divij Taneja - CEO, Adani Logistics :

- 100% . Definitely .

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- It already is . That is why we are actually giving the breakout . I refer you back to Page number 45 please , where in we have said…

- Mr. Vikram Vilas Suryavanshi - PhillipCapital (India) Pvt Limited :

- Yeah, I saw it. Understood .

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited:

- We don't do any business which does not both bring topline and bottom line .

- Mr. Vikram Vilas Suryavanshi - PhillipCapital (India) Pvt Limited :

- Got it, Sir, yeah. Thank you.

- Moderator - PL Capital Limited:

- Thank you. The next question is from the line of Jinesh Kothari from Elara Capital , please go ahead .

- Mr. Jinesh Kothari - Elara Capital :

- Yeah, hi. So, just wanted to check on one thing, we have seen the Mundra port margins substantially rising both year -on-year and quarter -on-quarter basis. So , is this probably attributable to the change in mix of containers and how sustainable are th ese going forward?

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited:

24 - What you're seeing, I think it's a combination of we build the capacity in advance because we anticipate the business opportunity and I think it is going to go like this and that's why , as we shared , we already decided further to invest in CT 5 in the Mundra . So, we keep on investing in the infrastructure and the equipment because we believe that this port has much more opportunities than it is today. So , that's why, as Pranav said before, we do believe that container business will grow in the same way it has been grown so far.

- Mr. Jinesh Kothari - Elara Capital :

- Sure . So, the 7 500 trajectory , we can ass ume that this can be continued , right .

- Mr. Ashwani Gupta - Whole Time Director & CEO, Adani Ports & Special Economic Zone Limited:

- Thank you.

- Mr. Jinesh Kothari - Elara Capital :

- Yeah.

- Moderator - PL Capital Limited:

- Thank you. Ladies and gentlemen, I would now like to hand the conference over to the management for closing comments. Over to you , gentlemen.

- Mr. D. Muthukumaran – CFO, Adani Ports & Special Economic Zone Limited:

- Yeah , hi. Thank you very much for the time. We appreciate the questions that are being asked and we particularly appreciate the fact that actually we're able to highlight the significant achievements that we have done in this quarter. We are on track to not only achieve our EBITDA , we have upped our EBITDA for the full financial year and this year actually we closed a couple of deals and also actually nearing completion for Colombo and launched Vizhinja m or commenced Vizhinjam . So, it's been actually an eventful quarter. Look forward to seeing you in the next Analyst Meet. And we continue to be available. Ra hul Agarwal is available for any queries that you may have and we're also available sort of for a discussion , if you would like.

- Moderator - PL Capital Limited:

- Thank you. On behalf of PL Capital, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

END OF TRANSCRIPT

## Call: May 2025

1

Adani Ports and S pecial Economic Zone Ltd. Q4FY25 Earnings Conference Call

Event Date / Time: 0 1/05/2025, 1 5:30 Hrs.
Event Duration: 01 Hr. 05 mins 51 sec

CORPORATE PARTICIPANTS:

Mr. Ashwani Gupta Whole -time Director and CEO

Mr. D. Muthukumaran CFO

Mr. Divij Taneja CEO, Adani Logistics

Mr. Rahul Agarwal Head of IR and ESG

Tushar Pendharkar AVP - Equity Research – Ventura
Securities (host & moderator)

Q&A PARTICIPANTS:

Alok Deora Motilal Oswal
Nidhi Shah ICICI Securities
Sumit Kishore Axis Capital
Achal Lohade Nuvama
Para sh Jain HSBC
Vishal Biraia Bandhan Mutual Fund
Pulkit Patni Goldman Sachs
Koundinya Nimmagadda Jefferies
Aditya Mongia Kotak Securities
Sanjay Parekh Sohum Asset Managers Pvt Ltd

2

Moderator:

Ladies and gentlemen, good day, and welcome to the Adani Ports and Special Economic Zone Limited Q4 FY25 Conference Call hosted by Ventra Securities Limited. As a reminder, all participant lines will be in listen only mode. There will be an opportunity for you to ask questions after management's opening remarks. Should you need assistance during this conference please signal the operator with pressing * and 0 with your touch screen phone. Please note that this conference is being recorded. I would now hand the conference over to Mr. Tushar Pendharkar from Ventra Securities. Thank you, and over to you sir.

Tushar Pendharkar :

Thank you. Good afternoon, and very warm welcome to everyone. On behalf of Ventura Securities Limited, I am pleased to welcome you all on the Earnings Conference call of Adani Ports and Special Economic Zone Limited for Q4 FY25. We are happy to have the ma nagement of the company with us here today. This is represented by Mr. Ashwani Gupta, Whole -time Director and CEO Mr. Dean Muthukumaran, CFO Mr. Divij Taneja, CEO of Adani Logistics and Mr. Rahul Ag arwal, Head of Investor Relations and ESG. We will begin with the opening remarks from the management followed by an interactive Q and A session with this, I hand over the call to Mr. Rahul Agarwal over to you sir.

Mr. Rahul Agarwal:

Hello, Good afternoon everyone and thank you for joining the Earnings Conference call. We will begin this call with opening remarks from Ashw ani and then we will open the floor for Q and A over to you, Ashw ani.

Mr. Ashwani Gupta:

Good afternoon and thank you for attending the earnings call. I hope we are audible.
In case some difficulty, please raise your hand. During FY2 5, APSEZ delivered stellar performance across all parameters. We posted 16%, 20% and 37% growth in revenue, EBITDA and net profit respectively and surpassed FY25 guidance, including cargo volume if we gross up one time Gangavaram loss. Domestic ports reven ue grew by 12% led by all time high 27% market share and 73% EBITDA margin. Mundra became the first Indian port to cross 200 million metric ton of cargo in a single year.

Our growth continues to be accompanied by strong financial discipline. As at FY25 end, our leverage stood at 1.9x. During the year, we significantly enhanced our domestic and international footprint. We closed Gopalpur acquisition, commenced operations at Vi zhinjam and Colombo ports and our board has approved acquisition of NQXT in Queensland, Australia. Our second pillar, Logistics, continued its hyper growth trajectory with 39% year on year jump in revenue led by current portfolio and new services includi ng trucking and international freight network services.

These are capital light services which will further accelerate growth while delivering high capital efficiency. Our third business pillar, Marine Business. We acquired Astro Offshore and continue to invest in growing our marine fleet. We own 115 marine ves sels that operate in Middle East, Africa and South Asia waters. We expect the marine business to cross INR 3300 crore revenue by FY27.

As our business evolves, and thanks to your feedback. We are introducing new reporting lines. As you can see on slide number 44 in our investor presentation, we will now report international ports separately and demonstrate the progress towards the target. We will also introduce separate reporting for marine services, which is our third business pillar, which includes Ocean Sparkle in India, A STRO Offshore, and TAHI D in, in



overseas. Trucking and international freight network services will also be reported separately as a part of the logistics vertical. We have outlined our marine strategy on slide 46 of the investor presentation.

We are focusing on diversifying our marine fleet in Middle East, Africa and South Asia. We are focused on profitable operations with high capital efficiency

underpinned by Tier one customers and long term
contracts and we aim to achieve 3x revenue growth i n Marine by FY27. As you can see on slide 49 of our investor presentation, we are focusing on trucking and international freight network services. Based on the momentum across the business lines and a great performance in FY25 , looking forward, FY26 is al so looking very strong for us. We have guided FY26 revenue in the range of INR 36000 to 38000 crores, EBITDA in the range of INR 21000 to INR 22000 crores and capex between INR 11000 crore to 12000 crore.

As a summary, so far, APSEZ has been focusing to be a industry leader, a volume leader, a market share leader, margin leader, then we transformed it into integrated transport utility company driven by multimodal logistics and hence, as you can see on slide number 41. we are best in class ROCE and ROE in the industry, which is a premium. And as you can see on page number 41, ROCE has reached for APS EZ, and thank you for your feedback. That's why we are going to have this reporting line also in future 15%, RO E close to 21%, which is best in class.

Hence, moving forward, whatsoever business we are in, whether domestic ports where we are reaching ROCE of 21%, whether the marine business where we are of ROCE of 13, 14%, and the new businesses which we are doing now, whatever we are, the only indicator is how better we can be on ROCE and ROE. So with that note, I would like
to say thank you, and we will open for the question and answer. Thank you.

Moderator:

Thank you, sir.

Mr. Rahul Agarwal :

Thank you. Go ahead, moderator.

Q and A

Moderator:

Ladies and gentlemen, we will now begin the question and answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your name to be announced. If you would like to withdraw your request you may do so by pressing * an d 1 again. The first question is from the line of Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora:

Hi, good afternoon. So congratulations on pretty good set of numbers. Just had a couple of questions. First is on the EBITDA number has actually come up even higher than what we had estimated as for the revised guidance. So and while the volumes have been slightly on the lower side, so basically, the EBITDA per ton has kind of improved. So just wanted to understand, is this a phenomenon which we'll see going through FY26 as well? That is question number one. Question number two is just on the logistics busi ness, what has



really happened because we have seen a massive jump in the growth in for Q4. So is that sustainable? Or is there any kind of one off you know, volumes which we could gather there? Yeah.

Mr. Ashwani Gupta:

Okay. No. Thank you. So first, I would like to give the answer, and then I will hand over to Muthukumaran and also our Adani Logistics CEO, Divij. See, I think we have been repeating our message now since one year that we are transforming our company into a integrated transport utility company, and we are centering up the pillars which are in the whole ecosystem.

Logistics, we have rail, we have terminals, we have ICDs, we have warehouses, We have agri-logistics, and now, you know, we started the trucking. The reason we wanted to start the trucking is any container which comes to ICD is delivered to the customer without our connect. And the trucking is something which is connecting IC D with the customer, and the same truck can bring back many other things from the same customer to our own IC D. Now when it comes to EBITDA percentage, and once again, if you can see our financials for the Q4 or for the full year, we are shifting our financials from EBITDA percentage of domestic port to the absolute amount of revenue, absolute amount of profit in mid to long term by having a multimodal transport utility b

usiness pillar, ports, and within ports, domestic and international, logistics, within logistics, we have four or five business units, and the marine, which is domestic and international with a com bination of fleets, whether it is anchor handler or utility boats and so on and so on.

So that is giving us a strong advantage to grow our top line and bottom line irrespective of only is linked to only which is linked to port. That's why I, I as I said in my opening speech that we have proved us to be a best in class in ROCE and ROE, which is just possible because of combination of the best businesses we have. Now I hand over to Muthukumaran and then to Divij to talk about especially all the factors which we explained to you on the logistics, especially getting into the new businesses, how i t is helping logistics to grow in multiples.

Mr. D. Muthukumaran :

Thank you. So first of all, in a way, thank you for that question. Because if there is one central message that we would like to convey, we would like to keep repeating that this is what it is about. And that is I mean, why even in our current year's presentation, there are a number of changes in the format in which we are reporting to you. We are giving you separate business lines to tell you that we are beyond volume. We are giving you separate ROC. We are giving you a separate guidance note.

And in the guidance, we have actually, if you can notice, taken down the volume as a footnote. Earlier, it used to be a lead indicator. For us, right now, we are actually treating this as an important component. Obviously, volume is going to be the driver of our growth, but not the sole driver of the growth. That is a central message that we want to give.
And, you know, the trend that we are trying to talk about for the past couple of quarters got well established in this quarter. And also, it has not been the first time that this is the case. You know, if you see the Q3, our EBITDA has outgrown our revenue , which has outgrown our volume. So that is point number

one. Point number two, going forward, you know, we are not going to shy away from volume.

Volume growth will be there. But what we would like to highlight is the outgrowth that you will see in revenue and, you know, beyond that even in EBITDA. So that is actually the central point that we want to drive. And, you know, in quarter three also, it was the same case that when we reported the number, you've seen how EBITDA vs. volume relationship has broken down and where EBITDA started running ahead. And that is exactly why we have started giving you additional lines of business reporting so that you can appreciate as to where that is coming from, number one.

5

Number two, incidentally for this year, the, you know, sort of price increase has also been there, which is beyond what is budgeted, which has contributed to volume and internal EBITDA growth. So these are the two factors that we have. Divij, would you lik e to comment on sustainability of the volume?

Mr. Divij Taneja :

Yes. Thanks, Muthu. So just to build on to what Ashwani and Muthu have said, what you are seeing, the numbers increase, is a total integrated play coming into effect. You're seeing us move from custodians to exhibiting control over cargo. At some level, th e tech is also starting to kick in.

So our view is this is more than sustainable. And with all the four quadrants coming in right from the freight network to trucking to rail terminal to the warehousing, our customers are now able to speak to us for all services under one roof backed with th e support of the ports. So that's about it.

Alok Deora:

So sure.

Mr. D. Muthukumaran:

If I could just supplement that with numbers, you know, it is sustainable. Frankly speaking, it is beyond sustainable. And that is why if you see page number 51, for the first time, we have given guidance on volume of logistics as well. So, you kno

w, you a sked whether Q4 is sustainable, but what we are talking about is potentially three to four times growth in FY25 alone over the FY24 number in logistics volume. So, you know, do we have visibility of the growth?

The answer is yes. Do we have contracts in place? The answer is yes. Will the scalability happen? Actually, you know, we are working towards this, and that is the effort which, you know, sort of Divij and team have put. You know, at any point in time, any of you would like to actually see the Strategic Command Center that we have built you're most welcome. And then, you know, what we would like to also underline is the fact that the phrase that the bridge used about, I would like to repeat for impact, you know, control over cargo than actually sort of custody ove r the cargo. We have launched two business lines last year in logistics. One is a truck management platform, and the other is the freight forwarding business. So, you know, these are capitalized business. You know, they come with very high return on capita l employed, therefore. But more importantly, for the business, it is strategic because, you know, we are then able to actually penetrate through multiple lines of business. So, so therefore, you know, the two questions that you asked, frankly speaking, are very, very vital for the whole call. So thank you very much for asking them right at the beginning.

Alok Deora :

Thank you. Yeah. That's all from my side. Thank you, and all the best, sir.

Mr. D. Muthukumaran:

Thank you.

Moderator:

Thank you. We have the next question from Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah:

6
Yes. Thank you so much for giving me the opportunity to ask a question. So, you know, we did speak about how logistics is a big portion of, of the business now, but I still wanted to talk a little bit on the volume just to, to understand that, that, you kn ow, our initial guidance of 450 to 480. How is it that, you know, that, that we got a 450 kind of number by the by the year end. What were the commodities that that, you know, we, we sort of transported less of? Was there any particular reason for that? Th at was the first question.

And the second would be linked to that is that, that the, the underlying guidance of, say, 505 to 515 million tonne that has been given for FY26 . What are the key figures that we are seeing for this volume to come into play?

Mr. Ashwani Gupta :

Well, thank you. I think, first of all, in the volume, let me say there are two indicators. The first indicator, is very much on the positive side, is the the India global trade maritime grow trade grew by 3.5%. A PSEZ grew by 5.4%. Right? So as we always say, that we are always 1.5 to 2 times. Right? Then within this, within this I am talking about India level. Right? Within this

Nidhi Shah:

Right.

Mr. Ashwani Gupta :

The coal went down by three percent. Iron ore went down by eighteen percent. Crude and POL went up by three percent. Container went up by twelve percent. This is all India level.
Thermal coal went down by 9.4%. The coking coal grew by 2.2% , and coastal coal was almost flat. So first of all, let's understand that all India cargo the main growth pillar for all India cargo was container. Then if All India grew by 12%, out of which, you know, the EXIM growth was 6% and transshipment growth was 61%.

Now if you look at us, we have grown our market share from 43.8% - 45.5% in container, which gives you the answer that we grew more than the India container trade has grown. So that is a positive side. On the other side, the whole India trade on the c oal has declined. We kept our market share almost flat, but the global because of the trade decline, we had a decline. So this is the second answer.

Third answer to your question is, Gangavaram , we closed the because of unfortunate incident for 41 days, which approximately costed us c

lose to 6 million metric ton. But, you know, once the customer is not
coming to our port for 42 days, definitely, you know, it's not a small business. It's it's a b ig vessel. So they will not come up on 43 day. So to restart and have the ramp up, we almost lost between 10 - 11 million metric ton in Gangavaram last year.

So these are the three indicators which we wanted to share with you that how you should evaluate us in terms of volume. Then let's come to next year. Now which will be our growth driver? This will be our growth so container will remain our growth driver. A s we said, we are building up container facility container capacities in Mundra.

CT5 is with full throttle in the commissioning stage. And as you can see that next year, we have given the capex guidance. And if you could see our capex slide number slide number 52 and 53, we have also given us little bit more strategic view and a numerical view on capex , and thank you. This is the feedback which was coming from many analysts on the capex allocation or, let me say, capital allocation. So we are going to invest heavily on container terminals, whether it is Mundra or it is Vizhinjam or it is CWIT in in Colombo or it is Ennore or it is Katupalli.

7
You know, everywhere, we want to keep expanding our capacity on the containers. So that's the number one capex driver. Then, obviously, you know, we we are the essential commodity handlers. So whatever come to our port, we are obliged to take it. Right?

So we should not underestimate the demand of the coking coal as well as the other coal. And the biggest port which is exposed to it is Dhamra. And that's why we are investing in Dhamra. The third growth, which is not exactly same as container is on the liq uid, and that's where we started the Hazira liquid farm and, and so on. So to answer to your question from priority viewpoint, first pillar remains the container, second remains the dry cargo and the third remains the liquid. That is where we are looking t he guidance which we have given for the volume for next year.

Nidhi Shah:

Lastly, I wanted to ask that the, the volume guidance that you have given, have you factored in any weakness, given the tariff uncertainty in the market? And, and is there any any potential downside to the guidance that you are seeing as things are today?

Mr. Ashwani Gupta :

See, what we have seen in the past, whether it was COVID or it was it was Red Sea crisis, because of our positioning of the ports from geography viewpoint, access to the global trade routes, one thing goes up, so other things may come down, but it can be c ompensated by other. That's where, you know, our risk mitigation by multi commodity portfolio, multi customer portfolio, and multiple ports portfolio helps us in navigating it. So I would, I would say that things would settle down because, you know, trade remains the trade, whether left to right or right to left or top to bottom or bottom to bottom to bottom to top. I think, whatsoever plus and minus comes in, we, as integrated transport utility company, should be able to absorb it when it is translated to revenue, EBITDA impact. And that's where we are focusing on that volume remains important, but it is not the most important factor in our top line and bottom line.

Nidhi Shah:

Thank you so much. Thank you.

Moderator:

Thank you. We have the next question from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore:

Thanks for taking my questions. My first question is your net debt to EBITDA has come off to 1.9 times as of FY25 . And your operating cash flow for the fiscal is well ahead of your capex FY26 and your operating cash flow is going to grow as well. So your cash position is likely to improve or the net debt to EBITDA is likely to come off. How do you plan to reward shareholders? Maybe if you could articulate your dividend policy or any other mo

des that you have in mind to reward shareholders over the coming f iscal and also maybe a medium term picture here?

Mr. Ashwan i Gupta :

Yes. Well, thank you. I think very good question. Slide number 54 is the capex allocation strategy, and it is driven by ROCE and ROE. So we have added, you know, logistics and marine, definitely where the returns are returns are going to be what we expect, but also the technology capex and the decarbonization initiatives which we are taking.



But decarbonization initiatives are not cost, but they are, they are for us a profitable initiative. Especially, we are investing now in technology capex , for example, Vizhinjam . But also in the coming future, when we are going to have our new terminals, container terminals in Mundra, we will invest in the technology as we have invested either in Vizhinjam or we could see. So world class investment in world class technology to our port to keep the more than sustainable efficiency and effectiveness of our op erations because that is what is going to drive our top line and bottom line. So number one, capital allocation remains a most important thing for us because of our heavy cash flow.

The second one, we are rewarding our shareholders, a, by announcing the dividend, which Board has recommended at INR 7, which is purely driven by what is the mid to long term wealth we are creating for our shareholders by investing in the right business at the right time, which has got best in class returns. With these two pillars, we will manage and we are managing our operating cash flow.

Sumit Kishore:

So maybe I would like to follow -up with a question out here. Basically, the dividend payout ratio right now is still going to lead to a situation where with your prevailing capex run rate, which probably takes you to your targets of one thousand tonne and the growth that you have planned on the logistics side, your net debt to EBITDA is still likely to come off with this kind of dividend distribution. So is there any plan to ramp up the dividend policy in favor of shareholders? Also, I look at your net debt to EBITDA threshold, the upper limit is two point five, which is still leaving a very big sort of investment over and above the present capex run rate that you would have to do to actually get closer to two point five. So what do you have in mind because even the acquisition is not going to lead to a major increase in net debt to EBITDA?

Mr. D. Muthukumaran :

Thank you very much for the question. You know, we have increased the dividend to start with, could we increase more based on your marks? The answer is possibly yes. But I think the point we are trying to address here is that point page number 52 tells you how we approach capex .

They you know, our domestic port is likely to be organic, which is where we have given guidance of INR 12000 crores. And, you know, a couple of others, especially marine and, you know, and, and tuck -ins in logistics actually could come through inorganic. S o, you know, we are expecting that there will be inorganic in the coming years as well. And we are already working on some of them, and you will actually hear from us in times to come. So, you know, we will be in this range of debt equity that we're talkin g about, which is two, but we'll not breach two and a half as a policy.

So we think we'll be somewhere between two and two point five with this. And then we have always said that, you know, we'll take stock, you know, couple of years down the line. We have rapidly increased our debt equity ratio. You know, all of two years, we have come down from three handle to now less than two. So, you know, we will keep, you know, an eye on it, and we will do what it takes down the line.

But right now between organic and inorganic, you know, we'll consume the cash that we're generating. And of course, there is, you know, far down the line, three years down

the line, FY28 , July ’27, we have the first
big chunk and the only big chunk of debt repayment coming. So yes, we are keeping an eye on this, and we at the moment, we will be focusing on organic and inorganic investment.

Sumit Kishore:

Just a brief question. One of your slides mentions that logistics and international ports are likely to achieve threshold ROCE in the next three to four years. So particularly in relation to these two businesses, what kind of threshold ROCE is being indica ted and what is likely to drive, you know, the improvement to those levels for these two businesses?



Mr. D. Muthukumaran :

So 14% return equity in rupee terms, and, you know, you need to adjust for dollars, you need to adjust for the things. So it's what we actually look for in in the threshold return for these businesses. And in terms of actually, you know, improvement, we have a plan, you know, port by port in the case of international port. For example, Colombo, it is driven by volume ramp up. In the case of Tanzania, it is combination of investment efficiency and ramp up.

And in the case of Haifa, it is actually operating efficiency. And in logistics, it is going to be driven by substantial volume increase that you can see, for example, in this year guidance that we have given, where the capital employment is disproportiona tely insignificant and the volume increase is quite significant. So we are while percentage EBITDA will be what it is, but our total rupee operating leverage will be extremely high in all these business going forward in the coming years.

Mr. Ashwani Gupta :

One thing I think, you know, we are adding up the international port really this year because Sri Lanka is starting this year, Tanzania started last year, and Australia will come up. But I think so far, our internationalization was limited to Haifa and TAHID , which is a which is a marine company. Right? So that's why I think we had lot of questions about our internationalization. Let me say, when it comes to port, with the acquisition of Australia, we have given the visibility of one hundred and fifty milli on metric ton, let me say to be precise 148 million metric ton by 2030. Which is, you know, out of one billion which we have ambition.

Second, in Haifa, you know, we have taken two main milestones and which we cleared two weeks before. First is we have put our president to run the operations in Haifa. And number two, we will have our CFO in Haifa to run the business. And then there is a f our to five people, a specialized team, whether techno commercial or engineering, which will be supporting Haifa to improve the efficiency and effectiveness because it is the time when, as you can see the financials, how best Q4 has been for Haifa. And I t hink this is going to continue the way the country wants to grow after this challenges over which they are going through. The second major achievement which we have done in Haifa, the long lasting negotiation with the labor union. We have eight labor union s at the port.

We have signed the union agreement till 2036, which is bringing a big efficiency and the productivity improvement in the port. So port by port, now we have a very concrete and structured business plan, but most important, the leadership team, which is indu cing the DNA of APSEZ when it comes to creating the margins and at the at the port.

Sumit Kishore:

Sure. Well, thank you for the detailed answer. Does your guidance include NQXT and consolidation for how many months or quarters?

Mr. D. Muthukumaran :

No, it doesn't include. We have clarified it.

Sumit Kishore:

It doesn't include. Doesn't include. Oh, sure. Thank you so much.

Mr. Ashwani Gupta :

Thank you.



Moderator :

Thank you. We have the next question from the line of Achal Lohade from Nuvama. Please go ahead.

Achal Lohade:

Yes. Thank you for the opportunity, sir. And my question is,

you know, with respect to the continual
volumes, you know, we are hearing about, you know, the government stepping up actually working very aggressively with respect to Va dhavan port. So you know, obviously, we are talking about three, four years down the line, but how do you see that changing anything for, for us in terms of competition, pricing, margins, etc?

Mr. Ashwani Gupta :

So, you know, Vad havan , this is at a very initial stage of pre study. I think it's going step by step. Obviously, you know, we are doing the study of, of, of especially all, all the tenders which are about to come and we should be applying for. But once again, this is not about one tender or two tender. This is about ecosystem. And we do believe that with our know how and expertise to, to develop and run a ecosystem will give us the competitiveness to get, to get that business. But time will tell. So today, it's only at the study stage.

Mr. D. Muthukumaran :

So if I could just supplement on that, see how you're talking about three to four years. I don't know where you got that number from. We've been building ports in the country. It will be extremely aggressive target to have a three to four year for such kin d of a port development even for people like us. So number one.

Number two, you're also seeing that market actually, we spoke about it earlier in the call that the lead, you know, sort of market increase and leader in the market increase as a segment. So last year, we have seen, you know, sort of significant growth bot h in our share and which has outgrown the market itself. So, you know, I guess we do not, in short, anticipate any significant dent into our market share if you project the numbers based on realistic project dynamics.

Achal Lohade:

Understood. Sir, the second question I had, while you've talked about the revenue growth for both trucking and marine, how do you see the margins actually out there? you know , is, is there any number you want to give us, any direction as to how you see th e profit growth for these two businesses?

Mr. D. Muthukumaran :

Sorry, sorry, which two business?

Achal Lohade:

For Trucking and Marine. Because you're talking about certain batch growth out there. So I'm just curious, you know, would the profit growth be even higher than that or it could be lower than that?

Mr. D. Muthukumaran :

You know, we will disclose that the quarter go for each segment, both revenue and EBITDA, you will be able to see it. Approximately, if you want, for the year, we are factoring in blended 10% margin for all businesses, which is not ports I mean, the new businesses because it is gestating year and first year of such large



volume growth, and then it will actually ramp up in margins in times to come. So that's broadly where we are in terms of the margin, but we will give quarter by quarter the numbers so you will get to see that. Yeah.

Mr. Ashwani Gupta :

But especially for the marine , it's over gestation now, so it's scaling up. So if you can see the investor presentation, the margins are very high, very equivalent to what we have been doing in ports. Of course, vessel to vessel, it depends. But if you can see the ROCE, we are talking about 14% - 15%. So this business is at a stage where we can demonstrate by return on capital, whereas in logistics and, and international port are also at a stage where we will start demonstrating improvement by ROCE.

Logistics, where we have separated two business for further reporting are at gestation stage. We will start the business with a margin, which should be in line with the margins which are there in the market or above their net, but please wait because we wa nt to demonstrate that with numbers.

Achal Lohade:

Understood. Sir, just a clarification. The 14%, you know, the threshold return, is it ROCE or ROE, return on capital employed or return on equity, you mean?

Mr. D. M

uthukumaran :

ROE.

Achal Lohade:

ROE, understood. And just last question, if I may, sir, Slide 64, you know, we've seen a substantial improvement across most of the ports. So like, for example, Mundra, Q4 FY24 was 61%, this quarter is 67%, for Hazira, 62% has become 68% Krishna Patam, 61%, 67% now. If you could highli ght what is driving this, know, just just a bookkeeping question on that.

Mr. D. Muthukumaran :

Sure. Sure. See, it's an improvement on a very good number actually to start with. I mean, the base itself was very, very high, and then we have improved it even further from there. So I just wanted to actually, you sort of not miss this point before I res pond.

So this is number one. And, you know, basically, the increase is combination of operating leverage because you'll know that we are already a high EBITDA business. So any operating leverage actually contributes to the margin increase. And, you know, combine d with price increase that we have taken in the product in services rather. So it is these two which has actually helped us improve the margin further.

Achal Lohade:

Understood. That's all from my end, sir. Thank you.

Moderator:

Thank you. We have the question from the line of Parash Jain from HSBC. Please go ahead.

Para sh Jain:

Hi, this is Para sh here. Thank you for the presentation. And I must say, I mean, this is probably one of the most exhaustive presentation I've seen in this space, so congratulations. I have a couple of questions, if I



may start with, and I missed the first few minutes. When you talk about your logistic business expansion on the freight side, were you referring to the freight forwarding business?

Or was it something else? Secondly is that now with all, all of your businesses has shown immense amount of clarity, Can you also touch upon how shall we visualize the land bank that you have accumulated across some of your key ports? How shall we think ab out the development and monetization opportunities on those land parcels, particularly from Mun dra? And lastly, with respect to your overall logistic offerings, do you see a feedering feeder services connecting probably within them to the rest of the East Coast border Bangladesh as one of the vertical to offer the full array of service to your customers? Thank you.

Mr. D. Muthukumaran :

So feeder service right now is not in the plan by ourselves or by through ownership, if that is your question. Okay? So, Will we encourage a customer who will actually give us that? The answer is yes. Will we look for somebody who could actually do it? The answer is yes. We'll support. But at the moment, we are not talking about buying ships for feeder service.

Mr. Ashwani Gupta :

Yeah, and, and feeder service is a is a cost center for us. So unless until we find a value which will bring, you know, the profit, which is what we look for, we have no intention to go for. Because for us, it's a cost center for someone, which means that the very thin margins. Yeah.

Mr. D. Muthukumaran :

But I think there will be people in the market to actually help us do it if, you know, sort of so that is not a problem, but we don't have to do it by ourselves at the moment. We'll see down the road. And your point on land bank, actually, I'll answer, and I'll hand it over to Divij to respond on your other question on logistics of what is straightforward. So as far as the land is concerned, Para sh, we have bought all these land because, you know, we don't have to guess where we need to put all our warehous es and our logistics business because it will be driven by current industrial activity. So we don't have to lead it.

I mean, you know, the we don't have to lead the market. We can follow the market. So based on the exhaustive research that we have done and, you know, decisions of where we would like to put, we have been buying land. You know, we will actually r

oll out. T hat's why you see twelve MMLP going to twenty
MMLP over a period of time. Warehouse is actually going to a target of twenty million ton. So we have a road map of how we will do. So we will start using those in times to come gradually. Like, you know, this year, again, I request Divij to cover. We have opened a couple of large warehouses. So, Divij, over to you, if you can please complete this part and then also answer the freight forwarding.

Mr. Divij Taneja:

Yes. Thanks, Muthu. So with regards I'll start with the forwarding part. So it is not just the CIF or FOB forwarding that we're looking at. We're also getting into DDP and DDUs, which essentially is a lot larger than traditional forwarding. And it will, in some form, given we are integrated, it will link into a first mile or a la st mile, depending on what the case would be. Back on to what Muthu was referring to in terms of warehousing, again, quadrant one, it sort of integrates into the product offering. And the way we are looking at it is end to end with forwarding, making sure we have control over cargo, and the remaining, making sure we can offer everything in house.

Mr. D. Muthukumaran:

So we're gonna I mean, we don't even know where the one that started. Sorry. Couple of the recent ones. Do you wanna talk about the which the ones that started?

Mr. Divij Taneja:

I, I lost you, Muthu. Say again?

Mr. D. Muthukumaran:

I was just saying, would you like to just tell them the couple of recent MLLPs that we opened up and where we are in each of them broadly?

Mr. Divij Taneja:

Yeah. Alright. So with regards to the footprint that we have today, we have got twelve MMLPs. And if I look at them with regards to the permissions from customs to operate them as ICDs, so the most recent, that you will see will be Virochannagar , followed by Kishangarh, followed by Malur, all expected to get the permissions done in this quarter. Virochannagar will be our largest ICD, and it is going to be the largest ICD in Asia spanning over one thousand acres. And it connects onto a gateway port that's Mundra with about three hundred kilometers of rail distance in between them. Kishangarh connects us to Raja sthan market and Ma lur, of course, is down south. So these are the three ICDs that are expected in the coming quarter.

Para sh Jain:

And just one last question, if I can chip in. With respect to your guidance, what is the base case that management have with respect to ongoing tariff tensions, is it hin ges upon India potentially strike a great deal with the US, or it is independent of that?

Mr. D. Muthukumaran :

It's independent of that, Paras h, right now.

Para sh Jain:

Okay. Thank you very much. Thank you so much, and have a good rest of the day.

Mr. Ashwani Gupta :

Thank you.

Moderator :

Thank you. We have the next question from the line of Vishal Biraia from Bandhan . Please go ahead.

Vishal Biraia:

Hi. I'm from Bandhan Mutual Fund , actually. The question is on international acquisitions. Are there any plans for international expansions anymore?

Mr. Ashwani Gupta:

Yeah. So, yes, answer is yes. But the condition is, number one, it should be in line with our business strategy, which is from Southeast Asia to India to Middle East to Africa. Number two, it should be ecosystem and not only something which is only a cost center. Number three, we are given the authority to operate it, which means we must be majority. Number four, at the end, it should have the today's business, which is profitable and has a potential to grow in the future. So that exhaustive zero to five ye ar business plan.



So we are as you would have as you could see our cash flow situation. In addition to the very smart capital allocation for, for the growth in all the, all the three businesses and, and inside the three businesses, we have roughly eleven, twelve businesses.

In addition to that, we need to have the inorganic growth, but inorganic growth as an enabler to bring the performance. So to answer to your question, yes, but with the conditions to grow top line and bottom line.

Vishal Biraia:

And what would be the kind of scale that you would target? What is the extent? I mean, w ill also would be on the cards.

Mr. Ashwani Gupta :

It depends. We can't, we can't generalize because it's also a question of what we want to do. But on the other side, what is available. Right? And it should be a best match between what we want to do and what is available and what is going to be available. I would say we are focusing on marine because this is where, you know, we are getting a very good momentum. We have expertise. We have a we have a good good control on that business now after three, four years running the OSL. So I think first priority fo r us is to invest in in marine. Second, we are looking at some ports in Africa and also in also Southeast Asia. I can't disclose more, but that's where we are targeting today.

Vishal Biraia:

Fine. So that will be over and above the INR 12000 crores that you'll be you will mark our capex for. Right?

Mr. Ashwani Gupta :

Yes. Yes.

Vishal Biraia:

Okay. Thank you.

Moderator :

Thank you. We have the question from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni:

Sir, thank you for taking my questions. The first one is already answered, which is on global trade, and you did mention that your guidance is irrespective of what happens in the tariff outcome. My second question is, last year, one of the big reasons why our guidance on volumes could not be met with coal. Any early signs of whether we've started seeing reversal of that? And how confident are you that coal volumes this year are going to come back for us to be able to meet our volume guidance?

Mr. Ashwani Gupta :

So. Thank you. First of all, as I said, we are not the one who is controlling the coal volume. It's the, it's the trade which is controlling the trade volume. You know, the point is in FY25, the total utilities generation grew up by 5.2%, out of which ther mal power 2.8%, but the renewa ble energy grew by 12.9%.

Right? So I’m, I'm pretty sure that same thing will continue with lot of initiatives in the renewa ble energy. But our good point is more and more renewa ble energy grows, more and more our cargo for solar and wind



grows, and that is a container cargo. So for us, if something is getting cut down on the coal, we get the benefit on the container. Right?

So moving forward, I would say that energy demand will keep on increasing. But the mix of engineering the mix of energy may have an evolution as we have seen in FY25. But we are prepared to manage that evolution because we are in renewa ble, we are also in the thermal.

Pulkit Patni:

Okay, sir. So then I'll probably take one more question. So in light of that, are you also doing any switches of your coal terminals into container terminals or any plans of doing that over the medium term?

Mr. Ashwani Gupta :

No. I don't think we have it. Of course, we have the technology to convert to, to use our equipments for our containers, right, as it is done in some of the ports abroad. We have that capability, but we don't feel today that we should do that because utilization of our ports are, are extremely good, and I don't think that we should do it today. And most of it , as you know, is also captive, whether it is Mundra or we have got long term contracts with our customer.

I don't think we should do that today. But if it, if it is needed, we have the technology to do that.

Pulkit Patni:

Sure, sir. useful. Thank you so much.

Mr. Ashwani Gupta :

Thank you.

Moderator :

Thank you. We have the question from Koundinya Nimmagadda from Jefferies. Please go ahead.

Koundinya Nimmagadda:

Yeah. Hi, sir. Thanks for the opportunity, and thank you for the wonderful disclosures of the PPT. Sir, two questions from my end. Firstly, on the logistics business, I mean, you certainly target an improvement in our ratios over here.
So, I mean, part of it is also driven by asset light business, you know, like, forwarding and trucking. So I'm also trying to understand if there is any option of, sweating out the asset . Right? How does the effect turns look like today? And because there are also these new large assets such as your original and all stuff already. So just trying to understand it from that perspective.

Mr. Rahul Agarwal :

Koundinya, could you repeat that, please? It was not very clear. Could you repeat the question again, please?

Koundinya Nimmagadda:

So I mean, was trying to understand from a return ratio perspective for your logistics. One is obviously pursuing asset line businesses like your freight forwarding. But outside that, is there an optionality to s weat



the assets better because you have recently invested in large ICDs such as your with Virochannagar . So just trying to understand it from that perspective, the contribution towards certain ratios.

Mr. D. Muthukumaran :

Okay. So again, it was a bit Yeah. Go ahead. Expect the ramp up in each of the ICDs, and, we expect, therefore, incremental margins to come from these higher utilization.

Koundinya Nimmagadda:

Sir, how does the effect turns look like today for the, for the portfolio on the logistics?

Mr. D. Muthukumaran :

Sorry. Your, your voice isn't very clear. Can you please?

Koundinya Nimmagadda:

Sir, I was ask let me speak a bit louder. Sir, I was asking how does the effect terms look like today in logistics?

Mr. D. Muthukumaran :

Do you have a number off hand , Rahul? We can come back to you, sir. Sure. Continue in fact yeah. Go ahead. Go ahead.

Koundinya Nimmagadda:

Yeah. So so my second question is on the marine business. So, I mean, we are targeting the expanded. So I'm just trying to understand the unit economics a bit better and also the customer profile, how does this growth come? If you can provide some color ou t there, please.

Mr. Ashwani Gupta :

So, yes, no, thank you. So in the Marine business, of course, we have got, we have got multiple customers, but they are all mid to long term contracts. And this is where we are , we are getting into. But also, most important, when we are acquiring these companies, we are acquiring their operational and the management teams along with it and then integrating them into a one team in Dubai. So this is our strategy.

When it comes to customers, of course, you know, because of the customer sensitivity, we are not able to disclose the customers. But when we talk about, you know, the the anchor handlers or the or the rigs in oil and gas companies in Middle East, you know, you can count that there are three or four or five big oil and gas companies in Middle East, for example. For example, in North Africa, whether it is Angola, you know, we know exactly who are the who are the global players there. So we are focusing on tha t, and that's fair. And within the marine fleet also, maybe, you know, we can talk about, we have four to five categories of vessel.

So it's not only anchor handler. You know, we have rigs. We have utility boats. So different kind of vessels, which we are, which we are putting up in the fleet so that our business mix is good between, between the oil and gas and the other industries.

Koundinya Nimmagadda:

Understood sir. Sir, lastly, I may ask one last question. So how do, how should we look at, Gopal pur's realization and profit margins for this quarter? It weak? And it's just a very so just I mean, we can come first back to the control, some color.



Mr. D. Muthukumaran:

I'll, I'll give a short answer. You know, like any other half a dozen port that we

have done, in times to come,
this will also get to we have a pathway and visibility on how we will get to the, you know, sort of our portfolio return from the output as well.

Koundinya Nimmagadda:

Okay, sir. Thank you and all the best.

Mr. D. Muthukumaran:

Thank you.

Mr. D. Muthukumaran:

We are actually at the top of the hour that we have put allocated. Maybe we could do one or two questions, and then we can close. So are there any I can't see the queue. I'm outside. Is there any more question?

Mr. Rahul Agarwal :

We have a couple more to answer.

Mr. D. Muthukumaran:

Okay. Let's do one or two and then close it.

Moderator:

We have the next question from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia:

Thank you for the opportunity. The question I had was more on logistics as in the context being you have obviously invested in sizable amount of fixed assets and now you're starting with a certain margin level. Within the individual lines of work in logist ics, what kind of improvement in margins can happen from here on over the next two to three years? That will be my first question.

Mr. Ashwani Gupta :

So I think let's not talk about EBITDA margin only. Right? I mean, this is what we said. You know, when we started Mundra, what was the margin? What was the return on capital employed? 0.1%, 0.2%, 3 to 1%. Where, where is Mundra today? Right? Our domestic ports have reached 21% of, of ROCE. So we are focusing and, you know, there was a question before why and how the logistics volume can increase by 39%.

This is only possible because we are filling the gap between end-to-end business value chain. So trucking, stand alone, may not be in terms of EBITDA margin great, but when it comes to return on capital, it is great because we are asset light. We own the truck, but we use them. But when we use them, we use our own technology. And as we have started, you know, the skill and development center to have our own drivers, we are going to give their drivers our own accommodation, uniforms, discipline.



We know that if the drivers are disciplined, definitely, our assets will be disciplined. And if our assets are disciplined and we use our technology to drive those assets, we will be sweating the assets. So sweating the assets is the, is the conclusion and not the objective. Right? This is what we did in port , and this is what we are doing in logistics.

And because of trucking and now as Divij explained on the, on the freight, freight network services, which is not only freight forwarding. Because our 46% market share with container, we have a strong relationship with the shipping lines. So once we get in to this, we, we have this 46% of market share with the shipping mainly because of relationship with shipping lines. We are going to use that trucking and the network services to bring more cargo to us. So it's, it's important to see the trucking margin, wh ich will be more than market because we are controlling the technology and the driver.

But it is also important to see, at APSEZ, we are not only a truck company. We are not only a port cargo million metric ton company, but we are the, the full end to end integrated transport utility company. Hope it answers the question. Thank you.

Aditya Mongia:

No. Fair. This next question that I had was of a similar question on the port side. As in one advantage that I've seen, Adani, is that all expansions are brownfield in nature. In five years, 50% of volumes are on those brownfield expansions. That coupled w ith your kind of focus on IT, can port margins kind of exceed 80% levels next five years? I'm just trying to get a broad sense as to the extent to which things can become better given this advantage we have versus most of the players who actually have to d o greenfield to expand their own capacities.

Mr. D. Muthukumaran :

You'r

e not giving specific number, Aditya, but, yes, directionally, you know, margin is expanding. That we have seen the trend already. So that will continue.

Aditya Mongia:

So those are my two questions. Yeah. Thanks a lot for this context.

Moderator :

Thank you.

Mr. Rahul Agarwal:

Muthukumaran one last question.

Mr. D. Muthukumaran :

Okay.

Moderator :

We have the question from the line of Sanjay Parekh from Sohum Asset Managers Private Limited. Please go ahead.

Sanjay Parekh:



Congratulations o n great numbers and very good disclosures. It really helps us. Just one question, only one simple question. Is that global acquisitions has its risk, geopolitical risk, you know, currency risk? And as you see, the margins are also lower. So on a longer ter m, do you think we our threshold of return should be higher while we invest in them?

Mr. D. Muthukumaran :

No. We very good question, Sanjay. Basically, the return expectation that we have is factoring in all the, you know, sort of risks that we can foresee. And, you know, when we acquire the port, we certainly evaluate them on all these criteria. And despite a ll these risks in some particular assets, you know, one risk of the list that you said may be more prominent than other. So we evaluate risk. We bake them in, and then only when we are confident, we go ahead and get into the, you know, sort of transaction. So, you know, our risk in our eyes stands mitigated because there is a compensatory opportunity, and that's the driver for us, and that's the motivation for us to get into that.

Sanjay Parekh:

Alright. Thank you, and best wishes.

Mr. D. Muthukumaran :

Thank you. Okay. So thanks a lot. We'd like to close this. If you have any further queries, please do reach out as usual. We're all available, you know, on the high note of last year's results and the higher note of our next year's forecast that we have pu t out there as a guidance. We would like to sign off with a big thank you for each one of you to have participated yet again on a holiday. So, have a good evening, and look forward to being in touch. Thanks again. Bye.

Moderator:

Thank you. On behalf of Ventura Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

# Call: Aug 2025

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# Call: Nov 2025



"Adani Ports and Special Economic Zone Limited Q2 FY-26 Earnings Conference Call"

November 04, 2025

MANAGEMENT : MR. ASHWANI GUPTA – WHOLE -TIME DIRECTOR & CHIEF EXECUTIVE OFFICER , ADANI PORTS AND SPECIAL ECONOMIC ZONE LIMITED
MR. D. MUTHUKUMARAN – CHIEF FINANCIAL OFFICER , ADANI PORTS AND SPECIAL ECONOMIC ZONE LIMITED
MR. PRANAV CHOUDHARY – CHIEF EXECUTIVE OFFICER (PORTS BUSINESS ), ADANI PORTS AND SPECIAL ECONOMIC ZONE LIMITED
MR. DIVIJ TANEJA – CHIEF EXECUTIVE OFFICER (LOGISTICS BUSINESS ), ADANI PORTS AND SPECIAL ECONOMIC ZONE LIMITED
MR. RAHUL AGARWAL , HEAD OF INVESTOR RELATIONS AND ESG , ADANI PORTS AND SPECIAL ECONOMIC ZONE LIMITED
MODERATOR : MR. VEENIT PASAD – INVESTEC INDIA



Moderator : Ladies and gentlemen , good day and welcome to the Adani Ports and SEZ Limited Q2 FY '26 Earnings Conference Call .

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Veenit . Thank you and over to you sir.

Veenit Pasad: Thank you. Shruti. Good evening, everyone. A warm welcome on behalf of Investec India to Q2 FY '26 Earnings Call of Adani Por ts.

We have with us the Senior Management Team of Adani Ports, represented by Mr. Ashwani Gupta – Whole -Time Director and CEO; Mr. D. Muthukumaran – CFO ; Mr. Pranav Choudhary – CEO (Ports Business ); Mr. Divij Taneja – CEO, Logistics Business ; and Mr. Rahul Agarwal – Head of Investor Relations and ESG .

Now I hand over the call to the Management for initial comments, post which we will open the floor for Q&A. Thank you and over to you, sir.

Rahul Agarwal: Thank you, Veenit . Good evening, everyone, and a very warm welcome to our second quarter earnings call. We will begin this call with opening remarks from Ashwani, and then we will open the floor for questions. Ashwani sir , over to you.

Ashwani Gupta: Good evening , and thanks for being on the call. Yet again, APSEZ has delivered a record quarter , where all parameters demonstrated significant growth and achieved all time high milestones.

During the quarter, APSEZ scaled new heights across financial and operating metrics, including market share, revenue and EBITDA free-cash flow, and most importantly, significant improvement in return on capital employed across the businesses.

Last year, we redefined the strategy for Logistics as well as Marine , and our focus was more on improving the International Ports performance. I am very happy to say that that specifically Logistics , Marine and International Ports have significantly shown improvement , which is the right fact to demonstrate that our strategy, which we launched last year, has started demonstrating with the figures. Quarter 1 was the first representative of those figures and Quarter 2 in continuation, is the representation of that, of those figures.

With that, I will get into the figures :

We delivered strong double -digit growth during the quarter. Our Quarter 2 revenue hit INR 9,167 crores , up 30% . EBITDA at INR 5,550 crores , grew 27% , and the net profit was at INR 3,120 crores , up 29%.
Consolidated ROCE increased to 16% in H1 FY '26 compared to 15% in FY '25, led by better capital efficiency across Ports, Logistics and Marine . We generated INR 3,000 crores plus of free cash during H1.
I will touch upon some of the key highlights of this quarter :
Domestic Ports revenue grew to INR 6,351 crores , up 15% driven by 8% cargo increase and record high 28% market share. Domestic Ports also delivered the highest ever H1 EBITDA margin at 74.2% which is the result of successful implementation of various operational efficiency initiatives.
Domestic Ports ROCE improved to 24% in H1 compared to 21% in FY '2 5. Quarter 2 FY '2 6 International Ports revenue hit lifetime high of INR 1,077 crores , driven by growth in Tanzania. Stable Haifa operations accelerated ramp up in Colombo. I am delighted to announce that Colombo has delivered its third consecutive month of 100,000 T EU+.
Also, International Ports EBITDA margin improved by 969 points during the quarter and registered its highest ever print at INR 261 crores. ROCE improved to 7% in H1 compared to 6% in FY '2 5.
Exponential gro

wth continued in Logistics business, driven by ramp up in asset -light trucking and international freight network services and sweating of hard assets. The Logistics revenue grew to Rs 1,055 crores , up 79%. More importantly, Logistics ROCE increased to 9% in H1 FY '26, compared to 6% in FY '2 5, reflecting our focus on capital efficient growth.
Marine business is another bright spot driven by ready to deploy vessel acquisitions in the Middle East and expansion in West Africa waters. Marine revenue grew remarkably by 237% to INR 641 crores in Q uarter 2 FY '2 6.
Our vessel count stands at 127 compared to 75 in Quarter 2 FY '2 5. Towards the end of Quarter 2, we closed an en-bloc acquisition of 4 platform supply vessels and one work boat. ROCE has increased to 15% compared to 13%.
We continue to invest strategically in growth in line with our 5-year CAPEX plan of Rs 75,000 crores. NQXT in Australia, Dhamra port expansion, Vizhinjam Phase -2, Colombo Phase -2, INR 600 crore investment in 1.3 million square foot logistic park in Kochi , and Marine vessel acquisition will be key growth levers for us in the future.

Profitable and capital efficient growth continues to be our focus. We closed H1 FY '2 6 with net debt to EBITDA at 1.8 x, while increasing our average debt maturity to 5.2 years from 4.3 years in FY '2 5. Acknowledging our strengthening balance sheet, Fitch Ratings has devised the outlook on APSEZ to 'Stable ' from 'Negative '.
Finally, building on our philosophy of growth with goodness, we continue to set benchmarks in sustainability. Our efforts are being recognized by ESG rating agencies. S&P CSA ranked APSEZ amongst the top 5% of the companies globally in the transportation sector and MSC I recently upgraded our ESG rating.
Looking ahead, we are building a truly global integrated transport platform. The momentum we have demonstrated in the first half , gives me confidence we are executing our strategy effectively and creating long term value.
We will now take questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Alok from Motilal Oswa l. Please proceed.
Alok Deora: Hi, good evening , sir. And congratulations on very good numbers. Just had a few questions. First is on the Ports business . We have seen while the overall Ports business has done well, but Domestic continues to be a little muted even if we see October numbers for that matter. So, just wanted to understand what's happening there. We are doing very well as far as International is concerned . On the Domestic Port s, if you could highlight what we could look forward to.
Ashwani Gupta: Well, thank you for the question. And I think it's very important to understand from the big number , right. The first number which I would like to give is all India cargo growth is 4.3 %, whereas APSEZ has grown by 6.9 %.
So, I think we should enter into the top line that we are still growing 1.6 x to 1.7 x than the cargo

growth in the maritime. So, which means APSEZ performance is linked to the trade , and we are doing much better than the trade. And this is the reason that our market share has grown from 27.4% to 28.1 %. When I go in detail, our container market share has grown from 44.4 % to 45.9%.
Then the second part which we have to see is obviously what is happening as geopolitics, what is happening as the country's economy, what is happening as a country's future growth plan. And also, we have to see what is the impact of the policies / the global trade. So, definitely when we look at the EXIM coal. EXIM coal, all India has gone down , and obviously we have gone down. When we look at iron ore, the All-India iron ore has almost vanished

and definitely we have the
impact. But on the other side, when we look at coking coal, we have increased our market share

from 36.5 % to 41.9 %. When we look at coastal coal, which is replacing based on Make in India or use in India, which is replacing the EXIM coal, our market share has gone up from 27.8 % to 31.1%.
So, I think from the trade perspective, from the commodity trajectory perspective, and from our market share perspective , and the EBITDA which we are generating on the port, definitely demonstrates that we are gaining the market share by creating higher EBITDA value at the port. So, that's the first conclusion I would like to make.
The second, obviously, we will have to see the geography. And obviously, I think even if you have not asked this question, but definitely you will ask this question or not, your colleague would be asking this question that what is happening to Mundra, righ t? Because this is 40 % of our business.
Mundra, we have mainly the 3 commodities. So, we have containers , we have coal , and of course, we have fertilizers , and so on , and then we have liquid. You would have seen that fertilizers, liquid, everything is doing great. Containers, we had the challenge during the Operation Sindoor . We had the challenge because of Operation Sindoor and the geopolitics. There was a redefinition of the cargo.
And you would have seen that since we talked about in the first quarter results, month on month, Mundra is growing in terms of containers. And in October, you would have seen that we did more than 720,000 containers, which is really demonstrating that Mund ra is getting back after going through the disturbances of Operation Sindoor and so on. However, because of the configuration of the power plant, which are in the Mundra ecosystem and their dependency on the imported coal is definitely hitting them hard.
And that's why Mundra in total is not seen in the same way as it used to be before. But when you look at container, when you look at liquid, when you look at fertilizer, everywhere Mundra is growing. So, to give you the answer, first, we are still growing at 1.6 x than the trade in India. We had the challenges because of trade, but also because of Operation Sindoor , which are gone. And this is where you see now the improvement which is going on.
Alok Deora: Sure. Thanks for the elaborate answer, sir. Sir, a follow up on that. If I look at the International Ports there, the margins have been increasing every quarter. So, we are at around 24 %, 25% margins there. What could the potential margins be here, once we achieve further scale? Because this business is growing like significantly for us. So, once it reaches a certain scale, what kind of potential margin this business holds , the International Ports ?
Ashwani Gupta: See, I would request Muthu to answer, but let me first answer you the question from operations viewpoint. If you remember in last call, we talked about 2 things which we have taken in our control, which is helping us in inducing the DNA of APSEZ. The first one is the Management, and the second is the technology.

For example, you have seen Vizhinjam port. The Colombo is exactly the same configuration with fully automated port with our CEO, our CFO, our leadership team. So, definitely a combination of leadership team , and the technology is improving the operational efficiency. And this is what is happening. Of course, we have not set the target of how much EBITDA we want to reach, but maybe Muthu you want to give a big picture on the return on International Ports business.
D. Muthukumaran: Sure. Thanks a lot. Let me just tell you the most important metric is return on capital employed. EBITDA and margin is actually a secondary measurement. So,

it's important to note that. In that
context, let me tell you actually, giving you one number has some assumption of weighted

average, basically because the dynamics of each business are different. Colombo, for example, is transhipment , it has its own margin profile ; and Haifa has a different margin profile , and in Australia.

But given that we have got already a portfolio of 4 assets, we expect the EBITDA margin when all these operations are stabilized to go from 26 % to somewhere between, around 45 %. So, that is what actually is our long -term target for the businesses. And Colombo will be around 50 %; Haifa will be around 30 % to 40 %; and Australia will be around 65 %. So, it has got different margin profiles.

Alok Deora: Sure. Thank you. Just one last question, if I can. Your full-year EBITDA guidance is nearly INR 21,000, INR 22,000 crore. We have already achieved half of that. So, typically , you would have a better period in the second half of the year. So, is there a possibility of a revised EBITDA on this number?

Ashwani Gupta: I think our endeavour is keep going, keep doing the best out of the best , and then result will come. So, we don't want to comment it on today, not only on EBITDA, but any of the financial indicator. I think results will show. But we are doing our best to do the best.

Alok Deora: Sure. That's all from my side, sir. Thank you and all the best.

Ashwani Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Parash Jain from HSBC. Please proceed.

Parash Jain: Thank you for taking my question. And Ashwani, g ood to hear from you. I have 2 questions and 1 was partially answered, but I will still ask. So, when we look at your portfolio, let's say 2030 , how shall we think about the RoIC for different businesses like high 20s for your Domestic business? But so far as Logistic and International business is concerned, do you think that on a sustainable, ongoing basis, once they mature, we shall expect somewhere in mid -teen or it could actually be similar to what you have delivered in terms of your Domestic Port folio?



And my second question is if you can help us bridging today's volume versus the billion ton, because at least on my number, it becomes very difficult how you can maintain this leverage. You are deleveraging and probably you will accelerate your deleveraging plan , unless there is a change in the capital return policy with respect to buyback or dividend. So, your thoughts on those 2, please. Thank you.

D. Muthukumaran: So, your first question on return on invested capital. This is Muthukumaran here. So, again, the most important measure for us is whether we are actually in a planned manner and in a predetermined manner , are we getting threshold return for each of our investment? We are very strict about it. We actually expect 16% return on equity for all our investments on a fully absorbed project timeframe basis.

So, we will deliver this result in each of our business lines that we get into. And as far as return on capital employed or return on invested capital is concerned, we commented about a year ago that Logistics and International business will actually keep going up and catch up to the threshold returns. You can see the progression happening as we speak.

To your question on actually volume bridge , we are this year-round number going to do 510 million metric tons this year as we close the year. So, from here, we have to go to billion. And, International in that would broadly be around 150 million to 160 million metric tons. We have these 4 ports which are actually going to be operational in the current portfolio. These 4 portfolio assets themselves will actually contribute the international volume that is required. We are on the lookout and if there is any more acquisitions that we

do, that will actually add to the volume.

As far as the Domestic profile is concerned , broadly speaking, we expect the current portfolio mix to remain the same as far as the contribution from each ports to the total kitty is concerned. We did say last quarter that we are actually investing the big amount in D hamra port. We are expecting that to be taken to 90 to 100 million tons in terms of capacity. We expect to invest in Mundra. So, the volume profile of Domestic business will continue to be broadly in this range as to how we are doing.

And t he last question that you asked is on deleveraging profile. So, deleveraging profile is a consequence of our strategy and it is actually going to be consequence of our cash generation to start with.

Our approach is sort of laid out again in the past, which is we expect cash generation to be deployed first in organic, where we have guided up to INR 75,000 crores over a period of next 5 years. We will need some kitty for the M&A that we will actually do in the next 5 years. And if after that, if there is excess cash left, we will evaluate between returning the capital to the lenders on one side , and on the other side some kind of enhanced cash return to the equity holders.

So, our approach to leverage, we have said that we would like to actually have a policy of average net debt to EBITDA of 2.5x. We are way under that at this point in time. And as our investment profile catches up, we expect to actually catch up on the 2.5 leverage profile in times to come.
Ashwani Gupta: If I may add on the volume, just to give how we should look at the volume now , 150 to 160 from International is not a brainer any more. But yes, 840 is, as you said, your calculation shows, has a reference. We are still keeping the reference of GDP growing between 6 % to 7%. Trade is growing between exactly 6 % to 7% or 5.5 % to 6.5 %. But as you would have seen, because of geopolitics, because of many other things, the trade dropped to 4.3 %. And definitely you start multiplying the market increase in market share with the trade , and that's how you land up.
But you would have seen also that the statistics show that the impact of geopolitics on our GDP was roughly 0.1 % to 0.2 %, whereas the GST reforms have given an additional advantage of contribution to GDP between 0.4 % to 0.5 %, right . So, there is no fundamental, and I don't have to repeat it again, there is no other fundamental which will work in our country, in our economy, which is driven by 4 big pillars.
And 4 big pillars are bringing the business and the trade to India , which means if the trade is between what trade has been showing in the previous years and what trade will be in the coming years, growing with that speed which APS EZ has been growing with the organic growth is not a brainer to touch 830 , and this is where I would say that we will be working on that. We are extremely confident and hopeful to achieve the 1 billion metric ton.
But on the other side, it should be a meaningful 1 billion metric ton, which means achieving the volume with the increase in market share, which is generating better financial discipline, financial return is also equally important, same as volume. And that 's why you would have seen that our financial discipline, our financial numbers are equally good as the others.
Parash Jain: I think that's very, very clear. Just one, if I could squeeze any word, any sense on the renewal of concession for your Gujarat portfolio, particularly in Mundra, because we have been hearing about it for the last few years , where do we stand in terms of timeline? Any guess?
D. Muthukumaran: Yes. We would like to just reiterate that we expect things to be closed out in the short order. And we have few concessions coming up for renewal ahead of us. So, we have plenty of margin in

terms of time. So, it will happen well within the time.
Parash Jain: Sure, lovely. And have a good evening. Thank you.
Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama. Please proceed.
Achal Lohade: Yes, good evening, sir. Thank you for the opportunity. S ir, 2 questions. First, just to extend the previous answer assuming we touch about 510 in the current year, and we are talking about a billion ton by FY '30. We are talking 150 out of that International 850. So, where I am coming



from, I am just trying to pick your mind with respect to which particular cargo sector do you see apart from container which can have, because coal was one of the large ones in the past , but given the context of what is happening, do you see that reviving very soon or that doesn't assume the revival and something else will pick up?
Ashwani Gupta: No, I think at first, we should keep focusing on containers. This is what we are doing. Make in India , I don't know you are following the statistics or not. The EV scooters, the EV motorcycles export out of India , the EV cars exports are exported out of India. We did record in Mundra now on exporting of cars.
I think we should just see this geopolitical impact as an opportunity and not as a risk. Of course, the markets are resetting. The supply chain is resetting. You would have seen that the impact of U.S. tariff is minimal , because the exports to the non -U.S. countries have increased significantly in last 3 months. We have to let the supply chain to redefine by itself , exactly in the same way it did during the semiconductor crisis and before that, the pandemic.
And to answer to your question, container for sure. In addition to the Make in India, I think a lot of containerization of the new commodities are also moving in the right direction. You said coal, but don't forget that coal is also coastal. And as I said before, because of our strategic location around the 11,000 kilometers of coastal line from west to east to south, because of coastal, we get twice the trade, loading and unloading both. And that's where we are increasing the market share. So, we have a gr eat opportunity there.
And the third of the liquid, we started from Mundra, then Hazira. And as you know, that East Coast is also redefining the supply chain for liquid. And that's where we decided to have Dhamra and very recently we announced with BP CL, the bunkering for LNG. So, I would say huge opportunity.
And I think we , as APSEZ have evolved our model of financial simulation , and the business simulation, which was 100% linked to the cargo volume to realistic trade , driven by the 4

commodities, which is container, dry and in the dry 2 commodities, but also the liquid. So, the mix will change, the geography will change , however, the overall growth will not change.
D. Muthukumaran: And just to add to it, you might notice that actually, even on the thermal part, there has been capacity expansions. So, they will also actually contribute to our volume .
Achal Lohade: Got it. And just 2 bookkeeping questions , sir. First, if you could clarify on the other income that has seen a substantial increase , somewhere around 800 crores in this current quarter. If you could call out if there are any one -offs.
And secondly, in terms of Mundra , EBITDA margin, last quarter was somewhere around 67%. This quarter it's gone up to 73 %, 74%. If you could call out if there is anything, in terms of one - offs here, and what is the sustainable margin out there ? That's all from me. Thank you so much.



D. Muthukumaran: Sure. So, first on the other income, there is actually INR 350 crores of dividends, which has come from subsidiary, which is our joint venture in Mundra

. Otherwise, it would have come in share of profit in joint ventures, so it's an accounting thing. So, it could have come in either one of those 2. We saw this dividend coming in the previous financial year, in Q1. We did say in Q1 that actually we will expect this to be coming in Q2. So, that is this dividend, number one.
And number two, actually there is also about INR 120 odd crores of bond buyback profit. So, we did this bond buyback in the last quarter, so that is also sitting there. So, these are the 2 differences that you will find in other income.
And your second question was around Mundra margin. See Mundra margin, if you actually see if you take a snapshotic view, the way you are talking about, which is Quarter 1 to Quarter 2, there seems to be a big difference.
But if you actually compare last year Quarter 1 and last year Quarter 2 also, the pattern is pretty similar. Basically, we have high value cargo like fertilizer and all coming in. Though the quarter 2 volume usually is slightly lower compared to other quarters, but the mix of Quarter 2 is actually oriented towards the higher EBITDA, which is a pattern. There's not one -off in this financial year. It happens every year, number one.
And number two, there is a little bit of an increase in our price, which is linked to FX. So, these are sort of 2 things. Our overall margin profile, there is nothing which is one -off. So, therefore, sustainability is actually something that we can assure you that there is nothing one -off or episodic in this EBITDA margin of Mundra .
Achal Lohade: Got it. T hank you so much , sir.
Moderator: Thank you. The next question is from the line of Priyankar from JM Financial. Please proceed.
Priyankar Biswas: Thanks for the opportunity. And I would say quite good results , based on the EBITDA delivery. So, sir, my first question is, I see that there is some increase in JV losses. So, what is the reason behind that , especially it seems to be increasing at Dhamra ? So, what are the reasons?
D. Muthukumaran: So, first of all, like I mentioned in the previous answer, JV income goes down if there is dividend. So, we either get that in the form of consolidation of JV income or in the form of dividend if it is distributed. Okay, so that is one reason why you will see movement in JV income. And the LNG business in Dhamra is ramping up. So, there is certain increase in profitability of Dhamra operations. So, that is the reason why there is JV component difference.
Ashwani Gupta: No. Yes, I think very, very important point. First of all, all our JVs are performing extremely well. So, second thing, if we have the unused cash in the JV, which is generated because of the operational excellence, then we have to get it back. And the way to get it back is to get the dividend. The moment you get it back by having the dividend, we have to show the losses as



part of accounting in the JV, but then you will see that our other income will increase. So, it's from left to right, but at the end, it is demonstration of operational excellence of our JVs.
Priyankar Biswas: That is very clear, sir. And sir, also I wanted to get some idea of the volume break up in International Ports , let's say the individual volumes for Haifa, Tanzania, Colombo. And since you were also mentioning about surge in car exports from Mundra, can we get a sense of your RORO volumes and how it has increased? Let's say Y -o-Y or quarter on quarter, whichever you can provide.
D. Muthukumaran : So, as far as the International , we don't give the volume specifically by the port . Is your question by port, Priyankar?
Priyankar Biswas: Yes. So, to get a sense of volumes by port, because if I recall like last quarter, you did give us some sense. So, essentially was asking on those lines.
Ashwani Gupta: So, Haifa in this quarte

r, in the first half, actually, we did about 5.25 million , and in Tanzania, we did about 7 million , and Colombo we did about 5.5 million.
Priyankar Biswas: And sir, I was also asking you about, since in one of the remarks, you mentioned about strong growth in export of cars out of Mundra. So, can you give us a sense of that? Like, how is it accounted for here? Is there some RORO volumes that we should look into? And if you can give us a sense of that.
Pranav Choudhary : Yes, so I think on a Y -o-Y basis, from a half year perspective, Mundra we have seen about 32% increase in the RORO volumes, car export volumes. So, that shows the role of the car exports from India.
Rahul Agarwal : And Priyankar , this is clubbed under dry, right? So, it is not the port specific, but like we have done in this particular, that's really continuing to give a sense of what the RORO volumes and their growth looks like.
Priyankar Biswas : Sir, I missed it . Which segment it is clubbed into, if you can say?
Rahul Agarwal : It is part of dry.
Ashwani Gupta: Part of what he's asking?
Rahul Agarwal : Dry. Part of dry.
Rahul Agarwal : Part of dr y.
Priyankar Biswas: Okay . The d ry. Okay. And sir , if I may squeeze just one more question in. So, in Dhamra, we are seeing that the margins are a bit impacted Y -o-Y, if we look at it. At the same time, we are seeing that liquid volumes are also rising. So, liquid volumes are typically high margins. So, is



it because of substitution between coastal coal or EXIM coal? And if you can share like, what is the extent of margin differences between, let's say, coastal coal and EXIM coal? That's the last question from my end.
D.Muthukumaran : No, so there is no difference between EXIM and coastal coal. It is all actually priced, as far as we are concerned, on the similar footing. Of course, there is some price differences between the players with people with assured volume. We have slightly aggressive pricing , because they have commitment of take -or-pay, for example. So, it is because of that. It is actually nothing to do with coastal versus import coal. For us, it's all the same.
Priyankar Biswas: Okay . So, we should actually expect the Dhamra margins to be around th ese level s, or are there some levers to improve it? So, if you may answer that.
D. Muthukumaran : No. So, Dhamra margin, I think you will find improvement even in Q3 and Q4 as we go forward. So, we have taken some one -off repairs and maintenance, and also the cargo mix in this quarter. We don't have much of an iron ore as much as we would like in this quarter. So, therefore, actually, what you are seeing is not representative. 50% should go up to our normal levels in time to come.
Priyankar Biswas: Thank you so much, sir. That's all from my side.
Moderator: Thank you. The next question is from the line of Asmeeta from MetLife Investment. Please proceed.
Asmeeta Sidhu: Hi. Thank you very much, Management , for taking my question today. I just have a question regarding your rating. So, as you mentioned, Fitch has put your rating back on stable today. Just in regards to Moody's, given that the last one having a negative outlook, have the conversations over the past few months turned a litt le bit more positive? Do we expect to see any possible change in the outlook, or will it be something that will be a little bit more further out? Thank you very much.
D.Muthukumaran : So, without stepping into sort of their territory and being conscious about what we could be talking about future event s. If you look at our numbers, if you look at our balance sheet strength, and if you look at our operational performance and sustainability, it does warrant us to be in stable. And we do expect all rating agency to reflect that in few months of time.
So, in short, the answer is they should

be doing it. As to when they will do , I guess , we will wait and watch.
Asmeeta Sidhu: That's fine. Thank you very much.
Moderator: Thank you. The next question is from the line of Aritra from Nomura. Please proceed.



Aritra Banerjee: So, obviously , we have little record high in H1, but going forward, are these Domestic Port margins, because the non -Mundra share will also increase with a significantly lower margin. So, what is the outlook for the Domestic Port margins profile ?
Ashwani Gupta: So, we are working on two things, and we are demonstrating it month on month. First is the revenue optimization. Revenue optimization is done by getting more and more volumes, more and more customers with the capacities which we have , and this is which we are demonstrating.

But the second most important is our operational excellence on the cost platform. You would have seen with our data that we are keeping our cost per ton almost flat , net of inflation . When I say almost, almost could be higher or lower. But at the end, our focus is to increase the revenue and optimize the cost as much as possible. And this is the reflection on the EBITDA percentage, which you are seeing month on month.

D.Muthukumaran : If I can just also add , as you have observed, and some of you have asked the questions, between ports and between quarters, our EBITDA percentage do sort of vary, but in a small range. But our overall guidance for the year and our visibility to the market, we don't see any compre ssion of margin, if anything, assuming our operational projects excellence kicks in , we could increase the margin.

Aritra Banerjee: Got it , sir. Got it. Thank you. That is very helpful. S ir, my second question is on the Other Logistics margin. So, that has also seen a quarter -on-quarter improvement. So, what should we take as a sustainable margin probably 2 to 3 years down the line, because it has been improving and overall Logistics could give a sense as to what will be the stable state margins going forward.

D.Muthukumaran : So, we did say, I think in the last quarter, if I am not mistaken, we are talking about over a period of time, Logistics business to give 40 % to 45% margin on the non -IFN and the non -trucking business. So, we will work towards it. Obviously , that is when we actually have all stable operations, but for foreseeable future, we expect gestating business to be in the portfolio. So, yes, I mean, that's the margin.

Aritra Banerjee: Sir, thank you. And just, if I could squeeze in one more question. S ir, any update on the NQXT acquisitions and any update on that will be helpful ?

D.Muthukumaran : So, we are waiting for that last approval, which we were and we have been for a while now. So, as you know, it is actually from the Department of Government in Australia. So, it's not particularly time -bound, but at the same time, I can also tell you it's progressing smoothly. So, it should happen soon.

Aritra Banerjee: Sure, sir. Thank you. Those were my questions. All the best for the coming quarters.

Moderator: Thank you. The next question is from the line of Koundinya from Jefferies. Please proceed.



Koundinya Nimmagadda: Yes. Hi, sir. Thanks for the opportunity. Sir, a couple of questions. First one on the capacity expansion plans. If you can throw some color, from a medium -term perspective, obviously the long-term plans, easy upload capacity, we are well aware of those, but I mean, especially for certain ports like your Hazira, Dhamra, and Mundra in that order, can you put some numbers, what is the medium -term capacity that you are looking at? Because given the capacity utilization , where they are operating, just trying to get some sense around that number , on wha t are t

he

plans, and are you seeing any congestion? Because Mundra, we see certain media articles quoting congestion around the port. So, if you can provide a little more granularity on that aspect, please ?

Ashwani Gupta: Sure. So, I think exports today, we are running, we have a capacity of 633. The next 5 years, we will take up the capacity between 1.1 to 1.2 billion metric tons. And these capacities, the investment, which we have declared of INR 45 ,000 crores to INR 50,000 crores will be for the ports.

And these investments will be done, or are being done, like Vizhinjam Phase -2, we already announced ; Kattupalli , we are already doing ; Hazira, we are already doing ; Dhamra , we are doubling the capacity. We are putting up rails, we are putting up warehouses, and so on and so on. And between 1.1 to 1.2 billion metric tons, which will enable us to do more than 840 million metric tons, which we are, of course, targeting.

Then the allocation of these capex will be driven by number one, commodity trajectory, linked with the trade. We do believe that containers will attract the maximum trade growth. So, that's why the container capacities will be the first priority for us.

The second is driven by energy infrastructure, which is mainly the dry cargo, which is coal or cement or steel, all these kinds of dry bulks . And that's where the ports like Dhamra and everybody's getting the investments.

And the third one, the Chemical industry, the liquid, and so on. And that's where the Hazira is getting the investment , Dh amra is getting the investment , Krishnapatnam may get the investment , Gangavaram may get the investment. And this is how we are planning.

So, we are fully prepared. We are not waiting for the demand to come up. APSEZ policy has always been be ready with the supply , so that when demand comes, we can deliver the best -in class customer satisfaction with the minimum turnaround time of the vessel, of the evacuation , and this is where we are doing.

In addition to the capacities at the port, we are also investing in the ecosystem. So, investing in the port is important, but investing in the evacuation, especially rail, trucking, warehousing, is integral part of the total investment plan. Hope it answers your question.

Koundinya Nimmagadda: Yes sir. J ust one small clarification before I move on to the second question. But the understanding is that at any of our ports, there is no congestion and operations are functioning extremely smoothly. We are not losing volumes because of port congestion. Is that a fair understanding?
Ashwani Gupta: Yes, you are right. We maybe running 90 %, 92% of our utilization on some of the ports, but we have enough capability and capacity to welcome each and every cargo which comes to our port.
Koundinya Nimmagadda: Sure, sir. Sir, the second question is on the Domestic Port margins. Obviously, part of it was answered in the previous question, but on a sustainable basis, where can we see these margins heading to? I mean, there has been recent improvement over the past couple of quarters, but we are already at 74%. What is the sustainable number that we can look at?
D.Muthukumaran : Yes, it is in that ballpark, 75%. I know 75% is what we have shown this year, or this quarter, both, Y TD, and we expect that to be somewhere in the region of 75 % to 77 % whenever we are able to, over a long period of time, whenever we are able to get our operating efficiencies up and pricing continuing this way.
Koundinya Nimmagadda: The reason I am also asking that question is that part of the expansion, if I take it or maybe take an FY '23 base and look at it, there has also been improvement in capacity utilization, which I am assuming would have driven the margins up. So, as you add new capacities, do you think that will have a near -term or temporary imp

act to margins, or that will be taken care of?
Ashwani Gupta: Yes, so all the capacity expansion which we are doing are the marginal capacity expansion, right? We are not building the Mundra Port. We are not building the Hazira Port. So, the basic investments which has already been done in the infrastructure ecosystem will have a significant impact on the return on investment. So, we don't see any drop in the margin.
Last year, we started the new berth in Mundra, and you would have seen that the margin has increased. So, I think the way we run the business is totally different than what is in the mathematics.
Koundinya Nimmagadda: Okay . If I may squeeze one last question because Divij is also here. So, is there anything that we should read into the tr ucking business growth on a Q-o-Q basis . I understand 2Q is usually weak?
Are we on par with respect to the growth over there for Trucking and on Logistics as far as the guidance is concerned for the full year ? Or is there something that is not going as per plan?
Divij Taneja: So, absolutely on track. The tech platforms are alive and kicking. We can track the chain of custody. We have interaction with stakeholders, and we also have the control mechanisms placed within the trucks. So, all of this means it is scalable, and we are on track for it.
Koundinya Nimmagadda: Sure, sir. Thank you and all the best.

Divij Taneja: Thanks.
Ashwani Gupta: Thank you.
Moderator: Thank you. The next question is from the line of Manish Somaiya from Cantor. Please proceed.
Manish Somaiya: Thank you so much, and congrats again on a really strong quarter. Also, congrats to Rahul and his team for preparing such great insights in the presentation. Obviously, I am sure everybody appreciates it. A lot of my questions have been answered, but I did have a few more that I wanted to touch on. First is on the cash flow conversion. Obviously, it was very impressive in the first half at 85%, I believe. Can you give us a sense as to how we should think about that for the full year?
D.Muthulumaran : It's the same, Manish. There is neither significantly lower or higher cash conversion that happened. We don't have much receivables or inventory in our business. So, cash conversion should be very similar to what you see in the first half.
Manish Somaiya: Okay. Ashwani , you mentioned an interesting point that at your ports, you are seeing very close shift, because of geopolitics, because of trade policies globally. I was hoping to get your perspective on the kinds of shifts that you are seeing. If the goods aren't going to the U .S., maybe if you can just help us understand where are the goods going and how do you see the evolution of that in the next 2, 3 years?
Ashwani Gupta: Yes. No, thank you, Manish. And I would say it's too early to say that, but for sure what we are seeing is that supply chain is redefining by itself , because origin of customer and destination of customer, which means customers will always remain , the world population will always remain. That is going to grow. So, my view is the supply chain is being redefined and Quarter 2 is the first quarter where we have already started seeing this redefinition of supply chain.
Having said that, it will create its own opportunities, but also its own challenges. For example, in India, we clearly see today a n imbalance between import and export , because in India, import

used to be in 40 feet container and export used to be on 20 feet container. So, now we see that imbalance. So, definitely the supply chain will have to readjust itself, but it will take time. But on the other side, in mid to long term, Manish, to be honest with you, including U .S., the overall trade will grow. It's j ust a question of resetting itself.
Manish Somaiya: Right. Okay. Now that's super helpful. An

d then Ashwani , maybe this is a bit of an unfair question, but perhaps if you can just give us, at a very high level as to how to think about the different businesses as we go into '27, because let's face it, '26, we are pretty much over with for the most part. So, as we think about your business, model ling figures, just high level, nothing sort of specific on the numbers, but just at a high level, if you can just kind of walk us through Domestic, International , Logistics and Marine. D omestically, how we should think abo ut it.

Ashwani Gupta: Wonderful. I think, thank you. We will keep this target of Domestic, which is growing between 1.6x to 1.8 x of the trade. I do believe that trade will come back to 5.5 % to 6%. Then I think I am especially very much bullish on container. Next year, we will open up our new capacity in Mundra, which is going to be huge one. And we are waiting for that capacity to be open. So, Vizhinjam is going on, Colombo is going on, Gangavaram is going on, Hazira is going on. So, which means that containers will keep the main driver of our growth next year.
Then I would say that the power demand in our country will still keep on growing, but replacement of imported coal by coastal coal will go on. So, definitely our investments in Dhamra, in Gopalpur, in Krishnapatnam and so on will pay us.
And the third one is what we see clearly in 2027. And that is also coming because of the redefinition after the geopolitics is the liquid. And we see clearly the redefinition of supply chain for HSD and these kinds of liquids. And this is where we are investing in the tank farms. Hazira, as I speak, is opening up tanks on tanks. I think tank farm for Hazira will also be increasing the capacity next year.
So, we are very bullish on trade , but we are also very confident , because of the capacities which we are creating before trade could utilize it. So, I would say Manish that Domestic, we will keep on going like this. In fact, we will have a good tailwind , because we will open up a big capacity next year.
Now, when we come to International, International we have pulled ahead the start of Phase -2 in Colombo , because we are much ahead of the plan, not only volume, but also the margins. So, Colombo will go on like this. Tanzania, we already decided to invest in the elongation of the berth , so increase in capacity. So, Tanzania will bring in additional volumes.
Haifa, we have enough capacity with what we have seen now the peace agreement and so on. Israel as a country will attract more cargo. And so as Haifa, we have already restarted the cruise terminal and so on in Haifa.
And then finally comes Australia, which is already in. We should be consolidating in few weeks or few months and then Australia will kick in. So, which means International will be on track with that. So, that's why we keep the confidence in meeting the 203 0 five year APSEZ business plan, which is driven by integrated transport utility. So, that's all about Ports.
But on the Logistics, with our strategy of asset heavy, asset light , and asset zero, we keep on thinking and there's a huge opportunity in India about Logistics. We have not captured most of it. What we have captured so far is the low hanging fruits. There are a lot of fruits which are still to be caught. So, Logistics, we are going to grow exactly like this.
And then finally the Marine . Marine, I think India, we are already at 75% market share. We will not go beyond that. But we are adding as we announced 8 tugs in the next 2 years, which should

come in 2027 and 2028, where almost half of it is already contracted. But yes, on the offshore, we have entered West Africa, but we want to enter Southeast Asia. So, that's a big opportunity which we are

seeing in terms of Marine.
So, putting Ports, Logistics and Marine , we do believe that we will keep the trajectory and trade should grow , and I am pretty sure it will grow and definitely our pie in the cake will grow.
Manish Somaiya: Hey, that was super, super -helpful. Thank you so much. And again, congratulations to the team.
Ashwani Gupta: Thank you.
Moderator: Thank you. The next question is from the line of Palash Jain from ICICI Securities. Please proceed.
Palash Jain: Hello. Yes. Congratulations on a great set of numbers. So, I just had 2 questions. First being that

considering that APSEZ has signed 2 MOUs with JNPA for Vadhavan Port, how do you see yourself in that light , considering the competitive intensity from other peers?
And second being, could you throw some light on CAPEX guidance for International Ports specifically?
Ashwani Gupta: Okay. So, I just talked about, let me say, let me give you a big picture, right? 2047, India wants to build 10 billion metric ton. And we say that by 2030, we should have 33% market share. So, by 2047, if you are looking at 33% market share, we should be roughly 3.3 billion metric ton. And I just said that in next 5 years, we will be 1.2 billion metric ton. So, which means from 2030 till 2047, which is 17 years, we have to go from 1.2 billion metric ton to 3.3 , if India is asking for 10 billion metric ton.
So, all these projects, Vadhavan , then Galathea and so on, are the greenfield projects which will bring that kind of catchment area and that kind of volume potential. And that's why we are integral part of the study, integral part of the project plan, which is going on. And as you would have seen that w e have already signed the non -binding M oU for the exploratory studies for the Vadhavan .
So, we are very closely involved, and we will follow the tendering process and the selection and so on in the coming thing. So, next 5 years, anything which comes in as a greenfield in India, brownfield, we will go for it.
Palash Jain: Okay. That's very helpful. And regarding the International ports, CAPEX guidance, if you could just throw some light on that.
D. Muthukumaran: So, at the moment, nothing very large , Palash, in the International . It's just a routine ongoing CAPEX that we do.

Palash Jain: Okay. Yes. Thank you so much.
D.Muthukumaran : Okay. So, thank you very much for the interest. Actually, we are over and a little bit . On the one side, apologies for that. But we also take it as a good interest, and we are happy with it. So, this brings to end of analyst call for this quarter. Look forward to actually meeting you all next month , in February . Thank you very much.
Ashwani Gupta : Thank you.
Moderator: Thank you. That was the last question for the day. I would now like to hand the conference over to Mr. Veenit for his closing comments. Mr. Veenit .
Veenit Pasad: I would like to thank the Management Ream of Adani Ports for giving us a chance to host a call. Thank you so much. Thank you everyone for joining in.
Moderator: Thank you . On behalf of Adani Ports and SEZ, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

“Adani Ports and Special Economic Zone Limited
Q4 FY '26 Conference Call ”
April 30, 2026

MANAGEMENT : MR. ASHWANI GUPTA – CHIEF EXECUTIVE OFFICER &
WHOLE -TIME DIRECTOR
MR. KRISHNA MENON – CHIEF FINANCIAL OFFICER
MR. PRANAV CHOUDHARY – HEAD PORTS
MR. DIVIJ TANEJA -- HEAD LOGISTICS
MR. RAHUL AGARWAL -- HEAD INVESTOR RELATIONS
AND ESG

MODERATOR : MR. PRIYANKAR BISWAS – JM FINANCIAL
INSTITUTIONAL SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Adani Ports Limited Q4 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference



call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Priyankar Biswas from JM Financial Institutional Securities. Thank you, and over to you.

Priyankar Biswas: Thank you. So, good evening, ladies and gentlemen. We have the management of Adani Ports and SEZ represented by Mr. Ashwani Gupta , Whole -Time Director and CEO; Mr. Krishna Menon, the CFO; Pranav Choudhary, Head of Ports; Divij Taneja, Head of Logistics; and Mr. Rahul Agarwal , the Head of Investor Relations and ESG.

So, we are here to discuss the 4Q as well as FY '26 results and the outlook going ahead. So, without any ado, I will hand ov er to Mr. Rahul Agarwal , the Head of Investor Relations and ESG. So over to you, Rahul.

Rahul Agarwal: Thank you, Priyankar. Good evening, and hello, and welcome, everyone, to APSEZ's fourth quarter earnings call. We will begin with Mr. Ashwani Gupta: 's opening remarks and then open the floor for Q&A.

Ashwani Gupta: Thank you. Good morning, good afternoon, good evening, everyone. Thank you for giving this opportunity to us to share with you our financial announcement. To start with, we said 500 million metric tons, and we delivered it, as we said. Obviously, this is not an operational statistic. It marks an India's infrastructure moment.

Now coming to the financial announcement. Once again, we have exceeded the guidance. APSEZ outperformed the upper end of revenue, EBITDA and capex , while closing with net debt to EBITDA at 1.9x and return on capital employed of 16%, another evidence of our healthy business growth with financial discipline. FY '26 revenue grew by 25%, EBITDA grew by 20% and PAT grew by 16%.

During the year, we faced challenges and disruption, starting with Operation Sindoor, various geopolitical issues and West Asia crisis. Still, we delivered serving the nation by handling LPG vessels, managing transshipment overflow from Middle East, providing free storage to containers and helping the country to continue with the trade. Despite that, we overdelivered what we promised.

Every year, we set a guidance and every year, we exceeded. This is not by luck. This is integrated in our culture. Domestic ports handled 451 million metric tons. Revenue and EBITDA grew by

13% and 14%, respectively, and the market share at 27.1%. The return on capital employed increased to 23% from 21%. The international ports revenue grew 34% and EBITDA increased 180%, led by ramp- up at CWIT Colombo terminal and completion of NQXT Australia acquisition. But in the annual announcements, we counted only the quarter 4 of the Australia.

The second business, Logistics revenue grew by 55% in FY '26. The return on capital employed increased to 10% from 6%. So in our Ambition 2030 plan, we said that we will take 3 to 4 years



to bring the return on capital employed on Logistics to double digit, but I think in FY '26 itself, we hit 10%. And this was possible with the strong momentum in asset light and asset zero services, along with the utilization of the asset heavy, which are mainly the ICDs.

The Marine revenue, which is the third business pillar, revenue and EBITDA increased by 134% and 125%. It was led by highest ever fleet of 136 vessels. So, I would really like to say, thank you for keeping the confidence in APSEZ and having this support. So, we look forward to hear from you, feedback, questions, and thank you. Thank you very much.

Rahul Agarwal: Thank you, Ashwani. We will now open the floor for questions.

Moderator: Yes. Thank you very much. We will now begin the question-and -answer session . We'll take our first question from the line of Alok Deora from Motilal Oswal.

Alok De

ora : Congratulations on a decent set of numbers. So, first question was on the performance. I mean, if I look at the absolute numbers, you have still done pretty okay, but the margins have come off. So, I mean, we are -- typically, we see 59% to 60% sort of EBITDA margins. Now it's come at around 56%. So, is it like a one -off there? Or if you could just elaborate on that?

Ashwani Gupta: I think -- thank you for that question. When we talk about margins, you always have a seasonality. But the fundamentals are there, and we are delivering the fundamentals that as you saw that overall port margins remain consistent.

Now, you may see a drop in the individual ports. But if you look at -- I, think you will have more time to go into the details. But if you look at, they are mainly the cargoes where we have the dry cargo. And you may see a little bit drop in Gangavaram, you may see a drop in Hazira, you may see a drop in Dhamra, but you may see a drop in Krishnapatnam.

So, this is the combination of -- on one side, we are investing on the expansions, like in Gangavaram port to capture the agriculture cargo, which we believe -- fertilizer and agriculture cargo. We are building warehouse s . So, I think there is a -- because of all these disturbances, which we have seen, we have seen the change in the business mix. And to adapt to the business mix, we have to reschedule our operational processes.

Of course, it takes time. For example, as I said before, you would have read in our public advisory that we gave the extended free storage for the containers in Mundra. We used 100 acres of land extra to keep the containers because this is for the country. This is for the community. This is for the world.

So, if I'm giving a free storage to a shipping line, they are bringing the containers, which they could not -- cannot take it to Middle East, because of the crisis. They are keeping 100 containers with us, but then they want to take 20 containers back because the 20 containers have got necessities, food and so on, which are only allowed to be be rth in the Middle East. So, we have to see that we exist to serve the community, to serve the nation, to serve the maritime industry. So definitely, this has impact ed.



But as you know, these are all short term and our fundamentals are still there, and that's why you would have seen that overall port margins exist and continuing where we didn't have these kind of disruptions like international ones, Colombo and so on, you would have seen that we have delivered a significant improvement in the EBITDA margins.

But yes, in the dry cargo ports, because we are resetting the operational processes, the imported coal was less. So, we shifted to coastal coal. So definitely, we are talking about aligning the processes. So, this is what I can say.

But yes, there are four ports where you will see a drop in the margin, but you will also see many ports where we have increased the margin. But at the end, what we want to deliver is return on capital employed, right? That's what is the indicator which our shareholders, our inve stors are looking for. If you look at overall return on capital employed on the domestic ports, we have delivered 2% more which is 23%.

Alok Deora : Sure. So just on return on capital, I mean, in the Logistics business, actually, it has shot up quite a lot in FY '26 from 6% to 10%. So just some colour on that. And in your guidance of FY '31,

your revenue in Logistics is growing by a whopping 34% and EBITDA is growing by 27%.
So that means, there will be some sort of a margin consolidation there. So when the size is becoming almost a INR20,000 crore s Logistics business by FY '31, would the margins be
slightly higher than the current levels or it would be -- there will be some sort of consolidation there? Just if you could highlight on th

at.
Ashwani Gupta: I think, the result of 10% is not by luck. I mean, we have a strategy. I think 1.5 years before, we explained the strategy of a combination of addressing this business by asset heavy, asset light and asset zero. And this is what we delivered. Obviously, if you look at the mix -- you will see that the mix of asset zero and asset light has increased as compared to asset heavy because we are doing really well on our freight forwarding business, on our trucking business. So definitely, that has g iven a boost.
But once again, on one side, we have to see independent businesses, because that's where I think we are transparent in sharing with you each and everything. But on the other side, we have to do -- we have to also see that freight forwarding business at the end, brings the volume to the asset heavy business. So both are interlinked and both are complementary to each other.
Now moving forward, once again, our objective is to give you 20% return on capital employed as APSEZ level. Now how the business mix will change, how we will move forward, we wanted to give you a hypothesis so that you have in your mind. But for sure, when we talk about the Logistics business, and there is no surprise in it, that EBITDA which we earn is not in direct proportion with the revenue. And as a consequence, there is a business mix impact.
Having said that, what is important for us is to give absolute amount of growth and the return on capital. So that's why FY '31 and we launched this plan in 2024. We delivered in 2024. We delivered in 2025. We delivered in 2026. Now it was right time for us to give you 1 year more, but with a better forecast.


So, if you look at our deck, which we have uploaded already Ambition 2031, we have taken all the feedback you guys have given to me in last 2 years, especially the capital allocation. We have said very clearly what is domestic ports, what is international por ts.
In Logistics also, we have reestimated our assumption. We have given you the allocation for the Marine, and we have also given the allocation for the decarbonization and the technology, which is driving our efficiency and the productivity moving forward. Y ou may see other things also, but I think we can discuss it after you have gone through it in one -on-one calls.
But to answer to your question, our commitment, our promise is to deliver twice the growth in 5 years with a 20% return on capital at consolidated level. But then, of course, domestic ports are really doing well, touchwood and it will do well. And internat ional ports have picked up, and Logistics and Marine will be the booster to contribute to the APSEZ overall growth.
Alok Deora : Sure. Just one last question, if I can. So you have given a very detailed breakup on the capacity addition of December 2030 where capacity goes from 653 million to 1 billion ton, right?
Ashwani Gupta: Yes.
Alok Deora : Now we have given a guidance of 1 billion ton of cargo volume handled, which includes 850 million tons of domestic. Now, if we do the math, then out of the 1 billion capacity, is it really possible to kind of handle 850 million tons because typically, the utilization stands at around 80% or so and plus entire capacity might not be fully functional during this -- during 2030. Some of it might come near the end of that period. So just any guidance on the volume, if any changes there or -- yes, please.
Ashwani Gupta: You're right. At first, we have to know that when we do the theoretical capacity planning, we always consider 20%, right? Always capacity planning is done at 80%. So if I'm saying that, I have 1 billion, you can see it is at 80% of the total capacity. And then you would have seen another thing, which is the last -- is we are investing in technology to improve the efficiency.
So, you may be wondering why in 1 month

, Mundra is doing 770,000. If you try to calculate the
capacity what we have in Mundra and what we are delivering, which is 770,000 in a given month, you will hit 94% utilization.
Alok Deora : But within that 1 b illion, you would be able to handle 850. The volume guidance does not change.
Ashwani Gupta: Yes, 1 b illion is a theoretical capacity in that 80%. So you can go up to 1.1 b illion, 1.2 billion with the same percent.
Alok Deora : Sure. So our volume numbers -- the longer -term volume number, volume guidance does not -- has not changed.
Ashwani Gupta: No, no, no, we are not changing. And you will definitely ask that question. So before you ask that question, I can tell you that, this volume does not include the merger and acquisition.

Alok Deora : Yes, yes, this is all...


Ashwani Gupta: So any headwind which may come like it came last year with Operation Sindoor and West Asia crisis, definitely, we have a buffer, which we will do in next 5 to 6 years, the acquisitions to cover up. And we have the money to do that, but we have not incorporat ed in our top line and bottom line and also in the capex front.
Moderator: Next question is from the line of Manish Somaiya from Cantor.
Manish Somaiya: Of course, Ashwani, congrats again on a fiscal -- on a strong fiscal '26. Since we were just talking about your long-term plans pertaining to fiscal '31, maybe if you can just talk about some of the important milestones over the next 12 months that we should keep track of.
Ashwani Gupta: Thank you, Manish. I said after listening to your congratulations message, we were so excited. So, thank you. Thank you, Manish. I think what is very important, not even the 12 months, I think the quarter 1 is very important, because in quarter 1, we expect to get the business mix change. I think that all the free storages and everything and the busine ss mix change between the containers and so on may be improved in the next 3 months. So, you may see a change in the container.
But the second biggest change which you should track is the coal. As you know that, Indian government has given the direction to all the power plants to run at the peak, including the imported coal, and the reason being that anticipation is there will be a competitively weaker monsoon.
Anticipation is heat is high, which we are already seeing now. Even Ahmedabad is running at 43. And I don't think that renewal capacity even if India did a record in setting up 50 gigawatt last year, I don't think the renewal capacity and the conversion of the electron into the transmission and transmission below distribution will fulfil that demand. That's the second.
The third, I think the challenge on LPG will remain. And I think people are shifting from LPG to electric stoves and so on and so on. So it does not change a lot of bricks for us because LPG is not a big mix for us.
But on the other side, definitely when the power plant will run at peak, you will see the uplift in the coal and that's why you would have seen that last year Tata Power was almost closed for the whole year and now Tata Power is fully fired and running at its full capacity. So that's the second trend.
The third trend which we should see that you have seen that after UAE is out of OPEC, the pipeline, which is there, which bypasses the Strait of Hormuz, there should be a free flow of the crude. And that's why we may not see any challenge on the crude oil, which means what, Manish, which means, we kept our guidance conservative considering that, if the oil prices do not come down, India as a country may not see that much of optimistic growth, and we may see a gap between supply and demand, which may rise t he inflation .
But if this routes work and if what everybody is planning works, I think we should see a positive side. And I think quarter one will tell u

s what is positive. So that's what I would say, Manish, I think quarter 1, we will come to know many, many tailwinds, which will come, but we want to


be very conservative because we don't know what will happen tomorrow. Nobody knows, nobody has a crystal ball. But still, we have made some assumptions. And based on those robust, but conservative assumptions, we will maximize the opportunity and minimize the risk.
Manish Somaiya: Okay. That super helpful, Ashwani. I just had 2 other quick questions. One is on international ports. Obviously, very strong margin performance. Clearly, NQXT and the acquisitions that you made earlier contributed. But how should we think about sustainable margin for international ports going out?
Ashwani Gupta: See, that's a great question, Manish. I think last time, I think since 2 or 3 or 4 quarters, I have been sharing a couple of things. The first thing is the governance of all the international ports are now in Ahmedabad, which means we control it from Ahmedabad, that's first thing. The second thing is the CEO and the CFO, we have put it with Adani's DNA, so which means these 2 guys are running with the DNA which we have, and that result is, as you can see -- you can see the results now.
And now moving forward, our focus will be more on the market share. So for example, Colombo, in the phase 1, we focus on transshipment terminal, that's why our mix is 100% transshipment whereas the whole country mix is 85% transshipment and 15% EXIM. We ha ve

not touched the EXIM potential.
Now when we are building up the Phase 2 capacity, which we will be finishing very soon, and so we are getting into the EXIM trade. So, keeping the profitability margins, growing the market share and then introducing the culture of partnership and the leaner organization, which I have talked about this morning in the Ambition 2031 Day will help international operations to deliver more mar gins than their competitors in that region. Obviously, they cannot match the margins which we make in India. But definitel y over there, they will be definitely best -in-class as compared to their competitors in those regions.
Rahul Agarwal : And Manish, just wanted to take a look at the Q4 international ports exit rate on EBITDA. So that will be a decent indication for you.
Manish Somaiya: And then just lastly on capex . I saw capex was a bit higher than guidance. Maybe if you can just elaborate on that?
Ashwani Gupta: Yes. Thank you. I think you have spot on. We have accelerated the capex on. If you see Ambition 2031, Slide number which one -- where we have done the for India growth story. Slide number 20, because this is -- thank you to everyone's feedback, we have really introduced logic rational, why and where we are investing. So we have estimated our capex , A, in Mudra because we are fully full and now, we have C T5 which is coming up, but we have accelerated the future expansion.
Then we have accelerated our capex in Dhamra, because of the shoot volume, which is coming up especially because of the RSR, Rail -Sea-Rail, Postal Cargo Movement. We have accelerated our capex in Hazira because of the liquid .


So in line with the integral story, in line with the growth pillars which are investing accordingly, so that's what I can say, and spending more capex means will be providing more growth, but we have a logic where we are accelerating our capex, and Vizhinjam.
Because Vizhinjam already we are at 100% capacity. And in the West Asia crisis, we had many vessels waiting outside. So we are not waiting for the Phase 2, and we have kicked off already the Phase 2. And Phase 2, we are ahead doing it with automated terminal and that's where we want to go. And in addition, we have already started a

lot of automation investments to improve the productivity at each of the existing ports. To answer your question, we have accelerated the capex because we want to have more than 1 billion capacity investment by 2030.
Moderator: Thank you. Next question is from the line of Bharat Shah from BCS Capital Ideas. Please go ahead.
Bharat Shah: Hearty, hearty Congratulations. I mean, in a fast -moving world with a lot of unpredictable challenges in a complicated multidimensional business like ours to manage it so well really requires depth and labor of the management and the planning. So I fully appreciate your comment that the results have not come by chance. But by good planning efforts, risk mitigation and intelligent anticipation of what all many issues can come?
I just have to -- I don't have really a question to raise, not because no question arises in my head, but simply because I think the transparency with which so many details have been laid down in the presentation, especially about future is really, really remarkable. I mean, the granular level of details which have been given year -by-year spell out each asset by asset, whether it is about ROC, whether it is about debt, whether it is about the cash flows and all many, many arenas involved in that, I think it is remarkable.
Secondly, I was really delighted and surprised how quickly Logistics business has reached a double -digit return on capital employed because that is waterloo for many, many enterprises. I mean, Logistics is something I must admit I was a little worried when it was embarked upon.
But how quickly that has come by is remarkable, I must say that. So hearty congratulations, Ashwa ni Ji. And Rahul Agarwal, you have got a fantastic deputy. The way he handles all the business questions, not nearly financial ones, I m ust compl iment. So just wanted to put that broadly.
Ashwani Gupta : Thank you very much for your appreciation. And I think last 2 years, the quality of questions you all have asked has really helped us in redrafting our disclosures.
I know only one thing that you are our ambassadors in front of investors. So we put ourselves in your shoes, that you are in front of investor and trying to convince investors that they should invest and keep the confidence in it. So if I have in your shoe s, what all information I need to convince the investors.
So that's how it is the mindset and the cultural change we have done. And we talked about Rahul. He is originally an ESG guy. He was living in New York, and we got him from New York to

India and made him the IR specialist and he is supported by a good team. And now we have Mr. Menon, who is the CFO with internal experience. So I think we have a good team.
And answer ing to your question of Logistics, maybe I look at Divij bhai to -- Divij to explain. But nothing has changed. I think 1.5 years before the strategy which we talked about are just executing a little bit fine -tuning it. You would have seen that we have reduced the capex in Logistics because we do believe that we can give much more profitable growth with less capex. We are mindful and thoughtful of the capex. But one thing which has not changed, we said before that we will do better than our peers. Why? Because we know how to maximize the utilization of the assets and that can be only done by talent and technology. We invested in technology. We made our own digital platform.
We are running it efficiently and effectively. We use the same truck which can do 1 trip and now we are getting 3 trips with the same truck. Definitely, the margins are getting tripled. So we are not perfect now. I think there are a lot of opportunities. W e want to grow and keep delivering
what we promised.
Bharat Shah: Delighted to hear all of that. I was just kind of supplementing the broad observation that such multi-geograp

hy, complicated multipart day-to -day operations to be done across so many different business lines, it can't be easy. And obviously, a lot of effor ts and a lot of intelligent planning and execution is at work to make it appear so smooth. So we are truly delighted.
Just wanted to leave one indirect, but in my opinion, pertinent observation. You might be aware of these AI software. And I think a lot of legacy technology systems are really vulnerable in terms of being exploited by the software, especially energy, infra structure assets, banks, many
of these assets are really vulnerable because these were developed on open source software code development.
And most of these systems have been discovered with huge amount of lacunae and bugs. So I would -- given the scale and the depth and the complexity of our operations, I think our technology, internal technology needs to be going through all over again very carefully.
Ashwani Gupta : Sure, sir. So I think we will consider that. Thank you for your feedback, and I will personally study and thank you. Next time, when we are meeting, we can have more discussion, sir. Thank you so much for your comment.
Bharat Shah: Thank you.
Moderator: Thank you. We'll take our next question from the line of Koundinya Nimmagadda from Jefferies.
Please go ahead.
Koundinya Nimmagadda : Decent set of numbers in a challenging environment, especially in the month of March. Two quick questions. So first one a bit on near -term and second one on the Ambition 2031 plan, which may take a little longer, but starting with the near -term plans, right? So you did guide for about 11% to 16% kind of revenue growth for FY27. So can you help us understand what are the kind of assumptions that are built in here?




Obviously, you briefly touched upon certain assumptions as an answer to one of the previous participants. So within that, if you can also help us understand how is the current scenario on the ground because we understand that part of March was also supported by transshipment volume.
So how is the scenario shaping up currently? If you can throw some color on that, please?
Ashwani Gupta : Thank you. And same as you, we also don't have the crystal ball, but our business has continued.
I think the main thing which we are doing today is resilience is at the core business and agility is driving it because every day, we have a new thing. More than 93% of the vessels are coming out of the window.
So if I keep the same process, I will not be able to entertain any vessel at port, right? I can't complain, right? I have to continue to deliver the volume and I have to adjust and I have to be effective, adaptable to the changing environment , right . We have to choose the crisis before the crisis chooses us. So I think that's what is the new normal and that's what we are working.
Now if an LPG vessel comes even after U turn from another country, we have to be ready at 1 o'clock in the morning to get it faster and faster. So that's what I would say. So having said that, I will give you a very, because you guys are more expert on economics. But what we have done is the minimum range if that we grow exactly as India is growing in optimistic way.
If India growth goes down because of fuel and so on, we do 1.5x of India growth. That's our minimum. That we do believe whatever happens, we will deliver you 1.5x of India growth. But if India is optimistic, which you would have seen today, we have this news of crude, we have news of imported coal and many other tailwinds, then India growth will be normal and we can go up to 1.7x, 1.8x without any acquisition.
So that's the most optimistic scenario which we don't want to commit to you today because

nobody has a crystal ball. So what we have considered in our guidance is the flat. For us, flat is 1.5x India growth. Now we can see how

the India is growing. But tha t's how we have taken the guidance.

Koundinya Nimmagadda : Okay. Got it, sir. I was trying to understand the kind of volume change that you walked around with, but anyways. Sir, my second question is on the Ambition 2031 or 850 million ton 2030 guidance, right? So if I were to look at it, the implied on the domest ic port side, the volume growth rate is anywhere closer to 14% -odd CAGR.

In comparison, if I were to look at FY21 to '26 on growth, that was about 13%- odd. Again, there, you had some benefits of acquisitions, something like Krishnapatnam Port and Gopalpur and a few other additions as well. And if -- I mean in this context, I'm just trying to understand how do you intend to achieve this 14% -odd CAGR.

Ashwani Gupta : No, no. I think you will agree that we can grow 1.5x without inorganic. So if India is growing at 7%, we can easily do 10% or 11%. Then let's not forget the fact that we have 5 years where we have the merger and acquisitions. You also know that many of the concessions are for renewal at the other ports before 2031. You should also keep that in mind, it's not a question of greenfield, but many of the concessions in our competitive ports will be available. So we will not disappoint you. That's what we say.



Koundinya Nimmagadda : Understood. Sir, if I may ask a smaller question, in the past, you did mention that a large part of domestic growth will only be organic. And we do understand that brownfield capex expansions, the capex intensity is usually lower. And I can also see that from 650 to 1 billion ton when you mentioned a significant part of that is also coming from technology upgradation.

So can you just help us tie this up with the ROCE growth part that you gave? Maybe if you can put some numbers like what is the current gross block to capacity and what is the incremental capex per gross block? Maybe if you can help us understand these details a bit better, please?

Krishna Menon: So Koundinya , as we have highlighted in our Ambition deck, essentially, we are looking at almost about 1 percentage point or 100 basis point increase in our ROCE every year all through the next 5-year time frame. Given how the business is structured, we do anticipate a significant chunk of that coming from domestic ports.

And to your earlier point, yes, a bulk of it will happen through organic, where the capex intensity is actually likely to be in our favour given, these are expansion of existing ports. In a scenario like this, you should ideally see a continuous increase in domestic ports ROCE going forward.

Just as what you have seen in this particular financial year, we expect to maintain the same trend going forward as well. So that's the trajectory t hat we anticipate will pan out over the next half decade.

Koundinya Nimmagadda : Sure. Thanks Rahul. Thanks for the opportunity, sir. I'll fall back in the queue .

Ashwani Gupta : Yes. No, thank you. I think this is also a comment for everyone. It's very important for us to give you our ambition for next 2031 but these are very perfect mathematics, because ever y business is built based on the hypothesis and hypothesis keeps on evolving. I mean, the importance for us is to adapt and align ourselves with the evolving hypothesis and the speed with which we adapt is the expertise of our APSEZ side.

So we have made an hypothesis, I think in January when we had in February before the war started, we never anticipated that this kind of business mix will change. We were talking about imported coal will be gone forever. But now imported coal is back. We c all out some other reason. So what I'm trying to say here is it's important to have a playground, but then we have to just adjust based on whether it is raining or it is a sunny day or it is something else.

Krishna Menon : And just to add to that, if

you look at the current base assets, we are about INR1 lakh crores against which we get a return on capital in third, about 23 %. What we are discussing is an accretion of INR 15,000 crores next year. And through this journey of 5 years, it's going to be another INR1 lakh crores. So coming to your point, therefore, if we do the decision at the right time in terms of capacity expansion and acquisition, we will still land the number. I hope that makes sen se.

Moderator: Thank you. Next question is from the line of Nikhil Nigania from Bernstein. Please go ahead.

Nikhil Nigania : My first question is on the point you mentioned on other ports seeing concession closing before 2031. Similarly, I mean, our largest port as well, concession is due at that time. So I wanted to check if there's some clarity on the modality on the extension of the concession agreements for ports in Gujarat or otherwise?

Ashwani Gupta : Yes. I think the talks are going on and the talks are positive. We have to just wait for the conclusion. You will come to know because before us Pipavav will be there.

Nikhil Nigania : Before us, Pipavav will be due, right? So in terms of timing, would you expect this year sometime we should have clarity?

Ashwani Gupta : We control the content of the discussion, but we don't control the timing. So we are actively engaged in the discussion, but we don't control the timing and the decision.

Nikhil Nigania : Understood, understood. So no view on that. The second question I had was on the domestic volumes. I understand your perspective on coal. And as you rightly said, I mean, we also expect coal to come back this year. But even on containers, if you could give us some clarity on why -- I mean, the growth has been a bit more modest even in Mundra for that part. Is it largely Middle East? Or what are the reasons for that?

Ashwani Gupta : See, first of all , you should see Morbi is all gone is zero because of LPG. So the scrap is zero from Middle East. The paper is zero. So the impact of Middle east is not zero. There is an impact. Then there is an indirect impact which means that 86, or I don't know, 85% or 90% of the Morbi closed.

So the export from India. And what is happening is, look at the freight cost. So one is the Middle East impact, which is not much, right? Which is I don't know We can't measure it. But it is definitely the impact which is scrap and the paper and limestone and other windows. But the more impact is the indirect impact. Like Morbi, there is also indirect impact on the exporters delaying their decision to export because of the high freight cost. So this has to reset someday, and this they cannot keep on delayi ng the delay.

Look at the inventories of the manufacturers. They are running at the minimum inventory because they have been pushing their decisions forward because they are waiting when these things will be gone away and the freight cost will be back to normal. So that 's why we want to see the quarter 1 and we want to see how it goes. And then that's why we have kept it very conservative for the next year.

Moderator: Thank you. We'll take our next question from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: I must congratulate on the exhaustive deck on the giving out lot of information. The question I had though was, if you could just clarify. Sorry, kind of a repetitive question. But 2026 to 2031, you're talking about touching billion tons of cargo. What kin d of capex we should work with? You spent INR15,000 crores in FY26, INR12,000 crores to INR14,000 crores is the guidance. But how do we see from a 5 -year?

Ashwani Gupta : Slide number 20 in the Ambition Plan 2031, you will find all the details. And then in subsequent slide, you will see which commodity and which port.





Krishna Menon : Achal, this is on Slide number 22 of our Ambition '31 deck.

Achal Lohade: I think it was mentioned for domestic, if I am not wrong, domestic capacity ?

Krishna Menon : Yes.

Ashwani Gupta : Yes, yes. We will...

Achal Lohade: I was looking more from the full -- I mean from a capex perspective at a consolidated level, how should we look at?

Krishna Menon : So Achal, that slide has the information at the consolidated level.

Achal Lohade: Okay. The second question I had was with respect to Marine margins. If you could clarify, is there any one -off out here? Are these new normal margins we should work with?

Ashwani Gupta : Yes. This is a business which is driven by the customer contracts. And definitely, we should not conclude this business depending on just one quarter. I think it is just a combination of renewal of the contracts and getting the new vessels in the fleet and the dry docking, which is the maintenance.

So there is nothing to worry about, especially with this situation in West Asia. We have absolutely no, there has been no force majeure, which we have seen. And as you would have seen that refineries are working, our vessels are there. So we don't anticipate. It's just a question of maybe February or March seasonality, which you would have seen.

Achal Lohade: So the annual margin is more sustainable margin. Is that what we should work with, sir?

Ashwani Gupta : Yes, yes.

Achal Lohade: Over the 40%, okay.

Ashwani Gupta : Yes, yes.

Achal Lohade: Second, just a quick clarification on the SEZ port development income, INR891 crores. If you could clarify what is this? How sustainable is this, and the Mundra port number in one of the slides, does that include this INR890 crores because the revenue number of INR2,700 crores looks actually pretty significant increase on a Y -o-Y basis or a Q-o -Q basis?

Rahul Agarwal : So, Achal, if you look at our investor deck, Page number 19, where we have given the port -wise breakdown, right? So there you have Mundra. Typically, SEZ is clubbed under that Mundra line. And we have carved it out this time around. So you can see the separate margin profile of the Mundra Port , right . So that's there on Page 19 of the investor deck.

The SEZ income, as you have seen in the past also, right, there is no set pattern to the SEZ income. It tends to be volatile. It really is a function of the underlying transaction activity that we have at our SEZ parcels. And this is what has happened this quarter. But it does not necessarily mean that the same Q4 volume will drop in the next quarter, right? So it has



historically been episodic and historically been transactional for us, and it will continue to be the same going forward. So I am not sure extrapolating Q4 will be the best idea.

Moderator: Next question is from line of Luke from Pictet Asset Management Limited.

Luke: Congratulations to Ashwani and also please send my regards to an old colleague, not of mine , but yours is Robbi e as well. I've been following your shares for more than 10 years. So, well done on improvement. Can I just ask something very specific, I'm on the debt slide, I will declare that. Thank you for optimizing our capital structure. Now, I see that in the report , the main report, the net debt EBITDA is down to 1.8 or 1.9, depending how you put the numbers. Agree with that. Are you then looking to optimize it further? Because I'm thinking that, what would be that's the first question. But it's the same similar question because your answer might encompass what do you think is an optimal structure right now of debt? And now tha t you bought back a bit here and there, you've got some small lines in the front. And if you want to do something in the market in the future ? Just another two questio

ns.

Ashwani Gupta: Yes, thank you very much. And if you please see our Slide in Ambition 2031. We have tried to answer that question. Slide number 36. So first objective for us is to invest in the organic capex , which is between 60% to 70% of our annual operating cash. Slide 26, sorry. I have a different version. 60% to 70%. So that's what we have done. We have found the opportunity.

So that's why we have accelerated the capex, and we have to know capex has got two things, number 1 is money but second is the people who will execute the project. And we are lucky to have a great team who executes the project like Vizhinjam, Mundra and so on. So that's our first priority.

The second priority is the strategic M&A which brings the top line growth and the bottom line growth. Now I let Krishna to speak on this, but to keep net debt to EBITDA is our first objective before we start talking about growth step because we want to use net debt to EBITDA ratio to push our profitable growth. Reducing the gross debt, you would have seen that we have been doing it systematically, but this is after we go through the allocation for the profitable growth. You would have seen that we have done the dollar buyback because you would have seen that the exchange rate impact is on one side positive for the revenue but not positive for the gross debt. So that's why we want to keep a balance between mid to long term and slowly and slowly, we will of course optimizing the mix of our debt , right? So maybe Krishna.

Krishna Menon: So just to build on what Ashwani said. So very specifically, it is capacity expansion in our existing assets. Second thing is acquisitions and therefore any strategic M&A. And from a guidance perspective, we stay with 2.5x. And while we do that, we will al so continue to look for options where we can optimize the debt and the cost profile. Like Ashwa ni shared, we did a bond buyback, which we concluded in the month of March, about 199 million, previous year about 100 million. So we will look for opportunities both ways, but we will hold our guidance. So which means 2.5, we will hold it better than that. That's our plan for the next 5 years.



Ashwani Gupta: At the same time, it should give us benefit in terms of financial cost, right? So if today somebody asked me to buy back bonds, I will not go back even if I have rupee cash with me because I may not get the same piece because of the West Asia prices. So it 's not that I decide, because I have decided I will do the dollar buyback, so I will do it.

I will see the market situation, I will see how much rupee I can put it in front of dollar buyback, how much yield, how much premium. You saw in February, which we did the buyback, 50% of our bond buyers kept with them because they believe that APSEZ will do much better than today's ease. So it's in our roadmap. I think you talked about Robbie. So we have a capital management plan as a playground, but we keep on fine -tuning it.

Moderator: We'll take our next question from the line of Parash Jain from HSBC.

Parash Jain: I have 2 questions. Maybe first is a follow -on from the previous gentlemen. If you can help us understand, I mean, is the 2.5x target, is it a ceiling? Or is it something that you aspire to be to like optimally to gear your balance sheet? And in that conte xt, over the next 5 years span, is the buyback will be one of the tools that you will use to lever your balance sheet?

And secondly, with what we have seen with respect to currency depreciation and Indian and U.S. treasury spreads narrowing, how do you see by the end of this decade, your debt mix in terms of currency exposure will look like ? And then I'll ask the second question after that.

Ashwani Gupta: That's great. The point is we will keep on optimizing and redefining our P&L in a more healthy way the worl

d is evolving. Having said that, our priority will not change. Our priority number 1 is to invest in the capacity expansion and creating new capacities. Our priority for strategic M&A.

And last, but not the least, we do believe in creation of wealth in mid to long term for our shareholders. So that's why for us, return on capital employed is much more important than a short -term benefit. That's why buyback would be the last option, but I don't think we will talk about it, because we do see a lot of opportunities in front of us which we can ma ximize and execute.

Krishna Menon: And just to add to that 2.5x is our guidance. That's the framework that we work with, and that's the best way we feel we can optimize in this journey. I hope that just answers your question.

Parash Jain: Yes. I mean, I just wanted to get the feel that 2.5x like is something up to which you are comfortable, or you will actively work to lever your balance sheet. But I hear what has to be decided.

Krishna Menon: Let me rephrase the answer. See, 2.5x is the ceiling but even if I go 3, with the quality respect has said, I will not have any issue with the rating agency.

Parash Jain: Absolutely.

Krishna Menon: Our business is so healthy. I mean 2.5 is just the ceiling which we have put. But for example, if tomorrow I get a $9 billion merger and acquisition I will go for it, because it will change the



game of APSEZ. But then maybe the net debt to EBITDA like it go to 3.2,3.3 for 2, 3 days it's fine as far as I have means to fund it and I have means to provide return on the acquisition, which I'm doing.

So today I would say, we finished with 1.9, but if you see the next year, if we don't visit capex, we will go 1.3. So imagine with the gap between 2.5 and 1.3 is 1.2 -- so I can go easily for a billion dollar of how many acquisitions. So 2.5 is just the ceiling but it may change, that's what I wanted to share with you.

Parash Jain: And in terms of currency exposure with respect to your debt, are you trying to drive more towards INR versus dollar or are you happy with the current exposure?

Krishna Menon: See, we don't have any issues with that, to be honest with you because we have a natural hedge, we take the low matrix see if it gets consolidated, we give it below in our subsidiaries at the end when we consolidate it gets knocked off. But also then we ge t benefit of the revenue.

Having said that, I think if we are getting a better finance in Indian rupee in a longer term, as we did with the local institutions last year, definitely, we would like to replace it step by step, but we are not in hurry. At the end it should bring a bett er financial cost. That is what we want to emphasize.

Parash Jain: Okay. That's very, very clear. And my second question is that, if you can let us know your thinking, how should we think about underlying operating leverage in your businesses? Because when you look at your 5- year target, it seems like probably logistics b usiness will grow much faster. And that's why on a headline number, the operating leverage is not very visible. So if you can talk about that?

And how should we think about yield given the more that your businesses have, given the currency depreciation is it mid -single digit yield improvement on an underlying basis is a reasonable number? What has been there or what has been the track record over the past few years on an underlying basis, if you can just share some colour ?

Ashwani Gupta: So, I think so very good question, thank you so much. As you have seen last 5 years, right? I'm saying very broad. I'm not giving you the accounting statistics. But cost per ton for us is almost flat. And revenue for that is increasing, you can include the rupee depreciation in it and the difference you will see that it our pricing power and the services we are providi

ng in addition to
the only handling charges.
So there are three factors in revenue per ton increasing, number one they're adding services, number two the exchange rate and the number three is pricing, exchange rate and there's one more thing. I will come back over this there's three things which are improving the revenue per ton and cost per ton is almost flat. When I say almost flat, I'm talking about absolute inflation, right? So this is all offset by productivity. And our target is to keep e xactly flat for the next 5 to 6 years. How will we do that ? By investing in the automation.
So if Vizhinjam is doing 40 the automated trains is doing 30 moves per hour, Mundra is doing 26 to 27 per hour. We will keep on improving the productivity if my -- I have diesel trucks, I


have GSUs which are diesel replace it by electric they are 24/7 put it by charging stations at our port. As you know, within 1.5 year, 100% of our ports will be by reserve energy, if we make our own reserve energy, our reserve energy is competitive.
So there are a lot of things which we have planned to keep our cost per ton flat and keep on increasing the revenue per ton. And that's why we are saying that we are very comfortable even with the inflation that we will keep 70% and above the EBITDA margin and the end goal is to give better return on capital. That we can only do that, if we have a healthy operational margin supported by utilization of the fixed assets.
Moderator: Next question is from the line of Sumit Kishore from Axis Capital.
Sumit Kishore: I will add my compliments to the long list already. I have a couple of questions. The first one, is that it's been over 3 weeks since the cease fire announcement, but the vessel crossovers in the state of Hormuz are still constrained. If we can crystal bal l gaze here -- I believe that, if the situation remains, like this for perhaps another month or two.
What would the high charter rates for SM container volumes or the crude and LNG volumes that are going through that Strait? And what has been your experience in April? And how does this graduate if we have another few weeks of this disruption? That's the fi rst question.
Ashwani Gupta: I think I am on Twitter, so I look at Twitter to know what will happen in next 1 hour. So I can't say, what will happen. But what we are doing at our end is to make sure that we have adaptability and flexibility. I think what India has seen is absolutely no impact on the crude. There is a coastal shipment, which is coming on the crude, there is now this new route which is open so crude will continue to grow, continue to grow or continue to be supplied.
LPG is something which is a question, LPG will soon slowly will be replaced by PNG and the electricity. Electricity is again coal. So I would say that imported coal or coastal coal everything will be replacing in terms of cargo drop in LPG. Anyhow LNG for us was still 6 to 7 metric ton out of 500. It doesn't change our needle whether LNG is zero or LNG is double.
And then I would say, definitely the impact which I would say on the commodities like scrap which comes to Nhava Sheva and Nhava Sheva to Tumb so that's why you would have seen in the month of March, we had a drop in Tumb. That was mainly because of scrap and petrol, which is imported. These are the commodities, which are not, to be honest, sorry for that. These are not very strategic mid - to long -term businesses, right? They are very seasonal like iron ore. So we must not be dependent on that. So that's why we have opened up the new businesses.
You would have seen that typically iron ore is growing, which has the reach impact of these commodities because we have more industrial goods. So I think slowly and slowly, we have to adjust to the new normal and let's not keep waiting that situation will be better tomorrow. That's what

I can say today.
Sumit Kishore: And every container volume will also find another route longer route and ultimately, the volumes will stabilize.


Ashwani Gupta: And this is what is happening even today also. So that's why the freight cost has increased because they're not following the normal route or they have more waiting time or they have something else or they have a shorter route. Shorter route vessels, but m ore vessels. So definitely, our efficiency is getting impacted, but that's life, that just our life is the new normal.
Sumit Kishore: Very clear. The second question is on cash flow from operations. I couldn't find any comment in the presentation or the press release. So I think you are targeting around $180 billion plus.
Now we have done our EBITDA of about $228 billion plus, how has this year's growth behaved and with the growth numbers that we are seeing or which we are targeting for the next financial year, does that follow suit in terms of the CFO? The EBITDA to CFO conversion.
Krishna Menon: So if you see almost 85%, 90% of our cash flow comes through from EBITDA. So I think that

won't change. That profile remains the same and it will continue.
Sumit Kishore: Okay. So this time around also in the full financial year, it would have been 85% of the EBITDA number.
Krishna Menon: Absolutely.
Ashwani Gupta: We have INR 20,300 crores , Sumit, this year.
Krishna Menon: Yes.
Sumit Kishore: INR20,300 crores .
Krishna Menon: Right number. Others will also see. So it’s on – so if you look at -- we have it on FY '26. So Slide 22, the ambition plan has the --has that information.
Sumit Kishore: Okay, okay. Just one clarification now that.
Ashwani Gupta: We made it very simple so that you don't have to go through our line by line P&L. So you can see the transition from revenue till it ends.
Sumit Kishore: Perfect. Just one clarification I mean because the trial runs have happened and now at both J NPT both upstream and downstream for the DFC, so what is holding back the final commissioning or in case you have any sense now ?
Ashwani Gupta: I'm not the spokesperson . But only thing I know that it has not started. And even if it starts, as CONCOR MD Mr. Sanjay Swarup has said officially last time, in the Analyst call, that still they have two choking points. So let's see that when and how it will be effective. Or even if it is effective the catchment area of JNPT and catchment area of ours are totally different.
Second, we still have the advantage of two slabs on the rail cost. So definitely, I think JNPT, I think JNPT connected with DFT will improve the delivery to their customers, but we will have no impact on all of this, that's what we said last time.
Sumit Kishore: Very clear, thank you and wish you all the very best.


Moderator: Next question is from the line of from Ketan Jain from Avendus.
Ketan Jain: First question is are our ports in Mundra and Vizhinjam benefitting from realignment from shipping line services due to the West Asia conflict -- and if yes, then by how much?
Ashwani Gupta: So we cannot -- it's difficult to quantify it but for sure they are getting benefitted, but at least Mundra is getting benefited but Mundra is also getting impacted. But also Vizhinjam is getting benefited in terms of volume that's why we are accelerating the Vizhinjam space too, and soon we will also start working on the exit cargo from Vizhinjam because there's a huge potential in the catchment area for Vizhinjam for exit.
You already have approval for the main connection and the highway connection I don't know how many years it will take, but at least there are approvals. So there's a huge potential, so we are accelerating the investment in Vizhinjam for phase II and Col

ombo. So these two will really be great. Mundra, it is a bit complex because it's a mix of everything, so Mundra is benefiting but Mundra is also impacted.
Ketan Jain: Understood. So Mundra continues to grow at around 4% and JNPT at 12% so as you mentioned the primary reason is because of Mormugao?
Ashwani Gupta: See, I will give you -- see I don't want to be optimistic. Let me tell you and I think it's very important to understand how the JNPT works right? They have the capacity the capacity more than they require. We have the capacity what we require. Now what happens? After this disturbance, more than 90% of the vessels are coming out of the window. I will try to be flexible. I will try to be adaptable, but they have a empty playground -- and with the warm welcome they are accepting every vessel. S o definitely, they will have a better advantage in terms of that.
So now the question is growing at what cost and what profit, I think that is also the second question which we should ask. And as I said before, we are waiting for our CT5 to be open. But again, we will do only the meaningful cargo, which is bringing high realization, of course we can do this service which we are doing because that is for the country. But at the end, I would say that in addition to the percentage growth of volume, it's also important to see what is the realization, what is the margin each p ort is creating.
Ketan Jain: Understood, understood . That answers the question. In our international volume of around 22 million tons, how much is NQX T contributed in this?
Rahul Agarwal : Roughly about 11 million tons.
Ashwani Gupta: 11 million.
Ketan Jain: 11, and also sir, also if you could split the rest in Colombo, Haifa and Tanzania how much volume.
Ashwani Gupta: Maximum growth is coming from Tanzania -- from Colombo.

Rahul Agarwal : So Tanzania roughly about 1 go 1.1 MMT a month. Israel is running a number of about between 0.7 to 0.9 a month. And Colombo does about 120,000 to 125,000 TEUs a month. That's the rate at this point.
Ketan Jain: Sir, if you can give us the number for the fourth quarter. You shared this in the last quarter as well?
Rahul Agarwal : 11 nowadays your NQX T you will have a little over your 3 million coming from Tanzania, approximately 2.5 to 2.6 coming from Israel and the balance is Colombo.
Ketan Jain: Understood. Just a last question on the ROC E of logistics. What would be the capital employed in logistics for this ROC E?
Rahul Agarwal : Sorry, you're asking for.
Ketan Jain : Logistics capital employed in the next 5 years. As in the current capital employed, the current...
Rahul Agarwal : Current, okay, close to 6000 output.
Moderator: We'll take our next question from the line of from Pulkit Patni from Goldman Sachs.
Pulkit Patni : Sir, my first question is in your estimation of the 850 million domestic cargo, what is the rough estimate on what you will be doing in terms of coastal shipping by then? If you could share any breakdown there?
Ashwani Gupta : Yes. I mean it's difficult to estimate because as I said before, all of a sudden, we have growth in imported coal and coastal. But today, I would say that all India coastal is increasing roughly at 5% when EXIM went down by 3.5%. So if I look at the energy growth, I would say that still coal will keep on increasing between 6% to 7%.
Pulkit Patni : Okay. That's useful, sir. Sir, my second question is, over the next 5 years, we are estimating about \$1.2 billion, \$1.3 billion of capex in marine. Again, if you could outline what is the medium -term plan there? Are we looking at doing more in other countries globally? Like just some thought process on how we look at our marine business outside of what we are doing for our captive usage.
Rahul Agarwal : Pulkit, I'll just clarify one point before Ashwani responds. Our

marine business or our marine vertical does not include the captive ports, okay? The ports, the trucks that work in our own ports for customers are consolidated under domestic ports. Marine i s entirely a third -party business for us. So all vessels under marine verticals are deployed exclusively for third- party customers. So just one quick hygiene point.
Ashwani Gupta : So, I think building on that, this is what we did. Now we finished roughly 8% of our business, which is marine now in terms of revenue roughly. And this is a consequence of the strategy which we did. In India, we have 77% market share on the near terms -- then we acquired Astro with more than 20 vessels at that time.





Those vessels are offshore tugs -- sorry, offshore vessels used as anchor handlers, barges, but mainly the work boats. Work boats have an advantage of having mid- to long -term customer contracts, but also not as much cyclic to the trade as compared to the shipping business, right? So very sustainable, robust, consistent business, right?
Because if our offshore vessel is deployed in oil and gas refinery in Abu Dhabi, it has a mid- to long-term contract, nothing to do with the shipping trade going up, going down, right? So that is the reason we got into the offshore business. Now when we brought Astro, we have more than 20 vessels we have more than 50 vessels.
We have Middle East, we have North Africa, we have West Africa, and now we are getting into Europe. So very soon you will hear that our vessels are deployed in Europe which means learning from West Asia crisis. We are redefining our offshore marine strateg y to also include the Mediterranean sea in our offshore vessel deployment. And this is part of corporate risk management.
Pulkit Patni : Sure, sir. Sir, since you've got like the business is significantly larger now, and obviously, there's already so much disclosure, but would love to get more colour on our marine plans and how the revenue profile there moves. So my last question is again on c apex for others. We're looking at INR6,000 crores to INR8,000 crores in technology decarbonization and others, which also is pretty significant. Any, again, rough cut breakdown of what this would entail like in terms of decarbonization and other capex, what exactly are we looking at over the next 5 years?
Rahul Agarwal : Pulkit, it's a combination of multiple items. So let's say, as you know, we have a public commitment for net zero 2040 and we recently signed up for TNF as a biodiversity reporting framework. where we have a guidance for 2050 net positive biodiversity. So th ese initiatives typically entail capex, which is in the nature of higher renewable and electricity.
It could be in the nature of higher sequestration activity, more plantation roads, et cetera. It will also typically entail active reduction of our emission footprint, which means that we will have substantially higher volume of battery-operated trucks within our premises. We will have a very

large part of our equipment running on electricity as opposed to diesel and things like that, right? So all of that is going to contribute to -- significantly to the decarbonization plan and the biodiversity plan that we have over the next half a decade or so. In addition technology is an ongoing initiative you have seen various agenda items like strategic command centre that we demonstrated at our last Investor Day.

And on the same line, there are multiple number of internal initiatives that are being taken from a technology standpoint to be able to step up efficiency level, right? So that's also going to be a very significant component. But it's a healthy mix between tech upgrades, new technology adoption, AI adoption and the fairly extensive decarbonization plans that we have.

Ashwani Gupta : So sustainability is at our core, right, core

of the business. And sustainability for us is not cost plus. It's not regulation, it's not compliance, it's not disclosure. If you look at Slide number 31 of

our Ambition 2031, you will see all the investments which we are doing in sustainability, that's



got our economical benefit, so if I am investing in the electrical trucks in Mundra that is not only for environment that is not only for ESG.

It is bringing me economical benefit that's why I am investing and also in addition it is contributing to the environment. The second, if I'm investing on the automation, it is bringing a better productivity of the train, better productivity of the yard, better productivity of blah, blah, blah. At the end it is bringing.

So for me, technology is not a future lift of equipment. Technology for me is a technology which brings the economical benefit, not only the decarbonization but also the green port revenues, we know that as per maritime world regulation in globally, contai ner vessels will have to adapt to the alternative shape.

Now in India do we have the facility for the shore power for example. And we are now making the provisions for the shore power because we know after 2.5 years, international vessels will come to Mundra they will need the shore power and that will become our competitiveness as

compared to our competition.

Now why we will be cooperative A is because we are thinking and investing in advance, and B our shore power will be powered by the renewed energy which is affordable than the positive energy and therefore it will bring the economical benefit. So for us investment in decarbonization and technology is to bring better productivity and to create new revenue opportunities.

Pulkit Patni : So can I take the liberty of asking one last question? There was news flow around the group possibly looking at shipbuilding opportunity. If anything happens there on Mundra, is it fair to assume it will happen under Adani Ports in our case or would it be a separate?

Ashwani Gupta : You ask us shipbuilding, and then in next quarter, you will ask me what is the return on capital employed. What I will answer you, man?

Pulkit Patni : No, sir, every business requires seeding time, so we would not ask you that initially. I just want to understand?

Ashwani Gupta : , I don't think that's our competency. Our competency is to build the infrastructure ecosystem and to run it efficiently and effectively that's our competency. Our competency is not shipbuilding. If a company comes and wants to build a ship at our Mundra port we have the easy approval, we will give it. We are helpful because it is good for country. But do we really want to ourselves get into the shipbuilding I don't think so, that's not our competency.

Moderator: Next question is from the line of Vivek from Emkay Global.

Vivek: Congratulations on a good set of results. I just have a couple of questions on the resumption of Tata Power's operations. So with respect to that, what can we expect in terms of volume growth at the Mundra plant?

Ashwani Gupta : Where are you located Bombay?

Vivek: Yes.



Ashwani Gupta : Yes, so you see the heat, right? They have to run at peak capacity. They have to run at maximum capacity. And I don't think -- I think we have a weaker monsoon this year. So last year, we faced the issue because there was a delayed monsoon. There was a heavy monsoon and there was excessive renewable energy available because of hydro.

If you remember, we had that discussion. But this year, I think we have this West Asia crisis where LPG is replaced -- trying to be replaced by electricity. Then, we have this peak summer, and we also have a weaker monsoon. So we must have a tailwind over there. I don't know how much, but Tata Po wer ha

s been asked to run full fledge.
Vivek: Sure. So just to understand in terms of volumes, like what percentage of volumes from Tata Power can we expect to flow through our ports?
Rahul Agarwal : So Vivek, look, in our previous transcripts, we have identified the volume loss that we've had in FY '26 on account of CGPL. So you might just want to refer to that. I would refrain from commenting on a specific volume from one particular customer on this call. But in the past, we have given references to the volume losses that we've had in coal in Mundra on this account.
Vivek: Secondly, in terms of Vizhinjam expansion, so what we see is we have a plan in place to expand the capacity from 1.6 million TEUs to 5.7 million by FY '29. Will we expect the expanded capacity to be operational on a staggered basis? Or will it be all at on ce as of FY '29?
Ashwani Gupta : Step by step. We call it Phase 2, but even inside Phase 2, we have 4 steps. But don't ask when we can't do -- we can't disclose the detailed master schedule to the external world but that's our competitiveness.
Moderator: Next question is from the line of Nidhi Shah from ICICI Securities please go ahead.
Nidhi Shah: I wanted to ask what was the volume revenue EBITDA for the NQXT terminal that was recently added in our console?
Rahul Agarwal : So we have not separately disclosed that. But I suggest you please take a look at the presentation we uploaded when we made the announcement last year in April that has the detailed financials of Australia. So that will give you a good sense of what number s have populated into this particular quarter.
Nidhi Shah: And secondly, in Mundra, you mentioned earlier in the year because of Tata, we had faced that issue. But specifically this quarter as well, we are seeing that coal at Mundra is slightly lower and all across the board as well. So do we expect this to resolve in Q1? Or do you think this will take some more time for the volumes to come back up?
Ashwani Gupta : Where you are seeing, April is not yet finished.
Krishna Menon : Sorry, we did not completely get your question. If you can just repeat.
Nidhi Shah: So in the Annexure for this -- for Q4 presentation, it is mentioned that the coal in port, basically the coal at Mundra is lower than Q4 FY '25, significantly lower. So -- and coal volumes across



all ports in Q4 FY '26 have been lower than the base year. So do we expect that the coal volumes will come up in Q1.
Ashwani Gupta : Sorry, your question is great. I think Rahul will make a separate call with you because I don't think we should look at coal as a coal. You have 3 kinds of coal. You have coking coal where we have increased more than 7.5% then we have the coastal coal where we have increased 5.1%. And obviously, there is imported coal, which is reduced, but that is in line with the country's strategic direction. So I think please have offline discussion with Rahul, we will give you all the data. But at the end, coal is increasing. The coal which is increasing is in the strategic direction of the country, which is more coastal coal and coking coal because to suppor t the steel production.
Nidhi Shah: And lastly, logistics volumes are not up significantly, but we are seeing that the EBITDA and the revenue per ton on that is growing significantly. So what is the strategy behind that?
Ashwani Gupta : That strategy is very simple. We wanted to demonstrate that we can give you double -digit return on capital employed. So we adjusted our business mix to give you maximum return and build the confidence in you and now we will push the volume.
Nidhi Shah: All right. Thank you so much.
Moderator: Thank you. That was the last question, sir. Over to you for closing comments.
Rahul Agarwal : Yes. So we'll just take one, Rajarshi . So moderator, if you can just allow Rajarshi . He h

as one
last question and then he will close.
Moderator: Sure. Rajarshi please go ahead.
Rajarshi: Yes. Thank you for this opportunity. So my question is, so if I see your India port EBITDA performance, that's a good growth of about 10%, whereas volumes have been kind of flat on India port volumes. So is that because a part of your revenue is in dollars and you are getting a currency benef it here? Or the other way to think of it, if we didn't have this currency movement, what would your EBITDA per ton improvement have been in this quarter?
Krishna Menon : So Rajarshi, you're right in that the realization is ahead of -- the revenue growth is ahead of the volume growth emulation is correct. It's not just currency right. There's a combination of factors. It includes currency. There is also the component of the pricing changes that we take when permits gets revised and it is also a function of product mix.
Container being the fastest growing commodity and marine growing alongside it because these

are dollar -linked cargoes naturally benefit us, as the rupee depreciates vis -a-vis the dollar, right?
So these are -- it's not just one item, but it's a combination of all of these 3 that is working to our advantage in this particular.
Rajarshi: So how much of your revenue a broad number is in dollars? Is it like 30%, 20%? How much would be in dollars?


Rahul Agarwal : So if you look at our cargo, roughly about 40%, 45% of our cargo is containers. So that's dollar - linked and our harbour income is dollar linked. Adani harbour income is dollar -linked.
Moderator: Thank you, any closing comments, sir?
Ashwani Gupta : No, I think, first of all, I really want to say thank you for your continued confidence in APSEZ.
I want to thank you for very thoughtful questions and the feedback and the advices, which help us in improving quarter -on-quarter in terms of our communicatio n, in terms of our engagement, in terms of our disclosure. That has helped us in preparing this very comprehensive, very detailed and very simple ambition 2031.
Though we see uncertainties. But as I said before, our fundamentals are in place, and our strength, which is scale, but and which is integrated, right, makes us different than others. whether it is port or logistics or marine, even the port across 11,000 kilometres , even the 12 ICDs, trucking, rail, warehousing, everything is integrated.
So we have that advantage of having scale plus integration. And scale plus integration is run by capability and the capacity to run it in the most efficient way, and that is demonstrated in our very strong top line and bottom line growth. And this all is coupled with the India growth story and as well as the international growth story, which is coming from IMEC and China Plus One and so on and so on.
So with that story in mind, we keep the target of growing at CAGR of 18% to 19%. In good time like last year, we could grow up to 25%, but still we want to keep our foot on the ground and keep delivering between 18% to 19% CAGR, moving forward for next 5 years. And every quarter, we meet and we demonstrate that our execution of the str ategy is working in the perfect way. So thank you once again, and look forward to see you next time.
Moderator: Thank you. On behalf of JM Financial Institution Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

"Adani Ports and Special Economic Zone Limited
Q4 FY '26 Conference Call "
April 30, 2026

MANAGEMENT : MR. ASHWANI GUPTA – CHIEF EXECUTIVE OFFICER & WHOLE -TIME DIRECTOR
MR. KRISHNA MENON – CHIEF FINANCIAL OFFICER
MR. PRANAV CHOUDHARY – HEAD PORTS
MR. DIVIJ TANEJA -- HEAD LOGISTICS
MR. RAHUL AGARWAL -- HEAD INVESTOR RELATIONS AND ESG

MODERATOR : MR. PRIYANKAR BISWAS – JM FINANCIAL INSTITUTIONAL SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Adani Ports Limited Q4 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference



call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Priyankar Biswas from JM Financial Institutional Securities. Thank you, and over to you.
Priyankar Biswas: Thank you. So, good evening, ladies and gentlemen. We have the management of Adani Ports and SEZ represented by Mr. Ashwani Gupta , Whole -Time Director and CEO; Mr. Krishna Menon, the CFO; Pranav Choudhary, Head of Ports; Divij Taneja, Head of Logistics; and Mr. Rahul Agarwal , the Head of Investor Relations and ESG.
So, we are here to discuss the 4Q as well as FY '26 results and the outlook going ahead. So, without any ado, I will hand ov er to Mr. Rahul Agarwal , the Head of Investor Relations and ESG. So over to you, Rahul.
Rahul Agarwal: Thank you, Priyankar. Good evening, and hello, and welcome, everyone, to APSEZ's fourth quarter earnings call. We will begin with Mr. Ashwani Gupta: 's opening remarks and then open the floor for Q&A.
Ashwani Gupta: Thank you. Good morning, good afternoon, good evening, everyone. Thank you for giving this opportunity to us to share with you our financial announcement. To start with, we said 500 million metric tons, and we delivered it, as we said. Obviously, this is not an operational statistic. It marks an India's infrastructure moment.
Now coming to the financial announcement. Once again, we have exceeded the guidance. APSEZ outperformed the upper end of revenue, EBITDA and capex , while closing with net debt to EBITDA at 1.9x and return on capital employed of 16%, another evidence of our healthy business growth with financial discipline. FY '26 revenue grew by 25%, EBITDA grew by 20% and PAT grew by 16%.
During the year, we faced challenges and disruption, starting with Operation Sindoor, various geopolitical issues and West Asia crisis. Still, we delivered serving the nation by handling LPG vessels, managing transshipment overflow from Middle East, providing free storage to containers and helping the country to continue with the trade. Despite that, we overdelivered what we promised.
Every year, we set a guidance and every year, we exceeded. This is not by luck. This is integrated in our culture. Domestic ports handled 451 million metric tons. Revenue and EBITDA grew by

13% and 14%, respectively, and the market share at 27.1%. The return on capital employed increased to 23% from 21%.
The international ports revenue grew 34% and EBITDA increased 180%, led by ramp- up at CWIT Colombo terminal and completion of NQXT Australia acquisition. But in the annual announcements, we counted only the quarter 4 of the Australia.
The second business, Logistics revenue grew by 55% in FY '26. The return on capital employed increased to 10% from 6%. So in our Ambition 2030 plan, we said that we will take 3 to 4 years


to bring the return on capital employed on Logistics to double digit, but I think in FY '26 itself, we hit 10%. And this was possible with the strong momentum in asset light and asset zero services, along with the utilization of the asset heavy, which are mainly the ICDs.
The Marine revenue, which is the third business pillar, revenue and EBITDA increased by 134% and 125%. It was led by highest ever fleet of 136 vessels. So, I would really like to say, thank you for keeping the confidence in APSEZ and having this support. So, we look forward to hear from you, feedback, questions, and thank you. Thank you very much.
Rahul Agarwal: Thank you, Ashwani. We will now open the floor for questions.
Moderator: Yes. Thank you very much. We will now begin the question-and -answer session . We'll take our first question from the line of Alok Deora from Motilal Oswal.
Alok De

ora : Congratulations on a decent set of numbers. So, first question was on the performance. I mean, if I look at the absolute numbers, you have still done pretty okay, but the margins have come off. So, I mean, we are -- typically, we see 59% to 60% sort of EBITDA margins. Now it's come at around 56%. So, is it like a one -off there? Or if you could just elaborate on that?
Ashwani Gupta: I think -- thank you for that question. When we talk about margins, you always have a seasonality. But the fundamentals are there, and we are delivering the fundamentals that as you saw that overall port margins remain consistent.
Now, you may see a drop in the individual ports. But if you look at -- I, think you will have more time to go into the details. But if you look at, they are mainly the cargoes where we have the dry cargo. And you may see a little bit drop in Gangavaram, you may see a drop in Hazira, you may see a drop in Dhamra, but you may see a drop in Krishnapatnam.
So, this is the combination of -- on one side, we are investing on the expansions, like in Gangavaram port to capture the agriculture cargo, which we believe -- fertilizer and agriculture cargo. We are building warehouse s . So, I think there is a -- because of all these disturbances, which we have seen, we have seen the change in the business mix. And to adapt to the business mix, we have to reschedule our operational processes.
Of course, it takes time. For example, as I said before, you would have read in our public advisory that we gave the extended free storage for the containers in Mundra. We used 100 acres of land extra to keep the containers because this is for the country. This is for the community. This is for the world.
So, if I'm giving a free storage to a shipping line, they are bringing the containers, which they could not -- cannot take it to Middle East, because of the crisis. They are keeping 100 containers with us, but then they want to take 20 containers back because the 20 containers have got necessities, food and so on, which are only allowed to be be rth in the Middle East. So, we have to see that we exist to serve the community, to serve the nation, to serve the maritime industry.
So definitely, this has impact ed.


But as you know, these are all short term and our fundamentals are still there, and that's why you would have seen that overall port margins exist and continuing where we didn't have these kind of disruptions like international ones, Colombo and so on, you would have seen that we have delivered a significant improvement in the EBITDA margins.
But yes, in the dry cargo ports, because we are resetting the operational processes, the imported coal was less. So, we shifted to coastal coal. So definitely, we are talking about aligning the processes. So, this is what I can say.
But yes, there are four ports where you will see a drop in the margin, but you will also see many ports where we have increased the margin. But at the end, what we want to deliver is return on capital employed, right? That's what is the indicator which our shareholders, our inve stors are looking for. If you look at overall return on capital employed on the domestic ports, we have delivered 2% more which is 23%.
Alok Deora : Sure. So just on return on capital, I mean, in the Logistics business, actually, it has shot up quite a lot in FY '26 from 6% to 10%. So just some colour on that. And in your guidance of FY '31,

your revenue in Logistics is growing by a whopping 34% and EBITDA is growing by 27%.
So that means, there will be some sort of a margin consolidation there. So when the size is becoming almost a INR20,000 crore s Logistics business by FY '31, would the margins be slightly higher than the current levels or it would be -- there will be some sort of consolidation there? Just if you could highlight on th

at.
Ashwani Gupta: I think, the result of 10% is not by luck. I mean, we have a strategy. I think 1.5 years before, we explained the strategy of a combination of addressing this business by asset heavy, asset light and asset zero. And this is what we delivered. Obviously, if you look at the mix -- you will see that the mix of asset zero and asset light has increased as compared to asset heavy because we are doing really well on our freight forwarding business, on our trucking business. So definitely, that has g iven a boost.
But once again, on one side, we have to see independent businesses, because that's where I think we are transparent in sharing with you each and everything. But on the other side, we have to do -- we have to also see that freight forwarding business at the end, brings the volume to the asset heavy business. So both are interlinked and both are complementary to each other.
Now moving forward, once again, our objective is to give you 20% return on capital employed as APSEZ level. Now how the business mix will change, how we will move forward, we wanted to give you a hypothesis so that you have in your mind. But for sure, when we talk about the Logistics business, and there is no surprise in it, that EBITDA which we earn is not in direct proportion with the revenue. And as a consequence, there is a business mix impact.
Having said that, what is important for us is to give absolute amount of growth and the return on capital. So that's why FY '31 and we launched this plan in 2024. We delivered in 2024. We delivered in 2025. We delivered in 2026. Now it was right time for us to give you 1 year more, but with a better forecast.


So, if you look at our deck, which we have uploaded already Ambition 2031, we have taken all the feedback you guys have given to me in last 2 years, especially the capital allocation. We have said very clearly what is domestic ports, what is international por ts.
In Logistics also, we have reestimated our assumption. We have given you the allocation for the Marine, and we have also given the allocation for the decarbonization and the technology, which is driving our efficiency and the productivity moving forward. Y ou may see other things also, but I think we can discuss it after you have gone through it in one -on-one calls.
But to answer to your question, our commitment, our promise is to deliver twice the growth in 5 years with a 20% return on capital at consolidated level. But then, of course, domestic ports are really doing well, touchwood and it will do well. And internat ional ports have picked up, and Logistics and Marine will be the booster to contribute to the APSEZ overall growth.
Alok Deora : Sure. Just one last question, if I can. So you have given a very detailed breakup on the capacity addition of December 2030 where capacity goes from 653 million to 1 billion ton, right?
Ashwani Gupta: Yes.
Alok Deora : Now we have given a guidance of 1 billion ton of cargo volume handled, which includes 850 million tons of domestic. Now, if we do the math, then out of the 1 billion capacity, is it really possible to kind of handle 850 million tons because typically, the utilization stands at around 80% or so and plus entire capacity might not be fully functional during this -- during 2030. Some of it might come near the end of that period. So just any guidance on the volume, if any changes there or -- yes, please.
Ashwani Gupta: You're right. At first, we have to know that when we do the theoretical capacity planning, we always consider 20%, right? Always capacity planning is done at 80%. So if I'm saying that, I have 1 billion, you can see it is at 80% of the total capacity. And then you would have seen another thing, which is the last -- is we are investing in technology to improve the efficiency.
So, you may be wondering why in 1 month

, Mundra is doing 770,000. If you try to calculate the capacity what we have in Mundra and what we are delivering, which is 770,000 in a given month, you will hit 94% utilization.
Alok Deora : But within that 1 b illion, you would be able to handle 850. The volume guidance does not change.
Ashwani Gupta: Yes, 1 b illion is a theoretical capacity in that 80%. So you can go up to 1.1 b illion, 1.2 billion with the same percent.
Alok Deora : Sure. So our volume numbers -- the longer -term volume number, volume guidance does not -- has not changed.
Ashwani Gupta: No, no, no, we are not changing. And you will definitely ask that question. So before you ask that question, I can tell you that, this volume does not include the merger and acquisition.

Alok Deora : Yes, yes, this is all...


Ashwani Gupta: So any headwind which may come like it came last year with Operation Sindoor and West Asia crisis, definitely, we have a buffer, which we will do in next 5 to 6 years, the acquisitions to cover up. And we have the money to do that, but we have not incorporat ed in our top line and bottom line and also in the capex front.
Moderator: Next question is from the line of Manish Somaiya from Cantor.
Manish Somaiya: Of course, Ashwani, congrats again on a fiscal -- on a strong fiscal '26. Since we were just talking about your long-term plans pertaining to fiscal '31, maybe if you can just talk about some of the important milestones over the next 12 months that we should keep track of.
Ashwani Gupta: Thank you, Manish. I said after listening to your congratulations message, we were so excited. So, thank you. Thank you, Manish. I think what is very important, not even the 12 months, I think the quarter 1 is very important, because in quarter 1, we expect to get the business mix change. I think that all the free storages and everything and the busine ss mix change between the containers and so on may be improved in the next 3 months. So, you may see a change in the container.
But the second biggest change which you should track is the coal. As you know that, Indian government has given the direction to all the power plants to run at the peak, including the imported coal, and the reason being that anticipation is there will be a competitively weaker monsoon.
Anticipation is heat is high, which we are already seeing now. Even Ahmedabad is running at 43. And I don't think that renewal capacity even if India did a record in setting up 50 gigawatt last year, I don't think the renewal capacity and the conversion of the electron into the transmission and transmission below distribution will fulfil that demand. That's the second.
The third, I think the challenge on LPG will remain. And I think people are shifting from LPG to electric stoves and so on and so on. So it does not change a lot of bricks for us because LPG is not a big mix for us.
But on the other side, definitely when the power plant will run at peak, you will see the uplift in the coal and that's why you would have seen that last year Tata Power was almost closed for the whole year and now Tata Power is fully fired and running at its full capacity. So that's the second trend.
The third trend which we should see that you have seen that after UAE is out of OPEC, the pipeline, which is there, which bypasses the Strait of Hormuz, there should be a free flow of the crude. And that's why we may not see any challenge on the crude oil, which means what, Manish, which means, we kept our guidance conservative considering that, if the oil prices do not come down, India as a country may not see that much of optimistic growth, and we may see a gap between supply and demand, which may rise t he inflation .
But if this routes work and if what everybody is planning works, I think we should see a positive side. And I think quarter one will tell u

s what is positive. So that's what I would say, Manish, I think quarter 1, we will come to know many, many tailwinds, which will come, but we want to


be very conservative because we don't know what will happen tomorrow. Nobody knows, nobody has a crystal ball. But still, we have made some assumptions. And based on those robust, but conservative assumptions, we will maximize the opportunity and minimize the risk.
Manish Somaiya: Okay. That super helpful, Ashwani. I just had 2 other quick questions. One is on international ports. Obviously, very strong margin performance. Clearly, NQXT and the acquisitions that you made earlier contributed. But how should we think about sustainable margin for international ports going out?
Ashwani Gupta: See, that's a great question, Manish. I think last time, I think since 2 or 3 or 4 quarters, I have been sharing a couple of things. The first thing is the governance of all the international ports are now in Ahmedabad, which means we control it from Ahmedabad, that's first thing. The second thing is the CEO and the CFO, we have put it with Adani's DNA, so which means these 2 guys are running with the DNA which we have, and that result is, as you can see -- you can see the results now.
And now moving forward, our focus will be more on the market share. So for example, Colombo, in the phase 1, we focus on transshipment terminal, that's why our mix is 100% transshipment whereas the whole country mix is 85% transshipment and 15% EXIM. We ha ve

not touched the EXIM potential.
Now when we are building up the Phase 2 capacity, which we will be finishing very soon, and so we are getting into the EXIM trade. So, keeping the profitability margins, growing the market share and then introducing the culture of partnership and the leaner organization, which I have talked about this morning in the Ambition 2031 Day will help international operations to deliver more mar gins than their competitors in that region. Obviously, they cannot match the margins which we make in India. But definitel y over there, they will be definitely best -in-class as compared to their competitors in those regions.
Rahul Agarwal : And Manish, just wanted to take a look at the Q4 international ports exit rate on EBITDA. So that will be a decent indication for you.
Manish Somaiya: And then just lastly on capex . I saw capex was a bit higher than guidance. Maybe if you can just elaborate on that?
Ashwani Gupta: Yes. Thank you. I think you have spot on. We have accelerated the capex on. If you see Ambition 2031, Slide number which one -- where we have done the for India growth story. Slide number 20, because this is -- thank you to everyone's feedback, we have really introduced logic rational, why and where we are investing. So we have estimated our capex , A, in Mudra because we are fully full and now, we have C T5 which is coming up, but we have accelerated the future expansion.
Then we have accelerated our capex in Dhamra, because of the shoot volume, which is coming up especially because of the RSR, Rail -Sea-Rail, Postal Cargo Movement. We have accelerated our capex in Hazira because of the liquid .


So in line with the integral story, in line with the growth pillars which are investing accordingly, so that's what I can say, and spending more capex means will be providing more growth, but we have a logic where we are accelerating our capex, and Vizhinjam.
Because Vizhinjam already we are at 100% capacity. And in the West Asia crisis, we had many vessels waiting outside. So we are not waiting for the Phase 2, and we have kicked off already the Phase 2. And Phase 2, we are ahead doing it with automated terminal and that's where we want to go. And in addition, we have already started a

lot of automation investments to improve the productivity at each of the existing ports. To answer your question, we have accelerated the capex because we want to have more than 1 billion capacity investment by 2030.
Moderator: Thank you. Next question is from the line of Bharat Shah from BCS Capital Ideas. Please go ahead.
Bharat Shah: Hearty, hearty Congratulations. I mean, in a fast -moving world with a lot of unpredictable challenges in a complicated multidimensional business like ours to manage it so well really requires depth and labor of the management and the planning. So I fully appreciate your comment that the results have not come by chance. But by good planning efforts, risk mitigation and intelligent anticipation of what all many issues can come?
I just have to -- I don't have really a question to raise, not because no question arises in my head, but simply because I think the transparency with which so many details have been laid down in the presentation, especially about future is really, really remarkable. I mean, the granular level of details which have been given year -by-year spell out each asset by asset, whether it is about ROC, whether it is about debt, whether it is about the cash flows and all many, many arenas involved in that, I think it is remarkable.
Secondly, I was really delighted and surprised how quickly Logistics business has reached a double -digit return on capital employed because that is waterloo for many, many enterprises. I mean, Logistics is something I must admit I was a little worried when it was embarked upon.
But how quickly that has come by is remarkable, I must say that. So hearty congratulations, Ashwa ni Ji. And Rahul Agarwal, you have got a fantastic deputy. The way he handles all the business questions, not nearly financial ones, I m ust compl iment. So just wanted to put that broadly.
Ashwani Gupta : Thank you very much for your appreciation. And I think last 2 years, the quality of questions you all have asked has really helped us in redrafting our disclosures.
I know only one thing that you are our ambassadors in front of investors. So we put ourselves in your shoes, that you are in front of investor and trying to convince investors that they should invest and keep the confidence in it. So if I have in your shoe s, what all information I need to convince the investors.
So that's how it is the mindset and the cultural change we have done. And we talked about Rahul. He is originally an ESG guy. He was living in New York, and we got him from New York to

India and made him the IR specialist and he is supported by a good team. And now we have Mr.
Menon, who is the CFO with internal experience. So I think we have a good team.
And answer ing to your question of Logistics, maybe I look at Divij bhai to -- Divij to explain.
But nothing has changed. I think 1.5 years before the strategy which we talked about are just
executing a little bit fine -tuning it. You would have seen that we have reduced the capex in
Logistics because we do believe that we can give much more profitable growth with less capex.
We are mindful and thoughtful of the capex. But one thing which has not changed, we said
before that we will do better than our peers. Why? Because we know how to maximize the
utilization of the assets and that can be only done by talent and technology. We invested in
technology. We made our own digital platform.
We are running it efficiently and effectively. We use the same truck which can do 1 trip and now we are getting 3 trips with the same truck. Definitely, the margins are getting tripled. So we are not perfect now. I think there are a lot of opportunities. W e want to grow and keep delivering
what we promised.
Bharat Shah: Delighted to hear all of that. I was just kind of supplementing the broad observation that such multi-geograp

hy, complicated multipart day-to -day operations to be done across so many
different business lines, it can't be easy. And obviously, a lot of effor ts and a lot of intelligent
planning and execution is at work to make it appear so smooth. So we are truly delighted.
Just wanted to leave one indirect, but in my opinion, pertinent observation. You might be aware of these AI software. And I think a lot of legacy technology systems are really vulnerable in terms of being exploited by the software, especially energy, infra structure assets, banks, many
of these assets are really vulnerable because these were developed on open source software code development.
And most of these systems have been discovered with huge amount of lacunae and bugs. So I
would -- given the scale and the depth and the complexity of our operations, I think our
technology, internal technology needs to be going through all over again very carefully.
Ashwani Gupta : Sure, sir. So I think we will consider that. Thank you for your feedback, and I will personally
study and thank you. Next time, when we are meeting, we can have more discussion, sir. Thank
you so much for your comment.
Bharat Shah: Thank you.
Moderator: Thank you. We'll take our next question from the line of Koundinya Nimmagadda from Jefferies.
Please go ahead.
Koundinya Nimmagadda : Decent set of numbers in a challenging environment, especially in the month of March. Two
quick questions. So first one a bit on near -term and second one on the Ambition 2031 plan,
which may take a little longer, but starting with the near -term plans, right? So you did guide for
about 11% to 16% kind of revenue growth for FY27. So can you help us understand what are
the kind of assumptions that are built in here?




Obviously, you briefly touched upon certain assumptions as an answer to one of the previous
participants. So within that, if you can also help us understand how is the current scenario on the
ground because we understand that part of March was also supported by transshipment volume.
So how is the scenario shaping up currently? If you can throw some color on that, please?
Ashwani Gupta : Thank you. And same as you, we also don't have the crystal ball, but our business has continued.
I think the main thing which we are doing today is resilience is at the core business and agility
is driving it because every day, we have a new thing. More than 93% of the vessels are coming
out of the window.
So if I keep the same process, I will not be able to entertain any vessel at port, right? I can't
complain, right? I have to continue to deliver the volume and I have to adjust and I have to be
effective, adaptable to the changing environment , right . We have to choose the crisis before the
crisis chooses us. So I think that's what is the new normal and that's what we are working.
Now if an LPG vessel comes even after U turn from another country, we have to be ready at 1
o'clock in the morning to get it faster and faster. So that's what I would say. So having said that,
I will give you a very, because you guys are more expert on economics. But what we have done
is the minimum range if that we grow exactly as India is growing in optimistic way.
If India growth goes down because of fuel and so on, we do 1.5x of India growth. That's our
minimum. That we do believe whatever happens, we will deliver you 1.5x of India growth. But
if India is optimistic, which you would have seen today, we have this news of crude, we have
news of imported coal and many other tailwinds, then India growth will be normal and we can
go up to 1.7x, 1.8x without any acquisition.
So that's the most optimistic scenario which we don't want to commit to you today because

nobody has a crystal ball. So what we have considered in our guidance is the flat. For us, flat is 1.5x India growth. Now we can see how

the India is growing. But tha t's how we have taken the guidance.

Koundinya Nimmagadda : Okay. Got it, sir. I was trying to understand the kind of volume change that you walked around with, but anyways. Sir, my second question is on the Ambition 2031 or 850 million ton 2030 guidance, right? So if I were to look at it, the implied on the domest ic port side, the volume growth rate is anywhere closer to 14% -odd CAGR.

In comparison, if I were to look at FY21 to '26 on growth, that was about 13%- odd. Again, there, you had some benefits of acquisitions, something like Krishnapatnam Port and Gopalpur and a few other additions as well. And if -- I mean in this context, I'm just trying to understand how do you intend to achieve this 14% -odd CAGR.

Ashwani Gupta : No, no. I think you will agree that we can grow 1.5x without inorganic. So if India is growing at 7%, we can easily do 10% or 11%. Then let's not forget the fact that we have 5 years where we have the merger and acquisitions. You also know that many of the concessions are for renewal at the other ports before 2031. You should also keep that in mind, it's not a question of greenfield, but many of the concessions in our competitive ports will be available. So we will not disappoint you. That's what we say.



Koundinya Nimmagadda : Understood. Sir, if I may ask a smaller question, in the past, you did mention that a large part of domestic growth will only be organic. And we do understand that brownfield capex expansions, the capex intensity is usually lower. And I can also see that from 650 to 1 billion ton when you mentioned a significant part of that is also coming from technology upgradation.

So can you just help us tie this up with the ROCE growth part that you gave? Maybe if you can put some numbers like what is the current gross block to capacity and what is the incremental capex per gross block? Maybe if you can help us understand these details a bit better, please?

Krishna Menon: So Koundinya , as we have highlighted in our Ambition deck, essentially, we are looking at almost about 1 percentage point or 100 basis point increase in our ROCE every year all through the next 5-year time frame. Given how the business is structured, we do anticipate a significant chunk of that coming from domestic ports.

And to your earlier point, yes, a bulk of it will happen through organic, where the capex intensity is actually likely to be in our favour given, these are expansion of existing ports. In a scenario like this, you should ideally see a continuous increase in domestic ports ROCE going forward.

Just as what you have seen in this particular financial year, we expect to maintain the same trend going forward as well. So that's the trajectory t hat we anticipate will pan out over the next half decade.

Koundinya Nimmagadda : Sure. Thanks Rahul. Thanks for the opportunity, sir. I'll fall back in the queue .

Ashwani Gupta : Yes. No, thank you. I think this is also a comment for everyone. It's very important for us to give you our ambition for next 2031 but these are very perfect mathematics, because ever y business is built based on the hypothesis and hypothesis keeps on evolving. I mean, the importance for us is to adapt and align ourselves with the evolving hypothesis and the speed with which we adapt is the expertise of our APSEZ side.

So we have made an hypothesis, I think in January when we had in February before the war started, we never anticipated that this kind of business mix will change. We were talking about imported coal will be gone forever. But now imported coal is back. We c all out some other reason. So what I'm trying to say here is it's important to have a playground, but then we have to just adjust based on whether it is raining or it is a sunny day or it is something else.

Krishna Menon : And just to add to that, if

you look at the current base assets, we are about INR1 lakh crores against which we get a return on capital in third, about 23 %. What we are discussing is an accretion of INR 15,000 crores next year. And through this journey of 5 years, it's going to be another INR1 lakh crores. So coming to your point, therefore, if we do the decision at the right time in terms of capacity expansion and acquisition, we will still land the number. I hope that makes sen se.

Moderator: Thank you. Next question is from the line of Nikhil Nigania from Bernstein. Please go ahead.

Nikhil Nigania : My first question is on the point you mentioned on other ports seeing concession closing before 2031. Similarly, I mean, our largest port as well, concession is due at that time. So I wanted to

check if there's some clarity on the modality on the extension of the concession agreements for
ports in Gujarat or otherwise?
Ashwani Gupta : Yes. I think the talks are going on and the talks are positive. We have to just wait for the
conclusion. You will come to know because before us Pipavav will be there.
Nikhil Nigania : Before us, Pipavav will be due, right? So in terms of timing, would you expect this year
sometime we should have clarity?
Ashwani Gupta : We control the content of the discussion, but we don't control the timing. So we are actively
engaged in the discussion, but we don't control the timing and the decision.
Nikhil Nigania : Understood, understood. So no view on that. The second question I had was on the domestic
volumes. I understand your perspective on coal. And as you rightly said, I mean, we also expect
coal to come back this year. But even on containers, if you could give us some clarity on why -
- I mean, the growth has been a bit more modest even in Mundra for that part. Is it largely Middle
East? Or what are the reasons for that?
Ashwani Gupta : See, first of all , you should see Morbi is all gone is zero because of LPG. So the scrap is zero
from Middle East. The paper is zero. So the impact of Middle east is not zero. There is an impact.
Then there is an indirect impact which means that 86, or I don't know, 85% or 90% of the Morbi
closed.
So the export from India. And what is happening is, look at the freight cost. So one is the Middle East impact, which is not
much, right? Which is I don't know We can't measure it. But it is
definitely the impact which is scrap and the paper and limestone and other windows. But the
more impact is the indirect impact. Like Morbi, there is also indirect impact on the exporters
delaying their decision to export because of the high freight cost. So this has to reset someday,
and this they cannot keep on delayi ng the delay.
Look at the inventories of the manufacturers. They are running at the minimum inventory
because they have been pushing their decisions forward because they are waiting when these
things will be gone away and the freight cost will be back to normal. So that 's why we want to
see the quarter 1 and we want to see how it goes. And then that's why we have kept it very
conservative for the next year.
Moderator: Thank you. We'll take our next question from the line of Achal Lohade from Nuvama
Institutional Equities. Please go ahead.
Achal Lohade: I must congratulate on the exhaustive deck on the giving out lot of information. The question I
had though was, if you could just clarify. Sorry, kind of a repetitive question. But 2026 to 2031,
you're talking about touching billion tons of cargo. What kin d of capex we should work with?
You spent INR15,000 crores in FY26, INR12,000 crores to INR14,000 crores is the guidance.
But how do we see from a 5 -year?
Ashwani Gupta : Slide number 20 in the Ambition Plan 2031, you will find all the details. And then in subsequent
slide, you will see which commodity and which port.



Krishna Menon : Achal, this is on Slide number 22 of our Ambition '31 deck.
Achal Lohade: I think it was mentioned for domestic, if I am not wrong, domestic capacity ?
Krishna Menon : Yes.
Ashwani Gupta : Yes, yes. We will...
Achal Lohade: I was looking more from the full -- I mean from a capex perspective at a consolidated level, how
should we look at?
Krishna Menon : So Achal, that slide has the information at the consolidated level.
Achal Lohade: Okay. The second question I had was with respect to Marine margins. If you could clarify, is
there any one -off out here? Are these new normal margins we should work with?
Ashwani Gupta : Yes. This is a business which is driven by the customer contracts. And definitely, we should not
conclude this business depending on just one quarter. I think it is just a combination of renewal
of the contracts and getting the new vessels in the fleet and the dry docking, which is the
maintenance.
So there is nothing to worry about, especially with this situation in West Asia. We have
absolutely no, there has been no force majeure, which we have seen. And as you would have
seen that refineries are working, our vessels are there. So we don't anticipate. It's just a question
of maybe February or March seasonality, which you would have seen.
Achal Lohade: So the annual margin is more sustainable margin. Is that what we should work with, sir?
Ashwani Gupta : Yes, yes.
Achal Lohade: Over the 40%, okay.
Ashwani Gupta : Yes, yes.

Achal Lohade: Second, just a quick clarification on the SEZ port development income, INR891 crores. If you could clarify what is this? How sustainable is this, and the Mundra port number in one of the slides, does that include this INR890 crores because the revenue number of INR2,700 crores looks actually pretty significant increase on a Y -o-Y basis or a Q-o -Q basis?

Rahul Agarwal : So, Achal, if you look at our investor deck, Page number 19, where we have given the port -wise breakdown, right? So there you have Mundra. Typically, SEZ is clubbed under that Mundra line. And we have carved it out this time around. So you can see the separate margin profile of the Mundra Port , right . So that's there on Page 19 of the investor deck.

The SEZ income, as you have seen in the past also, right, there is no set pattern to the SEZ income. It tends to be volatile. It really is a function of the underlying transaction activity that we have at our SEZ parcels. And this is what has happened this quarter. But it does not necessarily mean that the same Q4 volume will drop in the next quarter, right? So it has



historically been episodic and historically been transactional for us, and it will continue to be the same going forward. So I am not sure extrapolating Q4 will be the best idea.

Moderator: Next question is from line of Luke from Pictet Asset Management Limited.

Luke: Congratulations to Ashwani and also please send my regards to an old colleague, not of mine , but yours is Robbi e as well. I've been following your shares for more than 10 years. So, well done on improvement. Can I just ask something very specific, I'm on the debt slide, I will declare that. Thank you for optimizing our capital structure. Now, I see that in the report , the main report, the net debt EBITDA is down to 1.8 or 1.9, depending how you put the numbers. Agree with that. Are you then looking to optimize it further? Because I'm thinking that, what would be that's the first question. But it's the same similar question because your answer might encompass what do you think is an optimal structure right now of debt? And now tha t you bought back a bit here and there, you've got some small lines in the front. And if you want to do something in the market in the future ? Just another two questio

ns.

Ashwani Gupta: Yes, thank you very much. And if you please see our Slide in Ambition 2031. We have tried to answer that question. Slide number 36. So first objective for us is to invest in the organic capex , which is between 60% to 70% of our annual operating cash. Slide 26, sorry. I have a different version. 60% to 70%. So that's what we have done. We have found the opportunity.

So that's why we have accelerated the capex, and we have to know capex has got two things, number 1 is money but second is the people who will execute the project. And we are lucky to have a great team who executes the project like Vizhinjam, Mundra and so on. So that's our first priority.

The second priority is the strategic M&A which brings the top line growth and the bottom line growth. Now I let Krishna to speak on this, but to keep net debt to EBITDA is our first objective before we start talking about growth step because we want to use net debt to EBITDA ratio to push our profitable growth. Reducing the gross debt, you would have seen that we have been doing it systematically, but this is after we go through the allocation for the profitable growth. You would have seen that we have done the dollar buyback because you would have seen that the exchange rate impact is on one side positive for the revenue but not positive for the gross debt. So that's why we want to keep a balance between mid to long term and slowly and slowly, we will of course optimizing the mix of our debt , right? So maybe Krishna.

Krishna Menon: So just to build on what Ashwani said. So very specifically, it is capacity expansion in our existing assets. Second thing is acquisitions and therefore any strategic M&A. And from a guidance perspective, we stay with 2.5x. And while we do that, we will al so continue to look for options where we can optimize the debt and the cost profile. Like Ashwa ni shared, we did a bond buyback, which we concluded in the month of March, about 199 million, previous year about 100 million. So we will look for opportunities both ways, but we will hold our guidance. So which means 2.5, we will hold it better than that. That's our plan for the next 5 years.



Ashwani Gupta: At the same time, it should give us benefit in terms of financial cost, right? So if today somebody asked me to buy back bonds, I will not go back even if I have rupee cash with me because I may not get the same piece because of the West Asia prices. So it 's not that I decide, because I have decided I will do the dollar buyback, so I will do it.

I will see the market situation, I will see how much rupee I can put it in front of dollar buyback, how much yield, how much premium. You saw in February, which we did the buyback, 50% of our bond buyers kept with them because they believe that APSEZ will do much better than today's ease. So it's in our roadmap. I think you talked about Robbie. So we have a capital management plan as a playground, but we keep on fine -tuning it.

Moderator: We'll take our next question from the line of Parash Jain from HSBC.

Parash Jain: I have 2 questions. Maybe first is a follow -on from the previous gentlemen. If you can help us understand, I mean, is the 2.5x target, is it a ceiling? Or is it something that you aspire to be to like optimally to gear your balance sheet? And in that conte xt, over the next 5 years span, is the buyback will be one of the tools that you will use to lever your balance sheet?

And secondly, with what we have seen with respect to currency depreciation and Indian and U.S. treasury spreads narrowing, how do you see by the end of this decade, your debt mix in terms of currency exposure will look like ? And then I'll ask the second question after that.

Ashwani Gupta: That's great. The point is we will keep on optimizing and redefining our P&L in a more healthy way the worl

d is evolving. Having said that, our priority will not change. Our priority number 1 is to invest in the capacity expansion and creating new capacities. Our priority for strategic M&A.

And last, but not the least, we do believe in creation of wealth in mid to long term for our shareholders. So that's why for us, return on capital employed is much more important than a short -term benefit. That's why buyback would be the last option, but I don't think we will talk about it, because we do see a lot of opportunities in front of us which we can ma ximize and execute.

Krishna Menon: And just to add to that 2.5x is our guidance. That's the framework that we work with, and that's the best way we feel we can optimize in this journey. I hope that just answers your question.

Parash Jain: Yes. I mean, I just wanted to get the feel that 2.5x like is something up to which you are comfortable, or you will actively work to lever your balance sheet. But I hear what has to be decided.

Krishna Menon: Let me rephrase the answer. See, 2.5x is the ceiling but even if I go 3, with the quality respect has said, I will not have any issue with the rating agency.

Parash Jain: Absolutely.

Krishna Menon: Our business is so healthy. I mean 2.5 is just the ceiling which we have put. But for example, if tomorrow I get a $9 billion merger and acquisition I will go for it, because it will change the



game of APSEZ. But then maybe the net debt to EBITDA like it go to 3.2,3.3 for 2, 3 days it's fine as far as I have means to fund it and I have means to provide return on the acquisition, which I'm doing.

So today I would say, we finished with 1.9, but if you see the next year, if we don't visit capex, we will go 1.3. So imagine with the gap between 2.5 and 1.3 is 1.2 -- so I can go easily for a billion dollar of how many acquisitions. So 2.5 is just the ceiling but it may change, that's what I wanted to share with you.

Parash Jain: And in terms of currency exposure with respect to your debt, are you trying to drive more towards INR versus dollar or are you happy with the current exposure?

Krishna Menon: See, we don't have any issues with that, to be honest with you because we have a natural hedge, we take the low matrix see if it gets consolidated, we give it below in our subsidiaries at the end when we consolidate it gets knocked off. But also then we ge t benefit of the revenue.

Having said that, I think if we are getting a better finance in Indian rupee in a longer term, as we did with the local institutions last year, definitely, we would like to replace it step by step, but we are not in hurry. At the end it should bring a bett er financial cost. That is what we want to emphasize.

Parash Jain: Okay. That's very, very clear. And my second question is that, if you can let us know your thinking, how should we think about underlying operating leverage in your businesses? Because when you look at your 5- year target, it seems like probably logistics b usiness will grow much faster. And that's why on a headline number, the operating leverage is not very visible. So if you can talk about that?

And how should we think about yield given the more that your businesses have, given the currency depreciation is it mid -single digit yield improvement on an underlying basis is a reasonable number? What has been there or what has been the track record over the past few years on an underlying basis, if you can just share some colour ?

Ashwani Gupta: So, I think so very good question, thank you so much. As you have seen last 5 years, right? I'm saying very broad. I'm not giving you the accounting statistics. But cost per ton for us is almost flat. And revenue for that is increasing, you can include the rupee depreciation in it and the difference you will see that it our pricing power and the services we are providi

ng in addition to
the only handling charges.
So there are three factors in revenue per ton increasing, number one they're adding services, number two the exchange rate and the number three is pricing, exchange rate and there's one more thing. I will come back over this there's three things which are improving the revenue per ton and cost per ton is almost flat. When I say almost flat, I'm talking about absolute inflation, right? So this is all offset by productivity. And our target is to keep e xactly flat for the next 5 to 6 years. How will we do that ? By investing in the automation.
So if Vizhinjam is doing 40 the automated trains is doing 30 moves per hour, Mundra is doing 26 to 27 per hour. We will keep on improving the productivity if my -- I have diesel trucks, I


have GSUs which are diesel replace it by electric they are 24/7 put it by charging stations at our port. As you know, within 1.5 year, 100% of our ports will be by reserve energy, if we make our own reserve energy, our reserve energy is competitive.
So there are a lot of things which we have planned to keep our cost per ton flat and keep on increasing the revenue per ton. And that's why we are saying that we are very comfortable even with the inflation that we will keep 70% and above the EBITDA margin and the end goal is to give better return on capital. That we can only do that, if we have a healthy operational margin supported by utilization of the fixed assets.
Moderator: Next question is from the line of Sumit Kishore from Axis Capital.
Sumit Kishore: I will add my compliments to the long list already. I have a couple of questions. The first one, is that it's been over 3 weeks since the cease fire announcement, but the vessel crossovers in the state of Hormuz are still constrained. If we can crystal bal l gaze here -- I believe that, if the situation remains, like this for perhaps another month or two.
What would the high charter rates for SM container volumes or the crude and LNG volumes that are going through that Strait? And what has been your experience in April? And how does this graduate if we have another few weeks of this disruption? That's the fi rst question.
Ashwani Gupta: I think I am on Twitter, so I look at Twitter to know what will happen in next 1 hour. So I can't say, what will happen. But what we are doing at our end is to make sure that we have adaptability and flexibility. I think what India has seen is absolutely no impact on the crude. There is a coastal shipment, which is coming on the crude, there is now this new route which is open so crude will continue to grow, continue to grow or continue to be supplied.
LPG is something which is a question, LPG will soon slowly will be replaced by PNG and the electricity. Electricity is again coal. So I would say that imported coal or coastal coal everything will be replacing in terms of cargo drop in LPG. Anyhow LNG for us was still 6 to 7 metric ton out of 500. It doesn't change our needle whether LNG is zero or LNG is double.
And then I would say, definitely the impact which I would say on the commodities like scrap which comes to Nhava Sheva and Nhava Sheva to Tumb so that's why you would have seen in the month of March, we had a drop in Tumb. That was mainly because of scrap and petrol, which is imported. These are the commodities, which are not, to be honest, sorry for that. These are not very strategic mid - to long -term businesses, right? They are very seasonal like iron ore. So we must not be dependent on that. So that's why we have opened up the new businesses.
You would have seen that typically iron ore is growing, which has the reach impact of these commodities because we have more industrial goods. So I think slowly and slowly, we have to adjust to the new normal and let's not keep waiting that situation will be better tomorrow. That's what

I can say today.
Sumit Kishore: And every container volume will also find another route longer route and ultimately, the volumes will stabilize.


Ashwani Gupta: And this is what is happening even today also. So that's why the freight cost has increased because they're not following the normal route or they have more waiting time or they have something else or they have a shorter route. Shorter route vessels, but m ore vessels. So definitely, our efficiency is getting impacted, but that's life, that just our life is the new normal.
Sumit Kishore: Very clear. The second question is on cash flow from operations. I couldn't find any comment in the presentation or the press release. So I think you are targeting around $180 billion plus.
Now we have done our EBITDA of about $228 billion plus, how has this year's growth behaved and with the growth numbers that we are seeing or which we are targeting for the next financial year, does that follow suit in terms of the CFO? The EBITDA to CFO conversion.
Krishna Menon: So if you see almost 85%, 90% of our cash flow comes through from EBITDA. So I think that

won't change. That profile remains the same and it will continue.
Sumit Kishore: Okay. So this time around also in the full financial year, it would have been 85% of the EBITDA number.
Krishna Menon: Absolutely.
Ashwani Gupta: We have INR 20,300 crores , Sumit, this year.
Krishna Menon: Yes.
Sumit Kishore: INR20,300 crores .
Krishna Menon: Right number. Others will also see. So it's on – so if you look at -- we have it on FY '26. So Slide 22, the ambition plan has the --has that information.
Sumit Kishore: Okay, okay. Just one clarification now that.
Ashwani Gupta: We made it very simple so that you don't have to go through our line by line P&L. So you can see the transition from revenue till it ends.
Sumit Kishore: Perfect. Just one clarification I mean because the trial runs have happened and now at both J NPT both upstream and downstream for the DFC, so what is holding back the final commissioning or in case you have any sense now ?
Ashwani Gupta: I'm not the spokesperson . But only thing I know that it has not started. And even if it starts, as CONCOR MD Mr. Sanjay Swarup has said officially last time, in the Analyst call, that still they have two choking points. So let's see that when and how it will be effective. Or even if it is effective the catchment area of JNPT and catchment area of ours are totally different.
Second, we still have the advantage of two slabs on the rail cost. So definitely, I think JNPT, I think JNPT connected with DFT will improve the delivery to their customers, but we will have no impact on all of this, that's what we said last time.
Sumit Kishore: Very clear, thank you and wish you all the very best.



Moderator: Next question is from the line of from Ketan Jain from Avendus.
Ketan Jain: First question is are our ports in Mundra and Vizhinjam benefitting from realignment from shipping line services due to the West Asia conflict -- and if yes, then by how much?
Ashwani Gupta: So we cannot -- it's difficult to quantify it but for sure they are getting benefitted, but at least Mundra is getting benefited but Mundra is also getting impacted. But also Vizhinjam is getting benefited in terms of volume that's why we are accelerating the Vizhinjam space too, and soon we will also start working on the exit cargo from Vizhinjam because there's a huge potential in the catchment area for Vizhinjam for exit.
You already have approval for the main connection and the highway connection I don't know how many years it will take, but at least there are approvals. So there's a huge potential, so we are accelerating the investment in Vizhinjam for phase II and Col

ombo. So these two will really be great. Mundra, it is a bit complex because it's a mix of everything, so Mundra is benefiting but Mundra is also impacted.
Ketan Jain: Understood. So Mundra continues to grow at around 4% and JNPT at 12% so as you mentioned the primary reason is because of Mormugao?
Ashwani Gupta: See, I will give you -- see I don't want to be optimistic. Let me tell you and I think it's very important to understand how the JNPT works right? They have the capacity the capacity more than they require. We have the capacity what we require. Now what happens? After this disturbance, more than 90% of the vessels are coming out of the window. I will try to be flexible. I will try to be adaptable, but they have a empty playground -- and with the warm welcome they are accepting every vessel. S o definitely, they will have a better advantage in terms of that.
So now the question is growing at what cost and what profit, I think that is also the second question which we should ask. And as I said before, we are waiting for our CT5 to be open. But again, we will do only the meaningful cargo, which is bringing high realization, of course we can do this service which we are doing because that is for the country. But at the end, I would say that in addition to the percentage growth of volume, it's also important to see what is the realization, what is the margin each p ort is creating.
Ketan Jain: Understood, understood . That answers the question. In our international volume of around 22 million tons, how much is NQX T contributed in this?
Rahul Agarwal : Roughly about 11 million tons.
Ashwani Gupta: 11 million.
Ketan Jain: 11, and also sir, also if you could split the rest in Colombo, Haifa and Tanzania how much volume.
Ashwani Gupta: Maximum growth is coming from Tanzania -- from Colombo.

Rahul Agarwal : So Tanzania roughly about 1 go 1.1 MMT a month. Israel is running a number of about between 0.7 to 0.9 a month. And Colombo does about 120,000 to 125,000 TEUs a month. That's the rate at this point.
Ketan Jain: Sir, if you can give us the number for the fourth quarter. You shared this in the last quarter as well?
Rahul Agarwal : 11 nowadays your NQX T you will have a little over your 3 million coming from Tanzania, approximately 2.5 to 2.6 coming from Israel and the balance is Colombo.
Ketan Jain: Understood. Just a last question on the ROC E of logistics. What would be the capital employed in logistics for this ROC E?
Rahul Agarwal : Sorry, you're asking for.
Ketan Jain : Logistics capital employed in the next 5 years. As in the current capital employed, the current...
Rahul Agarwal : Current, okay, close to 6000 output.
Moderator: We'll take our next question from the line of from Pulkit Patni from Goldman Sachs.
Pulkit Patni : Sir, my first question is in your estimation of the 850 million domestic cargo, what is the rough estimate on what you will be doing in terms of coastal shipping by then? If you could share any breakdown there?
Ashwani Gupta : Yes. I mean it's difficult to estimate because as I said before, all of a sudden, we have growth in imported coal and coastal. But today, I would say that all India coastal is increasing roughly at 5% when EXIM went down by 3.5%. So if I look at the energy growth, I would say that still coal will keep on increasing between 6% to 7%.
Pulkit Patni : Okay. That's useful, sir. Sir, my second question is, over the next 5 years, we are estimating about $1.2 billion, $1.3 billion of capex in marine. Again, if you could outline what is the medium -term plan there? Are we looking at doing more in other countries globally? Like just some thought process on how we look at our marine business outside of what we are doing for our captive usage.
Rahul Agarwal : Pulkit, I'll just clarify one point before Ashwani responds. Our

marine business or our marine vertical does not include the captive ports, okay? The ports, the trucks that work in our own ports for customers are consolidated under domestic ports. Marine i s entirely a third -party business for us. So all vessels under marine verticals are deployed exclusively for third- party customers. So just one quick hygiene point.
Ashwani Gupta : So, I think building on that, this is what we did. Now we finished roughly 8% of our business, which is marine now in terms of revenue roughly. And this is a consequence of the strategy which we did. In India, we have 77% market share on the near terms -- then we acquired Astro with more than 20 vessels at that time.




Those vessels are offshore tugs -- sorry, offshore vessels used as anchor handlers, barges, but mainly the work boats. Work boats have an advantage of having mid- to long -term customer contracts, but also not as much cyclic to the trade as compared to the shipping business, right? So very sustainable, robust, consistent business, right?
Because if our offshore vessel is deployed in oil and gas refinery in Abu Dhabi, it has a mid- to long-term contract, nothing to do with the shipping trade going up, going down, right? So that is the reason we got into the offshore business. Now when we brought Astro, we have more than 20 vessels we have more than 50 vessels.
We have Middle East, we have North Africa, we have West Africa, and now we are getting into Europe. So very soon you will hear that our vessels are deployed in Europe which means learning from West Asia crisis. We are redefining our offshore marine strateg y to also include the Mediterranean sea in our offshore vessel deployment. And this is part of corporate risk management.
Pulkit Patni : Sure, sir. Sir, since you've got like the business is significantly larger now, and obviously, there's already so much disclosure, but would love to get more colour on our marine plans and how the revenue profile there moves. So my last question is again on c apex for others. We're looking at INR6,000 crores to INR8,000 crores in technology decarbonization and others, which also is pretty significant. Any, again, rough cut breakdown of what this would entail like in terms of decarbonization and other capex, what exactly are we looking at over the next 5 years?
Rahul Agarwal : Pulkit, it's a combination of multiple items. So let's say, as you know, we have a public commitment for net zero 2040 and we recently signed up for TNF as a biodiversity reporting framework. where we have a guidance for 2050 net positive biodiversity. So th ese initiatives typically entail capex, which is in the nature of higher renewable and electricity.
It could be in the nature of higher sequestration activity, more plantation roads, et cetera. It will also typically entail active reduction of our emission footprint, which means that we will have substantially higher volume of battery-operated trucks within our premises. We will have a very

large part of our equipment running on electricity as opposed to diesel and things like that, right? So all of that is going to contribute to -- significantly to the decarbonization plan and the biodiversity plan that we have over the next half a decade or so. In addition technology is an ongoing initiative you have seen various agenda items like strategic command centre that we demonstrated at our last Investor Day.

And on the same line, there are multiple number of internal initiatives that are being taken from a technology standpoint to be able to step up efficiency level, right? So that's also going to be a very significant component. But it's a healthy mix between tech upgrades, new technology adoption, AI adoption and the fairly extensive decarbonization plans that we have.

Ashwani Gupta : So sustainability is at our core, right, core

of the business. And sustainability for us is not cost plus. It's not regulation, it's not compliance, it's not disclosure. If you look at Slide number 31 of
our Ambition 2031, you will see all the investments which we are doing in sustainability, that's



got our economical benefit, so if I am investing in the electrical trucks in Mundra that is not only for environment that is not only for ESG.

It is bringing me economical benefit that's why I am investing and also in addition it is contributing to the environment. The second, if I'm investing on the automation, it is bringing a better productivity of the train, better productivity of the yard, better productivity of blah, blah, blah. At the end it is bringing.

So for me, technology is not a future lift of equipment. Technology for me is a technology which brings the economical benefit, not only the decarbonization but also the green port revenues, we know that as per maritime world regulation in globally, contai ner vessels will have to adapt to the alternative shape.

Now in India do we have the facility for the shore power for example. And we are now making the provisions for the shore power because we know after 2.5 years, international vessels will come to Mundra they will need the shore power and that will become our competitiveness as
compared to our competition.

Now why we will be cooperative A is because we are thinking and investing in advance, and B our shore power will be powered by the renewed energy which is affordable than the positive energy and therefore it will bring the economical benefit. So for us investment in decarbonization and technology is to bring better productivity and to create new revenue opportunities.

Pulkit Patni : So can I take the liberty of asking one last question? There was news flow around the group
possibly looking at shipbuilding opportunity. If anything happens there on Mundra, is it fair to assume it will happen under Adani Ports in our case or would it be a separate?

Ashwani Gupta : You ask us shipbuilding, and then in next quarter, you will ask me what is the return on capital employed. What I will answer you, man?

Pulkit Patni : No, sir, every business requires seeding time, so we would not ask you that initially. I just want to understand?

Ashwani Gupta : , I don't think that's our competency. Our competency is to build the infrastructure ecosystem and to run it efficiently and effectively that's our competency. Our competency is not shipbuilding. If a company comes and wants to build a ship at our Mundra port we have the easy approval, we will give it. We are helpful because it is good for country. But do we really want to ourselves get into the shipbuilding I don't think so, that's not our competency.

Moderator: Next question is from the line of Vivek from Emkay Global.

Vivek: Congratulations on a good set of results. I just have a couple of questions on the resumption of Tata Power's operations. So with respect to that, what can we expect in terms of volume growth at the Mundra plant?

Ashwani Gupta : Where are you located Bombay?

Vivek: Yes.



Ashwani Gupta : Yes, so you see the heat, right? They have to run at peak capacity. They have to run at maximum capacity. And I don't think -- I think we have a weaker monsoon this year. So last year, we faced the issue because there was a delayed monsoon. There was a heavy monsoon and there was excessive renewable energy available because of hydro.

If you remember, we had that discussion. But this year, I think we have this West Asia crisis where LPG is replaced -- trying to be replaced by electricity. Then, we have this peak summer, and we also have a weaker monsoon. So we must have a tailwind over there. I don't know how much, but Tata Po wer ha

s been asked to run full fledge.
Vivek: Sure. So just to understand in terms of volumes, like what percentage of volumes from Tata Power can we expect to flow through our ports?
Rahul Agarwal : So Vivek, look, in our previous transcripts, we have identified the volume loss that we've had in FY '26 on account of CGPL. So you might just want to refer to that. I would refrain from commenting on a specific volume from one particular customer on this call. But in the past, we have given references to the volume losses that we've had in coal in Mundra on this account.
Vivek: Secondly, in terms of Vizhinjam expansion, so what we see is we have a plan in place to expand the capacity from 1.6 million TEUs to 5.7 million by FY '29. Will we expect the expanded capacity to be operational on a staggered basis? Or will it be all at on ce as of FY '29?
Ashwani Gupta : Step by step. We call it Phase 2, but even inside Phase 2, we have 4 steps. But don't ask when we can't do -- we can't disclose the detailed master schedule to the external world but that's our competitiveness.
Moderator: Next question is from the line of Nidhi Shah from ICICI Securities please go ahead.
Nidhi Shah: I wanted to ask what was the volume revenue EBITDA for the NQXT terminal that was recently added in our console?
Rahul Agarwal : So we have not separately disclosed that. But I suggest you please take a look at the presentation we uploaded when we made the announcement last year in April that has the detailed financials of Australia. So that will give you a good sense of what number s have populated into this particular quarter.
Nidhi Shah: And secondly, in Mundra, you mentioned earlier in the year because of Tata, we had faced that issue. But specifically this quarter as well, we are seeing that coal at Mundra is slightly lower and all across the board as well. So do we expect this to resolve in Q1? Or do you think this will take some more time for the volumes to come back up?
Ashwani Gupta : Where you are seeing, April is not yet finished.
Krishna Menon : Sorry, we did not completely get your question. If you can just repeat.
Nidhi Shah: So in the Annexure for this -- for Q4 presentation, it is mentioned that the coal in port, basically the coal at Mundra is lower than Q4 FY '25, significantly lower. So -- and coal volumes across



all ports in Q4 FY '26 have been lower than the base year. So do we expect that the coal volumes will come up in Q1.
Ashwani Gupta : Sorry, your question is great. I think Rahul will make a separate call with you because I don't think we should look at coal as a coal. You have 3 kinds of coal. You have coking coal where we have increased more than 7.5% then we have the coastal coal where we have increased 5.1%. And obviously, there is imported coal, which is reduced, but that is in line with the country's strategic direction. So I think please have offline discussion with Rahul, we will give you all the data. But at the end, coal is increasing. The coal which is increasing is in the strategic direction of the country, which is more coastal coal and coking coal because to suppor t the steel production.
Nidhi Shah: And lastly, logistics volumes are not up significantly, but we are seeing that the EBITDA and the revenue per ton on that is growing significantly. So what is the strategy behind that?
Ashwani Gupta : That strategy is very simple. We wanted to demonstrate that we can give you double -digit return on capital employed. So we adjusted our business mix to give you maximum return and build the confidence in you and now we will push the volume.
Nidhi Shah: All right. Thank you so much.
Moderator: Thank you. That was the last question, sir. Over to you for closing comments.
Rahul Agarwal : Yes. So we'll just take one, Rajarshi . So moderator, if you can just allow Rajarshi . He h

as one
last question and then he will close.
Moderator: Sure. Rajarshi please go ahead.
Rajarshi: Yes. Thank you for this opportunity. So my question is, so if I see your India port EBITDA performance, that's a good growth of about 10%, whereas volumes have been kind of flat on India port volumes. So is that because a part of your revenue is in dollars and you are getting a currency benef it here? Or the other way to think of it, if we didn't have this currency movement, what would your EBITDA per ton improvement have been in this quarter?
Krishna Menon : So Rajarshi, you're right in that the realization is ahead of -- the revenue growth is ahead of the volume growth emulation is correct. It's not just currency right. There's a combination of factors. It includes currency. There is also the component of the pricing changes that we take when permits gets revised and it is also a function of product mix.
Container being the fastest growing commodity and marine growing alongside it because these

are dollar -linked cargoes naturally benefit us, as the rupee depreciates vis -a-vis the dollar, right? So these are -- it's not just one item, but it's a combination of all of these 3 that is working to our advantage in this particular.

Rajarshi: So how much of your revenue a broad number is in dollars? Is it like 30%, 20%? How much would be in dollars?



Rahul Agarwal : So if you look at our cargo, roughly about 40%, 45% of our cargo is containers. So that's dollar -linked and our harbour income is dollar linked. Adani harbour income is dollar -linked.

Moderator: Thank you, any closing comments, sir?

Ashwani Gupta : No, I think, first of all, I really want to say thank you for your continued confidence in APSEZ. I want to thank you for very thoughtful questions and the feedback and the advices, which help us in improving quarter -on-quarter in terms of our communicatio n, in terms of our engagement, in terms of our disclosure. That has helped us in preparing this very comprehensive, very detailed and very simple ambition 2031.

Though we see uncertainties. But as I said before, our fundamentals are in place, and our strength, which is scale, but and which is integrated, right, makes us different than others. whether it is port or logistics or marine, even the port across 11,000 kilometres , even the 12 ICDs, trucking, rail, warehousing, everything is integrated.

So we have that advantage of having scale plus integration. And scale plus integration is run by capability and the capacity to run it in the most efficient way, and that is demonstrated in our very strong top line and bottom line growth. And this all is coupled with the India growth story and as well as the international growth story, which is coming from IMEC and China Plus One and so on and so on.

So with that story in mind, we keep the target of growing at CAGR of 18% to 19%. In good time like last year, we could grow up to 25%, but still we want to keep our foot on the ground and keep delivering between 18% to 19% CAGR, moving forward for next 5 years. And every quarter, we meet and we demonstrate that our execution of the str ategy is working in the perfect way. So thank you once again, and look forward to see you next time.

Moderator: Thank you. On behalf of JM Financial Institution Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.